

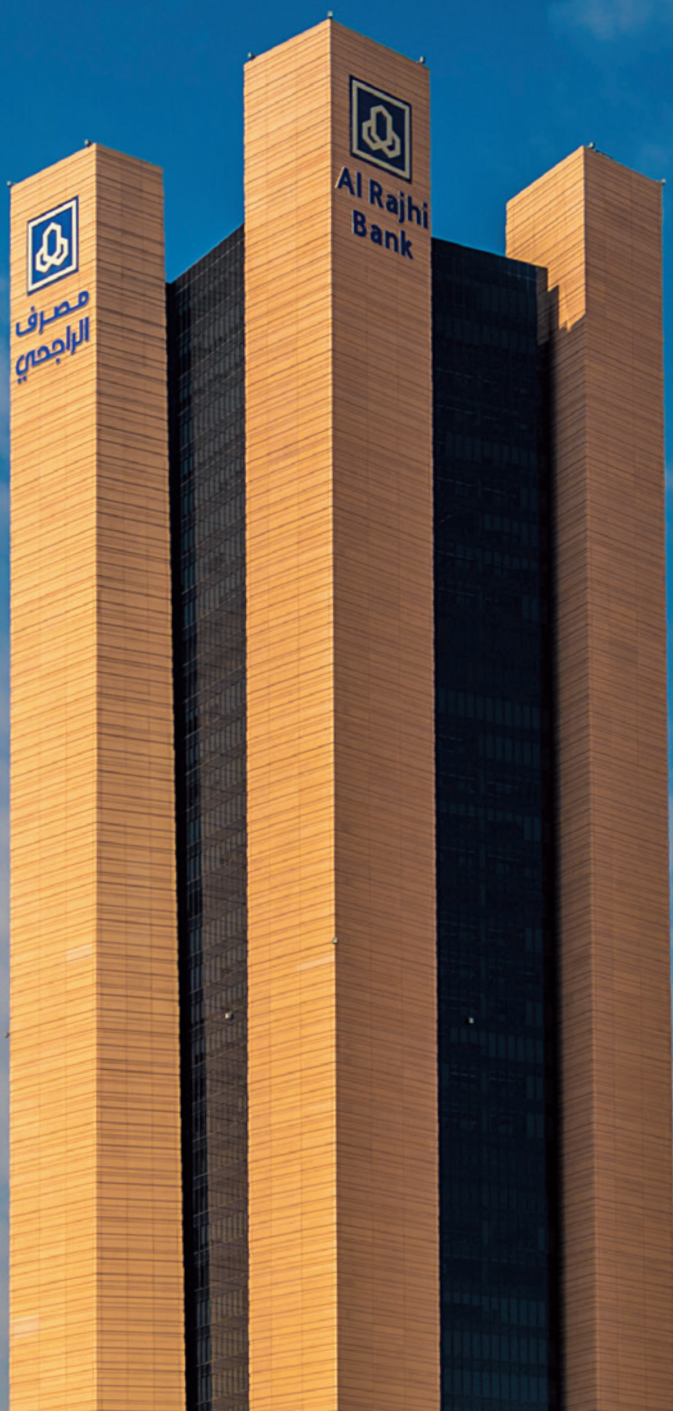
مصرف الراجحي
Al Rajhi Bank



Bank of the Future

Annual Report

20
20



In The Name of Allah
The Most Merciful, The Most Gracious



The Custodian of the Two Holy Mosques
King Salman Bin Abdulaziz Al Saud



His Royal Highness Crown Prince
Mohammad Bin Salman Bin Abdulaziz Al Saud

Bank of the Future

Years of forward looking strategy, purpose and endeavour have positioned Al Rajhi Bank as one of the most successful financial institutions in the region. A strong sense of awareness of the path to the future, both for global banking and Al Rajhi itself has allowed the Bank to read the signs of the times with accuracy and has led us to formulate strategy that will inform every aspect of enterprise through the years ahead. This strategic platform will propel the Bank to further grow its core banking strengths, enhance brand strength and positioning, leverage emergent technology and infrastructure and expand customer centricity. Our every strategy and action has consonance with the drive to achieve the Kingdom's Vision 2030.

مصرف الراجحي
Al Rajhi Bank



Overview	07	About this Report	08
		This is Al Rajhi Bank	09
		Value Drivers: 2020 at a Glance	12
		Five-year Summary	15
		Chairman's Statement	16
		CEO's Message	20
Context	23		
		Value Creation Model	24
		Operating Context	27
		Stakeholders	32
		Materiality	37
		Strategic Direction	40
Business in Perspective	45		
		CFO Review/Performance in 2020	46
		Business Portfolio Review	53
		• Retail Banking	53
		• Corporate Banking	56
		• Treasury	59
		• SME Business	61
		Subsidiaries and International Branches	63
		Human resources	69
		Leading the Market	78
		Shared Services	81
		Digital Footprint and Technology Transformation	83
		Sharia Group	87
ESG Report	89		
Corporate Governance	105		
		Board of Directors	106
		Executive Management	110
		Governance	112
		Risk Management	135
Financial Statements	139		
		Independent Auditors' Report	140
		Consolidated Statement of Financial Position	142
		Consolidated Statement of Income	143
		Consolidated Statement of Comprehensive Income	144
		Consolidated Statement of Changes in Shareholders' Equity	145
		Consolidated Statement of Cash Flows	146
		Notes to the Consolidated Financial Statements	147
Supplementary	227		
		GRI Content Index	228
		Glossary of Key Islamic Finance Terms	231
		Corporate Information	233

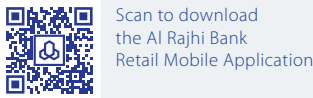
Bank of the Future
Annual Report 2020

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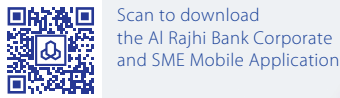


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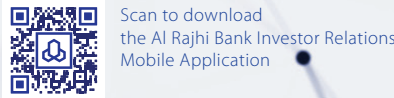
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and SME Mobile Application



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Mobile Application



Overview

About this Report
This is Al Rajhi Bank
Value Drivers: 2020 at a Glance
Five-year Summary
Chairman's Statement
CEO's Message

08
09
12
15
16
20

GRI 102-10, 102-11, 102-46, 102-48, 102-49, 102-50, 102-51, 102-52, 102-53, 102-54

102-16 GRI

This Report has been prepared in accordance with the GRI Standards: Core option.

Report structure

This Integrated Annual Report provides a clear and concise picture of the Bank's performance, operations, and strategy (as far as it is prudent to disclose such information) as it creates value over time against trends shaping its operating environment. The comprehensive integrated annual report in online HTML format is complemented by the concise integrated annual report in print and PDF.

Report boundary

The boundary for financial reporting includes Al Rajhi Bank (referred to as "the Bank" in this Report) and its subsidiaries (which, together with the Bank, are collectively referred to as the "Group"). When contributions by other Group entities are discussed they are referred to as "Group" or "Consolidated". The Bank's reporting focuses on aspects that may substantively affect the Bank's ability to create value over the short, medium and long term and which may have a significant probability of occurrence.

Reporting period

This Report is consistent with the Bank's usual annual reporting cycle for financial and sustainability reporting and covers the 12-month period from 1 January to 31 December 2020. The most recent previous integrated report covered the 12-month period ended December 31, 2019. There are no restatements of information provided in previous reports and no significant changes from previous reporting periods in the scope and aspect boundaries.

Compliance

This Report complies with all applicable laws, regulations and standards, and guidelines for voluntary disclosures. Additional details can be found in the chapter on Governance (pages 112 to 134), and in the Financial Statements and the Notes thereon (pages 139 to 222).

The consolidated environmental, social and governance (ESG) data has been prepared in accordance with the following standards, principles, concepts and guidelines:

- The International Integrated Reporting Framework (www.theiirc.org)
- The Smart Integrated Reporting Methodology™
- GRI Sustainability Reporting Standards – GRI Standards (www.globalreporting.org)

As organisations preparing an integrated report are not necessarily required to adopt The <IR> Framework categorisation of capitals (as provided in the paragraphs 2.10 and 2.17 – 2.19), the Bank has categorised the capitals differently in its value creation model diagram to aptly describe its value creation process. The process of preparing this Report has strengthened and reinforced integrated thinking across the Bank.

When launching new ventures and initiatives, the Group always takes into consideration the financial, economic, social, and environmental consequences of its actions. With its best in class systems and risk management processes, the Bank is in complete compliance with all local regulatory requirements.

The Consolidated Financial Statements as of and for the year ended December 31, 2020 are in line with International Financial Reporting Standards (IFRS) as endorsed in the KSA and other standards and pronouncements issued by the Saudi Organization for Certified Public Accountants (SOCPA). The Statements comply with the provisions of the Banking Control Law, the Regulations for Companies in the KSA, and the Bank's Articles of Association.

Precautionary principle

The Bank is keenly aware of the direct and indirect social and environmental impact of its actions. The indirect consequences result from the business activities of its customers to whom the Bank lends in particular. The Bank avoids or reduces any such negative impacts through its credit policies, screening for social and environmental issues, post-disbursement supervision, and risk management processes.

Although the Bank's business model and operations do not directly create a significant negative impact on the environment, every effort is made to reduce its own carbon footprint through initiatives such as solar energy usage, energy efficient air conditioning and the elimination of paper usage in its processes.

Queries

Your comments on this Report are most welcome. Please email: IR@alrajhibank.com.sa to send in your feedback on the Bank's Integrated Annual Report 2020.



Vision

To be a trusted leader delivering innovative financial solutions to enhance the quality of life of people everywhere



Mission

To be the most successful bank admired for its innovative service, people, technology, and Sharia compliant products, both locally and internationally



History

Al Rajhi Bank is a Saudi joint stock company.



1957

established as an exchange house



1988

converted to a bank under the name Al Rajhi Banking and Investment Corporation



2006

named Al Rajhi Bank

The Bank was formed and licensed in accordance with Royal Decree No. M/59 and Article 6 of the Council of Ministers' Resolution No. 245, both of June 1987.



Values

Everything the Bank does is built around its core values, which puts the customer at the heart of all its activities.

Integrity and transparency
Openness and highest standards of corporate and personal ethics

A passion to serve
A strong commitment to anticipate and address customer needs

Solution oriented
Helping customers achieve their objectives

Modesty and humility
Humility in everything we do

Innovativeness
Nurturing imagination and fostering creativity

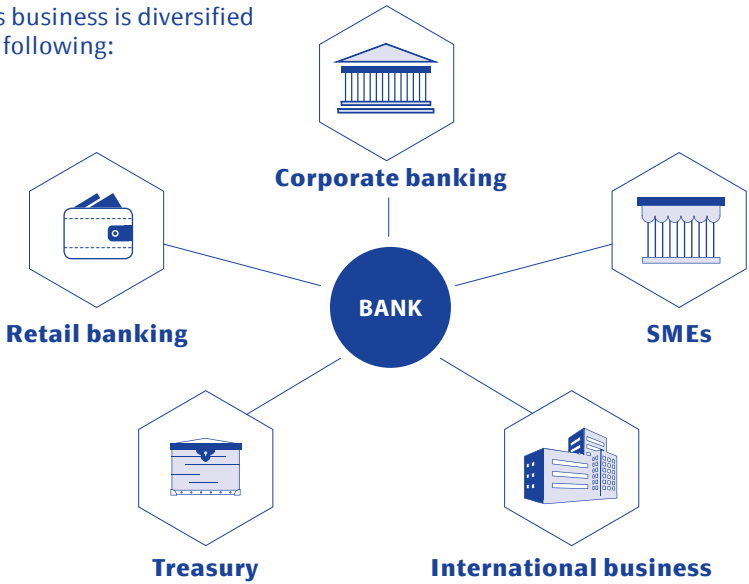
Meritocracy
Defining, differentiating, and reinforcing excellence in people

Care for society
Contributing towards a better tomorrow

The Bank

Headquartered in Riyadh, Kingdom of Saudi Arabia, Al Rajhi Bank operates under Commercial Registration No. 1010000096. A member of the Al Rajhi Bank Group, the Bank is listed on the Saudi Stock Exchange (Tadawul) with the Ticker No. RJHI.

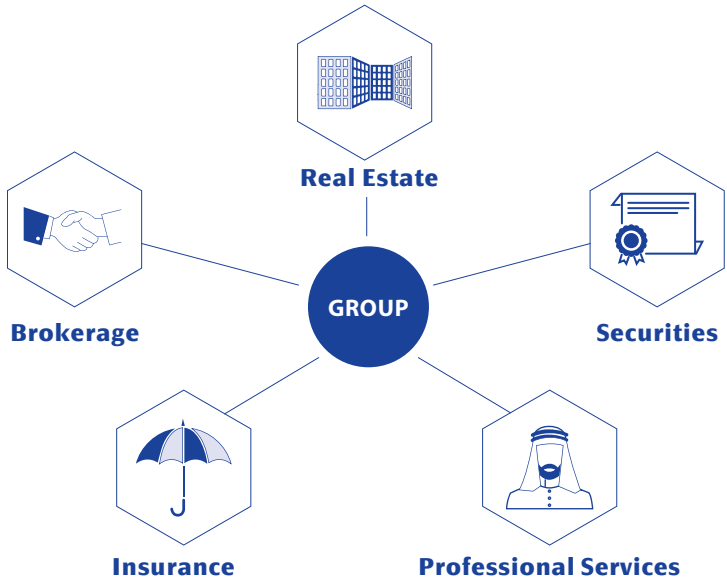
The Bank’s business is diversified across the following:



Al Rajhi Bank Group

The Al Rajhi Bank Group provides clients with innovative products and services that combine Islamic values with modern commercial requirements.

The Group consists of the following subsidiaries situated within the Kingdom and overseas.



Subsidiaries and International Branches in brief

- **Al Rajhi Development Company – KSA**
A limited liability company registered in the Kingdom of Saudi Arabia to support the mortgage programs of the Bank through transferring and holding the title deeds of real estate properties under its name on behalf of the Bank, collection of revenue of certain properties sold by the Bank, provide real estate and engineering consulting services, provide documentation service to register the real estate properties and overseeing the evaluation of real estate properties.
- **Al Rajhi Corporation Limited – Malaysia**
A licensed Islamic Bank under the Islamic Financial Services Act 2013, incorporated and domiciled in Malaysia.
- **Al Rajhi Capital Company – KSA**
A Saudi Closed Joint Stock Company authorised by the Capital Market Authority to carry on securities business in the activities of Dealing/brokerage, Managing assets, advising, Arranging, and Custody.
- **Al Rajhi Bank – Kuwait**
A foreign branch registered with the Central Bank of Kuwait.
- **Al Rajhi Bank – Jordan**
A foreign branch operating in Hashemite Kingdom of Jordan, providing all financial, banking, and investments services and importing and trading in precious metals and stones in accordance with Islamic Sharia’a rules and under the applicable banking law.
- **Al Rajhi Takaful Agency Company – KSA**
A limited liability company registered in the Kingdom of Saudi Arabia to act as an agent for insurance brokerage activities per the agency agreement with Al Rajhi Cooperative Insurance Company.
- **Al Rajhi Company for Management Services – KSA**
A limited liability company registered in the Kingdom of Saudi Arabia to provide recruitment services.
- **Emkan Finance Company – KSA**
A closed joint stock company registered in the Kingdom of Saudi Arabia providing micro consumer financing, finance lease and small and medium business financing.
- **Tawtheeq Company – KSA**
A closed joint stock company registered in Kingdom of Saudi Arabia providing financial leasing contracts registration to organise contracts data and streamline litigation processes.
- **Al Rajhi Financial Markets Ltd.**
A Limited Liability Company registered in the Cayman Islands with the objective of managing certain treasury related transaction on be half of the Bank.

(Refer Review of Subsidiaries on page 63)

Strength and reach

- One of the largest banks in Saudi Arabia in terms of assets – accounting for 16% of total assets and 19% of total deposits among banks in the Kingdom at end 2020
- A market capitalisation of SAR 184 Bn. as of 31 December 2020
- Diverse traditional and modern channels spanning the Kingdom including:
 - 543 branches (with 188 ladies branches and 148 sections)
 - 5,211 ATMs
 - 204,549 POS terminals
 - 226 Tahweel centres and 5 Tahweel mobile centres (for remittance)
 - Online banking
 - Mobile banking
- Processing the payrolls of over 50% of government employees
- Handling an average of 362 million transactions and over a million remittances per month and partnering with over 200 correspondent banks in around 50 countries
- 9,380 employees at end 2020 ranking the Bank among the top 10 employers in the Kingdom
- One of the largest Islamic banks in the world with the largest branch network in the Middle East including 10 branches in Jordan, 2 branches in Kuwait and also 16 branches in Malaysia operated by the Bank’s subsidiaries
- Total Group assets amounted to SAR 469 Bn. as of 31 December 2020

Committed to Vision 2030

The Bank continues to contribute towards the three themes of Vision 2030: a vibrant society, a thriving economy, and an ambitious nation. With a significant number of the goals of Vision 2030 either directly or indirectly connected with finance, the Bank is ideally placed to further the Kingdom’s aspirations, policies, and plans.

GRI 102-7



Customer deposits

2020
SAR 383 Bn.
2019 – SAR 312 Bn.
Increase: 22%



Total mortgages

2020
SAR 104 Bn.
2019 – SAR 55 Bn.
Increase: 90%



Total assets

2020
SAR 469 Bn.
2019 – SAR 384 Bn.
Increase: 22%



Retail financing

2020 – 38.7%
market share
2019 – 35.3%

Digital:Manual
ratio

2020 – 83:17
2019 – 67:33



First to market in
digital banking:

Signing of mortgage
contracts online

End-to-end online
application for car
insurance

End-to-end online
opening of current
account for retail and
SME customers

Addition of beneficiary
via mobile number

Addition of beneficiary
via QR code

Digital promissory note
(SANAD)

(Refer Digital footprint and
transformation on page 83)



Active digital users

2020
7.9 Mn.
2019 – 5.7 Mn.
Increase: 39%

Earnings per share

2020
SAR 4.24
2019 – SAR 4.06
Increase: 4%

Total capital
adequacy ratio

2020
19.1%
2019 – 19.9%



Total loans
integrated for
ESG factors

2020
32%

Net income
(after Zakat)

2020
SAR 10,596 Mn.
2019 – SAR 10,159 Mn.
Increase: 4%
(versus decrease in sector's
aggregate of 23% YoY)



Staff strength

2020 – 9,380
2019 – 9,683

Employee
volunteering hours

2020 – 13,125
2019 – 16,265

Saudisation rate

2020 – 97.1%
2019 – 96.6%

International
standards

ISO 22301:2019 certified
Business Continuity
Management System

ISO 9001:2015 certified
Quality Management
System of Tahweel

ISO/DIS 37301:2020
certification in
Compliance

ISO 9001:2015 certified
Quality Management
System in Money
Transfers



Awards

Award Winner of the
International Business
Magazine June 2020
for Best Omni Channel
Remittance Provider
in KSA

Winner of Financial
Awards of International
Finance April 2020 for
Fastest Growing Omni
Channel Platform in KSA

Winner of the 2020
Finnovex Award for
Excellence in Digital
Banking

Winner of the Paytech
Award for Best
Consumer Payments
Initiative – Tahweel
Al Rajhi – International
and Domestic
Remittances and
Payments

Winner of the Paytech
Award for Best Cross
Border Payments
Solution – Tahweel
Al Rajhi – Cross Border
Remittances and
Payments

Winner of the Global
Business Outlook Award
2020 – Tahweel Al Rajhi –
Fastest Growing Money

Intellectual capital

The Bank's intellectual capital is what sets it apart from the competition and impacts its total market value. This capital encompasses intangibles that provide the Bank with a competitive advantage, future readiness, and the ability to meet stakeholder expectations. It comprises the Bank's integrity and business ethics, corporate culture, systems and processes, intellectual property, capacity to innovate, accumulated knowledge and expertise, brands, and relationships etc., which are not reflected on the balance sheet. (Refer Stakeholders on page 32 for descriptions of other capitals.)

Identifying the most valuable brands in the region, the inaugural BrandZ™ Top 30 Most Valuable Emirati and Saudi Brands 2020 ranking saw Al Rajhi Bank at No. 3 out of the 13 banking brands within the Top 30. The Bank maintained its top spot in the 2020 YouGov NextGen rankings in Saudi Arabia, remaining the most positively talked about brand amongst young adults in Saudi Arabia. The Bank embarked on its digital marketing journey in 2015 and, today, has one of the largest groups of social media followers of any Bank within the Kingdom.

Key indicators from the consolidated financial statements for the years ended 31 December 2020

For the years ended 31 December	2020	2019	2018	2017	2016
Operating results for the year (SAR '000)					
Net financing and investment income	16,913,017	16,427,723	14,486,985	12,029,417	11,223,087
Total operating income	20,721,260	19,484,464	17,319,518	15,904,854	15,341,380
Total operating expenses	8,907,641	8,158,106	7,183,616	6,784,128	7,215,420
Net income	10,595,548	10,158,527	3,767,953	9,120,726	8,125,960
Total comprehensive income	10,676,861	10,292,041	3,665,518	9,026,520	8,219,879
Assets and liabilities (SAR '000)					
Financing, net	315,712,101	249,682,805	231,758,206	233,535,573	224,994,124
Customer deposits	382,631,003	312,405,823	293,909,125	273,056,445	272,593,136
Total assets	468,824,723	384,086,576	364,030,844	343,116,528	339,711,817
Total liabilities	410,706,205	332,894,919	315,724,978	287,365,610	287,764,945
Total shareholders' equity	58,118,518	51,191,657	48,305,866	55,750,918	51,946,872
Profitability					
Return on average assets (%)	2.56	2.76	1.04	2.68	2.49
Return on average equity (%)	19.94	20.49	7.01	17.24	16.65
Earnings per share	4.24	4.06	1.51	5.61	5.00
Dividend per share	1*	3	2.76	2.5	1.5
Regulatory ratios					
Capital adequacy ratio:					
Tier I (%)	17.99	18.80	18.98	22.20	20.86
Tier I and II (%)	19.08	19.87	20.07	23.29	21.98
Growth					
Staff (Nos.)	9,380	9,683	9,628	10,263	10,320
Branches (Nos.)	543	544	551	554	539
ATMs (Nos.)	5,211	5,215	5,006	4,803	4,475
POS Terminals (Nos.)	204,549	115,243	83,958	74,612	62,118

* The BOD's recommendation to distribute dividends to shareholders for the year 2020. The eligibility of the dividends shall be at the end of trading day of ARB's General Assembly meeting day.

GRI 102-14

Dealing with the pandemic called for cooperation and solidarity among all countries, overcoming narrow considerations of self-interest and competition in order to confront an imminent danger that threatened human civilization itself.



At the start of 2020, the world found itself faced with a rapidly spreading pandemic. Its consequences were all-encompassing; its impact was not limited to economy, trade, and travel, but permeated all aspects of life. Dealing with the pandemic called for cooperation and solidarity among all countries, overcoming narrow considerations of self-interest and competition in order to confront an imminent danger that threatened human civilization itself. Any success that was achieved in the midst of these difficult circumstances, therefore, was hard-won and commendable. In that light, we at Al-Rajhi Bank are happy to present to our shareholders, customers, and valued partners the annual report for 2020, which details our performance during this unprecedented year.

We are proud of the pioneering role played by the Kingdom, through its presidency of the G20, in leading international efforts to confront the repercussions of the COVID-19 pandemic and revitalise the global economy. The G20 provided strong support to the production and delivery of vaccines across the world, driven by the conviction that all people, regardless of location or status, should be protected. A pandemic reaffirms that humanity is connected, and we can only overcome the present crisis through decisions and actions that benefit us all.

Recognising the urgency of the situation, the Saudi government introduced an integrated package to stimulate the economy and support the private sector in an effort to preserve jobs and compensate for losses during the downtime. Thanks to the swift, decisive leadership, preventive and precautionary measures were implemented to control the spread of COVID-19, and by the end of the year, a nationwide vaccination programme was underway. This will culminate, God willing, in a robust recovery from the epidemic and a return to normal life and activity.

We at Al Rajhi Bank were committed to the safety of our staff and customers, and transformed our processes and practices accordingly. We established a strict social distancing policy, and provided protective equipment to all our staff. The Bank adapted to the needs of the exceptional circumstances by taking work processes and services to a new level. We also participated in all Saudi Central Bank initiatives to reduce burdens and facilitate banking procedures, such as cancelling all transfer fees for all local and international money transfers through electronic and digital channels, and encouraging our customers to use digital banking. We are pleased to report that their wholehearted response in this matter exceeded all expectations with exceptional rates of digital adoption.

Our success has reaffirmed Al Rajhi Bank’s position as a leader in the world of banking services with a net income after Zakat of SAR 10.6 Bn. recorded for the year under review, compared to SAR 10.2 Bn. the previous year. In parallel with this positive result, shareholders’ equity increased by 13.5% to reach SAR 58.2 Bn. and total assets increased by 22.1% compared to the previous year to reach SAR 468.8 Bn.

We are also proud of the Bank’s contribution towards the goals of Vision 2030. A particular highlight is the 40% growth in female employees since 2015, a strong sign that we are moving towards greater empowerment for women.

In addition, the Bank’s support for small and medium enterprises was demonstrated by the fact that the financing portfolio for this sector grew by 49.1%. The expansion in our real estate financing continued to support the Vision 2030 goal of increasing Saudi home ownership. Further details of the many initiatives taken and strides made are described throughout this report.

This year, we also remained conscious of our social mission and were proud to participate in many broader efforts during these difficult times. A major initiative was the Bank’s contribution of SAR 25 Mn. towards the Health Endowment Fund in support of the health sector and medical personnel who worked tirelessly around the clock. In addition, we supported the Community Fund based initiative launched by the Ministry of Human Resources and Social Development with a contribution of SAR 15 Mn. towards strengthening civil efforts in overcoming the pandemic. We also contributed SAR 9 Mn. to the “Watan Al Ataa” initiative aimed at caring for the sick and the elderly. These initiatives, along with those of other institutions and companies, have contributed towards the integration between the public and private sectors, and are a noteworthy demonstration of how we can work in concert to enhance the wellbeing of the Kingdom’s citizens.

The Bank has indeed achieved positive results that we can be proud of despite all the headwinds and challenges faced during the year under review, and we acknowledge the perseverance and creativity of the entire Al Rajhi Bank team which drove this success. We must also not lose sight of the fact that our achievements would not have been possible without the confidence reposed in us by our customers and the cooperation of our partners. Our management team provided sound leadership throughout the year, astutely and nimbly responding to fast-moving global economic events.

In conclusion, we at Al Rajhi Bank are honoured to express our gratitude and loyalty to The Custodian of the Two Holy Mosques, and His Royal Highness, The Crown Prince: may God support them, for the progress and prosperity the Kingdom has achieved under their wise leadership. We also extend our thanks to the Ministry of Finance, the Ministry of Trade and Investment, the Ministry of Health, the Saudi Central Bank, the Capital Market Authority, and all other government agencies and members of the medical staff for their great efforts during these trying times. I also express my gratitude to the Honourable Head and members of the Sharia Board at Al Rajhi Bank for their valuable advice and guidance, and thank my esteemed colleagues, the members of the Board of Directors, for their support in leading the Bank. True prosperity is created from the knowledge, creativity, and dedication of our people, which in turn enable us to achieve our goals. We pray that, with the blessings of the Almighty, the scourge of this pandemic will soon be lifted from our country and the rest of humanity, flooding the world in radiance and light.

Abdullah bin Sulaiman Al Rajhi

Chairman



Despite the outbreak of the Coronavirus pandemic and the severity of its repercussions, there are always positive elements that represent momentum and balance that will propel us towards greater success.



Despite the outbreak of the Coronavirus pandemic and the severity of its repercussions, there are always positive elements that represent momentum and balance that will propel us towards greater success. At Al Rajhi Bank, amid the uncertainty and unprecedented nature of the pandemic, we leveraged our accumulated experience and skills to adapt to the new normal, while ensuring that these challenges do not affect the quality of the services we provide to our valued customers in any way.

In this context, with the continued support of the Board of Directors, and with full adherence to preventive and precautionary measures, our team continued to implement our ABCDE – Back to Basics strategic plan and achieve our operational targets. Furthermore, we continued to strengthen the infrastructure and centralised operations, despite the challenges and difficulties resulting from the pandemic, whose negative impacts did not stop with the banking services in the Kingdom and the world but went beyond them to the global economy in all its forms.

As the most important source of capital for Al Rajhi Bank, our valued customers were the focus of our attention and the goal of each development in performance and service levels. We have worked to translate this commitment in a practical manner through an integrated system of programmes, initiatives, and products and solutions which aim to retain the trust and confidence of our customers.

In parallel with our efforts to develop our financial capital, we continue to work tirelessly to improve our stakeholder capital – in particular by exceeding customer expectations – and our intellectual capital- such as our brand and employee skills and know-how. It is these multiple aspects of the Bank's capital that enhance its competitive advantage, market value and continued drive towards a bright future, with the help of God.

Despite the repercussions of circumstances beyond our control, we have ensured that we continue to enhance the way we communicate with our customers by employing innovative and practical ideas to serve our strategic objectives. To this end, we expanded our services through mobile applications as well as virtual events. Through such innovations, customers and shareholders were informed of our progress amidst the challenges we faced, with the absolute transparency adopted by the Bank since its inception more than sixty years ago.

A brief look at Al Rajhi Bank's performance and achievements during the year 2020, which we are pleased to present in detail to our clients, shareholders, and partners through this report, show a mostly positive picture despite the repercussions of the pandemic. It is a picture that reinforces the Bank's leading role in serving the national economy and implementing the directives of the Saudi Central Bank while contributing towards Vision 2030. The vision of a more optimistic future was strengthened at year's end, driven by the positive news of the availability of vaccines during the New Year, a feat achieved with the grace of God and his guidance.

The Bank's achievements in 2020 featured several positive indicators, including a 4.3% increase in net income after Zakat and an increase in customer deposits of 22.5% compared to the previous year, with total asset growth of over 22.1% year-on-year. Total liabilities grew by 23.4% compared to the previous year, as well as 83% of transactions done through the Bank's digital channels, confirming the Bank's digital leadership.

In parallel with these results, we have also keenly encouraged our customers to experience a wider range of products and services. As a result, the Bank’s market share has improved. Through constant evaluation the Corporate Banking Group has transformed its products and services to improve the customer experience. In the long run, the Bank will be able to provide its customers with the banking and financial services they need whenever and wherever they require it. Despite the repercussions of the pandemic, the Bank has continued its development plans for its overseas branches in Kuwait, Jordan, and Malaysia, while strengthening its relationships with its growing customer base around the world. Such activities have contributed strongly towards the Saudi economy, attracting more international investments to the Kingdom.

For all our efforts towards overcoming the risks posed by the pandemic and our contribution to financial inclusion, the Bank has received acclaim and appreciation through local and international awards. These awards include the International Business Magazine Award for Best Omni-Channel Remittance Provider in KSA, the Finnovex Award for Excellence in Digital Banking, and the Paytech Award for Best Cross Border Payments Solution for Tahweel Al Rajhi. Tahweel also earned the Global Business Outlook Award for the fastest growing money transfer solutions provider in the Kingdom. More awards are detailed in this report.

Besides Al Rajhi Bank’s dealings in capital and wealth, it possesses a strong asset base and the potential to contribute towards the Saudi economy and overcome present and future challenges. This is why we are working on implementing an integrated strategy to train and prepare our people, whether through specialised programmes and training courses or through field training on the job.

Through the pages of this report and through achievements that speak for themselves, we extend our sincere thanks and appreciation to our shareholders, customers, and partners of success. We express our great gratitude for the support and guidance of the Saudi Central Bank and the Capital Market Authority, and to their Excellencies, the Chairman, and members of the Board of Directors. I also wish to express my appreciation to my colleagues in departments, branches, and in the field. Wishing you all health, safety, and continued success.

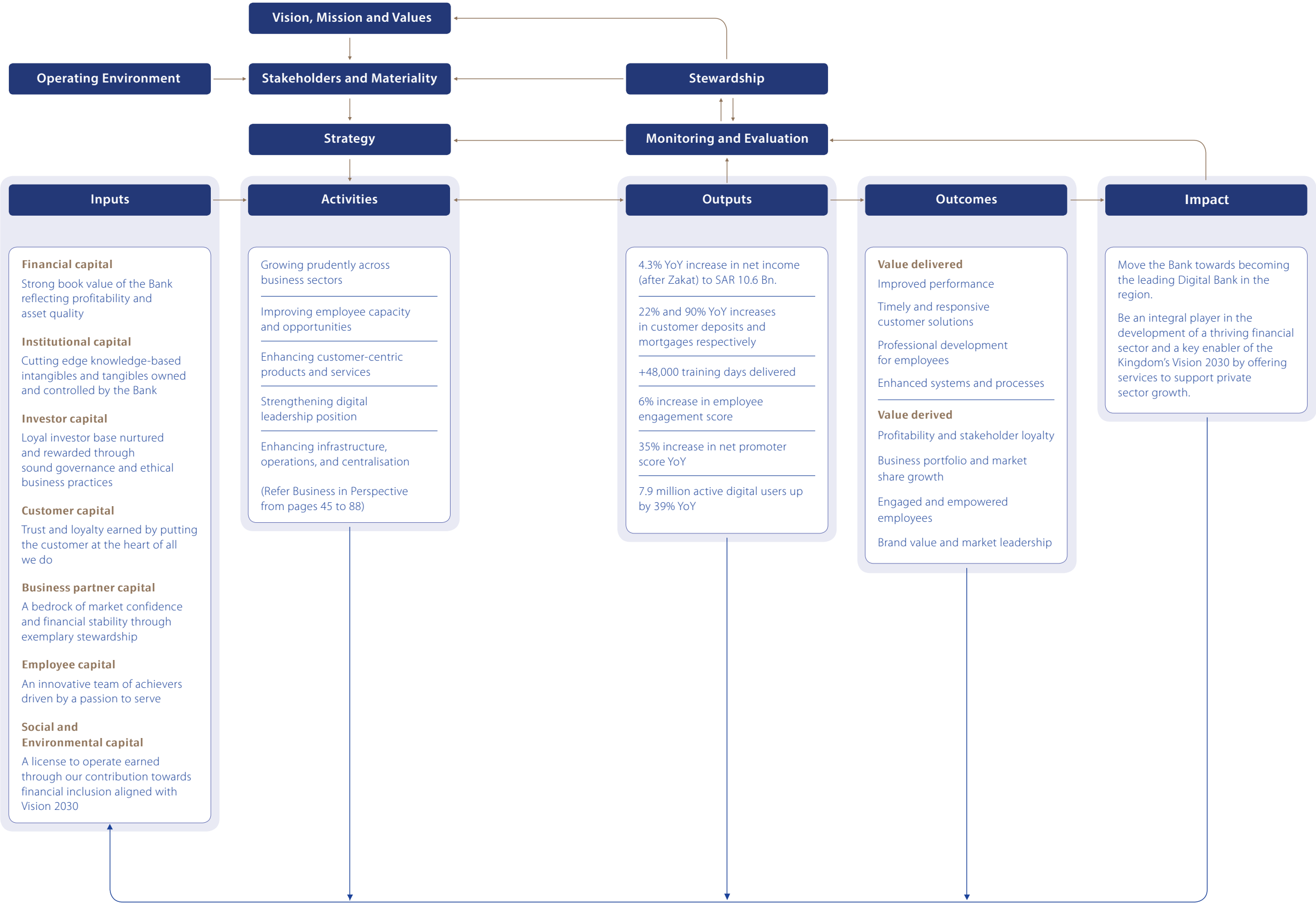
Waleed Abdullah Almogbel

Chief Executive Officer

Context

Value Creation Model	24
Operating Context	27
Stakeholders	32
Materiality	37
Strategic Direction	40

The Bank's robust value creation model illustrates the multiple forms of capital that are the inputs to the Bank's business activities as it creates value over time against the fast-paced changes of its operating environment.



The value drivers

The Bank’s value is driven by its Vision and Mission (refer This is Al Rajhi Bank on page 09); engagement with stakeholders (refer Stakeholders on page 32); and integrated thinking and strategy (refer Strategic Direction on page 40). The adoption of a multi-capital mindset is driving the Bank’s strategy formulation, powering it further on its integrated reporting journey.

The results chain

The Bank’s future earnings are driven by value derived from and delivered to stakeholders. The Bank creates value in this manner sustainably over time as it continues to build and strengthen relationships with its key stakeholder groups. The Bank considers such stakeholder groups to be forms of “capital.”

In addition to financial capital and Institutional capital, other capitals include investor capital, customer capital, business partner capital, employee capital, government and regulator capital, and social and environmental capital (refer Stakeholders on page 32). Together these capitals provide the “inputs” for the Bank’s activities enabling delivery of value to and deriving of value from stakeholders over time.

The Bank’s system for transforming input capitals through business activities into outputs, outcomes and impact is illustrated in the Value Creation Model on page 24. Each segment that follows “Inputs” is part of a results chain that represents value creation in the current, short, medium, and long term respectively.

Completing the picture

The business drivers and the results chain described previously are complemented by events and trends in the internal and external operating environment (refer Operating Context on page 27), good governance (refer Governance on page 105) and risk management practices (refer Risk Management on page 135), and the ongoing monitoring and evaluation of the Bank’s performance in the current, short, medium, and long term.

Despite the vibrant nature of the value creation process – where the capitals are constantly rising, falling, or being preserved – the Bank remains focused on increasing the overall stock of capital (refer Business in Perspective on page 45).

The Bank’s operating environment provides the context for its performance and its ability to deliver value to key stakeholder groups just as much as it derives value from them.

The unprecedented year

For one of the world’s largest Islamic banks, global, local and sector-specific trends made substantial impacts during the year under review. Saudi Arabia faced a dual shock of the widening impact of COVID-19 in addition to collapsing oil prices. The World Health Organisation (WHO) declared a pandemic in February 2020 with Saudi Arabia’s Health Ministry announcing the Kingdom’s first case of COVID-19 in March 2020.

Global trends

Faced with the unique challenges that the pandemic presented, governments across the world have responded strongly, introducing accommodative monetary policies to maintain the flow of credit within their economies. Monetary policies adopted by the world’s central banks, softened the negative impact of lockdowns on economic activity following the first wave of COVID-19. Among other actions taken were interest rate cuts, increased spending, forgone revenues (such as tax cuts and fees waived), as well as liquidity support (such as loans, guarantees, and capital injections in the public sector).

The International Monetary Fund (IMF) has warned that ultimately the pandemic could cost the world a staggering USD 28 Tn. in lost output caused by job losses, weaker investment and increasing poverty. In its October 2020 Fiscal Monitor, the IMF projected that government deficits would surge by an average 9% of GDP in 2020, and global public debt would approach a record high 100% of GDP. Employment remains well below pre-pandemic levels with low-income workers, youth, and women being most severely impacted. The IMF estimated an increase of 80 to 90 million in the number of people falling into extreme poverty during the year under review and as many as 150 Mn. by 2021.

Even with a number of vaccines having been developed at a record pace, organisations such as WHO remain cautious about mentioning an end date for the pandemic. With community transmission of COVID-19 expected to continue into 2021, the global banking system may become exhausted and vulnerable to any further shocks due to the continued impact on capital and liquidity buffers.

Equity markets in advanced economies have rebounded (and in most cases have exceeded their levels) from the start of the year. Sovereign bond yields have either declined since June 2020 or remained broadly unchanged. In addition, while asset valuations may remain elevated as a result of policy support, delays in economic recovery are likely to result in periods of volatility or require sharp adjustments in asset prices.

In the short to medium term, governments across the globe will continue aiming for the reinforcement of economies for their safe and successful reopening once the COVID-19 vaccines provide populations with greater immunity against the virus. The IMF estimates that a 1% increase of GDP in public investment, in advanced economies and emerging markets, has the potential to increase GDP by 2.7%, private investment by 10% and the creation of between 20 and 33 million jobs, both directly and indirectly. The IMF suggests that public investment will act as a catalyst for increased private investment.

To reignite economic activity in 2021 and beyond, governments will continue financing projects in health, education and digital, and green infrastructure. They will also keep capitalising on low interest rates and be prudent with public investments in order to finance projects and policies that support the recovery. Governments will need to ensure that debt remains on a sustainable path over the medium-term, being particularly careful in the way taxes are increased.

GRI 201-4

As cash flows have been under strain from lockdowns and weaker demand, many firms have increased their borrowing beyond an already high debt level. This could cause debt servicing issues in the future. Shocks arising from subsequent global waves of COVID-19 are likely to cause liquidity pressures that will drive many firms into insolvencies. The expansion of fiscal support is also increasing sovereign vulnerabilities and their contingent liabilities.

Upgrading its outlook for economic recovery in the Middle East and Central Asia in its regional outlook report published in January 2021, the IMF predicted a 3.2% contraction for the region as a whole. This projection is 0.9 percentage points higher than the IMF's October 2020 assessment. The Fund also forecasts oil prices above USD 50 in 2021. Meanwhile, the US economy is estimated to have fallen by 3.4% during 2020, but economic contractions in France, Italy, Spain, and the UK are expected to be around 10%. China is the only major economy forecasted to grow in 2020, with GDP rising by 2.3% before a significant 8.1% jump in 2021.

Sovereign debt levels in both advanced economies and emerging markets are set to increase significantly by the end of 2021 amidst downgrades to potential GDP output, implying a smaller tax base that makes it harder to service the debt.

Local trends

Saudi Arabia's robust fiscal and foreign currency reserve buffers and relatively low debt obligations have strengthened the Kingdom's ability to withstand the impact of the COVID-19 outbreak and the low oil prices. In its 2021 budget statement, Saudi Arabia's Government has estimated expenditure for the fiscal year 2021 at SAR 990 Bn., a decline of 7.3% from the estimated expenditures for FY 2020, with the Government remaining committed to enhancing spending efficiency, despite the volatility in the oil market. The IMF has observed that, like Saudi Arabia, oil exporters have on average deployed smaller fiscal packages which prioritise spending on health. Despite the display of some resilience, further budget cuts (except for basic needs) and reduced Government subsidies or other revenue-raising measures are expected to continue at a gradual pace. With the Government's ability to borrow

more, given its low debt/GDP relative to other countries, total public debt is expected to reach SAR 854 Bn. or 34.3% of GDP in FY 2020 and approximately SAR 937 Bn. or 32.7% of GDP in FY 2021. Government reserves balance is expected to remain at SAR 346 Bn. at end 2021.

Sovereign ratings	S&P	Moody's	Fitch
Long-term rating	A-	A1	A
Outlook	Stable	Negative	Negative

The IHS Markit Saudi Arabia Purchasing Managers' Index (PMI) recorded its lowest ever score of 42.4 in March 2020. It significantly improved over the year to 57.0 by December signifying an improvement in operating conditions in the non-oil private sector economy. This was the highest reading since January 2020 indicating improved business conditions. The Ministry of Finance (MoF) sees real GDP declining by 3.7% in 2020, led by a decrease in both the oil and non-oil sectors. Meanwhile, the inflation rate reached an average of 3.4%, following the impact of shocks such as the increase of the Value Added Tax (VAT) rate to 15%.

The MoF expects real GDP growth to reach 3.2% in 2021. This forecast is based on the expectation that COVID-19 restriction measures will be less severe, going forward, and that an improvement in the Kingdom's trade balance will have a positive impact on the domestic economy. In collaboration with OPEC+ countries, the Kingdom has used its leadership position in OPEC to work towards more stable oil markets. Saudi Arabia utilised its presidency of the G20 to strengthen policies that support global economic growth and mitigate the impact of the crisis on less developed countries. Recovering oil markets, the government stimulus package and effective containment measures have resulted in an uptick for business activity and spending, particularly following the easing of lockdown measures and restrictions since June 2020. Inflation is forecast by the MoF at 2.9% for 2021. The biggest downside risk is a renewed slowdown in global economic activity as large oil inventories remain a concern.

In addition, the Ministry of Finance announced a Private Sector Financing Support Programme as well as another in support for the healthcare sector totalling about SAR +350 Bn. to support business activity and mitigate the economic impact of COVID-19.

These included direct transfers, financing facilities, deferrals of some taxes and fees, liquidity injections and partial coverage of private sector workers' pay which together eased pressures, to some extent, and sped up the economic recovery.

The positive impact of these measures were evident by improvement in the PMI, economic growth of 1.2% in the third quarter compared to the second despite a contraction of 4.2% on a yearly basis, and strong consumer sentiments remaining steady for December 2020 as per the January 2021 IPSOS Primary Consumer Sentiment Index. In the latter, Saudi Arabia takes second place globally with 82% of consumers believing that the Kingdom is heading in the right direction. Cuts to the base interest rate helped support the non-oil economy. The Saudi Riyal peg is expected to remain in place

despite oil price pressures. These were created to support the most affected private sector activities and their Saudi employees.

Following these and other initiatives such as the Government's support of the health sector in combating the virus, the Kingdom's budget deficit is expected to increase to SAR 298 Bn. for the financial year 2020. While the Government will aim to reduce the budget deficit to SAR 141 Bn. or 4.9% of GDP by 2021, a gradual decline to 0.4% of GDP is expected by 2023.

Total revenues for 2021 are expected to reach SAR 849 Bn., an increase of 10.3% over 2020 estimates, while total expenditures are expected to reach SAR 990 Bn. despite an increase in pandemic-related spending. Additional budget allocations to the tune of SAR 159 Bn. for 2020 were directed towards the health sector and for the accelerated payment of private sector dues. Savings due to cancelled, extended, or deferred budgeted operational and capital expenditures partially offset some expenses by SAR 111 Bn.

Summary of budget and medium-term projections for 2021-2023

SAR Bn.	Actual 2018	Actual 2019	Budget 2020	Estimates 2020	Budget 2021	Projections 2022	Projections 2023
Total revenues	906	927	833	770	849	864	928
Total expenditures	1,079	1,059	1,020	1,068	990	955	941
Budget deficit	174	133	187	298	141	91	13
Percentage of GDP (%)	-5.9	-4.5	-6.4	-12.0	-4.9	-3.0	-0.4
Public debt	560	678	754	854	937	1,013	1,026
Percentage of GDP (%)	19.0	22.8	26.0	34.3	32.7	33.3	31.7
Government reserves at SAMA	490	470	346	346	280	265	265

Source: Saudi Arabia Budget Statement Fiscal Year 2021

There are, however, significant downside risks, given the high level of uncertainty surrounding both global and local authorities' ability to contain the virus over the coming months. Despite approvals for a number of vaccines coming through towards end 2020, the roll out has been neither as fast nor as efficient as predicted. New mutated variants of the virus also threaten to intensify and prolong the impact of the pandemic on the economy.

For the Kingdom, a meaningful recovery depends on a speedy end to the global lockdown and a quick rise in demand for transport fuel. The widening fiscal deficit, high unemployment, and a sluggish non-oil sector pose further challenges.

Stimulus measures adopted to mitigate the impact of COVID-19 are expected to be relaxed as the Kingdom's economy continues to improve. To guard against any other unexpected local or international economic shocks, the Government will maintain fiscal flexibility.

Sector-specific trends

By containing costs and continuing to focus on non-oil revenues, the Government will be able to support its commitment to fiscal sustainability and spending efficiency over the medium-term. With the rise of public debt, the Government will also focus on privatisation and Public Private Partnerships (PPPs). Some of the largest recipients of public expenditure will continue to be education, healthcare and social development, defence and infrastructure.

Banks in Saudi Arabia are facing a negative outlook due to the impact of COVID-19, oil shocks, and market volatility. Yet, they are expected to remain largely profitable, liquid and well capitalised. This resilience is in spite of pressure due to slowing government and public-sector deposit inflows, lower corporate profits and falling household savings capacity.

Positives for the sector include high profitability supported by high margins, low cost of funding and limited competition. The generally strong capital and liquidity position of banks at the onset of COVID-19 and a material strengthening of banking regulations over the past decade also contributed towards the comparative robustness of this sector. SMEs are vulnerable to the impact of COVID-19 but, while the Government has recently introduced measures to improve their access to financing sources, the banking system's exposure to this segment over the past few decades has been limited.

Nevertheless, profitability of the banking sector is expected to weaken with subdued credit demand and the weakening operating environment which will weigh on the banks' loan books, with problem loans expected to increase, mostly in the construction and commerce, oil and gas, tourism, hospitality, household consumption, and entertainment sectors. In addition, with declining oil prices constraining government treasuries, the strong funding profile of the Kingdom's banks will come under pressure. Concentrations of large financings to single borrowers and to single sectors remain a key concern, particularly when there is a shock to the economy. Saudi banks' strong capital ratios provide good loss-absorbency as borrowers come under stress.

In terms of the outlook, decelerating economic activity is expected to further weigh heavily on the sector's asset quality and profitability. Moody's estimates a slight increase in funding costs due to tighter funding conditions. With large volumes of non-interest bearing deposits in the system however, Saudi Arabia is expected

to maintain lower funding costs in comparison to other Gulf Cooperation Council (GCC) countries. As surplus liquidity transitions from low-yielding short-term placements to higher-yielding long-term sovereign debt, costs will continue to be contained and interest margin pressure will be moderated in part by increasing investment income. Nevertheless, the banking sector's net profit will feel the weight of impairment and provisioning costs.

In September 2020, Moody's Investor Services projected that the use of more Sharia compliant finance by both households and corporate entities within the Kingdom would continue its upward trajectory over the short-term. The firm estimates Islamic financing in the Kingdom to reach around 80% of system-wide loans, boosting Saudi Arabia's position as the world's largest Islamic finance market.

The increase in overall credit growth in 2020 was supported by a surge in the mortgage market which went a long way towards countering any adverse effects to overall profits coming from margin compression and muted credit growth in other lending products. With capitalisation levels comfortably above regulatory requirements, the potential for lending remains strong. Saudi retail mortgages are likely to continue as a key driver of credit contributing towards the growth of assets in the banking sector.

With low-cost deposits expected to continue making up a majority of deposits, the funding profile of banks will come under pressure as competition for these deposits intensifies. Liquidity buffers, however, are expected to remain robust, with the Kingdom's banks comfortably surpassing Basel III's Liquidity Coverage Requirement. Further, in March 2020, the Basel Committee's oversight body, the Group of Governors and Heads of Supervision (GHOS), approved measures to allow added operational capacity for banks to be able to counter possible financial instability due to the impact of COVID-19 on the global banking system.

While the headline for the first half of 2020 may have been the Government's emergency response to COVID-19 and declining oil prices, it remained focused on economic diversification away from the oil sector. Saudi Arabia's 2021 budget also reveals a strong focus on achieving fiscal stability and sustainable long-term economic growth even as the impact of the pandemic and oil market volatility shows no immediate sign of abating.



In this Report, stakeholders are defined as individuals or entities who are separate from the Bank but are materially impacted by its activities and who are also able to impact the Bank by their actions or opinions.

Key stakeholder groups

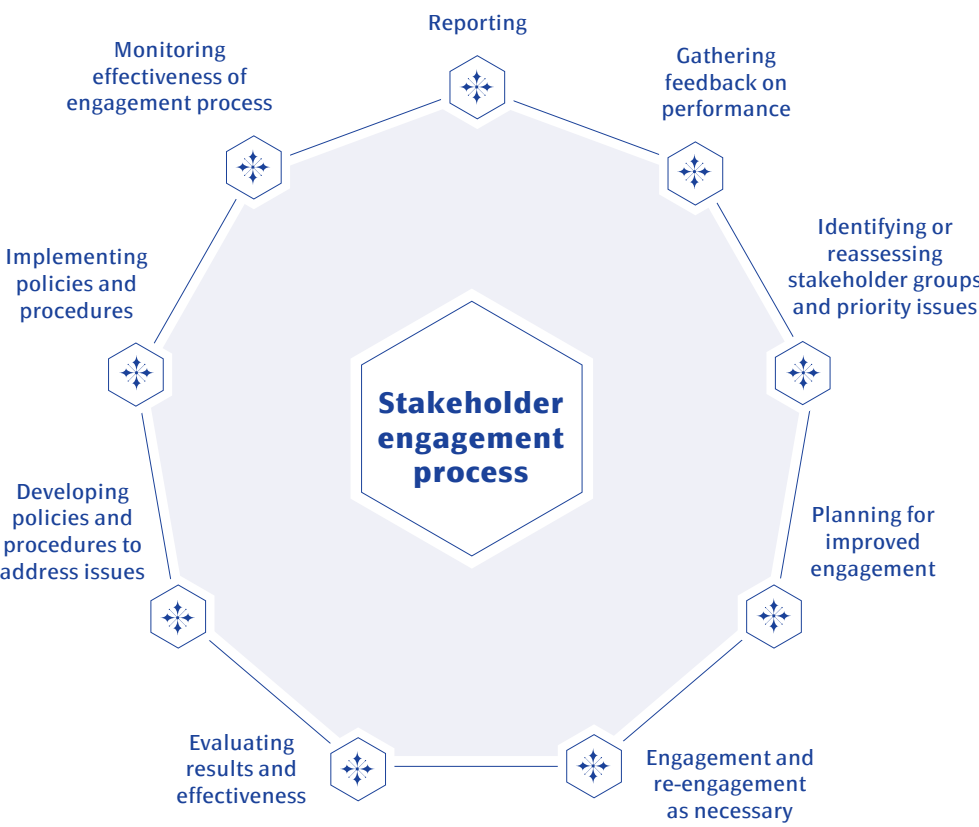
Emerging trends in the operating environment (refer Operating Context on page 27 for details) affect the Bank’s ability to deliver value to stakeholders and, in turn, to derive value from them in a manner that is sustainable in the long term. For this reason, the Bank finds it imperative to identify stakeholder groups that are important to it and to understand why the Bank is important to them. Such information supports the formulation of strategy that is fit for the future and the Bank’s continued creation of value over time.



While the range of stakeholders who are able to directly or indirectly impact performance is extensive, by categorising key stakeholder groups as outlined above, the Bank is able to effectively manage its interactions with those that matter most to its operations.

Stakeholder engagement process

The Bank’s stakeholder engagement process follows a cyclic pattern as outlined below. This ongoing process ensures that the Bank remains relevant and responsive to stakeholder concerns.



Stakeholder engagement method

Even though every point of stakeholder contact remains a shared responsibility across the Bank, formal mechanisms for stakeholder engagement continue to be in place. These mechanisms and the Bank’s understanding of stakeholder aspirations are outlined in this section.

With the Bank deriving value from stakeholder groups (just as much as it delivers value to them), each of these groups is considered a resource. As a result, these stakeholder groups are discussed as forms of “capital” within this Report (refer Value Creation Model on page 24).

Investors

Characterised by funding support, loyalty, influence, networks and the associated relationships, the investor capital contributes towards the Bank's ability to explore business opportunities and absorb unanticipated losses. In return, the Bank pledges to provide reasonable returns for the risks assumed.

Subjects of engagement	Engagement	
	Principal means of engagement	Frequency
- Financial performance - Strategy - Governance - Shareholder returns - Business expansion plans - Risk management - Sustainable growth	General Assembly Meeting	Annually
	Extraordinary General Meetings	As required
	Annual report	Annually
	Interim financial statements	Quarterly
	Investor road shows and presentations	As required
	Investor disclosures	Quarterly
	Press conferences and releases	As required
	Announcements made on the Saudi Stock Exchange	As required
	Corporate website	Continuous
	One-to-one discussions	As required
	Feedback surveys	As required

Customers

Source of revenue, diversity, loyalty, trust etc., and associated relationships are typical of the customer capital which contributes towards the Bank's financial sustenance and its ability to grow prudently over time. In return the Bank pledges to be relevant and proactive, being where the customer is when they need it.

Subjects of engagement	Engagement	
	Principal means of engagement	Frequency
- Banking hours - Customer security and privacy - Service quality - Financial inclusion - Affordability of services and convenience - Grievance handling mechanism - Financial education and literacy - Financial support for revival of business - Specialised needs	Branches	As required
	Service centres	Continuous
	ATM network	Continuous
	Online banking	Continuous
	Corporate website	Continuous
	Print and electronic media	As required
	Social media	Continuous
	Customer satisfaction surveys	As required
	Customer visits	As required
	Net promoter score	As required

Business partners

Typically characterised by critical supplies and services, pricing, reliability, ethical practices etc., and the associated relationships, the business partner capital contributes towards the Bank's ability to provide sustainable products and services and maintain operational excellence at all times. In return the Bank ensures that its partnerships with business partners are mutually beneficial, professional, transparent, and fair, seeking to influence them for good.

Subjects of engagement	Engagement	
	Principal means of engagement	Frequency
- Contractual performance - Future business opportunities - Maintaining healthy relationships - Timely settlement of dues - Ease of working - Growth potential - Collaboration for new technological advances in the financial sector	Supplier relationship management	As required
	On-site visits and meetings	As required

Employees

Know-how, skills, capacity to innovate, loyalty, diversity, morale etc., and the associated relationships are what the employee capital is generally characterised by. It contributes towards the Bank's ability to provide customers with the kind of experience they expect from one of the largest Islamic banks in the world. In return the Bank ensures that its people are provided with a safe and enabling environment with the capacity for skills and career development, meaningful employment, and a good work-life balance.

Subjects of engagement	Engagement	
	Principal means of engagement	Frequency
- Performance standards - Career planning - Training and development - Corporate values - Corporate strategies and plans - Trends in banking - Saudisation - Remuneration and benefits - CSR programmes	Induction programme	Once
	Key performance indicators	Continuous
	Career development guidance	Annually
	Internal communications	As required
	Staff societies	As required
	Volunteerism	As required
	Employee satisfaction survey	As required

Government authorities and regulators

Characterised, among other aspects, by regulation of sound banking systems, control of risks to prevent socio-economic problems, supervision of competition in the market, provision of banking licenses etc., and the associated relationships this capital supports the Bank to grow sustainably, while providing robust products and services. In return, the Bank contributes towards financial sector stability, economic growth, financial literacy, and financial inclusion.

Subjects of engagement	Engagement	
	Principal means of engagement	Frequency
- Financial performance - Strategy - Governance - Shareholder returns - Business expansion plans - Risk management - Sustainable growth - Saudisation - Employment opportunities - Microfinance and SME	Consultations	As required
	Relationship building meetings	As required
	Informal briefings and communications	As required
	General Assembly Meeting	Annually
	Extraordinary General Meetings	As required
	Annual report	Annually
	Interim financial statements	Quarterly
	Announcements made on the Saudi Stock Exchange	As required

Social and environment

Sound social and environmental stewardship, public trust, access to public infrastructure and natural resources etc., and the associated relationships are some of the characteristics of this capital. The social and environmental capital provides the Bank with a “license to operate” and grow sustainably over time. In return the Bank ensures that the communities within which it operates are nurtured and that the natural environment is protected for future generations.

Subjects of engagement	Engagement	
	Principal means of engagement	Frequency
- Financial inclusion - Affordable financing for disadvantaged segments - Community empowerment - Assistance for disadvantaged and vulnerable groups - Saudisation - Employment opportunities - Microfinance and SME - Environmental performance	Delivery channels	Continuous
	Press releases and media briefings	As required
	Informal briefings and communications	As required
	Public events	As required
	Corporate website	Continuous
	Educational projects	As required
	Youth and employment projects	As required
	Microfinance for women	As required
	Programmes for SMEs	As required
	Assistance to the needy and vulnerable	As required

(Refer Value Drivers on page 14 for description of Intellectual capital.)

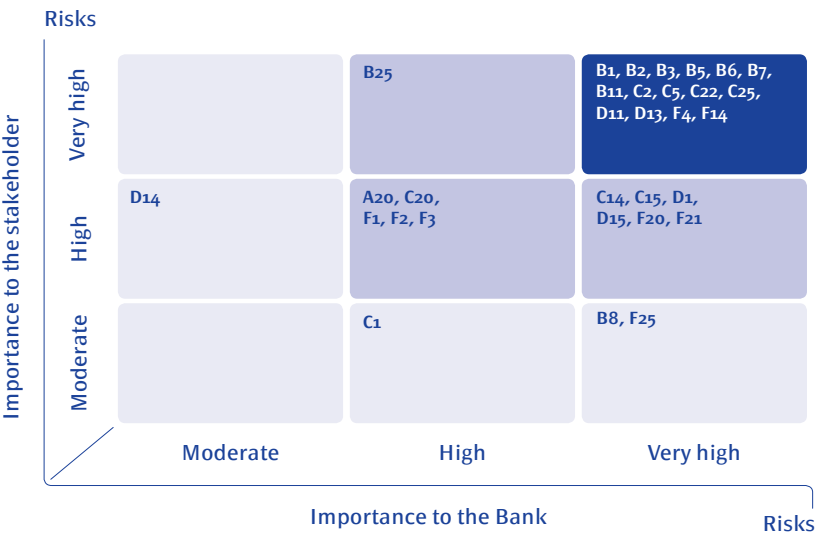
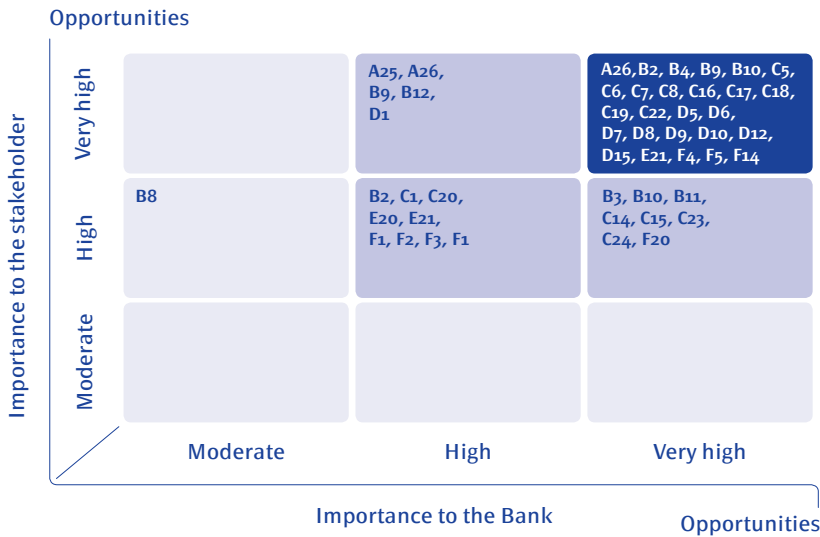
The materiality assessment is conducted in the context of the Bank’s value creation process (refer Value Creation Model on page 24), strategic Direction (refer Strategic Direction on page 40), emerging global and local trends (refer Operating Context on page 27), and feedback from its many stakeholder engagement mechanisms (refer Stakeholders on page 32).

The preliminary part of the process consisted of a PESTEL analysis of potential material issues. These issues were categorised under the stakeholder group which they impact the most. This categorisation is depicted in the following table.

Stakeholders	Political A	Economic B	Social C	Technological D	Environmental E	Government/Regulator F	
 Investors/ Shareholders		Economic slowdown	Growing influence of social media	Unorthodox competition		IFRS 9	1
		Cautiousness among foreign direct investors	COVID-19 impact			Basel III	2
		Spending cuts and pullbacks				Higher regulatory capital	3
						Governance and accountability	4
 Customers		Lower deposit inflows	Increasing customer expectations	Cloud computing		Adherence to Islamic banking principles	5
		Lower corporate profits	Customer trust and protection	eOnboarding			6
		Increase in non-performing loans and decreasing credit worthiness	Quality of service and customer satisfaction	Digitalisation and automation			7
		Lower interest rates	Engaging with customers	Innovation and product development			8
		Growth in residential mortgages		Artificial intelligence and robotics			9
		Government support package for private businesses		Blockchain			10
		Lockdown		Cybersecurity threats			11
		Declining oil prices		Infrastructure and accessibility			12
				Data security			13

Stakeholders	Political A	Economic B	Social C	Technological D	Environmental E	Government/Regulator F	
 Employees			Employee productivity	Technology driven change in job skills		Human and labour rights	14
			Staff retention	Operational efficiency			15
			Saudisation				16
			Employee engagement				17
			Employee development				18
			Equal opportunity and anti-discrimination				19
 Community and environment	Geopolitical conflicts		Commitment to SDGs		Reduced impact of operations	ESG risk in lending and investment	20
			Lower spending power in local population		Increasing demand for green banking and green lending	Compliance with regulations	21
			Community investment and engagement				22
 Business partners			Sustainable procurement				23
			Strengthening relationships				24
 Government/Regulators	Growth of MSME sector (a Vision 2030 goal)	Expected decrease in non-oil revenue				Ethical business practices and financial crime prevention	25
	Diversification of the economy (A Vision 2030 goal)						26

Following this process the topics were mapped according to those that have the most impact on the stakeholders and/or the Bank. The topics were categorised as risks, opportunities or both.



Opportunities and risks that were rated moderate to very high in importance for the organisation and for the stakeholder are regarded as material topics. All topics are depicted in the materiality matrix.

Management approach

Material topics receive management attention, especially with regard to the Bank's business strategy, resource allocation, and activities. They are assigned to the relevant Heads of business or functional units. Resource allocation is based on the degree of materiality of any particular risk or opportunity.

In line with the materiality study, the Bank continues to develop and roll out policies as required to guide its employees in the smooth and efficient implementation of their duties.

In the years leading up to 2020, “Back to Basics” proved to be a winning strategy and right for the times.

The “ABCDE – Back to Basics” strategy (2016 – 2020)

Al Rajhi Bank’s strong result in 2020 is the outcome of a solid foundation built upon the Bank’s “ABCDE – Back to Basics strategy”. Launched in 2016, the strategy was designed to enhance regulator confidence, improve controls, engender prudent growth, establish a strong stake in digital banking and create better value for its stakeholders. The Bank posted robust growth in its core retail banking franchise with a doubling of its share price over the past five years and a market leading financial performance in KSA. Its strong balance sheet is well provisioned and the brand is powerful; backed by a broad distribution network and improved digital sales and service capabilities. During the year under review, the Bank’s net promoter score (NPS) increased to nearly 66%, while its employee engagement index rose from 66% in 2019 to 70% in 2020. In addition, the Bank’s active customer penetration in its digital application reached nearly 86%.

The Changing Environment in KSA

The backdrop to these achievements was a rapidly changing environment. Key challenges that the Bank navigated during the year under review include new regulations; which the Bank welcomed and was well prepared for, continued reductions in the Saudi Arabian Interbank Offered Rate (SAIBOR); evolving competition and impacts of COVID-19. Pandemic related restrictions began in the Kingdom from early March 2020; including curfews and work from home requirements. During that time the Bank took all necessary measures to safeguard customers and employees but at the same time sustaining business operations and high levels of customer service. This was made possible by the Bank having the necessary infrastructure already in place to migrate seamlessly to remote working for many of its employees, together with extensive on-line sales and service capabilities for customers.

While mergers and acquisitions used to be uncommon in the Kingdom’s banking market, there is now increased M&A activity taking place both within Saudi Arabia and in the wider Gulf Cooperation Council (GCC) region.

Non-banking players and foreign banks, which are looking to set up branches within Saudi Arabia, are already providing the Kingdom with an increasing range of digital offerings. The Saudi Central Bank (SAMA) is encouraging digital innovation and the move to a cashless society. This provides many opportunities for a bank such as Al Rajhi Bank which is already contributing towards financial inclusion in line with Vision 2030. With social restrictions imposed during the year under review, the Bank’s digital infrastructure was tested and proved to be up to the challenge with a record 7.9 Mn. active digital users in 2020 and a digital-to-manual ratio of 83:17.

Vision 2030 is providing significant growth opportunities across the Kingdom as the move from public to private sector gathers pace; bringing with it significant opportunities for growth in financial services. The government has indicated that the Public Investment Fund (PIF) will increase CAPEX investment in the Saudi economy through mega-projects, the issuance of Sukuks and by accelerating privatisation of government entities. The government’s Financial Sector Development Program (FSDP), which contributes towards Vision 2030, is designed to allow financial institutions to support private sector growth without compromising stability. Business groups across the Bank will be looking to make the most of this increased focus on the private sector by expanding their range of solutions beyond traditional transactional banking services. The increasing penetration of banks, greater demand for housing and better credit reporting within the Kingdom allow for strong credit growth potential for both the retail and SME customer segments. Meanwhile, government investments are opening up opportunities for the corporate banking sector and the growing Sukuk market is providing greater opportunities for Treasury services.

Al Rajhi’s success in executing the “Back to Basics” strategy over the past five years is evidence that it can take on and successfully execute an ambitious agenda over an extended period – regardless of the challenges in the operating environment. This success gives the Bank confidence to face the challenges and opportunities ahead.

The new BOTF strategy is designed to ensure that it remains future-ready in terms of its business and stakeholder groups, as it continues to focus on providing market leading customer experience.

The new Bank of the Future Strategy (BOTF) (2021-2023)

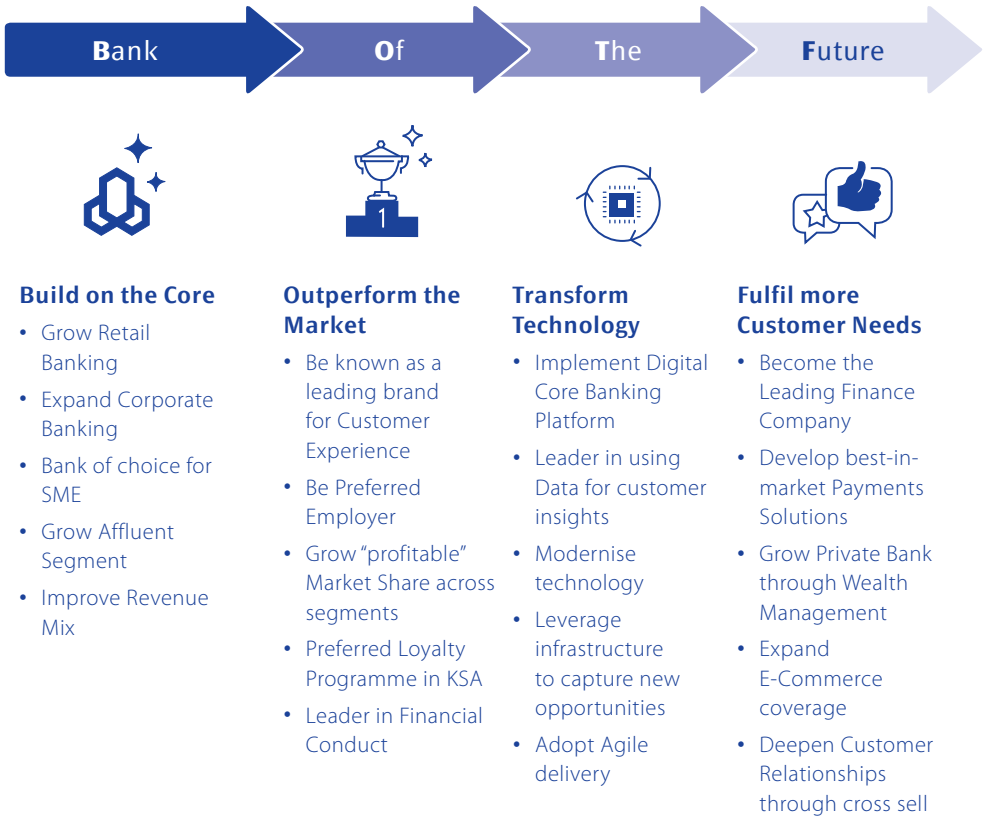
In the face of the changes in the market, the Bank is adopting a new strategy to guide it through the 2021-2023 planning period. This strategy is designed to help the Bank to realise its stated vision to become “The Bank of the Future”.

By successfully executing the BOTF strategy, the Bank sees strong prospects for continued profitable growth through two key areas. Firstly, through protecting the Bank’s core retail franchise – where it will focus on transitioning from Public to Private sector while continuing to build on market leading digital capabilities as it continues to pivot from physical to digital delivery.

Secondly, it will participate in new growth opportunities; expanding in sectors where the Bank has some existing but under developed capabilities and currently has smaller market shares. These growth opportunities include Private Banking, Bancassurance, Corporate Banking, Small Business Banking and the new Emkan Finance Company. These sectors are growing significantly, and the Bank is already making good progress in building new capabilities to profitably grow its share.

As the Kingdom forges ahead towards achieving Vision 2030 the Bank already has the basics in place. Al Rajhi Bank is well positioned to take advantage of these opportunities given its existing strengths in terms of liquidity, distribution, and talent.

Growth plan and priorities for 2021 to 2023



Deepening its presence in the Small and Medium Enterprise segment and taking advantage of the growth in this sector will be another important focus area.

Build on the core

The Bank will build on the core by building on its existing capabilities in Retail, Corporate and Micro and Small Business Banking and Treasury Products to protect its core franchise.

In Retail Banking the Bank is currently number one for its share in Personal Lending, Auto and Mortgage Lending. It has also moved to the number one position in its consumer mobile banking capabilities. The Bank continues to invest in these capabilities and build on its already strong brand and customer engagement.

In Corporate Banking, where the Bank is currently ranked eighth in the market, the focus will be on deepening selected customer relationships in target industries with specific names. While Saudi Arabia's corporate banking market is sizeable, the Bank has maintained healthy profitability levels thanks to low cost funds, low cost of risk and low operating expenses. The Bank will also build on its Treasury investment book to improve its yield and maturity profile.

SMEs have traditionally found it difficult to secure bank financing. Al Rajhi Bank is looking to capitalise on its distribution strength and create the leading offer for this segment by providing more convenient and efficient banking services for this customer segment through automation to speed up decision and delivery timelines.

To expand its reach in consumer lending the Bank is also increasing its focus on Private Sector employees and Mortgages, by working to increase its share in non-Real Estate Development Fund (REDF) lending. Additionally, the Bank will be working to meet more of their Affluent customer's Bank Assurance needs as the Saudi market matures. The Bank's digital capabilities continue to expand in both sales and service with the online migration of current account opening and the full range of Watani personal lending products and mortgage applications.

Outperform the market

The Bank aims to lead the market in the areas of customer experience, employee engagement and regulatory conduct. Creating value for all stakeholders including its regulators, shareholders, employees, customers and business partners will continue to be a priority. Each business line will aim to lead the market in their chosen area with a strategy to do so clearly laid out for all employees with individual KPIs aligned with department goals.

Employee recruitment, training and development, engagement and retention will continue to be a priority to ensure that the Bank's people continue to be ready to meet the challenges of the changing operating environment. To execute this strategy, Al Rajhi Bank continues to invest in its people with a focus on building the right capabilities while enhancing and modernising its IT infrastructure and streamlining processes.

The Bank will continue to diligently ensure that its people receive the awareness and training required to be compliant with both the letter and the spirit of all regulatory requirements.

Transform technology

Al Rajhi Bank will build resilience and a platform for innovation through a continued focus on modernising technology, leadership in data driven insights and agile working. The Bank will also look to support the growth of its digital banking offering by continuing to upgrade and modernise its critical infrastructure. Customers increasingly turn to digital options in all areas of their day-to-day lives, from shopping to working and staying in touch with family and friends. They will expect the same level of ease and convenience from the bank of their choice and Al Rajhi Bank stands ready to deliver.

The Bank's strategy focuses on delivering the best digital bank value proposition in the market, leveraging its digital banking capabilities across a wide range of customer groups, providing the best customer experience and having a differentiated and focused digital marketing approach across all segments served. This will be supported by digital-ready platforms that are responsive and scalable; aligned with business strategy and the demands and trends of the market.

Fulfil more Customer Needs

The Bank will expand into key growth areas such as finance, wealth management and payments – to serve more customers and deepen existing relationships. The Bank's growth story beyond its traditional retail core is worth mentioning as it is a low risk area for expansion, thanks to the Bank's strong natural assets of balance sheet, distribution, respected brand and leadership talent.

Building on Al Rajhi Bank's current Private Banking business the emphasis will be on transforming from a transactional bank for this segment to one that offers broader wealth management services to meet more needs from

Providing a leading Customer experience remains a core objective for Al Rajhi Bank and work continues to support and build on our customer-focused culture and continue to improve the customer experience at every customer touch point from branches and call centres to digital banking.

existing customers as well as attracting new business. The provision of wealth management solutions will leverage the Bank's Treasury services and subsidiaries such as Al Rajhi Capital and Al-Rajhi Takaful. The Group Treasury will also focus on building out the Treasury investment book; improving yields and maturity profile.

To meet the changing needs of the consumer finance market and the transition to a larger private sector in the Kingdom, Al Raji Bank has launched a new Finance Company – Emkan which is already succeeding and offers further material growth potential.

The payments market is undergoing rapid change with fintechs and new entrants providing a threat to established players. As a leading Payments solution provider, Al Rajhi Bank is very focussed on adapting to these changes through the creation of end-to-end digital payments solutions for customers. Through innovative services, product offerings and advanced capabilities, the Bank will deepen its relationship with customers, placing them at the heart of everything it does.

Through the improvement of customer-related systems and processes, digitisation will also play a major role in improving employees' capacity to delight customers and exceed expectations.

"ABCDE – Back to Basics" strategy – 2020 achievement highlights

Accelerate growth

- Grow mortgage, private sector, affluent, ladies, and Tahweel segments
- Enhance SME and corporate capabilities
- Enhance international presence
- Improve yields
- Exceed industry

2020 achievement highlights

- +6% YoY operating income growth
- +90% YoY growth in mortgages
- +15% YoY growth in current accounts
- Optimised mortgage approval process
- Micro-lending subsidiary Emkan launched
- Emkan to cover SMEs and non-Bank customers

Mortgage financing (SAR Bn.)

20.0

5.23x

104.5

2015

FY 2020

Become employer of choice

- Engaged workforce
- Expand development and training programmes
- Strengthen diversity
- Enhance employee value proposition
- Higher engagement

2020 achievement highlights

- Operations maintained without significant disruption
- Special safety team on site to assist employees who were required to work on Bank premises
- Offices sterilised daily and social distancing strictly enforced
- Efficiently switched to remote working using existing IT infrastructure
- 48,259 training days delivered
- Full e-learning platform launched for employees

Employee Engagement Index

27%

2.59x

70%

2015

FY 2020

Customer focus

- Update value propositions
- Empower frontline
- Align organisation to customer advocacy
- Install and embed NPS across the Bank
- Most recommended

2020 achievement highlights

- 25 new products launched to cater to customers' needs
- Distribution network enhanced
- Unified front end (UFE) solutions delivered for provision of superlative customer experience
- Maintained high Net Promoter Score in KSA – reaching nearly 66%
- Highest rated banking mobile app

Net Promoter Score

14%

4.7x

66%

2015

FY 2020

Digital leadership

- Smartly expand channels and formats
- Digitise customer journeys
- Migrate customers to self-service channels
- Innovate in payments
- Best in class

2020 achievement highlights

- SME and Corporate capabilities enhanced through first-of-its-kind eBusiness platform
- Mobile banking platform revamped to enhance Retail Banking customer experience
- Digital account opening and eCard capabilities enabled with 7.9 Mn. active digital users
- First-of-its-kind e-Marketplace launched for purchasing eCards and vouchers electronically
- 204,549 POS
- 5,211 ATMs
- 33 ITMs
- 358 Self Service Kiosks

Digital : Manual ratio

40:60

+110%

83:17

2015

FY 2020

Execution excellence

- World-class compliance
- Enhance IT infrastructure
- Centralise and automate operations
- Strengthen risk infrastructure
- Deliver

2020 achievement highlights

- 310 bots with 27,000 transactions per day
- Tier 4 Data Centre to migrated to new IT Centre to enhance the Bank's accessibility
- New Treasury System launched to enhance operations and product diversity
- 30 key processes introduced to reduce turnaround-time and optimise costs
- Tawtheeq – a new subsidiary focusing on lease contract registration – launched

Average transactions per month

101 Mn.

+258%

362 Mn.

2015

FY 2020

Business in Perspective

CFO Review/Performance in 2020	46
Business Portfolio Review	53
• Retail Banking	53
• Corporate Banking	56
• Treasury	59
• SME Business	61
Subsidiaries and International Branches	63
Human resources	69
Leading the Market	78
Shared Services	81
Digital Footprint and Technology Transformation	83
Sharia Group	87

Despite all the headwinds brought about, the Bank managed to register a strong performance in almost all aspects of the business – operational and financial – reflecting the strength of our core business franchise and the robust financial intermediation.



An overview

There is no debate that the year under review turned out to be one that is unprecedented in the recent history. The COVID-19 pandemic outbreak coupled with SAIBOR rate drop and declining oil prices, made the year extremely challenging for the banking industry. Adhering to guidelines issued by the health authorities, we were operating at 50% capacity during the lockdown. Various concessions announced by the Saudi Government such as SME payment deferrals and fee waivers to support the industries and stimulate economic growth too impacted our performance. Hence, the performance of the Bank in 2020 should be viewed in the context of the operating environment as elaborated on page 27. Despite all the headwinds brought about by these developments, the Bank managed to register a strong performance in almost all aspects of the business – operational and financial – reflecting the strength of our core business franchise and the robust financial intermediation. Our ABCDE “Back to Basics” strategy immensely contributed to the delivery of these results.

The “Back to Basics” strategy paved the way for our new three-year “Bank Of The Future” (BOTF) strategy. The BOTF strategy is designed to guide the Bank in mitigating risks and capitalising on opportunities as it navigates the challenges of the “next normal” operating environment.

We recorded SAR 10.596 Bn. in net income after Zakat for the year, a 4.3% growth over 2019. Total assets grew to SAR 468.8 Bn. as at 31 December 2020 recording a YoY growth of 22.1%; the main contributory factors being growth in financing portfolio (26.4%) and investment (28.7%) portfolios. Customer deposits grew by 22.5% to SAR 382.6 Bn. funding almost 82% of the asset base.

A detailed review of the Bank’s results of operations and financial position is given below.

Income Statement

The Bank reported net income after Zakat of SAR 10.596 Bn. for the year 2020, reflecting strong momentum in the delivery of the strategy, and resulting in improved financial metrics.

Five-year summary of the Income Statement

Description	2020 SAR '000	2019 SAR '000	2018 SAR '000	2017 SAR '000	2016 SAR '000
Income					
Gross financing and investment income	17,377,963	16,962,583	14,993,709	12,581,004	11,751,445
Return on customers', banks' and financial institutions' time investments	464,946	534,860	506,724	551,587	528,358
Net financing and investment income	16,913,017	16,427,723	14,486,985	12,029,417	11,223,087
Fee from banking services, net	2,659,680	1,987,367	1,867,034	2,697,208	2,949,963
Exchange income, net	783,894	774,096	755,804	841,839	925,286
Other operating income, net	364,669	295,278	209,695	336,390	243,044
Total operating income	20,721,260	19,484,464	17,319,518	15,904,854	15,341,380
Expenses					
Salaries and employees' related benefits	2,977,344	2,794,046	2,809,449	2,813,918	2,873,687
Rent and premises related expenses	–	–	314,567	311,025	277,179
Depreciation and amortisation	1,118,148	1,059,582	603,136	440,566	415,595
Other general and administrative expenses	2,646,409	2,532,213	1,925,518	1,671,052	1,440,794
Total Operating expenses before credit impairment charge	6,741,901	6,385,841	5,652,670	5,236,551	5,007,255
Impairment charge for financing and other financial assets, net	2,165,740	1,772,265	1,530,946	1,547,577	2,208,165
Total operating expenses	8,907,641	8,158,106	7,183,616	6,784,128	7,215,420
Income for the year before Zakat	11,813,619	11,326,358	10,135,902	9,120,726	8,125,960
Zakat for the year	1,218,071	1,167,831	6,367,949	–	–
Net income for the year	10,595,548	10,158,527	3,767,953	9,120,726	8,125,960

Yield-based operations

Accounting for 82% of the total operating income, net financing and investment income for the year grew by 3% to SAR 16.913 Bn. This is consequent to gross financing and investment income growing by 2.45% YoY to SAR 17.378 Bn, mainly due to growth in the financing portfolio, mortgage financing in particular, coupled with the return on time investments of customers, banks and financial institutions decreasing by 10% over 2019.

Net Profit Margin for the year contracted by 51 bps to 4.71% in 2020 compared to 5.22% in 2019. This is due to the impact of SAIBOR contraction and modification loss arising from instalment deferrals being partly offset through management actions. With current accounts representing around 90% of its customer deposits, the Bank continues to support asset growth with non-profit bearing deposits.

Non-yield-based operations

The non-yield income representing fees from banking services, exchange income and other operating income grew by 24.6% YoY to SAR 3.808 Bn. and accounted for 18.4% of the total operating income (15.7% in 2019). The growth was mainly driven by payments and digital banking fees as well as the contributions from Al Rajhi Capital, which recorded strong growth in brokerage fee income for the year under review.

Total operating income

Crossing the milestone of SAR 20 Bn. for the first time, the total operating income of the Bank reached SAR 20.721 Bn. for the year 2020 recording a growth of 6.3% compared to 2019, a reflection of the strength across the board in core business activities and strong momentum in the delivery of the strategy.

Operating Expenses

Total operating expenses rose by nearly 5.6% to SAR 6.742 Bn. largely reflecting the ongoing investments in our digital capabilities. However, various efforts to improve processes, channel migration and centralised activities contributed to improve operational efficiency. This coupled

with the higher growth in total operating income contributed to an improved Cost-to-Income Ratio which decreased marginally from 32.8% in 2019 to 32.5% in 2020.

Impairment charges

Reflecting the challenging operating environment and the prudent provisioning policy of the Bank, the net impairment charge for the year increased by 22% to SAR 2.166 Bn. compared to SAR 1.772 Bn. in 2019. Accordingly, the cost of risk was 0.75% against 0.71% last year. The Bank continues to monitor its lending portfolios closely for any significant increase in credit risk (SICR) and expected credit losses (ECL) and to reassess the provisioning levels as the situation around COVID-19 evolves; however, management has taken SAR 608 Mn., of COVID overlay in 2020 which is included in the impairment charge, to reflect any potential for further credit deterioration.

Net income

Despite the pre-impairment provision income rising by nearly 6.7%, the increase in impairment charge limited the growth in net income (before Zakat) for the year to 4.3%. The Bank's net income for the year after Zakat totalled SAR 10.596 Bn. compared to SAR 10.159 Bn. in 2019.

Profitability

In line with the increase in net income, Earnings per Share increased to SAR 4.24 in 2020 compared to SAR 4.06 for the year 2019. ROA and ROE for 2020 were 2.56% and 19.94% for the year compared to 2.76% and 20.49% respectively in 2019.

Statement of Financial Position

Al Rajhi Bank recorded a strong growth in assets and liabilities during the year 2020. With significantly improved Non-Performing Loans (NPL) and coverage ratios, the Bank has a strong balance sheet that is well-provisioned and capital unencumbered. With capital funding 12.4% of the total assets, on-balance sheet gearing remains at a healthy eight times.

Five-year summary of the Statement of Financial Position

Description	2020 SAR '000	2019 SAR '000	2018 SAR '000	2017 SAR '000	2016 SAR '000
Cash in SAMA and other central banks	47,362,522	39,294,099	43,246,043	48,282,471	42,149,905
Dues from banks and other financial institutions	28,654,842	32,058,182	32,387,760	10,709,795	26,578,525
Investments, net	60,285,272	46,842,630	43,062,565	36,401,092	34,032,879
Financing, net	315,712,101	249,682,805	231,758,206	233,535,573	224,994,124
Property and equipment, net	10,234,785	10,407,247	8,649,435	7,858,127	6,485,162
Investment properties, net	1,541,211	1,383,849	1,297,590	1,314,006	1,330,868
Other assets, net	5,033,990	4,417,764	3,629,245	5,015,464	4,140,354
Total assets	468,824,723	384,086,576	364,030,844	343,116,528	339,711,817
Dues to banks and other financial institutions	10,764,061	2,219,604	7,289,624	5,522,567	8,916,970
Customers' deposits	382,631,003	312,405,823	293,909,125	273,056,445	272,593,136
Other liabilities	17,311,141	18,269,492	14,526,229	8,786,598	6,254,839
Total liabilities	410,706,205	332,894,919	315,724,978	287,365,610	287,764,945
Shareholders' equity					
Share capital	25,000,000	25,000,000	16,250,000	16,250,000	16,250,000
Statutory reserve	25,000,000	21,789,632	16,250,000	16,250,000	16,250,000
Other reserves	(134,728)	(216,041)	(349,555)	5,281,682	4,773,362
Retained earnings	8,253,246	868,066	12,499,171	13,906,736	12,236,010
Proposed gross dividends	–	3,750,000	3,656,250	4,062,500	2,437,500
Total shareholders' equity	58,118,518	51,191,657	48,305,866	55,750,918	51,946,872
Total liabilities and shareholders' equity	468,824,723	384,086,576	364,030,844	343,116,528	339,711,817

Asset growth was driven by a solid financing landscape led by mortgage financing along with further optimisation and growth in the treasury investment portfolio.

Assets

Robust growth in business volumes helped the asset base to cross SAR 400 Bn. during the year. Accordingly, total assets recorded a strong growth of 22.1% to end the year at SAR 468.8 Bn. as at 31 December 2020 compared to SAR 384.1 Bn. a year ago.

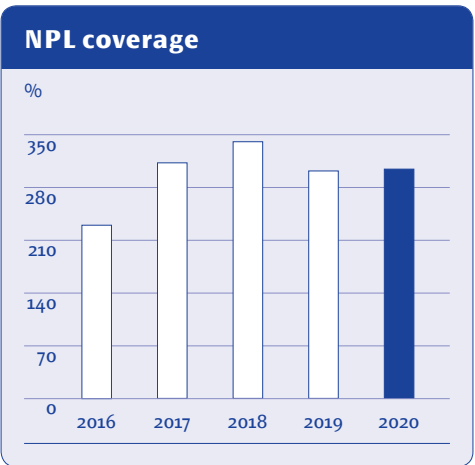


Financing and investments

Compared to an estimated 14.2% growth in industry average, our net financing increased by 26% to SAR 315.7 Bn., as continued growth in retail financing offset limited corporate financing opportunities and loan repayments. The overall financing mix remained predominantly Retail, with 79% of net exposure. Mortgages made the biggest contribution, having grown by SAR 49.5 Bn. YoY – a growth of around 90%. Outstanding mortgages amounted to SAR 104.5 Bn. at the year's end which represented 41% of the retail portfolio and close to 32% of the overall financing portfolio. Net investments too increased by 29% to SAR 60.3 Bn. Short-term placements with the Saudi Central Bank (SAMA) too increased by SAR 8.1 Bn. YoY.

Asset quality

Al Rajhi Bank follows a prudent approach to growth and a conservative approach to provisioning for NPLs. Despite the challenges, asset quality continued to improve during the year with the NPL ratio reducing to 0.76% compared to 0.90% in 2019, making this the second consecutive year that the Bank has recorded an improvement in this important KPI. The Bank's Retail portfolio had a very low NPL ratio of 0.30% and 2.5% for the corporate portfolio. Net impairment provision increased almost 22%, improving the coverage ratio to a healthy 306%, well above the industry average. Reflecting the quality of stringent credit evaluation and post disbursement monitoring process, stage one represented 96% of the total financing portfolio as at the year end.



Deposits and Other Liabilities

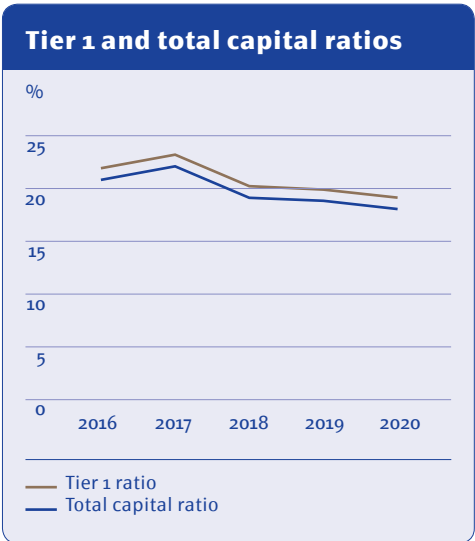
Total customer deposits funding 82% of the total assets, increased by SAR 70 Bn., a 22.5% growth during the year to SAR 382.6 Bn. as at 31 December 2020, mainly through current accounts which grew by 15%. Our growth compares well with the industry average growth for 2020 of 8.2%. Consequently, total liabilities grew by 23.4%.

Stability

Strength of the balance sheet in terms of superior asset quality, optimum liquidity, and comfortable levels of capital ratios coupled with the support of a loyal shareholder base that takes a long-term view of the business bear testimony to the stability of the Bank.

Capital

Al Rajhi Bank continued to maintain a strong capitalisation profile comfortably above the regulatory minimum requirements with core equity Tier 1 and total capital adequacy ratios of 18.0% and 19.1% respectively as at 31 December 2020. These ratios were marginally lower than those in 2019 which were 18.8% and 19.9% due to a 19% increase in risk-weighted assets arising primarily from growth in the financing portfolio.



Liquidity

The Bank's liquidity position remained healthy with a Loan to Deposits ratio of 79%, Liquidity Coverage Ratio of 155%, Net Stable Funding Ratio at 123% and High Quality Liquid Assets standing at SAR 81.4 Bn. as at 31 December 2020, all well above the minimum regulatory requirements.

Segmental performance

Geographical analysis of the total income of the bank and its subsidiaries	2020 SAR '000
KSA	20,572,768
East Asia	148,493
Total	20,721,261

Activity Type Revenue	2020 SAR '000
Al Rajhi Capital – KSA	805,369
Al Rajhi Development Company – KSA	88,746
Al Rajhi Takaful Agency	11,015
Al Rajhi Company for Management Services – KSA	391,260
Emkan Finance Company – KSA	98,990
Tawtheeq Company – KSA	3,163
Al Rajhi Bank – Jordan	143,760
Al Rajhi Bank – Kuwait	32,951
Al Rajhi Limited Company – Malaysia	148,493
Total	1,723,746

Future outlook

Competition from banks in the region as well as fintechs, regulatory developments such as Open Banking Policy, a low interest rate environment and COVID-19 will have a direct bearing on our performance in the ensuing years. Nevertheless, we have devised strategies to build on the core by expanding reach across all the segments for our core business, outperform the market in terms of customer experience and profitable market share, transform technology by investing more in our IT and digital infrastructure and fulfil more customer needs by providing innovative banking solutions and offerings, in our roadmap to be the Bank Of The Future (BOTF).



Retail Banking serves over 10 million customers and processes over 10 million financial transactions each day, facilitating the socio-economic progress of all communities in the Kingdom. Core activities include providing customers with access to banking services and supporting wealth creation through an evolving portfolio of products offered over a mix of channels giving omnichannel experience.

The environmental context

Kingdom-wide pandemic-related curfews in April and May 2020 curtailed operations in Retail Banking to a limited number of branches. With the brick and mortar branches being the Bank's primary source of customer interaction during Q2, Retail Banking witnessed a slight decrease compared to the pre-COVID monthly average.

In the interest of customers, the Saudi Central Bank (SAMA) passed a mandate requiring all processing, early settlement and brokerage fees to be waived for a period of six months beginning in April 2020. This had a significant adverse impact on the performance of the Bank given its predominantly retail heavy concentration. The Bank's Retail Banking business also adjusted to the multiple changes introduced to Value Added Tax regulations during the year under review.

The impact of COVID-19 has led to a 4% reduction year-on-year in consumer spend by the end of 2020. In spite of the unprecedented challenges of the year under review, the Bank's total share of mortgages in the Kingdom for the year 2020 stood at 37.1%. For Auto Finance, the Bank has a market share of 47.6% in the Kingdom and 60% of the total of new sales.

Major developments in credit cards

The Bank launched a number of planned new products in this segment during the year under review. They include Travel Plus a best-in-class and first-of-its-kind multi-currency card. This integrated travel card proposition for the Bank's customers has a low credit limit of 10 USD. Travel Plus comes in five key currency wallets including US Dollar, Euros, GB Pounds, UAE Dirhams, and Saudi Riyals. Travel Plus cardholders can avail unmatched benefits including complimentary global airports lounge access, concierge services, competitive exchange rates, ATM cash withdrawals and contactless POS purchases made securely through Near Field Communication (NFC) technology within the limit specified by the Bank.

In the second quarter of 2020, the Bank launched Digital Pre-paid Card which resulted in more than 200,000 new card sales to customers by December 2020. The Bank also launched an innovative digital low limit card that can be issued instantly through Al Rajhi Mobile App and loaded to a digital wallet so that customers can start spending right away online or at any point of sale. Popular demand for this new product resulted in strong sales to customers by December 2020. This new virtual card provides customers with convenience of application and a secure and safe method of shopping.

During the year under review, Retail Banking launched multiple personalised and targeted spend-and-usage campaigns for its credit and mada cards customers. Retail Banking also launched multiple cards acquisition campaigns and promotions that accelerated new customer acquisition during the year. The new product launches and multiple customer acquisition campaigns resulted in over 90% growth year-on-year in total new credit cards sold. The introduction of a number of pricing strategies, including the introduction of free cards across the products spectrum, also contributed to business volumes and spend growth.

Mortgages for increased Saudi homeownership

During the year under review, the Bank continued to contribute towards Vision 2030 by working closely with The Real Estate Development Fund and the Ministry of Housing in its efforts to increase home ownership for Saudi nationals. The Government aims to increase home ownership to 70% by 2030, from a figure which official statistics put at 62% at the end of 2019. The Public Investment Fund (PIF) also launched Roshn, a new real estate subsidiary, in 2019 to help meet increasing local demand for housing. The Kingdom's mortgage growth in the first half of 2020 was strong with more than 50% of 2019 disbursements achieved within the first four months, including during the curfew months of April and May. Total mortgage growth for 2020 reached 90% year-on-year.

Retail Banking launched a number of new mortgage products and features in addition to enhancing its policies and procedures to provide greater access and convenience for customers in the face of pandemic-induced restrictions. The Bank also continued to ensure that the Kingdom’s low-income citizens benefited from its mortgage guarantee scheme as part of its drive to promote financial inclusion. As more affordable housing comes into the market, the Bank’s efforts to boost mortgage lending has promoted a positive brand sentiment, especially amongst first time home buyers, leading to the Al Rajhi Bank being one of Saudi Arabia’s strongest brands with Brand Finance giving it a Brand Strength Index score of 84.7 out of 100 in a report published in April 2020.

New Watani products and services

The Bank’s fully Sharia-compliant finance solution, which helps customers to meet unexpected expenses, was further enhanced by a range of new products and services.

In February 2020, the Bank launched a new product – the Watani 3 – Payment Holiday Programme. This Programme was negatively impacted by the COVID-19 pandemic and related restrictions. By end 2020, a total of 19,000 customers had capitalised on this finance solution. The Retail Banking Group also introduced Personal Finance NST in April 2020.

In terms of new services, using Swiss banking software company Temenos’ Islamic Banking Suite and its Saudi Model Bank application which adheres to global best practices and preconfigured local functions, Al Rajhi Bank was able to meet Saudi regulatory requirements within a very short time. During the year under review, the Bank introduced the integrated

telesales platform with digital execution contracts and ePromissory notes. Omnichannel execution was introduced in July 2020 while all personal finance products were made available to customers on the Bank’s digital banking app by the end of the year.

As part of its drive to offer improved services to personal finance customers, the Bank revised its categorisation of vehicles for this product, including the revision of balloon and down payments. In addition to new products launched for this customer segment, the Bank also developed its systems and processes to efficiently identify irregularities such as the unauthorised increase of balloon payment, the decrease in down payments and the increase in credit limit by users. The upgraded system also helps the Bank to quickly identify any customers who may have been blacklisted. During the year, the Bank continued with diversified sales campaigns targeting key dealers in the Kingdom’s auto market. Insurance prices were also revised during the year under review.

Expanding physical customer touchpoints

Two new branches and one showroom were opened during the year under review, along with seven new ladies sections.

The Bank continued to add more state-of-the-art ATMs at its new and renovated branches throughout the year, with total ATMs of 5,211. In 2020, the Bank owned the largest ATM network for dispensing small denominations of SAR 5 and SAR 10 and the new polymer SAR 5 was deployed for the first time at the Bank’s ATMs.

Also in 2020, the Bank launched a first-of-its-kind ATM in the region serving a range of differently-abled customers including those who are visually impaired, hearing impaired, and mobility-challenged. This ATM is open for the customers of the Bank as well as those of other banks. The service demonstrates the Bank’s commitment towards the community and its goal to allow customers greater access to banking. This service also contributes towards Vision 2030 by providing the differently abled with all the facilities and tools to help them become more independent and be integrated in society.

Tahweel, the remittances arm of Al Rajhi Bank, which provides international and local money remittance services, also expanded its reach during the year under review. In August 2020, five Tahweel mobile centres were launched for the first time and 35 Tahweel kiosks added during the year. With four Tahweel centres closed and one centre merged with an Al Rajhi Bank branch during the year, the current Tahweel centre count stands at 226.

Future outlook

Retail Banking will continue introducing a complete suite of products, services, features and innovations to sustain the Bank’s leadership position in areas such as mortgages and personal finance as well as to grow market share amid intense competition in the industry. Unless the pandemic is brought under control and travel improved during 2021, credit card financing is unlikely to improve in the immediate future. However, mitigating initiatives have already been identified and put in place to try to boost credit card financing in 2021. These initiatives include: Personalised customer spend campaigns, credit card cross-sell campaigns, customer balance build-up campaigns, (Loan on Phone, balance transfer, instalment plans), and customer engagement and activation campaigns. Retail Banking has already adopted a targeted and differentiated customer value proposition for credit cards with a particular focus on youth, SMEs, corporate entities, and the non-salaried segment.

With the impact of COVID-19 likely to remain well into 2021, the Bank will continue to focus on creating a digital culture across the Bank’s diverse businesses to increase digital engagement in banking. The Bank’s drive to migrate more customers towards digital channels will also benefit the business by enhancing the Bank’s reach and facilitating product acquisition in a manner that gives primacy to customer experience. While enhancing digital acquisition channels the Bank will also introduce a direct sales channel in the near future. Capitalising on technology the Bank will also use analytics-based customer targeting software to improve cross-selling. Enhanced loyalty and rewards schemes for customers and merchant partnerships will also be a focus.

In line with its BOTF Strategy (refer page 41), the Bank will continue to invest in its existing capabilities in Retail Banking while building on its already strong brand and customer engagement.

Corporate Banking

Partnering with corporate entities to achieve their growth aspirations, the Bank seeks to be the most customer centric corporate banker with the best technological support, poised for growth. Drawing on its expertise; local, regional, and global reach; industry insights and robust digital platform; the Bank offers customised solutions to a loyal and growing corporate customer base.

The environmental context

Just as communities and businesses across the Kingdom were affected by the global pandemic, Corporate Banking Group's business volumes too were impacted during the year under review. With the reduction of Saudi Arabian Interbank Offered Rates (SAIBOR) in 2020, revenues came under pressure as the risk environment grew more challenging and demand deteriorated.

The pandemic negatively impacted the risk profiles of corporate customers and non-performing loans (NPLs) of the Bank increased by 10bps in value terms due to an increase in credit risk in a few large exposures. Consequently, the Bank's impairment charge for the year increased by 22% compared to the same period last year. Given the fact that COVID-19 is likely to impact businesses well into 2021, the Bank continued to be proactive and increased provision reserves to cover expected losses.

Among the actions taken by Corporate Banking to help customers keep their businesses running at this critical juncture, were the increased availability of relationship managers on call, the efficient running of online channels and the continued operation of select branches. In line with SAMA directives, Corporate Banking participated in loan guarantee and funding programmes to support clients who were in need during these challenging times. Corporate Banking also extended working capital facilities to clients to cover their short-term liquidity requirements and waived digital banking fees during this period.

Every precaution was taken at the limited number of branches that remained open during the lockdown – including regular sanitising of surfaces, restricting the number of customers in a branch at a given time, and the provision of masks and hand sanitisers for customers and employees.

Enhancing the customer experience

Since the beginning of 2020, Corporate Banking had increased the number of customer calls to better understand the pandemic's business impact and the issues that customers faced.

Thanks to the increased number of virtual meetings the Bank was able to save time and resources while directly addressing the pressing needs of its customers. Such a proactive approach has helped Corporate Banking to gain valuable insights and catch early warning signs in time to mitigate risks as far as was possible.

During the year under review, the Corporate Banking Group also implemented its transformation plan with a view to reinvigorating its business operating model and enhancing the customer experience. The reorganisation process focused on improving the efficiency of resource allocation. For instance, by introducing an effective coverage model the Corporate Banking Group was able to optimise the distribution of skills sets among targeted business segments.

As an extension of this project, all operational activities are being segregated from the front line and are consolidated as "one stop shop" to bring in more focus on business development and operational excellence. This allows Corporate Banking branch resources to be redistributed and deployed under the Retain Banking Group to create an effective sales and service model.

As the pandemic raged on, Corporate Banking conducted its first virtual event for customers to promote sales, increase penetration and improve cross selling. The event helped create awareness of the Bank's products and services across business units such as Trade Services, Cash Management, Treasury, Takaful, and Retail Banking.

With the aim of improving credit quality, Corporate Banking set up systems and processes to enhance the monitoring of client annual reviews, improve follow up on past due obligations and embed a strong risk-awareness-centred governance culture.

To further expand the customer base, the Corporate Banking Group also set its sights on widening its market share in assets by growing liabilities, fee income, and cross-sales at an increased pace while maintaining a below market average cost of risk.

Progress in real estate financing

During the year under review, Corporate Banking also developed real estate programmes that contribute towards the financing of residential, commercial, hospitality, healthcare, education, logistics and mixed-use real estate projects both on recourse and limited non-recourse structures.

Frameworks such as risk models were put in place to assess customer risks and projects based on a combination of both qualitative and quantitative factors. Additionally, Corporate Banking secured approval to refinance quality assets under the newly developed Real Estate Programme.

Contributing towards the Housing Programme

The Housing Programme is designed to enable Saudi households to own or benefit from affordable housing in a bid to improve living conditions for current and future generations. These measures are designed to increase the housing sector's attractiveness to the private sector, develop local content, create more business opportunities and strengthen the economic foundations of the Kingdom. Corporate Banking will continue to assess the capabilities of new developers in the market and provide bespoke solutions and financing to suit their needs, in collaboration with the Ministry of Housing (MoH).

During the year under review, Corporate Banking secured approvals for top tier MoH project developers for newly launched off-plan projects. Corporate Banking is also working to assess the capability of new developers in the market in a bid to develop bespoke solutions and financing. The Bank is collaborating with MoH to develop a financing programme.

Corporate Banking continues to finance instalment houses and non-banking financing companies, focusing on microfinancing and small enterprises to promote financial inclusion, particularly to disadvantaged members of society, such as those with low income, low education or special needs (refer ESG report on page 89). When providing financing, the Bank's impact on environmental, social and governance (ESG) aspects are addressed via its Structured Finance team which focuses on financing projects supported by the Government.

Managing information better

To improve decision-making at both management and front-line level, Corporate Banking introduced a number of new innovations during the year. Through the introduction of account planning tools, credit request templates and Customer Relationship Management systems, for instance, Corporate Banking improved the support employees receive when making important decisions that have the potential to impact the business. The Business Group also revamped existing systems and processes to accelerate the credit approval process and support business development. The result was a marked improvement in productivity and better controls.

In support of the Corporate Banking medium – to long-term strategy for growth, a management information system (MIS) was also introduced during the year under review. This automated system will be used to coordinate, control, and analyse information within the Bank so that better-informed decisions can be made by personnel in key positions to improve client engagement, loyalty and retention. The Bank's 360° client coverage model provides the Bank with intelligence across the entire spectrum of perspectives from customer penetration and segment performance to product and service usage, aiding effective portfolio management and business planning.

During the year under review, Corporate Banking focused on encouraging existing customers to use a wider range of products and services, thereby expanding the Bank's wallet share. In support of improved customer experience, Corporate Banking also began measuring and monitoring the turnaround times of its range of products and services. Over the long term, continuous evaluation will help the Bank to provide customers with the banking and financial services they require when they require it.

In the fourth quarter of 2020, new products and services were launched from a pipeline that stretches forward into 2021. This includes: Real Estate Escrow for developers where a neutral third party holds on to funds during a transaction to protect both the buyer and seller during the home purchasing process.

Deepening partnerships

To achieve the 96 strategic objectives of Vision 2030, the Council of Economic and Development Affairs established 13 vision realization programmes (VRPs). Each VRP consists of a series of initiatives and delivery plans, guided by predefined objectives and key performance indicators tied to five-year milestones. During the year under review, Corporate Banking forged a number of partnerships in order to contribute towards the Kingdom’s VRPs in league with various government-focused programmes. Supporting the Kingdom’s Housing Programme, these partnerships include those with Agricultural Development Fund, Saudi Industrial Development Fund, Tourism Development Fund and Real Estate Development Fund.

The Bank also participated in financing key government projects related to utilities, renewable energy (refer ESG Report on page 89), water, and sewage treatment plants during this year. Continuing to participate in government-related projects and contributing towards Vision 2030 remains an important part of the Bank’s overall strategy.

Moving towards a digitalised world

A majority of people in urban areas around the world turned to digital services to meet their day-to-day needs during the various phases of lockdown. The Bank was able to capitalise on well-laid plans to move further towards digitalising its products and services during the year under review.

Corporate Banking will be rolling out its plans to digitise business development activities such as customer calling, and lead and opportunity management to ultimately improve efficiency and customer centricity. A Customer Relationship Management tool will also soon be added to this mix of tools, systems and processes used by the Bank to better understand customer expectations and enhance the customer experience.

The initial phase of automating the Corporate Banking credit process was completed according to plan. The next phase is in progress, as is a revamp that is designed to improve the process flow through the inclusion of a limit and collateral management function.

In 2020, the Bank launched a new mobile application targeted at Corporate SME customers with features including an end-to-end digital process for sole proprietors to open an account remotely. The web portal targeted at this customer segment was also revamped to offer a host of services such as the ability to make bulk payments online.

Future outlook

Despite the uncertain and arguably volatile environment expected for 2021, the Bank will focus on building a balanced target portfolio across customer segments, revamping its coverage model.

Corporate Banking will also continue to look at ways to close the product and service gap. With customers increasingly exposed to world-class online services, this segment’s customer groups will also expect the Bank to be far more proactive and attentive to their needs in the banking and financial services sphere. In addition, the focus will be on increasing and expanding customer base including supporting the SMEs across KSA.

Aligning the value proposition of Corporate Banking with that of Vision 2030 will continue to be a key focus especially in areas such as encouraging increased numbers of Saudi nationals to own their own homes.

Given the projected longevity of the global pandemic, Corporate Banking will complete the roll out of its plans for digitalisation while also increasing the number of virtual meetings and events it holds for customers. Revamping of physical customer touchpoints will also continue as planned to ensure that customers are welcomed back with warmth and in numbers when it is safe to do so. The “one-stop-shop” initiative will expand to cover operational activities while providing business solutions to corporate clients.

While the Bank is currently ranked eighth in the market for Corporate Banking, in line with the BOTF Strategy (refer page 41), this business group will focus on deepening selected customer relationships in target industries.

The role of Treasury encompasses the management of the Bank’s liquidity and market risks which include profit rate risk, foreign exchange risk and commodity price risk, playing a critically important role in managing the Bank’s balance sheet. As banking continues to grow at an accelerated pace, the technology, systems and financial instruments used within the marketplace in turn must grow quickly and this is an area that the Bank will continue to focus on.

The environmental context

Conditions for foreign exchange (FX) remittance business and cross-border activities changed rapidly in early 2020 as the world struggled against the impact of the COVID-19 pandemic and the region in particular faced the challenge of low oil prices. In the Kingdom, tough fiscal discipline is expected to benefit the economy in the long term, though recovery may be slow and unemployment more entrenched. An uptick will depend on oil prices increasing and global demand picking up in 2021. The Government stimulus package will also contribute towards strengthening the economy.

Against this backdrop, the Bank also faced competition and disruption from new entrants offering digital banking services. This development further challenged market share and the profitability of the remittances business.

In spite of these hurdles, the Bank’s Treasury Services continued to build on its dynamic strategies throughout the year to push sales and grow market share. A drop in economic confidence globally also affected individual FX flows and demand further declined. The FX price campaign combined with the Tahweel network expansion helped strengthen the Bank’s FX remittance market share within the Kingdom. Treasury Services continued to improve the yield of its portfolio by seeking opportunities in a volatile market, and introducing high yielding assets. The Bank’s FX remittance business performed well thanks to stronger market share as foreign worker exits and job and pay cuts continued to impact FX flows.

Despite significant compressions in yields and low interest rate environment, Investment portfolio grew by SAR 13 Bn. (28.7% increase YoY) and the overall spread of the portfolio against 3M SAIBOR has improved materially

as compared to the previous year. In addition, the investment portfolio continue to be focus more on sovereigns and top tier corporate names while enhancing portfolio diversification, yield and maturity profile. This highlights the continuous efforts of Treasury Group to better manage and optimise the bank balance sheet and improving the yield income.

Diversifying sources of funding

During the year under review a number of Sharia-compliant products and services were launched to diversify the Bank’s funding sources and strengthen its Treasury function. For example, the Bank launched a new profit-bearing account, Hassad, as part of its plans to diversify sources of funding. Hassad is an innovative Sharia-compliant savings account which provides returns and flexibility to customers.

The Bank also launched Gold-i, a physical gold business catering to its mass customer segment. The product provides customers with a useful avenue to preserve their wealth over time; a demand that tends to grow stronger in uncertain times when precious metal is valued for asset diversification. Gold is easy to buy and sell, making it popular as a long-term store of value, and customers are able to convert their gold to cash immediately when they trade with the Bank.

The Treasury team succeeded in entering the rates hedging market, and positioning itself as a new competitor in the local market. Rate hedging products allow customers to hedge the rate risk against their financings to better manage fluctuations in interest rates. The launch of the multi-currency card also created an alternative space for physical foreign currency notes.

SME Business

Prudent growth in the face of challenges

The Treasury Group Operating Income reflected a lower growth rate during 2020 driven by low oil prices and a decrease in business activity due to restrictions related to the COVID-19 pandemic. Total operating income increased by 36% and net income 53% year-on-year by end 2020, while total Treasury assets grew by 15% year-on-year in line with the Bank’s overall asset expansion.

Total Treasury liabilities grew by 49% compared to the previous year in line with the Bank’s overall liabilities expansion. Overall, the FX business grew by 1.3% over the previous year. In contrast, the Bank was able to increase its overall market share of the remittance business in 2020.

In the first quarter of 2020, the Bank successfully launched the new Treasury system, considered a top-of-the-line Treasury management system. Investment in this system was a result of the Bank’s digitalisation strategy and its goal to enhance systems in order to improve its products and services while deepening the customer experience. The full commissioning of the FX pricing engine has improved Treasury’s pricing capabilities, enabling an improved capacity to serve its multi-class customer base through various business lines, channels and online platforms.

Future outlook

In light of the lasting effects of COVID-19, the main objective of Treasury Services will be to manage the Bank’s overall liquidity position while persevering and building on current yield, and increasing the efficiency of funding while retaining a robust mix of funding sources.

The Bank will also forge ahead with plans to optimise its Commercial Banking customer base through the launch of new products, grow market share and maximise cross-selling opportunities across business lines. In alignment with its BOTF Strategy (refer page 41), the Bank will build on its Treasury investment book to improve its yield and maturity profile. In addition, the Bank’s plans to provide wealth management solutions which will leverage the Bank’s Treasury services.

Continuing with its tradition of developing innovative financial solutions tailor-made for customers, the Bank sought to support the SME segment during the year under review.

The Bank has long acknowledged the importance of the SME sector. Smaller businesses are well recognised world over for the significant role they play in global economic growth. The vibrant SME sector of the Kingdom is no different, playing a pivotal role in generating employment, driving economic growth, increasing cross border trade, and fostering the spirit of entrepreneurship. In 2020, the total SME business portfolio amounted to SAR 6.5 Bn. compared to SAR 4.4 Bn. in 2019, recording a growth of 49% YoY.

Operating context

Acknowledging the SME sector’s strategic importance to the health of the Kingdom’s economy, the Government has launched multiple programmes to support this important sector and make the most of its potential for growth. For example, the recently established SME General Authority (Monsha’at) aims to enhance the role of SMEs along with many other institutions which provide different levels of support for the development of this sector. The Saudi Industrial Development Fund (SIDF) supports industrial sector SMEs and has developed a business resource centre, modernisation centre and financing facilities for SMEs, while the Ministry of Finance has launched “Kafala”, the SME loan guarantee programme which facilitates bank lending to SMEs.

With a majority of customers in this segment representing industries such as hospitality, entertainment, and travel, however, the Bank’s SME customer base, which represents a small number of its total customer base, was severely impacted by the global pandemic.

Providing support

In compliance with SAMA’s mandate, the Bank waived all processing, early settlement and brokerage fees for all customers including SMEs from April to October 2020.

Underlining the importance of the SME segment and with a view to enhance the competitiveness of SMEs in the globalised scenario, the Bank improved its ability to work across business lines, restructuring internal teams to meet the financial requirements of small businesses operating in various sectors of the economy.

During the year under review, a team of professional relationship managers remained present at key locations across the Kingdom to understand the core financial issues of SMEs and provide solutions.

A novel mobile application was also introduced for the benefit of Corporate SME customers. Its features include end-to-end digital account opening for sole proprietors. The dedicated web portal for this customer segment was also upgraded to offer a range of services such as digital bulk payments.

Future outlook

With the effects of the pandemic set to impact the SME sector over the near to medium term, the Bank will focus its energies on supporting this customer group by reaching out and co-creating products and services that will best support them on getting back in business.

In particular, the Bank will seek to adopt a customised and differentiated approach towards SME lending, identifying high growth SME industry segments and striving to attain market leadership in such areas.

As part of its BOTF Strategy (refer page 41), the Bank will focus on deepening its presence in the SME segment and take advantage of the growth in this sector.



Subsidiaries and International Branches

Name of Subsidiary	Capital (SAR' 000)	Ownership of the Company (%)	Country of Establishment	Country of Operations
Al Rajhi Limited Company – Malaysia	1,051,714	100	Malaysia	Malaysia
Al Rajhi Capital – KSA	500,000	100	KSA	KSA
Al Rajhi Takaful Agency Company – KSA	2,000	99	KSA	KSA
Al Rajhi Development Company – KSA	1,000	100	KSA	KSA
Al Rajhi Company for management services – KSA	500	100	KSA	KSA
Emkan Finance Company – KSA	500,000	100	KSA	KSA
Tawtheeq Company – KSA	10,000	100	KSA	KSA
Al Rajhi Financial Markets Ltd. – Cayman Islands	188	100	Cayman Islands	Cayman Islands

Name of International Branch	Capital (SAR' 000)	Ownership of the Company (%)	Country of Establishment	Country of Operations
Al Rajhi Bank – Kuwait	389,888	100	Kuwait	Kuwait
Al Rajhi Bank – Jordan	264,843	100	Jordan	Jordan

International Business Group Highlights 2020

SAR '000	Revenue	Expenses	Net profit
Kuwait	32,951	53,259	-20,308
Jordan	143,760	105,544	38,217
Malaysia	148,493	204,548	-56,055

Investment services and brokerage (Al Rajhi Capital)

Al Rajhi Bank – Malaysia

Al Rajhi Capital continued to grow its institutional as well as its asset management business during the year under review, while also investing in upgrades to its brokerage systems to improve efficiency and effectiveness.

Embracing change

The global pandemic impacted Al Rajhi Capital in much the same way as it affected many other businesses in the Kingdom with challenges arising due to country-wide lockdowns and the increasing uncertainties in the financial market. With prompt and prudent action by the Management team led by the newly appointed Chief Executive Officer, however, many risks were mitigated early on. For instance, employees were provided with the necessary equipment for working from home without delay so that they were able to continue productively.

From a business perspective, the events of the year under review positively impacted the Al Rajhi Capital brokerage business due to an increase in value traded in the Saudi market. A decline in interest rates, however, affected management income from money market funds, while the lockdown contributed to volatilities in real estate rental income. With most owned real estate being industrial in nature, such as warehouses located in prime locations, the impact was minimal.

During the year under review, Al Rajhi Capital launched its “2023 Corporate Strategy” which combines the subsidiary’s best-in-class investment advice, product portfolios and insightful research to deliver fully integrated and streamlined solutions with the strength and resources of the Bank’s global presence. The Strategy is geared to ensure that Al Rajhi Capital remains a market leader in the delivery of bespoke financial and investment solutions while addressing the ever changing needs of clients, institutional customers and high-net-worth individuals.

Major developments

The Al Rajhi Saudi Equity Fund performance for 2020 was 19.41%, outperforming its benchmark by 7.47% whereas the Al Rajhi GCC Equity Fund and Al Rajhi MENA Dividend Growth Fund performance for 2020 were 16.81% and 14.99% respectively, outperforming their benchmarks

by 7.81% and 6.73% respectively. Moreover, by end 2020, Al Rajhi Commodity SAR Fund’s year to date performance at end 2020 was 1.65%, while the Al Rajhi Commodity USD Fund’s year to date performance closed at 1.40% at end 2020. The Sukuk Fund year to date performance at end 2020 was 3.88%.

Al Rajhi Capital was appointed joint financial advisor and underwriter in Mobile Telecommunication Company Saudi Arabia’s (Zain KSA) subscription to new shares and rights. Zain KSA’s SAR 4,500 Mn. rights issue transaction was successfully closed in November 2020.

Al Rajhi Capital was crowned a Lipper Fund Award Winner for the Saudi Arabia Fund Industry 2020 for the Al Rajhi Multi Asset Conservative Fund, as Best Fund Over Five Years in the Mixed Asset Other Conservative category. These highly-respected awards recognise funds and fund management firms that have excelled at providing consistently strong risk-adjusted performances relative to their industry peers – the merit of the winners is based on objective, quantitative criteria.

Future outlook

In line with the BOTF strategy, Al Rajhi Capital will continue to build on the core through providing best in class solutions and digitally enhance the product offerings for retail customers to protect its market share. Moreover, the subsidiary will increase the efforts to provide investment solutions and services, investment advice and insightful research to retail, high-net-worth individuals and institutional clients.

With the pandemic affecting the Malaysian economy quite badly, various stimulus initiatives were introduced including instalments moratorium to individuals and business customers affected by the pandemic.

Expanding the business

Having gained the distinction of being one of the first foreign banks in Malaysia under the Islamic Financial Services Act 2013 Al Rajhi Bank – Malaysia is the first stop in the journey of expansion into Southeast Asia. In operation in Malaysia for the past 14 years and following a business transformation programme in 2017, Al Rajhi Bank – Malaysia now operates with 16 branches with assets RM 7 Bn. With its strong credit risk standard, and provisions for credit losses remain at an adequate level. True to Al Rajhi Bank’s corporate values where customers and employees remain a priority, customer complaints were maintained at under 0.5%.

In line with its aspiration to expand to other Southeast Asia countries, Al Rajhi Bank – Malaysia signed a collaboration agreement with PT Artajasa Pembayaran Elektronis (“Artajasa”) in February 2020. This first-of-its-kind collaboration reaffirmed the Bank’s commitment to providing Sharia-compliant banking solutions for customers, particularly for pilgrims. Artajasa being Indonesia’s largest National Payment Gateway service provider with connectivity to all 120 banks, more than 4,000 post office and major digital players will open up vast opportunities for Al Rajhi Banking Group. The partnership among others, serves to expand the cross-border ATM network reach for Artajasa member banks’ customers to access over 5,200 Al Rajhi Bank ATMs in Saudi Arabia.

Weathering the challenges of 2020

During the year under review, Al Rajhi Bank – Malaysia dealt with headwinds arising from the global COVID-19 pandemic, lower oil prices, a low interest rate environment, increased compliance costs and an uncertain political environment. These challenges constrained a streak of achieving double digit net profit; an effect that was particularly pronounced in the second and third quarters as restrictions on the movement of individuals and businesses were imposed by the Government of Malaysia.

The fourth quarter of 2020 allowed for some breathing space after the Government loosened restrictions on movement. In tandem with more robust economic activities, the need for financing has increased while liquid Current Accounts and Savings Accounts (CASA) positions have improved and demand for Treasury solutions have increased especially in foreign exchange and the Sukuk market.

As a Malaysian licensed financial institution, Al Rajhi Bank – Malaysia participated in stimulus initiatives and continues to assist customers in easing their financial burdens.

Enhancing digitalisation

Customers can now check their account details, move money, pay bills, and more at their convenience, 24 hours a day, seven days a week, no matter where they are. This focus on digitalisation proved to be timely with online transactions during the year under review rising to almost 40% of total customer transactions.

Al Rajhi Bank – Malaysia will also actively promote a culture of innovation to ensure that its people have the right mindset to embrace change in keeping with technological advancements.

Introducing new products and services

Musafir Switching System was introduced which enabled direct connectivity with the Al Rajhi Bank network in Saudi Arabia. Mobile Internet Banking proved particularly timely given the pandemic-related restrictions.

Al Rajhi Bank – Malaysia also launched BNM Special Relief Financing Scheme to provide immediate cash flow support to SME businesses that were adversely impacted by COVID-19 restrictions.

Other products and services launched during the year were Business Financing Term Takaful (BFTT), a referral programme for SME Platinum-I, and Banca Takaful Mortgage Reducing Term Takaful (MRTT).

Future outlook

Al Rajhi Bank - Malaysia will continue to focus on five key pillars for 2021:

- Increase assets and financing growth
- Increase in non-yield income growth
- Increase operational efficiency in a cost-effective manner
- Grow CASA
- Improve cost to income ratio

As a result of the Bank’s BOTF Strategy (refer page 41), this international subsidiary will look to expand its digital capabilities in both sales and service. With its customers increasingly turning to digital options in all areas of their lives Al Rajhi Bank – Malaysia is focused on delivering the best digital banking value proposition in the market.

Al Rajhi Bank – Jordan

Al Rajhi Bank – Kuwait

The strong fundamentals of Jordan's banks and their ability to generate sufficient profitability to absorb costs of risk are expected to lead to a stable outlook in the banking sector.

Sustaining prudent growth

Despite the challenging conditions of the year under review, Al Rajhi Bank – Jordan was able to sustain its customer base, increasing the number of new customers by an additional 2,000.

To help neutralise the effect of the pandemic-related restrictions, Al Rajhi Bank – Jordan launched a deposit campaign incentive programme for employees. This programme helped raise customer liabilities by almost 7% in 30 days. A campaign targeting Retail Banking customers was also launched to promote Car, Personal, and Home Finance products. This campaign successfully contributed towards asset quality.

Managing the crisis

Al Rajhi Bank – Jordan implemented business continuity plans following the initial lockdown and focused on directing proper information regarding the pandemic to all employees. This information was assessed and upgraded periodically. Teams were physically split between various locations with minimum resource requirements and effective working from home arrangements also implemented. Al Rajhi Bank – Jordan also adopted a number of digital measures to facilitate working from home to ensure that employees remained safe and productive during the periods of lockdown. Online training for employees in Retail Banking and the Graduate Development Programme for talented young graduates continued as planned.

To assist customers during these difficult times Al Rajhi Bank – Jordan deferred financing instalments for customers and waived certain fees in relation to cash withdrawals and electronic services as stipulated by regulators. Reinforcing the brand as one that supports local communities, Al Rajhi Bank – Jordan also donated a sum of SAR 2.6 Mn. to the Ministry of Health and the Himmat Watan Fund towards the safety and health of citizens and their protection from the spread of COVID-19.

Future outlook

The pandemic is dealing a strong blow to Jordan's economy; however there are positive signs for a rebound in 2021. The economic recession caused by the pandemic is expected to stymie growth in all segments of the market, stifling loan growth in the banking sector and posing credit challenges.

Over the next three years, Al Rajhi Bank – Jordan will be expanding its branch network by five to reach a total of 15 with two new branches planned for 2021. Al Rajhi Bank – Jordan will also be diversifying its product offering in the short term including by introducing a local shares financing product.

The Core Banking Replacement project, which is currently underway, will pave the way for fully digital services within the next three years. Long awaited enhancements to customer segmentation, MIS reporting, and re-designing of operations re-design will allow Al Rajhi Bank – Jordan to offer more sophisticated and customised solutions to targeted customers.

This international subsidiary will continue to benefit from the Bank's BOTF Strategy (refer page 41). In line with this strategy Al Rajhi Bank – Jordan will focus on providing the best customer experience with a differentiated and focused digital marketing approach supported by digital-ready platforms.

Al Rajhi Bank – Kuwait will also focus on the quality of assets and returns rather than volume, introducing FX forwards to attract some of the larger companies in Kuwait. It will also focus on maximising non-profit bearing deposits to improve margins and explore possible additions to the revenue stream by providing online virtual platforms to customers.

Overcoming challenges

While its economic performance was impacted by the twin shocks of COVID-19 and the oil price slump, the State of Kuwait was less exposed to internationally hard-hit sectors than its GCC neighbours. Despite these challenges, the gradual reversal of notional losses is expected to ultimately boost profitability from 2021 onwards.

Income generated from foreign exchange deals reached record levels during the year and Al Rajhi Bank – Kuwait reports no non-performing loans (NPLs) for Corporate Banking customers.

Furthering digitalisation

During the year under review, Al Rajhi Bank – Kuwait implemented a new Customer Relationship Management (CRM) system to better manage customer account information.

Phase 1 of the planned mobile app enhancements was also completed with the look and feel of the app upgraded to improve customer experience, while speed and accessibility were also enhanced. All SMS text transactions on account level to customers has also been revised, improved and enhanced to reflect professional and market practice.

Al Rajhi Bank – Kuwait also complied with the VISA PIN mandate to allow not only its own customers the capacity to change their credit card PINs but also for customers of other banks.

During the year under review, Al Rajhi Bank – Kuwait complied with regulatory requirements on updating mobile numbers via an ATM making sure that customers making such changes receive a One Time Password (OTP) and ensuring the ATM deposit limit is within the nominated limit.

Al Rajhi Bank – Kuwait has also successfully completed preparations for the Central Bank-initiated Kuwait National Payment System (KNPS) project and is ready to launch on command.

The development of a cybersecurity framework which included risk profiling and baseline self-assessment continued as planned. Projects such as the Sinnad Debit Card migration were completed on time with Al Rajhi – Kuwait ensuring that business continuity was not impacted by the pandemic.

Improving security

Al Rajhi Bank – Kuwait launched 3D Secure to safeguard debit and credit card transactions online. This online shopping service is designed to protect credit cards from fraud and misuse when they are used for purchases on the Internet without fear of the unauthorised use of credit card information in unlawful transactions.

Al Rajhi Bank – Kuwait also upgraded all debit and credit cards with smart chips and NFC technology. For employees, Al Rajhi Bank – Kuwait successfully replaced the fingerprint attendance system with face recognition software to help curtail transmission of infections.

An IFRS 9 day 1 loss model was also developed in-house to facilitate the determination of loss impact on deferment of instalments.

Future outlook

Al Rajhi Bank – Kuwait will aim to increase market penetration by introducing new branches and a digital platform to support acquisition of new customers. While expanding to new sectors to reach untapped groups of potential Corporate Banking customers, Al Rajhi Bank – Kuwait will also encourage collateralisation either through tangible assets or indirect proceeds of government projects.

In addition, the subsidiary will explore new investment opportunities to generate higher yield and equivalent credit rating while maintaining robust risk management controls.

To facilitate better customer service, Al Rajhi Bank – Kuwait has implemented an internal customer relationship management (CRM) solution within the banking application to smoothen and maintain a well-organised process related to customer requests. At the same time, the application assists employees in channelling business leads to relevant sales and marketing teams.

Other activities in the pipeline include improvements to digital channels and other customer touchpoints as well as the review of the subsidiary's sales policy, offers and sales cadre.

In line with the Bank's BOTF Strategy (refer page 41) to deliver the best digital bank value proposition, Al Rajhi Bank – Kuwait will capitalise on the Bank's success in digital banking. This international subsidiary will continue its focus on modernising and upgrading its critical infrastructure while offering customers the best digital banking experience.



Nurturing the Bank’s human capital

Driving the Bank’s value creation model is the responsibility of its human resources or human capital. The term “human capital” encapsulates the fact that the Bank considers its employees a resource that needs to be nourished. This goal to nurture its people is an acknowledgement of the fact that the Bank’s 9,380-strong team creates value for the Bank and its stakeholders in the same way that the Bank in turn remains mindful of delivering value to them.

Workforce analysis

	2020	2019	2018	2017	2016
Total number of employees	9,380	9,683	9,628	10,263	10,320
Percentage of female employees (%)	15.22	15.25	13.71	12.36	11.27
Percentage of Saudi employees (%)	97.09	96.64	95.92	91.76	90.90
Number of employees departed	732	910	1,033	729	712
Turnover ratio (%)	7	9.49	10.73	7.10	6.90
Percentage of total hours spent on training	289,566	428,394	391,086	386,772	476,388

Employees working from home by grade/gender (at least during the lockdown period)

	Male	Female	Total	Percentage
Director level and above (Grade 13, 14, 15, 16, 18)	136	1	137	4.76
Managerial Level (Grade 10, 11 and 12)	499	21	520	18.05
Staff (Grade 9 and below)	612	159	771	26.76
Outsourced	1,277	176	1,453	50.43

Being able to attract, nurture and retain talent contributes towards succession planning and expansion into new areas. The Bank’s people are responsible for achieving its Vision and remaining strongly customer centric.

Nurturing the Bank’s human capital is also essential, especially within the backdrop of a rapidly evolving environment that places new demands on employees. The current COVID-19 pandemic is a case in point, but so are mega trends such as new entrants to the market (like fintechs) who are shaking up the banking field. Should the Bank’s employee cadre fall behind in their ability to face the changes and challenges of the times, the Bank risks becoming irrelevant. The Bank’s human capital remains central to the success of its future strategy.

The Bank’s Human Resources Business Partners also worked closely with senior leadership to develop an effective HR agenda that effectively supports the Bank of the Future strategy. In addition, clear KPIs set for each employee at

the beginning of the year are linked to overall Bank and Department goals to ensure that each employee is working in alignment with the Bank’s goals just as much as the Bank’s HR function is aligned with the Bank’s strategy.

The COVID-19 pandemic furthered the Bank’s integrated thinking journey. HR came together with different teams within the Bank like never before – working in the Command Centre and with the Business Continuity team, the Digital team, business lines, and support services – in order to ensure that employees remained productive and positive during the unprecedented challenges of the year under review. Despite challenges to the recruitment process, the Bank was able to maintain a 97% Saudi employee population.

Human resources in a time of COVID-19

Faced with the challenges of 2020, the Bank’s Human Resources (HR) department was able to collaborate seamlessly with colleagues in the IT team to quickly mobilise employees to work remotely. Effectively measuring employee performance, adjusting incentive payment methods, and hiring new employees despite the lockdown-related restrictions were some of the challenges that the Bank was able to overcome during the year under review.

Effective internal communications, along with regular follow up with employees stranded outside the Kingdom were some of the methods the Bank employed to ensure that employee morale and productivity remained high. All business trips were cancelled for the safety of the Bank’s people.

Employees with underlying conditions were given special attention to ensure that they remained safe. A sizeable portion of employees were given paid days off during the lockdown and requested not to come into the office. In addition, paid leave with related benefits was made available for employees suspected of having contracted the COVID-19 virus. The well-being of employees who contracted the virus remained a high priority during the year with regular checks made by the Bank.

Parental and other leave remained unchanged. Out of the entire employee population, 9% of male employees and 7% of female employees, respectively, took parental leave during the year under review.

Parental leave by gender

	Female	Male
Number of employees who took parental leave	108	698
Number of employees who returned to work after parental leave, by gender	108	698
Number of employees who returned to work after parental leave who were still employed 12 months after return, by gender	108	698

The use of temperature checks, sanitisers and awareness booklets were other methods employed to minimise the risk of the spread of COVID-19. Face-to-face meetings and training programmes were halted or converted to alternative methods such as conference calls and other forms of virtual meetings. Medical doctors were available at the Bank’s premises for rapid response in the event of an employee feeling unwell. A back-to-work campaign was also initiated by HR encouraging employees to undertake all preventative measures against COVID-19 after the curfew was lifted.

Engagement and wellbeing

While the Bank upholds recognised standards and principles for labour practices, employee wellbeing and occupational health and safety, it also strives to ensure safe and fair working conditions and practices, and to create an environment that allows employees to flourish.

In this respect, the Bank considers all efforts at enhancing productivity and profitability as entirely compatible with employee wellbeing. Centralisation, automation, and digitalisation enable the Bank to become cost-efficient by facilitating prudent growth. Modernisation reduces the demands and pressures on the Bank’s people, enabling them to work more efficiently and productively, significantly reducing fatigue, while allowing morale and motivation to remain high.

Improving female representation remains a priority with the Bank striving to ensure that the proportion of female employees receiving training, promotion and representation at Senior Management levels keeps increasing.

In addition, the Bank continue to work towards ensuring that the ratio of basic salary and remuneration of women and men across all locations of operation and all employee categories remains equal.

Employee policies and communication

The Bank continued to focus on ensuring that employee relations remain cordial and mutually beneficial. To this end, it remains steadfast in upholding a number of policies, such as the whistle-blower policy and grievance policy, to provide a working environment that is fair and safe for all. Such user-friendly procedures remain firmly in place for employees located anywhere to raise concerns about their workplace. The Bank’s formal grievance policy illustrates the Bank’s commitment to hear each and every grievance through a transparent process that protects employee rights and is conducive to fair solutions.

Prior to the COVID-19 restrictions, the Bank was able to kick off a number of road shows to present the Bank’s strategy to employees. The Chief HR Officer accompanied the CEO and the General Manager of Retail Banking to every region in the Kingdom to meet Bank employees. Subsequently, the Bank conducted virtual focus group discussions covering a representation of employees from all groups and geographies. These focus groups were conducted to gather ideas about transforming the Bank to be the Bank of the future, increase employee engagement, and navigate the challenges brought on by the pandemic.

Employee communication channels

- Road shows
- Virtual focus groups
- Employee survey
- Senior management messages
- Employee email updates
- Circulars
- Regular HR newsletters
- Periodic news broadcasts
- Pandemic awareness booklet
- Whistle-blower policy
- Grievance policy

Whistle blowing

To deliver on its commitment to build a world-class compliance framework, the Bank also firmly enforces its whistle-blowing policy. While encouraging employees to speak up and report any activity that violates the Code of Conduct or any of the employee policies, procedures and instructions, the Bank ensures that all employees can access whistle-blowing channels through which they can voice concerns anonymously and without fear of repercussions.

Employee Survey

The Employee Survey launched in November 2020 revealed that despite the challenging operating environment and disruptions to working and living conditions employee engagement showed a 4% increase to reach an overall Employee Engagement Index of 70% with a majority of employees appreciative of the Bank’s efforts to support them through difficult times. An action plan in response to employee feedback will be put together in the first quarter of 2021.

Another important method of maintaining good employee relations is the regular on-going performance feedback that all employees receive from their line managers. This feedback is combined with a robust performance assessment methodology that includes relative assessment and calibration.

Remuneration

The Bank also provides employees with market- and performance-driven total rewards that include, fixed, variable and benefit frameworks. Recognition programmes continue to celebrate high performance on a monthly basis.

Salaries and benefits

	2020 SAR Mn.	2019 SAR Mn.	2018 SAR Mn.	2017 SAR Mn.	2016 SAR Mn.
Salaries paid	1,110.7	1,061.8	1,047.2	1,059.9	1,042.5
Benefits paid	694.9	680.2	744.7	689.9	759.1
Social security contributions	148.3	137.7	135.0	138.3	134.9
Total salaries and benefits paid	1,805.6	1,742.0	1,791.9	1,749.8	1,801.6

During the year under review, the Bank continued to make the usual celebratory payments to employees to mark special occasions.

Celebratory payments

Initiative Type	Marriage	New-born	Insurance Upgrade	Back to school	Total
Number of employees	205	902	459	3,227	4,793

The transportation allowance for grade 4 and below employees was increased from SAR 350 per month to SAR 500.

The Bank was able to make all such employee payments without depending on government relief programmes.

Digitally transforming HR processes

In support of the Bank’s strategy to be the Bank of the Future, HR began streamlining its various departments using automation to improve the efficiency of its systems and processes and enhance the employee value proposition. For instance, the Bank automated the field allowance payment process within the HR system for greater efficiency and accuracy.

In line with HR’s “Ways of Working” strategy to transform the department into an agile and digitalised function, the Bank launched a new digital recruitment system which significantly improved the applicants’ experience while enhancing the efficiency of the recruitment processes itself and eliminating paper work.

The HR Management Information System was also enhanced during the year under review with line managers now able to approve HR transactions using their email, rather than having to log into the HR system. This upgrade contributes towards a far more efficient and convenient approval process.

During the year under review, the Bank launched a new user-friendly Learning Management System, “Taleem,” which proved to be ideal for remote working conditions. Employees were able to access Taleem easily and conveniently through the Oracle HR System. The system itself is efficient and provides employees with greater control over their learning and development, automatically notifying managers and employees via SMS and email at significant points in the learning journey. Taleem also allows employees the freedom to review and print certificates as they complete each module.

Recruitment and Talent Acquisition

Recruitment was particularly challenging across industries due to the pandemic-related restrictions. To adjust to these times where social interaction is limited, HR used digital channels and methods to conduct interviews. The Bank also changed its policy to provide new recruits at grade 10 and above with laptops from their first day in the office. While new hires faced tighter controls, the Bank focused on hiring for critical positions only, during the year under review. These steps went a long way towards providing a safe environment for potential recruits and strengthening the brand as one that cares for its people.

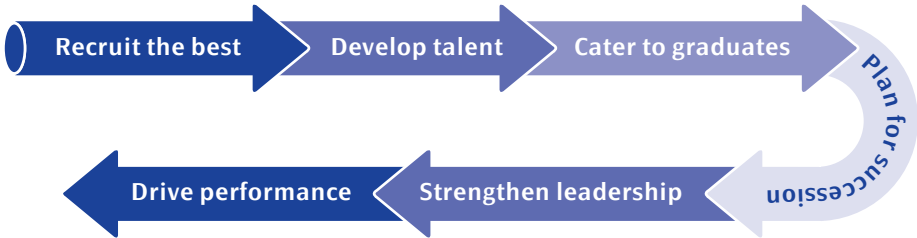
Total new hires by age group and gender

Year	18 to 30 years			Over 30 years		
	Male	Female	Total	Male	Female	Total
2020	276	70	346	152	12	164
2019	399	341	740	191	27	218
2018	398	161	559	130	18	148
2017	353	202	555	106	11	117
2016	631	293	924	121	15	136

The Bank continues to ensure that its workforce is as diverse as the customers it serves, striving to increase its female cadre while ensuring that all employees receive fair remuneration and opportunity to progress their careers.

In line with the Bank’s strategic objective to improve the employee value proposition and its HR pipeline, the Bank is now in the process of implementing a best-in-class Talent Management and Performance Management System. The new system will enable HR administrators, employees and managers to track, measure, and report on performance more effectively across business lines and supporting divisions.

The HR pipeline



Performance Management, Governance and Control



The Bank's performance management system helps guide and monitor each employee's progress towards individual, departmental and Bank goals. In addition, HR has put in place dedicated career development paths for each job family, enabling discussion around careers. All employees receive the opportunity to discuss career progression plans with their line manager during the mid-year and end-of-year performance review.

In addition, a dedicated Governance Unit has been established within HR covering audit, risk, compliance and SAMA-related matters to ensure strict control and adherence to all policies, procedures and regulatory guidelines

at all times. Standardised Control and Risk Governance KPIs are also included in all relevant employee scorecards.

Providing competitive compensation and meaningful benefits, the Bank is committed to attracting, retaining and equitably rewarding top talent. To ensure consistency and comparability, the Bank has developed an Employee Value Proposition and compensation policies and practices on a differentiated, pay-for-performance-and-potential model that is linked to the Bank's and the individual's performance and market pay position. The Bank's Compensation proposition and practices are also fully aligned with regulatory guidelines and are audited annually for strict adherence compliance.

Employees by grade and gender

Grade	Male		Female	
	2020	2019	2020	2019
Senior management	171	181	2	2
Middle management	2,136	2,084	228	228
Other	5,733	5,941	1,215	1,247

Employees by age and gender

Age group	Male			Female			Total		
	2020	2019	2018	2020	2019	2018	2020	2019	2018
18-30 years	2,640	3,212	3,670	819	922	825	3,459	4,134	4,495
31-40 years	3,902	3,609	3,306	465	423	357	4,367	4,032	3,663
41-50 years	1,223	1,163	1,103	128	119	120	1,351	1,282	1,223
Over 51 years	187	222	229	16	13	18	203	235	247

With nearly one third of employees having been with the Bank for over 10 years and a further third or more having put in six to 10 years of service, nurturing and managing talent effectively is critical to the Bank's strategy of being the Bank of the Future.

Service analysis of workforce

Number of years of service	Male			Female		
	2020	2019	2018	2020	2019	2018
0-5 years	2,753	3,170	3,651	867	978	861
6-10 years	2,612	2,324	1,895	338	280	218
11-15 years	1,445	1,615	1,591	102	102	110
16-20 years	643	601	649	64	77	93
Over 20 years	499	496	522	57	40	38

Employees by category

Category	2020	2019	2018	2017	2016
Permanent	9,380	9,683	9,628	10,263	10,320
Contract	118	113	35	35	26
Outsourced	2,844	2,250	2,052	1,986	2,247
Total	12,342	12,046	11,715	12,284	12,593

Talent management and development

Alignment of talent strategy with the Bank's strategic direction is key to deliver on strategic business and people priorities of the Bank. With this intent, the focus of Talent management this year has primarily been on the following three key paradigm shifts:

- Moving away from largely subjective decision making to a more objective, data-supported decision making process with regards to talent processes
- Enticing business lines to take greater ownership and be more engaged in the talent management processes
- Enhancing the integration and alignment of key talent practices to effectively deliver on people priorities of the Bank

In view of these, the following talent practices were implemented during the year under review.

Competencies to build the "Bank of the future"

With the ABCDE – back to Basics strategy coming to an end in 2020, the leadership in light of the Bank's new strategy reviewed

the Bank's existing competency framework. A total of 11 behavioural competencies were firmed up during the review. These include eight 'Core Competencies', which are applicable to all Bank employees, and three 'Leadership Competencies' applicable to all people managers and leaders across the Bank. The new competencies are now being integrated into all HR collaterals and people practices, including job descriptions, recruitment-led competency-based interviews, and in the emerging leadership development agenda.

Critical roles that impact Bank performance

The Bank's existing critical role identification framework was reviewed and refreshed to further increase objectivity in the identification process. Centred on two factors, business impact and risk to the Bank, the critical role framework was further enhanced with a clearly defined levels based scoring criteria. In addition, process efficiency was further improved by leveraging technology to help optimise the input collection process. This process significantly contributes towards the succession planning process.

GRI 404-1, 404-2

Succession planning for Critical roles

The Bank reviewed and enhanced its succession planning framework and process during the year under review, moving to a more data driven approach that uses success profiles based assessments at leadership level. Accordingly, leadership assessments were carried out for 129 leaders at Director level and above. This has helped enhance objectivity in the successor identification and successor mapping process.

Leadership and successor development

Leadership assessment reports and feedback have provided significant insights and clear development priorities at individual level, respective leadership level and also by functional level. Such insights will serve as inputs to develop a more relevant and impactful leadership development agenda targeted at the three levels. Successors identified for respective critical roles will also be part of a sharper and more focused development programme with individual insights.

Nurturing a healthy talent pipeline

The Bank has well renowned graduate development programs intended to help build a talent pipeline of future leaders. This year, the Bank significantly dialled-up its graduate talent intake, with 89 new graduates inducted across three batches. Two of the three programmes are thematic graduate programs focused on building talent bench strength within IT. These graduates go through a well-structured development programme which includes blended learning, on-job rotations and assessments. In addition to the graduate talent pipeline, the Bank carried out its annual talent assessment exercise and 15% of the target population from officer to managerial level have been identified as core talent.

Programme type	IT Development Programme	Graduate Development Programme
Participants	59	23

People Council

A People Council was established this year with an intent to encourage greater engagement and ownership from leadership teams on people and talent practices. This forum would also facilitate improvements in process efficiency and effectiveness of key people policies and practices.

ARB Academy

The ARB Academy's most significant achievement during the year was the astute use of blended learning for Bank employees. This transition from a largely classroom-driven learning channel to an e-enabled learning channel was managed swiftly and smoothly during the unprecedented year that was. While making the new learning management system (LMS) platform accessible to a wider audience, the Academy also made available new role and domain based certifications offered through online content, and converted existing learning programmes to virtual, e-learning solutions.

Hours of training by grade

Grade	Total hours of training	%
Senior Management	667	0.2
Middle management	32,321	11.2
Other	256,578	88.6

Employee training

	2020	2019	2018
Number of training programmes	420	622	744
Total number of participants	9,737	11,191	11,935
Training days	48,259	71,399	65,181
Hours spent on training	289,566	428,394	391,086
Number of trained staff	9,737	11,191	11,935

Employee training by gender and category

Type	Number of employees			Number of person hours of training		
	Male	Female	Total	Male	Female	Total
Mandatory	3,551	1,239	4,790	17,778.75	5,628	23,406.75
Non-mandatory	3,291	720	4,011	210,200.25	55,959	266,159.25
Of which eLearning component	595	95	690	17,819	6,227.50	24,046.50

Type	Number of employees			Number of person hours of training		
	Male	Female	Total	Male	Female	Total
Senior Management	19	2	21	507	160	667
Middle Management	1,748	414	2,162	24,274	8,047	32,321
Other	5,075	1,543	6,618	203,248	53,330	256,578

Winning the hearts and minds – of both teachers and learners – and encouraging them to adapt to the new reality and embrace the virtual learning model that the Bank had already invested in was another challenge that was overcome during the year.

Hours of training by skill type

Type	Number of persons trained	Hours training
Technical skills	5,019	110,804
Soft skills	3,782	178,762

To foster online learning, HR introduced the Learning Lab to create a learning community where employees are able to get together virtually with a facilitator and work towards receiving certification for completed learning modules. Due to the pandemic, employees received assistance in setting up the network remotely and using the content itself.

Future outlook

With vaccines being produced and plans being made to distribute them globally throughout 2021 and most of 2022, the Bank is preparing to incorporate a more robust working from home policy to its HR policy. The policy will include flexible working hours and guidelines for junior employees to securely access the Bank's online systems remotely. In anticipation of a global shift towards allowing more and more employees to work from home, the Bank too has already begun exploring ways to optimise such a move. Systems that have been tailored to employees working from home will be further improved, even as the Bank continues to ensure that employee health and wellbeing remains strong in the face of remote working.

Talent management and the diversity of the Bank's workforce will continue to be a focus going forward. The Bank will be anchoring talent and learning practices to well-defined frameworks. The goal will be to help management teams make decisions that are objective and frame solutions in a more effective manner. The Bank will also be looking to enhance virtual stakeholder engagement.

The Bank's BOTF Strategy (refer page 41) aims to ensure that it is on track to lead the market in employee engagement, in addition to customer experience and regulatory conduct. To execute this strategy, the Bank will continue to invest in its people with a focus on building the right capabilities, providing the awareness and training required to ensure that it is compliant with all regulatory requirements, modernising its IT infrastructure and streamlining processes.

By prioritising market leadership through improved customer experience, the Bank was able to mitigate the risks and capitalise on the opportunities of a market that was rocked by the twin shocks of declining oil prices and the global pandemic.

The environmental context

From consumer insights and brand positioning, to e-commerce and crisis communications, the marketing team delivered heightened value to the Bank during the pandemic. For instance, customer empathy was practised across all communications initiated by the Bank in an effort to keep the conversation going. Steps such as providing instalment deferment options and digitising customer journeys were taken to build and increase trust; these too were communicated consistently.

The pandemic changed the face of the 2020 marketing plan, bringing with it unseen challenges, not only for corporate social responsibility initiatives but for the Bank itself. Due to lockdown-related restrictions the customer behaviour changed dramatically and hence, the Bank increased its focus on digital offerings and digital channels. The marketing plan too was recalibrated to focus on:

- Creating awareness on best practices to stay safe during the pandemic
- Creating awareness among customers about the digital offerings and their benefits
- Educating customers on how to use digital channels and subscribe to products digitally
- Educating customers on safety and identity theft issues

In addition, the Bank ensured that operations were kept intact by implementing and communicating the following measures:

- Social distancing rules at branches and Tahweel centres
- Precautionary measures for customers and employees
- Branch closure depending on the circumstances of the pandemic
- Revised working hours according to the official curfew hours

Going digital

The pandemic brought with it opportunities such as rapid digital adaptation which the Bank was quick to capitalise on. By taking the customers' pain points into consideration in order to understand the customers' context and needs, the Bank was able to fine-tune the customer journey and communicate it in a way that helped to truly connect with and gain the trust of consumers in a digital world.

In line with its ABCDE – Back to Basics strategy, the year under review saw the Bank introduce a number of digital firsts (refer Digital Footprint and Technology Transformation on page 83) which positively impacted the customer experience during an extended period of COVID-19 related restrictions. The newly introduced innovations allowed customers to complete day-to-day banking transactions online, greatly contributing to the Bank's brand positioning and Institutional Capital (refer Value Drivers: 2020 at a Glance on page 12). These innovations were communicated to stakeholders such as employees in a timely and comprehensive manner to ensure an optimal customer experience.

Combined with other strengths, such as the Bank's robust position in mortgages which contributes towards the Vision 2030 goal of increasing home ownership for Saudi nationals (refer Retail Banking on page 53), the Bank remains in a market-leading position. Its net promoter score (NPS) has risen steadily from 14 in 2015 to reach 66 in the last quarter of 2020.

Brand positioning

[No. 1]
2020 YouGov NextGen rankings

[No. 3]
BrandZ™ Top 30 Most Valuable Emirati and Saudi Brands 2020

Brand Strength Index Score of [84.7%] (Brand Finance)

Maintained a high Net Promoter Score in KSA at 66

(Refer Intellectual Capital under Value Drivers: 2020 at a Glance on page 14).

Stakeholder-focused marketing content

With a well coordinated marketing communications strategy that served the needs of the Bank's business lines and support functions, the Bank was able to reach external stakeholders including diverse customers segments, shareholders, media groups, and vendors. This strategy – which consisted of awareness creation, improved positioning, and ultimately sales – was dictated by the Bank's close contact and regular communication with such groups (refer Stakeholders on page 32).

In line with international best practices and its commitment to environmental, social and governance (ESG) practices, the Bank's marketing communications were comprehensive and transparent with due diligence conducted to ensure that no financial products and services were misrepresented to customers.

Financial literacy and digital literacy remained a key component of the Bank's communications. The Bank remains focused on improving customer trust and loyalty by providing timely advice on safe online banking practices across all customer touchpoints.

Towards co-creation

Internal and external customer feedback is at the heart of many of the Bank's marketing campaigns. These campaigns are put together following research to understand consumer needs and the habits and attitudes of various customer segments. Success in incorporating internal feedback is possible thanks to the increasing prevalence of integrated thinking within the Bank, which brings together its different teams with a single clear focus of improving the customer experience. In particular, it was the ability to break out of silos and allow the different business lines and functions to work and co-create together that allowed the Bank to provide its customers with a seamless digital journey despite the turbulent market environment (refer Operating Context on page 27).

The Bank's marketing campaigns incorporate the learning from such customer studies. Insight inspired campaigns of 2020 included:

1. Travel Plus card launch
2. Bancassurance launch
3. Nationality-focused campaigns for Tahweel Al Rajhi
4. Internal awareness regarding the Bank's Innovation Centre
5. Speaker Series for knowledge sharing

Customer experience management is part of the Marketing Department’s mandate. It includes setting up the framework for customer experience measurement, creating awareness around the customer experience, working with various stakeholders in finding the root cause behind a customer’s feedback, co-creating the improvements required and helping with implementation.

Some of the steps taken to optimise the customer experience include the following:

- Launching monthly Best Performing Branches competition and rewarding the winners with a congratulatory call from the Executive Management team
- Assessing how the Bank’s physical and digital channels are performing in terms of quality of service and service delivery frequently
- Assessing the Bank’s position in the banking industry locally
- Reporting on social media sentiments
- Aligning with internal business units on the root causes for customer pain points and proposing solutions
- Monthly Customer Experience Committee meeting with Executive Management to present the Customer Experience metrics
- Conducting mystery shopper exercises to ensure customer centricity and efficiency of frontline employees
- Front office empowerment programme
- Preparing training materials for frontline employees

With the region being at the forefront of social media adaptation and usage, the Bank embarked on the digital marketing journey in 2015 and formulated Key Performance Indicators (KPIs) to mirror customer media usage. The shift to customer generated content has brought its own set of challenges and resulted in the Bank implementing an internal strategy which has so far delivered favourable results. Today, Al Rajhi Bank has one of the largest groups of followers on social media – not just within the Kingdom but globally.

Corporate social responsibility

In 2020, the Bank gave back to the communities within which it operates by initiating several social responsibility programmes that included the participation of Bank employees (refer ESG Report on page 89).

A corporate social responsibility policy was also implemented with the aim of strengthening the social role of the Bank.

Future outlook

Given the potential longevity of the current turbulent times, effective marketing communications will be more important than ever, helping the Bank to connect with consumers who are now increasingly engaging digitally. In 2021, the Bank plans to improve usage of data across the marketing process to better personalise messages and enhance trust and loyalty.

Providing a leading customer experience remains a priority for the Bank as it continues to support and build on its customer-focused culture while continuing to improve the customer experience at every customer touch point from branches and call centres to digital banking, in line with the Bank’s BOTF Strategy (refer page 41). Each business line will aim to lead the market in their chosen area with a strategy to do so clearly laid out for all employees across the Bank and individual KPIs in line with department goals.

Technology is at the heart of our Customer Experience as we continue to service our customer safety and security.

Environmental Context

Changes in the Operating environment caused by the Covid Pandemic required the Shared Services Group to increase its operational agility while embracing change. While the year under review was challenging, the Shared Services Group was able to meet these challenges, mitigate risk and continue with implementation of a significant change agenda.

The Pandemic resulted in change of customer behaviour with significant migration of customer transactions from more traditional channels to Mobile and Point of Sale. In addition, the Bank was able to adopt a flexible working policy for it’s staff to ensure the service levels were maintained during the lockdown.

Information Technology (IT)

In line with the Bank’s strategy, the IT departments continued the Digital transformation journey with significant enhancements to the Customer Experience on the Mobile Application whilst maintaining a high level of customer service (refer Digital Footprint and Technology Transformation on page 83).

A number of strategic IT Projects were successfully delivered including the transition to a state of the art Tier IV Data Centre and implementation of Phase one of the Core Banking replacement project. This will enable the Bank to be faster to market and enhance the level of resilience across our IT Services.

Business Operations and Support Department

The Operations function was able to maintain a high level of service to customers despite the challenges of the Pandemic. This included the maintenance of high service levels across the Bank’s Branch ATM and POS Network.

The Bank partnered with the public sector to improve services – in particular with regards to Saudi Payments through mada cards (refer Retail Banking on page 53), resulting in a 35% growth in total cards spend as customers adopted non cash payments methods during

the pandemic. Implementation of the Muathiq Services, facilitated the smoother transfer of Property Deeds for our customers (refer Digital Footprint and Technology Transformation on page 83).

Other initiatives taken during the year under review include:

- Enhancing the Real Estate deed transfer process
- Implementation of Robotics to enhance operational efficiency
- Cash Service Cost Optimisation initiatives resulting in higher service levels and reduced cost
- Enhanced Self Service Kiosk performance with additional features and more reliable delivery

Operations Excellence and Governance Department

The Operational Excellence Team continued to focus on operational efficiency opportunities to enhance costumer experience. This included the ongoing adoption of advanced technologies leveraging Robotics, Artificial Intelligence and Optical Character Recognition. These are all designed to provide the Customer with a faster and more efficient experience with the Bank. In addition, the team continued to develop the control environment to ensure relevant Risks were understood and mitigated.

Procurement

Despite the challenges of COVID-19, the Procurement team was able to continue the provision of key services across the Bank.

With a view to supporting the Bank’s supply chain, the Procurement team launched an online portal for service providers allowing them to present their products and services to the Bank without the need to visit physical premises during lockdown restrictions. This portal also resulted in the registration of alternative vendors enhancing competition and the diversity of products and services offered to the Bank.

Over 94% of the Bank’s vendors are Saudi nationals as the Bank continues every effort to contribute towards Vision 2030.

AI Rajhi Development

In charge of the Bank’s property and services needs, AI Rajhi Development initiated cost reduction initiatives through power saving projects with an estimated saving of SAR 9.6 Mn. Since 2018, initiatives such as those aimed at reducing electricity consumption, have been initiated at 303 branches with roll out to further branches planned for the near future.

Pandemic-related restrictions negatively impacted the real estate market and commercial leasing. For AI Rajhi Development the restrictions affected the movement of people and material, resulting in delays to project delivery schedules.

The team is currently working to expand renewable energy initiatives through the more widespread use of solar energy following the first successful implementation at Sulimaniya branch.

AI Rajhi Development is also redesigning all new retail branches to be able to offer remittance services, reducing the cost of setting up standalone remittance branches. This is expected to lead to a cost reduction in the establishment expenses of remittance branches by at least SAR 750,000 per branch.

AI Rajhi Development continues to respond to various business needs, implementing projects as required, applying policies for reducing costs, and increasing capabilities to deal with the pandemic across its network.

Future outlook

In line with the BOTF strategy, Shared Services will remain focused on initiatives that will improve the overall customer experience and supporting the growth in product offerings and new sales. This includes more reliance on latest technologies and Robotics to improve the operational efficiency and performance while ensuring to meet the set control measures and mitigate relevant risks.

With the impact of the COVID-19 pandemic affecting every aspect of private and public life in the Kingdom, the Digital and IT teams – which together man an essential operation of the Bank – focused on accelerating already established plans.

Overcoming the challenges of a pandemic year

The adoption of a faster pace was achieved in tandem with providing the various digital solutions required to ensure business continued smoothly in the face of restrictions and a lengthy lockdown. These solutions addressed a mix of software and hardware issues with the latter including the provision of new servers and network devices.

Despite the challenges of the year under review, the Digital and IT teams delivered transformational changes supporting core business functionality and digitalisation. These achievements include:

- Migration to new data centre
- Maturation of the Application Programming Interface (API) platform in which IT has published more than 100 APIs
- Full revamp and capacity uplift of mobile ecosystems on different layers to cater to increasing business and customer demands
- Delivery and roll out of new Treasury core system
- Delivery of a number of mortgage products
- Completion of 98 out of 256 planned initiatives despite COVID-19 restrictions

With employee numbers remaining largely static, the Technology and Operations team focused on enhancing the Bank’s institutional knowledge. A number of training programmes were arranged to help familiarise nearly 150 key employees with the new software needed to improve the operational efficiency of the Bank. Meeting the needs of external and internal customers during this time was possible thanks to management support and inter-departmental collaboration.

While putting in place the necessary measures to allow employees to work and learn remotely, the Digital and IT teams adhered to all processes and procedures set up by the Central Command Control Centre. Most of the digital team worked remotely, with the executive team remaining on-site while ensuring proper social distancing measures remained in place.

The Bank witnessed a large migration of customers to digital platforms as a result of the pandemic. The digital roadmap was delivered

faster than anticipated during the year under review, with more capabilities than originally anticipated included in response to feedback from customers and employees. To meet the demands of increased traffic and ensure an optimal customer experience, the digital team also upgraded backend systems to maximise capacity and performance.

While the pandemic negatively impacted international card transactions and increased defaults on personal finance, there were many positives as well. The migration of customers from physical to digital banking, for instance, increased with more than 100,000 current accounts being opened digitally every month since July 2020. While POS and credit card transactions showed great adoption, more customers have registered for Mubasher than ever before with the month of May seeing a record 183,000 customers registering for this online service.

Expanding the Bank’s digital footprint

Despite its prudent approach to banking, the Bank is making a name for itself as a leader in introducing new and innovative products and services to the market. These initiatives have helped the Bank to enhance a number of its capitals through improved relationships with customers, suppliers, business partners and the community. The expansion of the Bank’s digital footprint also positively impacts its Intellectual capital (including knowledge, systems, and processes used by employees).

Continuing with its comprehensive digital transformation initiative, which was launched in 2018 based on a “mobile first” approach, the Bank focused on the four core themes of its digital strategy to:

1. Expand smart channels and formats
2. Enhance customer journeys
3. Migrate customers to self service channels
4. Deliver innovations in terms of payments

During the year under review, the Bank significantly expanded its digital footprint becoming first to market in a number of areas so that customers are able to enjoy end-to-end digital processes for regular banking transactions.

Products and services – First to market

- Digital promissory note (SANAD)**
With the onset of the COVID-19 pandemic, customers were provided with another banking product which could be activated digitally. The digital promissory note is relevant for all available end-to-end digital products from personal finance and credit cards to mortgages making life easier for customers at a time when many are reducing their movements in the community.
- Online signing of mortgage contracts**
The Bank also successfully implemented online signing of mortgage contracts. Customers can now accept a mortgage contract online without having to go through the branch for verification.
- Digital car insurance application**
Customers can also now apply for Takaful car insurance using the retail mobile banking app. The introduction of this digitalised process means that customers no longer need to stand in queues, restricted by social distancing rules but can apply for their car insurance from the palm of their hand.
- Beneficiary addition by mobile number**
Reducing the need for customers to visit the Bank for mundane but necessary tasks, the Bank simplified the process for adding a beneficiary. A customer is now able to conveniently make payments to friends, family and acquaintances by adding a beneficiary via their mobile number instead of having to input the required local or international bank account number.
- Beneficiary addition by QR code**
The Bank has also made it possible for customers to conveniently add friends, family and acquaintances as beneficiaries who are then able to share with payee by scanning a QR code. The convenience and flexibility of not being constrained by time allows customers the ease of completing transactions efficiently from any location. This process allows the Bank's customer base the option of cashless and digitally enabled payments with the swipe of a screen.

- Online current account opening for customers aged between 15 and 18 years old**
Another innovative first-to-market by the Bank was the ability for a guardian to open current accounts for children between 15 and 18 years of age, without having to enter a branch.

Other digital innovations launched during the year under review include the digitalisation of the following:

- Application for pre-paid cards, digital pre-paid cards, credit cards and travel cards
- Complete revamp of new current account opening via mobile

Network and reach – Expanding horizons

During the year under review, the Bank launched two new digital platforms for a customer segment that was, arguably, the hardest hit during the global pandemic – SMEs.

The new unified eBusiness platform allows start-ups and corporate customers alike to conduct their banking online through a computer. The eBusiness platform provides customers with greater convenience to process transactions at any time almost instantly. Due to the large number of transactions customers may also easily miss unusual activity in their account, but with instant access that the platform provides they can review each day's transactions with ease. With Internet banking, the Bank's SME and corporate customers use less paper – and so does the Bank – making the eBusiness platform a greener banking option in many ways.

Another new initiative introduced during the year was eBusiness mobile – the mobile app for SME and corporate customers. Through eBusiness mobile they can now perform most tasks on the go, from approvals, payments, and transfers, to point of sale requests.

Service standards – Improving self-service

Multiple self-service improvements were introduced during the year to provide customers with greater control over their funds and transactions.

With eStatement now available through the Bank's mobile app, customers are able to monitor their accounts more conveniently – a feature that has been useful to customers unable to visit bank branches during lockdown but will also be one that will prove equally important to them once communities open up and they are able to move around more freely.

While the core mandate of Sadad is to facilitate and streamline bill payment transactions of end consumers through multiple channels, the Bank introduced scheduled bill payments so that customers need not worry about missing any payments. Other improvements to service standards include the ability for customers to cancel product applications through their mobile phones without having to contact the branch or call centre and the addition of current accounts.

Increasing the number of customer touch points the Bank also introduced WhatsApp as a communication channel and launched a new self-service chatbot for frequent queries which can be answered immediately.

Increase in digital banking customers

As a result of these and other initiatives conducted by the Bank during a year when COVID-19 restrictions made it difficult for customers to visit the branch, the Bank was nevertheless able to witness an increase in the number of digital banking customers from the year's beginning to its end. Many of these innovations were a result of the Bank acting on feedback from stakeholders including customers and employees.

Number of digital banking customers

Platform	January 2020	December 2020
Mubasher (Mn.)	5.1	6.8
Tahweel (Mn.)	0.5	1.00
eBusiness	43,000	78,500 (including SME)
Total (Mn.)	5.7	7.9

Enhancing business operations

Being customer centric requires the Bank to provide innovations for customers as well as employees. By streamlining and automating internal systems and processes, the Bank ensures that its people are able to serve customers with greater efficiency and accuracy.

Leveraging on advanced technologies such as Intelligent Data Capture Automation, the Bank has built an on-premise AI-powered engine which processes unstructured data (Arabic and English) to help provide business optimum solutions to improve execution excellence within the Bank's operations. Other enhancements made during the year under review include those made to the operations of the Bank as well as the call centre. The online functionality provided to customers reduces traffic at branches and frees up frontline employees to be able to respond in a timely manner in finding solutions to meet the banking and financial services needs of its customers.

Other initiatives undertaken during the year to improve business operations include the establishment of Muwatheq services in all cities and control procedures to ensure that property transfer requests are monitored. The Bank used robotics solutions for payments operations processes, purchasing commodity from brokers' platforms, and for personal loans and car leasing credit approvals. The automation of communications and notifications to the corporate banking clients and customers and the outsourcing of the Trade Operations function and Merchants Operations function were other initiatives of the year.

In addition, due to a number of enhancements undertaken to improve the Bank’s ability to lower expenses for consumables, kiosk performance increased by 2.3% in 2020 compared to 2019.

The initiatives undertaken by the Bank in the year under review received regional recognition. The Bank was the recipient of the “Excellence in Digital Banking” Award from Finnovex Middle East 2020 – an award that honours the pioneers and visionaries who have transformed the financial services industry.

Future outlook

The pandemic has revealed a number of growth opportunities in services that help customers in their day-to-day banking transactions. For instance, with Retail Banking customers finding access to branches restricted during the pandemic, the Bank has seen a greater willingness in this segment to better understand their finances. Using digital solutions to help such customers navigate through times of uncertainty is an avenue that the Bank is exploring. Services such as personal finance manager can be a very useful tool for such customers, helping them to understand budgeting and “safe to spend” opportunities. The Bank’s Corporate Banking customers see opportunities in digital self-service, where the Bank’s eBusiness platforms allow them greater control and of their funds without having to visit the corporate branch. The Bank will also be exploring ways to expand POS services as society becomes increasingly cashless.

In 2021 and beyond, the Bank will continue with its push to provide stakeholders with end-to-end digital systems and processes.

The main challenge for the future comes from increased competition by fintechs and cybersecurity attackers. New entrants to the market offer a great customer experience and attractive pricing for their services. In order to remain competitive, the Bank needs to continue providing the best customer experience of the market.

The Bank also has a comprehensive plan to further strengthen cybersecurity. The plan includes the elevation of compliance level with SAMA CSF to Maturity 4, compliance with National Cyber Authority ECC and CSCC standards, and adoption of the eGRC solution to enhance the operations and automation processes.

Following its BOTF Strategy (refer page 41), the Bank will build resilience and a platform for innovation through a continued focus on modernising technology, leadership in data driven insights and agile working. The Bank will look to deliver the best digital bank value proposition in the market, leverage its digital banking capabilities across a wide range of customer groups, provide the best customer experience and have a differentiated and focused digital marketing approach across all segments served. These actions will be supported by digital-ready platforms that are responsive and scalable; aligned with business strategy and the demands and trends of the market.

In line with government directives to mitigate the impact of the pandemic, the Bank has keenly adhered to all precautionary and preventive measures within the Sharia Group, using online technology as far as possible to comply with social distancing rules and other pandemic-related restrictions.

Adhering to Sharia precepts

Since its foundation, Al Rajhi Bank has meticulously ensured that all Sharia precepts are adhered to in all of its transactions. In order to maintain this significant commitment, the Bank assigns responsibility for determining the legitimacy of its transactions and dealings to an independent legal authority, whose membership includes a number of distinguished scholars.

The composition of this body and its regulations are approved by the General Assembly; its decisions are binding on all of the Bank’s departments, thereby ensuring our commitment to the provisions of Islamic Sharia in all our business and activities – both inside and outside the Kingdom of Saudi Arabia.

The Sharia Board holds periodic meetings in which it examines all of the Bank’s products, investments, financing agreements, contracts, and models.

The Sharia Board met 30 times during 2020, examining over 220 topics including banking products, agreements, contracts, questions and inquiries, and issued necessary decisions for each case making a total of 1,198 decisions during the year under review while also providing guidance to be adopted and acted upon.

Structure of the Sharia Group

The Sharia Group was formed within the Bank to support the Sharia Board in achieving its objectives. The Sharia Group consists of two departments.

- 1. Sharia Board Secretariat Department
Comprising a number of legal advisors who study new banking products, agreements and contracts put forward to them by various groups and departments of the Bank, this Department prepares all the relevant legal research and studies for presentation to the Sharia Board. The Department then informs the relevant teams of the recommendations and decisions of the Sharia Board. In addition, the Department participates in the Bank’s development of Sharia products and provides Sharia counselling to other groups and departments in accordance with the decisions of the Sharia Board.

During 2020, the Secretariat Department prepared materials on 215 topics.

- 2. Sharia Audit Department
This Department supervises all the Bank’s activities in relation to applying and adhering to the decisions and recommendations of the Sharia Board. Such supervision ensures that there are no unauthorised products, contracts or models and that employees understand the Sharia Board’s decisions through an integrated team of Sharia monitors. The Department performs Sharia audits of the Bank’s business through automated systems and field visits, and is responsible for developing and reviewing auditing standards issued by the Sharia Board.

During 2020, these reviews totalled 1,246 in number.

Activities and oversight in 2020

Seeking to enhance awareness about Sharia among employees, customers, and others with an interest in Islamic banking the Sharia Group organised a number of initiatives and events. These included:

- 11 separate specialised Sharia banking courses for employees
- 12 joint workshops that focused on Sharia principles in banking transactions and activities
- 295 inquiries answered including 250 telephone inquiries and 45 postal inquiries
- 10 awareness messages disbursed to the Bank’s employees
- 18 books on Islamic banking and financial transactions printed and distributed

The Group also represented the Bank at meetings with the Saudi Central Bank (SAMA), participating in seminars, events, specialised jurisprudence forums, and the like. The Sharia Group also provided scientific support to Islamic scholars and students training in the field of Islamic banking.

Future outlook



Amidst a global pandemic, with its profound impact on world economies and the familiar way of life, the Sharia Group is grateful for God’s blessings, the value of good health and the importance of utilising capabilities to face the challenges of COVID-19. In line with Government directives to mitigate the impact of the pandemic, the Bank has keenly adhered to all precautionary and preventive measures within the Sharia Group, using online technology as far as possible to comply with social distancing rules and other pandemic-related restrictions.

In line with the Al Rajhi’s new BOTF strategy, the Sharia Group will continue to ensure that the Bank serves its stakeholders in full compliance with Sharia law.

ESG Report

ESG Highlights

Financial Sustainability SAR 469 Bn. Total assets SAR 10.6 Bn. Net profit after Zakat 0% Financing exposure in Tobacco, Alcohol and Gambling	Social SAR 49 Mn. donation in 2020 SAR 1.2 Bn. Zakat paid SAR 3.0 Bn. in salaries and benefits paid SAR 6.5 Bn. in financing for SMEs 7 batches of Graduate Development programme since 2015 94 social responsibility programmes in 29 cities 13,125 of volunteering hours clocked 48,000+ total training days	Governance ISO 22301: 2019 Business Continuity Management 1,198 Sharia Board Resolutions 134 Policies and frameworks 7/11 Independent Board Directors
Environmental Window film at branches to reduce energy use 32% of loans and project finance integrate ESG factors ISO Green Certification for new head office building 83:17 Digital to manual ratio		Gender Diversity 94 women-owned suppliers engaged 40% growth in female employees since 2015 15% portion of female employees 67% growth in female customers since 2015

The Bank’s approach to ESG

Taking its financial and social responsibilities seriously, the Bank is dedicated to remaining a well-managed, well-disciplined institution. While exercising sound governance practices that focus on financial intermediation and maturity transformation, two essential activities required for the economic development of the Kingdom, the Bank strives to live up to its societal duties to foster economic and social prosperity.

These responsibilities dictate its commitment to environmental, social and governance (ESG) practices.

The Bank has remained committed to providing Shariah-compliant banking services for the past three decades. With the guidance of an independent Shariah Board, comprising notable scholars who are specialists in this

field, the bank has been able to ensure Shariah compliance both within the Kingdom and beyond. The responsibility for constituting the Shariah Board and approving its regulation lies with the General Assembly. In addition, it is compulsory for all Bank departments to comply with the Shariah Board’s resolutions (refer Sharia Group on page 87).

As S&P Global and others have pointed out, Sharia-led Islamic finance has much in common with environmental, social, and governance (ESG) considerations and the broader aim of sustainable finance. For instance, Zakat benefits social welfare by supporting people in need or those who have partially lost their income. Such support is provided without any expectations of repayment or remuneration. As households lose income due to COVID-19, S&P project that Zakat could help compensate for such losses.

While ESG integration, which is the systematic and explicit inclusion of ESG factors in financial analysis, has been gaining traction around the world, the most widely applied sustainable investment strategy globally is negative screening. Global management consultancy firm McKinsey & Company estimates that negative screening is used for two-thirds of sustainable investments. Negative screening involves excluding sectors, companies, or practices from investment portfolios based on ESG criteria. Islamic Banks do not participate in any investments that fail to meet Sharia guidelines – including alcohol, gambling and tobacco products. With zero exposure to such industries, the Bank remains protected from sectors that are at “high risk” of failing to meet ESG criteria. Through Sharia guidelines, Islamic banks perform a culturally distinct form of ethical investing.

2020 has seen the addressing of social aspects through discussion around the potential to use the social instruments of Islamic finance to help deal with the impact of COVID-19 on corporate entities and banks through unremunerated or subsidised liquidity. Such steps would contribute towards Islamic banks’ improved ability to manage the short-term loss in revenue and to preserve employment. Households would also benefit from social instruments used directly to bolster them through compensation for lost income and access to affordable healthcare and education.

ESG Management and Disclosure

Even before the impact of the global pandemic, emerging mega trends such as technological advancements, demographic changes, regulatory developments, and changing customer and stakeholder expectations, prompted the Bank to take a holistic and innovative view of sustainability, giving pride of place to the creation of value for all stakeholders over time.

In this way, the Bank has always integrated a range of ESG matters in its decision-making, including how it evaluates risks and opportunities. At the same time, Al Rajhi Bank remains committed to improving the way it communicates its management approaches, targets, performance and progress around material ESG issues (refer Stakeholders on page 32).

The Bank has developed targets and benchmarks in several areas to drive and evaluate its progress with a dedicated ESG Committee overseeing the Bank’s ESG agenda. This team acts as a central resource and works with colleagues across the organisation to help identify and prioritise ESG issues, explore opportunities for improvement, and validate data for reporting.

While there are numerous ESG issues, risks and opportunities that demand attention, the Bank focuses on those that matter most to its stakeholders and business (refer Materiality on page 37). With ESG matters and expectations continuously evolving, the Bank conducts a regular materiality assessment which helps it to monitor, track and analyse ESG issues and the interests of stakeholders, both external and internal.

The Bank’s materiality assessment includes:

- Corporate planning exercise
- Analysis of emerging global and local trends
- Review of industry issues and developments
- Meetings with stakeholders and feedback received from multiple engagement channels

Transparency

Providing timely and accurate performance results and strategic updates is a key priority for the Bank, which is proud of its sound reputation for communicating with investors in a consistent, comprehensive and precise manner, taking this responsibility far beyond the minimum regulatory requirements. The Bank provides information to investors and other stakeholders by various compliance related disclosures through the investor relations and governance sections of its website (refer also Stakeholders on page 32).

Improving ESG disclosures

Continuous improvement in the Bank's ESG disclosures will include:

- Increasing transparency on how the Bank manages its ESG issues
- Disclosing the most relevant KPIs while embracing nonfinancial reporting standards such as GRI Standards
- Setting relevant targets and priorities to help create value and demonstrating, through this Annual Report, how the Bank plans to fulfil them

A dedicated team oversees the Bank's ESG agenda and is the central resource, working with employees across the organisation to help identify and prioritise ESG issues, explore opportunities for improvement, and validate data for reporting.

The core values are complemented by the Bank's policy on social responsibility. This policy outlines how the Bank contributes to sustainable development and the well-being of employees and their families, local communities and the broader society in which it operates.

Specifically, the policy articulates the Bank's commitment towards:

- The internal environment (workplace)
- Employees
- Customers and shareholders
- Communities and society

While discussions on the internal environment and employees (refer Human resources on page 69) and customers and shareholders (refer Performance in 2020 and Business portfolio review starting from page 53) have preceded this section, the Bank's commitment to communities and society is discussed within this chapter.

The Bank is also keen to reduce its impact on the environment as far as possible. For instance, its Head Quarters building has received ISO green certification.

The Bank's contribution towards the SDGs

Managing environmental impact

The Bank remains committed to better understanding, managing, and reducing its operational impact on the planet. To do so the Bank makes every effort to reduce its environmental footprint while being transparent about performance – especially lending and investment activities. The Bank provides ethical screening with procedures in place for assessing environmental risks. Such processes ensure that projects that are funded by the Bank do not have a negative impact on the environment.

Measures to reduce wastage of water, electricity and paper have been in place across the Bank's various premises with employees having been made aware of the importance of conserving environmental resources for future generations. Lockdown-related restrictions have meant that the use of such resources throughout bank premises was significantly reduced during the year under review. The use of window film at branches, such as those in Riyadh, allows natural light in – eliminating the need for electric lights during the day but keeping excessive heat out so that energy used for cooling interiors need not be increased.

The Al Rajhi Development (ARD) department closely monitors the Bank's energy data to identify trends, compare against benchmarks, and support long-term capital upgrades to the Bank's facilities.

By exerting its influence on customers and managing its own environmental footprint, the Bank contributes towards SDG 12: Responsible Consumption and Production.

Financing renewable energy projects

As part of Saudi Arabia's Vision 2030 and the King Salman Renewable Energy Initiative, the government established the National Renewable Energy Program (NREP) with the aim of maximising the potential of renewable energy in Saudi Arabia. The programme sets out an organised road map to diversify local energy sources, provide sustainable economic stability and fulfil the Kingdom's commitments to reduce carbon dioxide emissions.

The Ministry of Energy, through the NREP, has awarded 2,170 MW of renewable energy capacity in the Kingdom to date, of which 700MW was awarded in 2019 and a further 1,470 MW in 2020.

In line with the Bank's dedication to support landmark projects that provide significant environmental and social benefits and the goals of Vision 2030, the Bank provided financing support to five out of the six renewable projects awarded in 2020 with a combined project value in excess of USD 1 Bn.

In supporting these projects, the Bank has become the largest lender to the Kingdom's renewable energy projects in 2020 and has successfully partnered with some of the world's leading international renewable developers as well as local developers and technology providers.

During the year under review, Al Rajhi Bank also acted as mandated lead arranger to ACWA Power led consortium on USD 494 Mn. financing of the Jubail 3A Independent Water Plant (IWP) which is projected to generate 600,000 m3 of potable water per day – greatly contributing to the Kingdom's efforts to ensure water security. The greenfield sea water reverse osmosis desalination project is the second major Public Private Partnerships (PPP) project to have been closed by the Bank in the last quarter of 2020.

The Bank's green financing strategy contributes towards the fight against climate change and SDG 7: Affordable and Clean Energy.

Sustainable finance

Providing Sharia-compliant financial solutions, the Bank avoids funding projects that pose negative environmental or social risks. Credit risk assessments incorporate statistical risk models and other evaluation tools while employees involved in lending are trained to ensure that the Bank's loan portfolio remains compliant. While the Bank renegotiates loans to customers facing financial difficulties through its forbearance policy, it remains committed to integrating broader ESG evaluations in its lending process. Thanks to the Bank's prudent risk measures and significantly low risk profile, it has the highest non-performing loan (NPL) coverage ratio and very low NPL compared to peers.

The ESG pillars correlated with the Bank's contribution to the Sustainable Development Goals

ESG pillars	Sustainable Development Goals	The Bank's contribution
Environment	SDG 7 – Affordable and clean energy SDG 12 – Responsible Consumption and Production	- Managing environmental impact - Financing renewable energy projects
Social	SDG 1 – No poverty SDG 2 – Zero hunger SDG 5 – Gender equality SDG 8 – Decent work and economic growth SDG 9 – Industry, innovation and infrastructure SDG 10 – Reduced inequalities SDG 11 – Sustainable cities and communities	- Sustainable finance - Responsible customer relations - Digital leadership - Financial inclusion - Community projects and sponsorships - Employee volunteering - Responsible employer - Responsible procurement
Governance	SDG 8 – Decent work and economic growth SDG 16 – Peace, justice and strong institutions	- Corporate governance - Managing risk - World class compliance framework

Through its dedication to sustainable finance, the Bank contributes to SDG 11: Sustainable cities and communities.

Responsible customer relations

Bank policies such as the employee code of conduct, client charter and banking consumer protection principles, outline the Bank's commitment to conducting business responsibly while safeguarding customer interests (refer Human resources on page 69) and deepening financial inclusion within the Kingdom. The Bank is also committed to being professional, fair and transparent in its dealings as it strives to improve financial literacy within the Kingdom, especially among low-income groups. The constant evaluation of customer feedback, through channels such as the Net Promoter Score and Voice of Customer programme, moves the Bank closer to the co-creation of products and services that best suits customer needs.

During the year under review the Bank achieved its target of being the most recommended bank (refer Value Drivers: 2020 at a Glance on page 12). The Bank's NPS has increased, reaching nearly 66% during the year under review.

The Bank's Customer Experience Council, Customer Experience Department and Service Improvement team further enhance the Bank's customer centricity.

Being customer centric helps the Bank to contribute towards SDGs 10: Reduced Inequalities as it strives to promote economic inclusion for all.

Digital leadership

The Bank's commitment to furthering digital banking, digitalising and automating systems and processes for greater efficiency, and bringing useful innovations to the market (refer Digital footprint and transformation on page 83) are sealing its position as a leader in digital banking. 83% of all Bank transactions during the year under review were digital. Financing transactions conducted through digital channels totalled SAR 11.8 Bn., in 2020.

The Bank continues to be a leading provider of remittance services with 226 Tahweel centres and five mobile centres – significantly enhancing the digital offering to Tahweel customers. With over a million remittances per month and having won a number of awards for this sector during the year under review (refer Value Drivers on page 12, Retail Banking on page 53 and Treasury on page 59) the Bank's digital offering contributed towards protecting its market share in the remittance business.

The Bank's digital offering during the COVID-19 pandemic was designed to ensure that stakeholder groups such as employees and customers were facilitated without significant disruption. Such efforts complement measures taken by the Bank to ensure the safety of stakeholders, including members of the community, and to align with government initiatives to control the spread of the virus. During the year under review, the Bank arranged for end-to-end online application for car insurance and for current account opening for under-fifteens among a number of other firsts-to-market in digital banking (refer Digital Footprint and Technology Transformation on page 83). The Bank also recorded 7.9 Mn. active digital users, a digital to manual ratio of 83:17, which as a result contributed to the growth in the overall bank fee income.

Information security and cyber crime are two of the Bank's top risks with a number of actions being taken during the year under review to mitigate the same. For example, the Bank successfully complied with a number of regulatory requirements and international best practices including SAMA Cyber Security Framework Level 3, the National Cybersecurity Authority standards, the Payments Card Industry – Data Security Standard (PCI-DSS) and the ISO 27001 Security standard.

In addition the Bank ensures that Cyber Security Assessments are periodically conducted including vulnerability assessment and penetration testing.

The Bank's Security Operations Centre (SOC) is home to an information security team responsible for monitoring and analysing the Bank's security position on an ongoing basis. Their aim is to detect, analyse, and respond to cybersecurity incidents using a combination of technology solutions and robust processes. Consisting of security analysts and engineers as well as managers who oversee security operations employees in the SOC work closely with the Bank's incident response teams to ensure security issues are addressed swiftly.

The Bank also employs advanced security controls and solutions, including centralised identity management, to ensure effective protection of infrastructure and customer information. Information security infrastructure and technologies were also successfully migrated to the new data centre during the year.

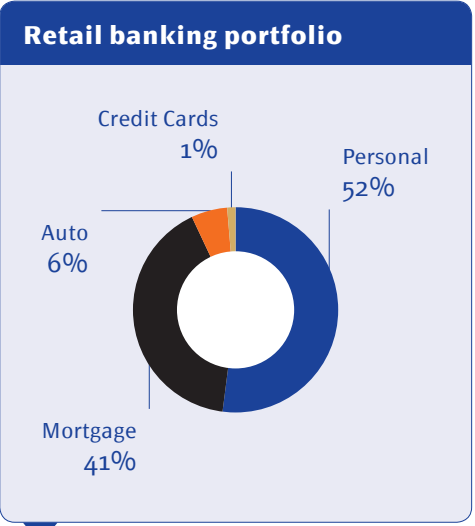
Through its focus on being a digital leader in the banking sphere, the Bank contributes towards SDG 9 – Industry, Innovation and Infrastructure by opening new and innovative avenues for customers to access and move funds, transact and conduct business.

Financial inclusion

The Bank offers a range of products and services that provide social and economic benefits to consumers – particularly those in underserved and disadvantaged segments. The Bank's digital leadership is also opening doors for this segment to better access the banking and financial services system. The Bank's Micro, Small and Medium Enterprises Committee supports SAMA requirements while the Bank continues to explore ways in which to provide entrepreneurs – particularly female entrepreneurs and young people – with greater support in expanding their businesses.

Being the largest retail bank in the Kingdom, the Bank offers unsecured financing to its customers with a market share of 40.6% in personal financing as of 2020, representing 51% of the total retail portfolio which stands at SAR 133 Bn. for the year under review. The Bank's retail franchise supports the leadership

in contributing towards financial inclusion in the Kingdom. A breakdown of the Bank's Retail Banking portfolio is as follows:



The Bank's digital banking facilities also furthered financial inclusion during the year under review, by providing customers from all walks of life easier access to funds during the pandemic-related restrictions. The Bank's wide branch network, which extends to remote areas, is another contributor towards the financial inclusion of normally under-banked communities. In addition, the Bank's extensive Tahweel branch network, along with its digital banking offering, proved to be a boon for low-income labour segments to access and transfer funds – ensuring that their families and communities in various parts of the globe received funds during these critical times.

Having introduced a number of innovative credit cards to the market as planned in 2020, the Bank also launched several new mortgage products, contributing towards Vision 2030 through its efforts to increase home ownership for Saudi nationals. With the Bank's sizeable market share in mortgages, it is a significant champion of financial inclusion in Saudi Arabia. The Bank's activities in the mortgage sector helped ensure that the Kingdom's low-income families were able to benefit from its mortgage guarantee schemes.

The Bank's Retail Banking Group processes 10 Mn. financial transactions a day and serves around 10 Mn. customers in total, securing financial inclusion for diverse segments within Saudi Arabia.

Net mortgage financing for the year under review increased to SAR 104.5 Bn. from SAR 55.0 Bn. at end 2019, with 90% year-on-year growth. Market share rose to 37.1% in 2020 up from 32.3% in 2019.

Expanding existing physical customer touch points, the Bank optimised its branch network to serve all customer segments. New ATMs, including in new and renovated branches, were added to the Bank's total network of 5,211. The Bank was also the first in the Kingdom to launch an ATM that served the needs of differently-abled customers including those who are deaf, or visually or physically challenged (refer Retail Banking on page 53).

The Bank is an active participant in the Kafalah Program. With small and medium-sized enterprises (SMEs) generally unable to provide the sufficient guarantees required by banks to get the funding they desire, the Kafalah Program was established with the support of the Ministry of Finance and banks operating in the Kingdom of Saudi Arabia. The programme guarantees banks a proportion of the funding granted to the SMEs allowing the Bank to provide funding following an economic feasibility study. Supporting the SME segment during the pandemic, the Bank waived a number of fees for customers between April and October 2020 in line with SAMA's mandate (refer SME Business on page 61).

The Bank's work in this area contributes towards SDGs 5 and 10: Gender Equality and Reduced Inequalities respectively as it strives to promote economic inclusion without prejudice.

Community projects and sponsorships

One of the Five Pillars of Islam, Zakat, obliges individuals and businesses who earn above a certain threshold to donate a portion of wealth each year to charitable causes. As Zakat is calculated based on income and value of possessions, a Bank such as Al Rajhi Bank contributes a significant amount towards the betterment of the communities within which it operates. Compared to its peers, Al Rajhi Bank makes one of the largest Zakat payments in the banking sector annually.

Restrictions relating to COVID-19 negatively impacted the plans of the Bank's CSR department but despite such a stumbling block a number of initiatives were implemented.

Sponsorships covering the year under review include those for the inauguration of a physical and function therapy centre at Turaif Hospital, a Health Endowment Fund by the Ministry of Health towards mitigating the impact of COVID-19, the WatanAlataa initiative and the Community Fund by the Ministry of Human Resources aimed at alleviating the impact of COVID-19 on the poor, the Gulf Campaign for Cancer, the Mawadah Association for divorced ladies, and programmes supporting the Disabled Children's Association.

The Bank also distributed 2,000 food baskets to the needy across the Kingdom during the month of Ramadan and a further 2,000 winter gifts to the poor.

In addition, a total of 1,395 employees participated in the Jood Employees initiative by the Ministry of Housing which contributes towards home-ownership for the financially disadvantaged within the Kingdom.

Through ARB Academy (refer Human Resources on page 76), the Bank provides opportunities for employees to improve their skills and career prospects. The Bank's graduate development programme, which was begun in 2015, now consists of seven batches as well as two female-only batches and two Information Technology batches with a total number of 82 graduates having qualified by the end of 2020. The Bank's efforts in this arena create skilled professionals within the communities within which it operates, in turn improving prospects and the employability of Saudi nationals in line with Vision 2030.

The work it does in the community aids the Bank to contribute towards Sustainable Development Goals 1, 2 and 3 – No Poverty, Zero Hunger and Good Health and Well-being respectively.

Employee volunteering

The Bank organises and contributes towards a range of investments to benefit the communities within which it operates. In addition to sponsorships of various projects and programmes, the Bank is also supported in these endeavours by the volunteerism of its employees. While the Bank's annual Social Responsibility Plan is approved by the Head of Corporate Communications, Chief of Marketing and the CEO, effectiveness of the various community investments are constantly evaluated, including through feedback received from customers, employees and community organisations, as well as media coverage.

Employee volunteering hours reached the Bank's target 50,000 mark for 2016-2020 with a total of 2,625 employees participating in the year 2020 from across 29 cites. Employee volunteer hours for the year under review stood at 13,125 which is a significant achievement considering the restrictions imposed as a result of the pandemic. Despite the problems they faced, employees were ready to contribute their time and effort to support the communities within which the Bank operates.

To channel employee enthusiasm for volunteering, the Bank's coordinators in various regions across the Kingdom follow up on approved projects, with announcements and timely reminders sent to all employees. With a range of projects to choose from and half a day allowed off for volunteering, the Bank ensures that employees remain supported in such community-support endeavours.

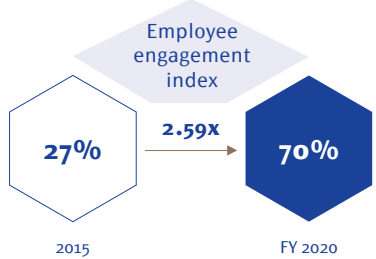
The work employees perform in the community helps the Bank to contribute towards Sustainable Development Goals 1, 2 and 3 – No Poverty, Zero Hunger and Good Health and Well-being respectively.

Responsible employer

The Bank strives to nurture an engaged workforce using a range of initiatives such as recognition awards, promotions, and volunteering opportunities that allow them to make a difference in the community. A number of strategic employee policies are in place to safeguard employee health, safety and well-being with special steps taken during the year

to keep its people safe from contracting the coronavirus. The Bank also promotes a culture of open communication with all employees to assess engagement levels and identify areas that require further attention. In addition the Bank introduced reduced working hours during the pandemic-related lockdown period with employees provided with the necessary equipment and guidance to transition seamlessly to working from home, ensuring not just business continuity but also the safety of the Bank's people (refer Human resources on page 70).

Meanwhile, the Bank's employee engagement index is at its highest level (refer Human Resources on page 71).



With one of the largest workforces of any bank in the Kingdom, the Bank has an Employee Engagement Index of 70% – a 4% increase over the previous employee survey. This reflects the Bank's strong commitment to maintaining recognised standards and principles for labour practices, employee wellbeing and occupational health and safety. While providing avenues for employees to improve their skills and experience levels and progress further in their careers, the Bank is also committed to gender diversity. The largest proportion of female employees within the Bank belongs to the 18-30 years age group, but the Bank is making an effort to recruit more women in other age groups and especially in higher grades.

The Bank strives to conduct recruitment, leadership and talent development and remuneration equitably across its business lines and service units (refer Human Resources on page 72). By continuing to provide job opportunities throughout the pandemic year the Bank had a positive impact on the overall Saudi economy and contributed towards GDP growth.

A key priority for the Bank remains its employee policies – such as its Whistle-blowing Policy – and its employee communications (refer Human Resources on page 71) which, together, create and sustain an open and enabling culture within the Bank – helping it to deliver on its commitment to build a world-class compliance framework.

As a responsible employer, the Bank contributes towards SDG 3, 5, 8, and 10: Good Health and Well-being, Gender Equality, Decent Work and Economic Growth, and Reduced Inequalities respectively as it strives to create an equitable environment for all its people.

Responsible procurement

The Bank continued to create strong partnerships with many local and international organisations, from procurement of world class technologies, to strengthening system capabilities and enhancing knowledge sharing in various disciplines. Through its collaborative relationships, the Bank continued to create private and public partnerships in matters of national importance, leading the way as a responsible corporate citizen.

Supporting local suppliers remains a priority with more than 93% of procurement spend going towards Saudi businesses. The Bank is also committed to supplier diversity, including female-owned enterprises and SMEs and ensuring supply chain due diligence. Its Business Operations and Support department manages all suppliers and service providers for the Bank in terms of contracts, purchase orders and invoices.

By partnering with suppliers and influencing them through the Bank’s robust procurement frameworks and policies, the Bank contributes towards SDGs 8 and 10: Decent Work and Economic Growth and Reduced Inequalities.

Corporate governance

Integrity and transparency are core values at the Bank, with employees at every level dedicated to being open and honest while maintaining the highest standards of corporate and personal ethics. Committed to promoting high standards with sound policies and procedures in place, the Bank’s Corporate Governance Framework is based on five Board committees and supported by Level 1 and Level 2 Management

Committees. This structure is underpinned by a series of governance enablers that are vital to ensuring that prudent and effective controls remain in place.

The Bank launched a three-year strategy for business continuity and formed the Business Continuity and Crisis Management Committee. During the year under review the Committee led the Crisis Command Centre which in turn supported the Bank’s top management in critical business decisions. The Bank was awarded ISO22301:2019 certification for its Business Continuity Management System confirming that the management system is in conformity with the audit criteria.

To ensure compliance with the local, international standards and regulations related to business continuity, Al Rajhi Bank has a Business Community Management Committee chaired by the CEO and consists of all general managers. During the year 2020, the committee had nine meetings in total with five meetings held by the main committee and four held by a sub-committee – the DRLTSC (Disaster Recovery Live Testing Steering Committee) – to oversee all technology testing related subjects. Additionally, in line with the approved BCM program, eight tests were conducted successfully in 2020 to validate the overall readiness and stability of the Bank’s technology. Two of these tested the operation of critical functions from alternative workspaces during business hours while six others checked the network and critical business applications and services such as ATMs, internet banking, mobile banking, Treasury systems and Retail backend systems.

During the year under review the Business Continuity and Crisis Management Committee:

- Led the Crisis Command Centre in support of top management providing daily updates and recommendations resulting in more than 120 actions during the COVID-19 crisis
- Prepared and arranged the distribution of curfew passes during the lockdown period for key employees
- Enabled the smooth operation of the working from home strategy for the majority of Bank employees by providing an adequate number of laptops and VPN enablement with full support from Information Technology and Information Security departments

The Bank assesses its customers’ AML risk during the on-boarding phase as well as periodically, in line with regulatory requirements and industry best practices. Its customer due diligence programme incorporates principles relating to Know Your Customer (“KYC”), customer identification and verification, and identification of ‘Beneficial Owners’. The Bank performs enhanced due diligence (“EDD”) procedures on customers assessed as higher risk, including politically exposed persons, and closely monitors customer transactions on a continuous basis for suspicious activity.

All employees, including senior management as well as the Board of Directors, receive AML/CTF training. Over the last few years, the Bank has expended considerable effort to deliver employee training and awareness programmes relating to these areas with an average of 31% of all training delivered being AML or compliance related.

In line with the regulatory requirements, effective October 2020, the Bank’s Anti-Fraud function merged with its Financial Crimes Group. The Bank developed an effective Anti-Fraud Policy and an Anti-Fraud Framework, which covers all Bank functions, processes and products. The policy articulates the key requirements for ensuring financial fraud threats are effectively identified, assessed and mitigated.

Every reported incident of fraud is investigated and highlighted to senior management, with detailed information on the root causes, operational lapses and fraud trends. The Bank is making major investments in fraud monitoring systems with machine learning capabilities.

While the Bank must remain profitable in order to sustain its performance as a going concern, it acknowledges that immediate shareholder returns must be balanced against wider responsibilities to society and the environment. Such a balancing act requires the Bank to compare trade-offs and tensions in the investment and expenditures of its various capitals.

By emphasising the short, medium and long term (refer Value Creation Model on page 24), the Bank underlines its understanding that the relationships with its stakeholders are symbiotic. From a sustainability point of view, ensuring productive outcomes for society and the environment is completely consistent with

the interests of the shareholders in the long term. For this reason, the Bank’s sustainability strategy is thoroughly integrated with its core business activities and inculcated to the ethos of its people.

The year 2020 saw the conclusion of the Bank’s ABCDE – Back to Basics strategy (2016-2020), with the Bank finalising its new “BOTF – Bank of the Future Strategy” (2021-2023) during the year under review. While the Bank was able to rise to meet the challenges of 2020 thanks to the Back to the Basics strategy, the new strategy focuses on advancing capabilities through four new pillars – Building the core, Outperforming the market, Transforming technology, and Fulfilling more customer needs (refer Strategic Direction on page 40).

The Bank also has a robust corporate governance system in place which is designed to ensure the following:

- Roles and responsibilities are distributed among the Board, Management and Committees
- Clear reporting lines as well as frequency of reporting are established
- Legitimate needs, interests and expectations of all stakeholders are taken into consideration
- The highest degree of fairness, transparency and accountability is upheld
- Value is created sustainably for all stakeholders over the short, medium and long term
- Negative impact on society and environment is minimised
- Focus given to making the Bank more stable, resilient and future ready
- Employees live by corporate values

With its 30-year commitment to providing Sharia-compliant banking services, the Bank remains focused on good governance, contributing to SDGs 8 and 16: Decent Work and Economic Growth; and Peace, Justice and Strong Institutions respectively.

Managing risk

The Bank’s activities expose it to a variety of financial risks and those activities involve the analysis, evaluation, acceptance and management of some degree of risk or

combination of risks. Taking risks is core to the banking business, and these risks are an inevitable consequence of participating in financial markets. The Bank's aim is, therefore, to achieve an appropriate balance between risk and return and minimise potentially adverse effects on the Bank's financial performance.

The Bank's risk management policies, procedures and systems are designed to identify and analyse these risks and to set appropriate risk mitigation measures and controls. The Bank reviews its risk management policies and systems on an ongoing basis to reflect changes in markets, products and emerging best practices.

Risk management is performed by the Credit and Risk Management Group ("CRMG") under policies approved by the Board of Directors. The CRMG identifies and evaluates financial risks in close co-operation with the Bank's operating units.

In addition, the Bank continues to follow global best practices in managing risk along with complying with the guidelines of the Saudi Central Bank, as the regulator of financial institutions in the Kingdom, and the standards and principles of Basel II and Financial Stability Board.

Moreover, emerging global developments such as the entry of FinTech companies into the banking arena are now threatening to disrupt conventional business models. To mitigate risks such as data and cyber security breaches and many others (refer Materiality on page 37), the Bank has established a sound risk management framework with necessary oversight of the Board of Directors (refer Risk Management on page 135).

The security team within the Bank's Security Operations Centre (SOC) monitors and analyses the Bank's security position on an ongoing basis. Consisting of security analysts and engineers, they respond to cybersecurity incidents using a combination of technology solutions and robust processes (refer Digital Footprint and Technology Transformation on page 83). There were no official fines imposed by the CMA during the year under review (refer Governance on page 112).

By actively ensuring a robust risk management framework the Bank contributes towards SDGs 8 and 16: Decent Work and Economic Growth; and Peace, Justice and Strong Institutions respectively.

World-class compliance framework

Compliance and financial crime risks have become some of the most significant ongoing concerns for financial institutions in the Kingdom of Saudi Arabia, where regulatory scrutiny and penalties have dramatically increased since 2016 and the scope of regulatory focus continues to expand.

In recognition of the Bank's investments in its compliance framework over the past six years or more, the Bank received ISO/DIS 37301:2020 certification issued by the Global Quality Network (GQNET) in the United Kingdom for the design and implementation of a responsive and effective compliance management system. Meanwhile, the Bank's Internal Audit Group received the highest classification for General Conformance issued by the Institute of Internal Auditors.

As the third line of defence behind the Risk and Compliance departments (which form the second line of defence) and the internal controls set in place by the Executive Management (the first line of defence), the Internal Audit department provides reasonable assurance on the efficiency and effectiveness of other control functions.

The Internal Audit Group's objectives include providing the Board of Directors with reasonable, objective and independent assurance on the efficiency and effectiveness of internal control systems, risk management, and the Bank's governance. Subjects covered by this department include:

- The integrity and accuracy of information
- Regulatory reporting
- Level of compliance with policies
- Regulatory requirements
- Assets safeguarding measures
- Best utilisation of resources to achieve the Bank's operating and strategic objectives

One of the major developments for the Internal Audit Group during 2020 was the recently approved restructure of the department, with the recruitment of more staff with complementary skills planned for the near future. Additional training courses will be implemented for existing employees to ensure they remain well able to handle the challenges of the times.

Continuous ESG focus

Highlighting the Bank's commitment to environmental, social and governance (ESG) practices are a number of initiatives and programmes that have been put in place to deliver on the Bank's ESG ambitions. These

programmes are underpinned by the strong foundation of the Bank's core values and standards, which provide a platform from which to achieve current-to long-term ESG goals.

The Bank's ESG focus has resulted in a number of initiatives that are discussed elsewhere in this report. For instance, the Bank's first-of-its-kind ATM, which serves a range of differently-abled people including those who are visually impaired, hearing impaired and mobility-challenged. The Bank also provides a differentiated customer value proposition for credit cards focusing on youth, SMEs, corporate entities, and the non-salaried segment (refer Retail Banking on page 53).

ESG Performance Tables

Environmental
Sustainable finance

Total loans to companies in the following sectors	2020 (SAR '000)	2019 (SAR '000)	2018 (SAR '000)	2017 (SAR '000)	2016 (SAR '000)
Manufacturing	12,462,929	13,922,372	16,037,315	15,973,600	16,212,769
Utilities and Energy	13,440,883	11,656,463	10,340,081	8,444,947	6,029,572
Retail Trade	5,305,329	5,071,427	6,530,785	6,045,044	3,887,218
Wholesale Trade	6,687,797	7,933,755	5,992,123	6,460,980	5,683,083
Real Estate	8,791,550	6,656,589	6,213,064	4,755,116	3,534,314
Investment Group	2,711,053	2,170,976	3,618,177	6,138,897	8,876,239
Construction	1,393,025	2,031,147	3,108,889	4,826,861	3,062,647
Telecom and IT	1,123,361	1,994,905	2,927,003	3,198,540	4,036,218
Others	7,832,485	5,748,391	884,418	241,500	1,562,273
Mining, Quarrying, and Oil and Gas Extraction	1,929,066	1,196,943	1,624,693	1,236,055	1,227,809
Agriculture, Forestry, Fishing and Hunting	538,339	340,974	419,588	1,493,753	666,714
Other Services (except Public Administration)	212,818	75,115	1,153,956	939,460	1,188,984
Transportation and Warehousing	1,500,949	883,026	827,438	923,181	811,054
Administrative and Support and Waste Management and Remediation Services	391,842	213,595	374,930	929,062	310,717
Food Services	522,677	569,350	592,319	654,222	753,982
Educational Services	197,111	252,926	286,093	344,850	207,244
Accommodation	260,741	242,497	213,401	302,943	129,089
Healthcare and Social Assistance	306,077	302,347	642,271	218,997	238,610
Public Administration	156,890	175,593	204,618	86,880	93,707
Professional, Scientific and Technical Services	35,244	17,489	3,264	3,399	–
Arts, Entertainment and Recreation	3,604	3,550	10	10	–

Social

Workforce overview

Workforce analysis – refer page 69.

Training

Hours of training by grade – refer page 76.

Employee training – refer page 75.

Employee training by gender and category – refer page 77.

Hours of training by skill type – refer page 77.

Employee diversity

Employees by age and gender – refer page 74.

Service analysis of workforce – refer page 75.

Employees by category – refer page 75.

New hires

Total new hires by age and gender – refer page 73.

Employee Engagement and Wellbeing

Parental leave by gender – refer page 70.

Salaries and benefits – refer page 72.

Celebratory payments – refer page 72.

Community investment

	2020	2019	2018	2017	2016
Total number of employee volunteering	2,625	3,191	2,904	1,634	600
Total number of employee volunteering hours	13,125	16,265	14,115	5,735	1,650

Supply chain

	2020	2019	2018	2017
Total number of suppliers engaged	335	332	358	432
Total procurement spending (SAR Bn.)	3.134	3.149	2.451	3.042
Total number of local suppliers engaged	263	261	300	344
Procurement spending on local suppliers (SAR Bn.)	2.913	2.889	2.282	2.866
Percentage of spending on local suppliers (%)	93	92	93	94
Total number of women-owned suppliers engaged	94	94	30	27

Governance

2020 compliance-related highlights	2021 compliance-related priorities
The Bank received ISO/DIS 37301:2020 certification issued by the Global Quality Network (GQNET) in the United Kingdom for the design and implementation of a responsive and effective compliance management system	Implement Customer 360 Financial Crimes Intelligence solution, which will interface with key compliance and fraud solutions to provide an integrated view of customer risk
The employee headcount for the Compliance group increased to 202 (up from 61 in 2014), enabling compliance training and awareness campaigns to be enhanced and expanded across the Bank, including to the Bank’s Board, Executives and Staff on compliance and financial crimes subjects	Upgrade the Fraud Management system and build additional scenarios to identify potential fraud risks
Proactive measures taken to identify emerging money laundering and terrorist financing threats and vulnerabilities arising from the COVID-19 crisis, with the Financial Action Task Force (FATF) guided by the annual AML-CTF risk assessment	Implement scenarios to detect potential bribery and corruption crimes
As part of the Bank’s aggressive “Digital” strategy a dedicated “Digital Compliance” unit was set up to provide advice on regulatory matters impacting the digital agenda	Expand automation of regulatory reporting processes and big-data analytical capabilities
AML Transaction Monitoring System enhanced with new scenarios to detect suspicious activities and improvements made to the Robotics Process Automation solution to improve the efficiency of the alert investigation and suspicious activities reporting processes	Invest in “Digital Compliance” unit capabilities to advise the bank during the faced-paced growth of the Bank’s digital products and services
Continued investments in the Sanctions, Anti-Bribery, Whistle-blowing and Corruption programmes and framework	Continue to invest in Robotics Process Automation, Artificial Intelligence and Machine Learning solutions for improved efficiency and effectiveness of compliance systems
Major investments to automation of the regulatory reporting processes	
Following the merger of the Anti-Fraud function with Financial Crimes Compliance group, the introduction of a robust fraud risk management strategy and framework to “shift-the-curve” to an “established” state of maturity	
Continued supporting the Kingdom in its efforts to crackdown on bribery and corruption and matters involving national security	
As part of the Saudi Vision 2030, the Bank was selected to participate with SAMA on an ambitious automated enforcement programme – the “SAMA Tanfeeth” Project – with further enhancements made to the Tanfeeth portal for executing synchronous enforcement actions	

GRI Index

This report has been prepared in accordance with the GRI Standards: Core option (refer GRI Content Index on page 228).



Corporate Governance

Board of Directors	106
Executive Management	110
Governance	112
Risk Management	135



Abdullah bin Sulaiman Al Rajhi

Committees Membership

- Executive Committee

Current Positions

Chairman of the Board of many companies inside KSA including:

- Al Rajhi Banking and Investment Corporation (Al Rajhi Bank)
- Al Rajhi Company for Cooperative Insurance (Takaful Al Rajhi)
- Al Rajhi Capital
- Al Rajhi Holding Group Company
- Farabi Petrochemicals Company
- Indoor and Outdoor Flooring Fabrics Solutions Company
- Al Ajjal Holding Company
- Fursan Travel and Tourism Company

Previous Positions

- Held many positions in Al Rajhi Bank from 1979 to 31 March 2012 including:
- Chief Executive Office and Managing Director
 - General Manager
 - Senior Deputy General Manager
 - Deputy General Manager of Financial Affairs
 - Deputy General Manager of Investment and Foreign Relations

Qualifications

- Bachelor of Business Administration – King Abdulaziz University – 1979

Experience

Contributed to the conversion of Al Rajhi Exchange and Trade Company into a public joint stock company and held many leading positions in ARB for more than 35 years.



Ibrahim bin Mohammed Al Romaih

Committees Membership

- Executive Committee
- Nominations and Compensations Committee
- Governance Committee

Current Positions

- Vice Chairman of the Board, Member of Executive Committee, Chairman of Governance Committee and Chairman of Nominations and Compensations Committee – Al Rajhi Bank
- Board Member – Saudi Arabian Investment Company

Previous Positions

- CEO – Saudi Arabian Investment Company
- Deputy CEO – Capital Market Authority
- Assistant Secretary General – Public Investment Fund
- Board Member – National Commercial Bank
- Board Member – Energy and Water Works Company

Qualifications

- Bachelor of Economics – Portland State University, USA
- Master Degree in Economics – Central Michigan University, USA
- Chase Manhattan Bank Course, USA

Experience

Over 30 years of experience in banking, financial and investment field.



Alaa bin Shakib Al Jabri

Committees Membership

- Board Risk Management Committee (BRMC)

Current Positions

- Board Member and Chairman of BRMC – Al Rajhi Bank
- Board Member – Medical and Pharmaceutical Services Company

Previous Positions

- Board Member – SIMAH
- Board Member – Higher Education Fund
- Board Member – Saudi Travelers Cheques Company
- Board Member – Arab International Bank – Tunisia
- Board Member – Construction Products Holding Company
- Board Member – Rolaco Group

Qualifications

- Bachelor of BA – American University in Beirut
- Master of BA – INSEAD, France

Experience

Having professional experience of more than 30 years in banking and financial fields.



Abdulaziz bin Khaled Al Chufailly

Committees Membership

- Executive Committee
- Nominations and Compensations Committee

Current Positions

- Board Member, Member of Executive Committee and Member of Nominations and Compensations Committee – Al Rajhi Bank
- Board Member – Al Rajhi Capital Company
- Board Member – Savola Group Company
- Board Member – National Petrochemical Industry Company (NATPET)

Previous Positions

- General Manager of Financial and Insurance Investments and worked in Hassana Investment Company
- Board Member – Industrialization & Energy Services Company
- Board Member – Riyadh Hotels and Entertainment Company
- Board Member – Saudi Industries Development Company
- Board Member – Tabuk Agriculture Development Company
- Board Member – National Medical Care Company
- Board Member – Herfy Food Services
- Board Member – Panda Retail Company

Qualifications

- Bachelor of Economics – King Saud University
- Master’s Degree in Economics – Western Illinois University – USA – 1990

Experience

Working in the field of financial investment for more than 25 years.



Badr bin Mohammed Al Rajhi

Current Positions

- Board Member – Al Rajhi Bank
- Managing Director and Vice Chairman – Mohammed Abdulaziz Al Rajhi & Sons Investment Company (MARS)
- Chairman of the Board – Al Rajhi Steel Industries Co. Ltd.
- Chairman of the Board – Berain Company
- Chairman of the Board – Saudi Tourism Development Company
- Chairman of the Board – DAEM Real Estate Investment Company
- Chairman of the Board – MYO Osteopathy Medical Company
- Chairman of the Board – International Equestrian Resort Company
- Chairman of the Board – Al Badr Al Zaher Investment Company
- Vice Chairman of the Board – Al Jazirah Home Appliance Co. Ltd.

Previous Positions

- Held several leading positions in areas of management, industry and real estate investment and has served as a member of the board of joint-stock companies.

Qualifications

- High School

Experience

Having experience of 30 years in areas of management, industry and real estate investment and has served as a member of the board of joint-stock companies.



Khaled bin Abdulrahman Al Gwaiz

Committees Membership

- Nominations and Compensations Committee
- Board Risk Management Committee (BRMC)

Current Positions

- Board Member, Member of Nominations and Compensations Committee and Member of BRMC – Al Rajhi Bank
- Chairman of the Board, Chairman of the Executive Committee and Member of Nominations Committee – Riyadh Cables Group Company
- Board Member – EMCOR Facilities Services
- Board Member – Saudi Pharmaceutical Industries & Medical Appliances Corporation (SPIMACO)
- Board Member – Tasnee Company
- Board Member – Bawan Company
- Board Member – Synergy Consulting Company
- CEO – Bin Ladin International Group

Previous Positions

- Managing Director – ACWA Holding Company
- Board Member and Chairman of Nominations and Compensation Committee – Saudi Tabreed Company
- Board Member, Audit Committee Member and Chairman of the Nominations and Compensations Committee – Swicorp Company
- Board Member – Unique Solutions for Chemical Industries (USIC)

Qualifications

- Bachelor of Urban Planning – University of Washington – USA

Experience

Having more than 30 years of experience in banking, financial and industrial fields.



Ibrahim bin Fahad Al Ghofaily

Committees Membership

- Governance Committee

Current Positions

- Board Member and Member of Governance Committee – Al Rajhi Bank
- Board Member – Jiwar Real Estate Management, Marketing and Development Company
- Head of Arriyada Financial Consulting Center

Previous Positions

- Board Member – Alinma Bank
- Financial Consultant of King Abdulaziz Endowment for the Two Holy Grand Mosques (Abraj Al Bait Complex) in Makkah
- Deputy General Manager of Banking and Development – Al Rajhi Bank
- Vice Dean of Faculty of Economics and Management, King Abdulaziz University

Qualifications

- Bachelor of Public Administration – King Abdulaziz University
- Master of Public Administration – California State University – 1978
- PhD in Organizational Development – Florida State University – 1981

Experience

- Having practiced academic work for 10 years and with 10 years of experience in the Islamic Banking Sector.
- Since 2002, he established Arriyada Financial Consulting Center and performed several studies and consultancies in Islamic Financing Structuring for Projects (the most prominent being Abraj Al Bait in Makkah).



Hamza bin Othman Khushaim

Committees Membership

- Executive Committee
- Board Risk Management Committee (BRMC)

Current Positions

- Board Member, Member of Executive Committee and Member of BRMC – Al Rajhi Bank
- Director of Investment, Financial Markets – Hassana Investment Company
- Member of the Saudi Investor Association
- Certified Member of the Association of Financial Analysts – USA

Previous Positions

- Hedge Fund Portfolio Manager – KAUST Endowment
- Hedge Fund Portfolio Manager– Investment Management – Treasury – Saudi Aramco Co.
- Financial Analyst – Investment Management – Treasury – Saudi Aramco Co.
- Board Member and Member of Remunerations and Nominations Committee – Dallah Healthcare Holding Company

Qualifications

- Bachelor of Finance – Michigan State University
- Master's Degree in Business Administration – University of Michigan in Ann Arbor
- CFA

Experience

Having 16 years of experience in investment.



Raeed bin Abdullah Al Tamimi

Committees Membership

- Governance Committee
- Nominations and Compensations Committee

Current Positions

- Board Member, Member of Governance Committee and Member of Nominations and Compensations Committee – Al Rajhi Bank
- Board Member and Member of Nominations and Compensations Committee – SAPTCO
- Board Member, Member of Audit Committee and Member of Risk Committee – GASCO

Previous Positions

- CEO – Tawuniya Insurance Company
- CEO – National Medical Care Company
- Board Member – Tawuniya Insurance Company
- Board Member – National Medical Care Company
- Board Member – Waseel Electronic Information Transfer
- Board Member – Najm Insurance Services Company

Qualifications

- Bachelor of Medical Science – University of Wales, UK

Experience

Having over 20 years of management experience and he currently serves as board member and committee member in many listed and unlisted companies.



Abdulatif bin Ali Al Seif

Committees Membership

- Executive Committee

Current Positions

- Board Member and Member of Executive Committee – Al Rajhi Bank
- Board Member – Arabian Cement Company
- CEO – Alra'idah Investment Company
- Board Member – Al Ra'idah Investment Company
- Board Member – National Petrochemical Company (Petrochem)
- Board Member – Wisayah Global Investment Company

Previous Positions

- Deputy Head and Head of Investment – King Abdullah Humanitarian Foundation
- Director of Portfolio Management – Masik
- Head of Portfolio Management, Investment Management Division – Saudi Aramco Co.
- Board Member – HSBC Saudi Arabia
- Executive Director – Vision Combined Limited Company

Qualifications

- Bachelor and Master Degree of Business Administration – Boston University
- Master Degree of Economics – Boston University
- CPA and CFA

Experience

Having more than 19 years of experience in financial and investment fields, and is a member of several Boards and Committees in many companies.



Stefano Paolo Bertamini

Current Positions

- Board Member – Al Rajhi Bank
- Board Member – Al Rajhi Bank (Malaysia)
- Board Member and CEO – China Development Financial
- Board Member – China Life Insurance

Previous Positions

- CEO – Al Rajhi Bank
- Board Member and CEO – Standard Chartered
- Board Member and CEO – General Electric – North East Asia

Qualifications

- Bachelor of Finance and Business Administration – University of Texas at Austin
- Master of Finance and Business Administration – University of North Texas

Experience

Expertise for more than thirty years in banking, financial and industrial fields.



Waleed Abdullah Almogbel

Current position
Chief Executive Officer

Previous positions
Deputy Chief Executive Officer (ARB)
Chief Operating Officer (ARB)

Qualifications
PhD – Accounting and Auditing

Experience
23 years



Abdulrahman Abdullah Alfadda

Current position
Chief Financial Officer

Previous position
General Manager – Treasury and
Financial Institutions (ARB)

Qualifications
Bachelor's Degree –
Electrical Engineering

Experience
24 years



Robin Douglas Jones

Current position
Chief Operating Officer

Previous position
Chief Operating Officer (HSBC)

Qualifications
Fellow of Chartered Association of
Certified Accountants

Experience
33 years



Abdulaziz Saad Al Resais

Current position
Chief Risk Officer

Previous position
AGM – Enterprise Risk
Management (ARB)

Qualifications
MBA

Experience
20 years



Ahmed Saleh Al Sudais

Current position
Chief Human Resources Officer

Previous position
ACWA Power International,
KSA – VP Human Capital

Qualifications
Bachelor's Degree –
Accounting

Experience
29 years



James Chester Galloway

Current position
Chief Strategy and
Transformation Officer

Previous position
Global Head of Sales and
Distribution (HSBC)

Qualifications
Master's Degree – Business

Experience
33 years



Saleh Abdullah Al Zumaie

Current position
General Manager Digital and
Payments

Previous position
General Manager – Retail Banking
Group (ARB)

Qualifications
Bachelor's Degree – English Language

Experience
30 years



Majed Saleh Al-Rajhi

Current position
General Manager Retail Banking

Previous position
AGM Private and Affluent Banking

Qualifications
MBA London Business School

Experience
14 years



Hossam Essam Al Basrawi

Current position
General Manager Corporate
Banking Group

Previous position
Corporate Banking Group Head (BSF)

Qualifications
Bachelor's Degree – Law

Experience
24 years



Saleh Abdullah AlIheidan

Current position
General Manager Sharia Group

Previous position
Associate Professor in the
High institute of Judiciary
(Al Imam Mohammed bin Saud
Islamic University)

Qualifications
PhD – in Comparative Fiqh
(Islamic Law)

Experience
35 years



Abdullah Sulaiman Alnami

Current position
Chief Compliance Officer

Previous position
Deputy CORO (Riyad Bank)

Qualifications
Master's Degree –
Management and Business

Experience
26 years



Omar Mohammad Almudarra

Current position
Chief Governance and
Legal Officer

Previous position
General Manager – Head of Legal –
SAMBA Financial Group

Qualifications
Master's Degree – Law

Experience
21 years



Abdulrahman M. Alajaji

Current position
General Manager
Treasury Group

Previous position
Head of Global Market –
Sales (SABB)

Qualifications
Bachelor of Science –
Computer Science

Experience
17 years



Mishal Mustafa Alfadl

Current position
General Manager Private
Banking Group

Previous position
Chief Private Banking –
Western Region (NCB)

Qualifications
Bachelor of Business
Management

Experience
25 years



Turki Mohammed Aldhfayan

Current position
Chief Marketing and Customer
Experience Officer

Previous position
Head of Digital Experience (ARB)

Qualifications
High Diploma – College of
Telecom and Information

Experience
13 years



Amr Mohammad Sager

Current position
Chief of Staff

Previous position
Chief Finance Officer
(Shaker Group)

Qualifications
Executive MBA

Experience
16 years



The governance framework at Al Rajhi Bank is based on five Board Committees and a group of executive management committees of the first and second levels. This governance structure relies on a set of key pillars that ensure clarity and discipline of wise governance. These pillars are: The Bank’s values, design of the organisational structure, policies and procedures, the authority delegation matrix, and effective communication between the various internal and external stakeholders.

Policies related to the Corporate Governance Manual

The Bank applies the Principles of Corporate Governance for Banks Operating in Saudi Arabia issued by the Saudi Central Bank as well as the Corporate Governance Regulations issued by the Capital Market Authority. The Bank has developed its Corporate Governance Manual and the charters that regulate the Board Committees and management committees. These documents are subject to periodic review by the Board and its committees.

The Bank adopts a comprehensive set of policies and procedures that strengthen the Bank’s governance framework in line with the Board of Directors approved Delegation of Authorities (DOA) matrix to adequately reflect internal practices. At the forefront of these policies is the Related Party Transactions and Conflict of Interest Policy to better achieve transparency and integrity, while remaining compliant with the regulatory requirements under the Companies Law, the CMA Corporate Governance Regulations and the principles and guidelines issued by SAMA.

The Bank also relies on comprehensive disclosure policies and regulations that enable shareholders and stakeholders to have access to all material information and developments without discrimination and in a timely manner. This includes banking information required to be disclosed according to the instructions of the Saudi Central Bank and under the regulations of the Capital Market Authority (CMA).

The Bank pays adequate attention to the training and qualification of members of the Board of Directors and the executive management and has developed executive programs for the same. The Bank has prepared an introductory guide to assist the new Board members and provide them with the necessary information on the Bank’s strategy, financial and operational aspects, and the obligations and duties of Board members.

The Bank also implements procedures for settling customer and shareholder complaints. These procedures are monitored by the Saudi Central Bank and the Capital Market Authority. The Bank has also implemented a corporate social responsibility policy aimed at enhancing the Bank’s social role.

Corporate Governance Regulations issued by the Capital Market Authority

The Bank has given due cognisance to the Corporate Governance Regulations currently in effect, as issued by the Capital Market Authority in the Kingdom of Saudi Arabia. The following is a report on the Bank’s corporate governance practices and the extent of its compliance with the Capital Market Authority’s regulations.

Implementation and non-implementation of provisions of the CMA Regulations

The Bank applies all provisions of Corporate Governance Regulations issued by the CMA, except the following guiding provisions:

Article/Clause	Requirements	Reasons for not applying
Article (41) – Clause “E”	The Board shall carry out the necessary arrangements to obtain an assessment of its performance from a competent third party every three years (Guiding paragraph).	The evaluation is done internally on an annual basis.
Article (87)	The Ordinary General Assembly, based on the Board recommendation, shall establish a policy that guarantees a balance between its objectives and those of the community for purposes of developing the social and economic conditions of the community (Guiding article).	ARB has a Social responsibility Policy approved by the Board of Directors.

Board Structure

The Bank is managed by a Board of Directors consisting of eleven members, elected by the ordinary general assembly every three years. Members whose term has expired may be re-elected each time according to the Bank’s regulations.

Names of the companies inside and outside the Kingdom in which a Board member is a manager or a member of their current or previous Board.

Member name	Names of companies where the Board member is a member of its current Boards or one of its Directors	Inside/ outside the kingdom	Legal entity	Names of companies, in which the Board member is a member of its previous Boards or one of its previous Directors	Inside/ outside the kingdom	Legal entity
Abdullah bin Sulaiman Al Rajhi 	- Al Rajhi Company for Cooperative Insurance (Al Rajhi Takaful) - Al Rajhi Capital - Al Rajhi Holding Group - Farabi Petrochemicals Company - Al Farabi Investment Company - Farabi Yanbu Petrochemicals Company - Farabi Transformation Industries Company - Indoor and Outdoor Floor Fabrics Solutions Holding Company - Saudi Carpet Supplies Manufacturing Company - Jubail Saudi Company for flooring fabric solutions - Green Vision for Artificial Grass Company - Al Ajial Holding Company - Fursan Travel and Tourism Company	Inside the Kingdom	- Listed joint stock company - Unlisted company - Unlisted company - Unlisted company - Unlisted company - Unlisted company - Unlisted company - Limited liability company - Limited liability company - Limited liability company - Unlisted company - Limited liability company	Al Rajhi Bank (CEO)	Inside the Kingdom	Listed joint stock company
Ibrahim M. Al Romaih 	The Saudi Arabian Investment Company	Inside the Kingdom	Unlisted company	- The Saudi Arabian Investment Company (CEO) - National Commercial Bank - ACWA Power	Inside the Kingdom	- Unlisted company - Listed joint stock company - Unlisted company
Abdulaziz bin Khaled Al Ghufaily 	- Al-Rajhi Capital - Savola Group - Savola Food Company - The National Petrochemical Industrial Company (NATPET)	Inside the Kingdom	- Unlisted company - Listed joint stock company - Unlisted company - Unlisted company	- Industrialization & Energy Services Company - Riyadh Hotels and Entertainment Company - Saudi Industries Development Company - Tabuk Agriculture Development Company - National Medical Care Company - Herfy Food Company - Panda retail company	Inside the Kingdom	- Unlisted company - Unlisted company - Unlisted company - Listed joint stock company - Listed joint stock company - Unlisted company - Unlisted company

Member name	Names of companies where the Board member is a member of its current Boards or one of its Directors	Inside/ outside the kingdom	Legal entity	Names of companies, in which the Board member is a member of its previous Boards or one of its previous Directors	Inside/ outside the kingdom	Legal entity
Badr bin Mohammed Al Rajhi 	- Mohammed Abdulaziz Al-Rajhi and Sons Investment Company - Al-Rajhi Steel Industries Company - Beren Company - Al-Jazeera Company for Home Appliances - Al Bader Al Zahir Investment Company - The Saudi Company for Tourism Development - A support company for real estate investment - Mayo Osteopathy Medical Company - World Equestrian Resort Company	Inside the Kingdom	- A closed joint stock company - A closed joint stock company - A closed joint stock company - A closed joint stock company - A closed joint stock company - A closed joint stock company - A closed joint stock company - A closed joint stock company - A closed joint stock company	- Falcon Company for Plastic Products - Manafea Investment Company	Inside the Kingdom	- Limited liability company - Limited liability company
Khaled bin Abdulrahman Al Gwaiz 	- Riyadh Cables Group Company - Emcor Facilities Management Co - Unique Solutions for Chemical Industries (USIC) - Bawan Company - Saudi Pharmaceutical Industries & Medical Appliances Corporation (SPIMACO) - Synergy Management Consulting Co. - Bin Ladin International Holding Group	Inside the Kingdom	- Unlisted company - Unlisted company - Unlisted company - Listed joint stock company - Listed joint stock company - Limited liability - Unlisted company	- ACWA Holding Company - ASTRA Industrial Group - Samba Financial Group - Arab National Bank - Swicorp Company - Unique Solutions for Chemical Industries (USIC)	Inside the Kingdom	- Unlisted company - Listed joint stock company - Listed joint stock company - Listed joint stock company - Unlisted company
Alaa bin Shakib Al Jabri 	Medical and Pharmaceutical Services Company	Inside the Kingdom Inside the Kingdom	Limited liability company	- Saudi British Bank - Gulf International Bank - Construction Products Holding Company - Rolaco Group	Inside and outside the Kingdom	- Listed joint stock company - Unlisted company - Unlisted company - Unlisted company
Ibrahim Fahad Al Ghofaily 	Jiwar Real Estate Management, Marketing and Development Company	Inside the Kingdom	Unlisted company	- Al Inma Bank - Al Rajhi Bank	Inside the Kingdom	- Listed joint stock company - Listed joint stock company

Member name	Names of companies where the Board member is a member of its current Boards or one of its Directors	Inside/ outside the kingdom	Legal entity	Names of companies, in which the Board member is a member of its previous Boards or one of its previous Directors	Inside/ outside the kingdom	Legal entity
Stefano Paolo Bertamini 	- Al-Rajhi Bank (Malaysia) - China Development Financial Corporation (Board member and CEO) - China Life Insurance Corporation	Outside the kingdom	- Unlisted company - Listed joint stock company - Limited liability company	- Al Rajhi Bank (CEO) - Standard Chartered Group - General Electric Group, Northeast Asia	Inside the Kingdom Outside the kingdom Outside the kingdom	- Listed joint stock company - Listed joint stock company - Listed joint stock company
Hamza bin Othman Khushaim 	Hassana Investment Company	Inside the Kingdom	Unlisted company	Dallah Healthcare Holding Company	Inside the Kingdom	Listed joint stock company
Raeed bin Abdullah Al-Tamimi 	- The Saudi Public Transport Company - National Gas and Industrialization Company	Inside the Kingdom Inside the Kingdom	- Listed joint stock company - Listed joint stock company	- Cooperative Insurance - The National Medical Care Company - Waseel Electronic - Information Transfer - Cooperative Real Estate Investment Company - Najm Company for Insurance Services	Inside the Kingdom	- Listed joint stock company - Listed joint stock company - Unlisted company - Unlisted company - Unlisted company
Abdulatif bin Ali Al Seif 	- Arabian Cement - Al Ra'idah Investment Company - National Petrochemical Company PETROCHEM) - Wisayah Al Khaleej Investment Company	Inside the Kingdom	- Listed joint stock company - Unlisted company - Listed joint stock company - Limited liability company	- HSBC Saudi - Shared Vision Company Ltd	Inside and outside the Kingdom	- Unlisted company - Limited liability company

Composition of the Board and classification of its members, as Executive Directors, Non-Executive Directors, or Independent Directors

Member name	Membership Rating (Executive/ Non-Executive/ Independent)
Abdullah bin Sulaiman Al Rajhi	Non-Executive
Ibrahim M. Al Romaih	Independent
Abdulaziz bin Khalid Al Ghufaily	Non-Executive
Badr bin Mohammed Al Rajhi	Non-Executive
Khaled bin Abdulrahman Al Gwaiz	Non-Executive
Alaa bin Shakib Al Jabri	Independent
Ibrahim Fahad Al Ghofaily	Independent
Stefano Paolo Bertamini	Non-Executive
Hamza bin Othman Khushaim	Non-Executive
Raeed bin Abdullah Al-Tamimi	Non-Executive
Abdulatif bin Ali Al Seif	Independent

Committees of the Board of Directors

The functions and responsibilities of the Committees are specified in internal charters and regulatory requirements. The membership term is set at three years, ending with the expiration of the term of the Board. The Board of Directors has the power to appoint, reappoint, or terminate the membership of any member of the Committees. The Committees submit their recommendations and minutes of their meetings to the Board of Directors.

The following is a brief description of the Bank's Committees and their work.

A-Executive Committee

The main purpose of the Executive Committee (ExCom) is to assume responsibility for the business operations of Al-Rajhi Bank and to make quick decisions regarding urgent issues and matters related to the Bank's business. The Executive Committee shall be responsible for reviewing, following up and approving the basic financial, non-financial, commercial, investment and operational decisions related to the Bank within the limits of the powers determined by the Bank's Board of Directors.

The committee held seven meetings during the year 2020 as follows:

Meeting	Date	Member Name						
		Abdullah bin Sulaiman Al Rajhi	Abdulaziz bin Khaled Al Ghufaily	Hamza Othman Khushaim	Alaa bin Shakib Al Jabiri	Salah bin Ali AbalKhail	Ibrahim M. Al Romaih	Abdulatif bin Ali Al Seif
		Chairman	Member	Member	Member	Member	Member	Member
1.	17 February 2020	✓	✓	✓	✓	✗	Their membership began with the eleventh meeting on 14 November 2020	
2.	3 March 2020	✓	✓	✓	✓	✓		
3.	22 June 2020	✓	✓	✓	✓	✓		
4.	10 August 2020	✓	✓	✓	✓	✗		
5.	14 September 2020	✓	✓	✓	✓	✓		
6.	13 December 2020	✓	✓	✓	Their membership expired at the end of the tenth meeting on 13 November 2020		✓	✓
7.	15 December 2020	✓	✓	✓			✓	✓

B The Nominations and Compensations Committee

The main purpose of the Nominations and Compensations Committee is to make recommendations on the nomination of Board members, Committee members and Senior Executives to the Board of Directors, preparing a description of the abilities and qualifications required for Board od Director’s membership, evaluating the effectiveness and efficiency of the Board and Senior Management, ensuring that the Bank remains compliant with the internal incentive schemes, and the rules of incentive practices issued by the Saudi Central Bank, the principles and criteria for compensation, in a manner that best achieves the interests of depositors, shareholders, and the Bank’s strategic objectives. The committee held four meetings during the year 2020 as follows:

Meeting	Date	Member Name				
		Alaa bin Shakib Al Jabiri	Khaled bin Abdulrahman Al Gwaiz	Raeed bin Abdullah Al Tamimi	Abdulaziz bin Khaled Al Ghufaily	Ibrahim M. Al Romaih
		Chairman	Member	Member	Member	Chairman
1.	30 March 2020	✓	✓	✓	✓	His membership began with the eleventh session on 14 November 2020
2.	3 June 2020	✓	✓	✓	✓	
3.	17 September 2020	✓	✓	✓	✓	
4.	8 December 2020	His membership expired at the end of the tenth session on 13 November 2020		✓	✓	✓

C Governance Committee

The main purpose of the Governance Committee is to support and maintain the highest standards in corporate governance, on behalf of the Board of Directors, to ensure that wise governance practices are followed in all activities carried out by the Bank. The Committee does so by conducting an annual review of the general governance framework and related mechanisms. In addition, the Committee monitors cases of conflict of interest ensuring the continuous updating of the register of conflicts of interest, reviewing requests for exemption from the governance requirements of the Bank, and coordinating with the Bank’s subsidiaries to support good and consistent corporate governance standards for all activities of the Al Rajhi Bank Group. The Committee also focuses on increasing awareness of the importance of governance and its activities within the Bank among all employees, shareholders and external stakeholders, conducting an annual evaluation of the performance of the Board of Directors, members of the Board and all Board Committees and Management Committees. It is also responsible for reviewing and updating the policies related to the Board of Directors and its members, the Bank’s governance and the conflict of interests, in addition to following up on the implementation of the Corporate Governance Manual and its annexes and the Bank’s Delegation of Authority Matrix. The committee held one meeting during the year 2020 as follows:

Meeting	Date	Member Name			
		Salah bin Ali Aba Alkhail Chairman	Ibrahim Fahad Al Ghufaily Member	Raid bin Abdullah Al Tamimi Member	Ibrahim M. Al Romaih Chairman
1.	1 November 2020	His membership expired at the end of the tenth meeting on 13 November 2020			His membership began with the eleventh meeting on 14 November 2020

D Audit and Compliance Committee

The main purpose of the Audit and Compliance Committee is to supervise the financial reporting process, overseeing the internal and external auditors, submitting recommendations to the Board of Directors and shareholders to approve, appoint and determine the remuneration or dismissal of the external auditors. In addition, to also review and approve the scope of the audit operations and their implementation, receive key audit reports, and ensure that the senior management takes all necessary corrective measures in a timely manner to address any weaknesses in controls or non-compliance with policies, laws and regulations, or any other problems identified by the auditors.

The Audit and Compliance Committee held six meetings during the year 2020 as follows:

Meeting	Date	Member Name				
		Ameen Fahad Al Shiddi	Abdulatif bin Ali Al Seif	Abdullah bin Ali Al-Muneef	Farraj bin Mansour Abuthnein	Walid bin Abdullah Tamairik
		Chairman	Member	Member	Member	Member
1.	6 March 2020	✓	✓	✓	✓	✓
2.	30 April 2020	✓	✓	✓	✓	✓
3.	7 June 2020	✓	✓	✓	✓	✓
4.	18 July 2020	✓	✓	✓	✓	✓
5.	20 October 2020	✓	✓	✓	✓	✓
6.	5 November 2020	✓	✓	✓	✓	✓
		Their membership expired at the end of the tenth meeting on 13 November 2020				

Audit and Compliance Committee members (other than Board of Directors members)

No.	Name	Committee memberships	Current positions	Previous positions	Qualifications	Experience
1.	Abdullah bin Ali Al Muneef	Audit and Compliance Committee	- Member of Audit and Compliance Committee – Al Rajhi Bank - Member of Shura Council - Member of the Arab Parliament	- Chief Executive Officer – Al Muneef Financial and Management Consultancy Office - Advisor – National Guard - Director General of Finance and Administration Affairs – National Guard - Head of Accounting Department, King Saud University - Associate Professor of Accounting Department, King Saud University - Executive Director of Financial and Administrative Affairs – King Faisal Specialist Hospital - Head of Accounting Association, King Saud University - Assistant Professor of Accounting Department, King Saud University - Lecturer at Accounting Department, King Saud University	- Bachelor of Accounting – King Saud University - Master Degree in Accounting – University of Southern California, USA - PhD in Accounting – University of South Carolina, USA	Held many academic, leading and advisory positions in financial and management fields
2.	Farraj Bin Mansour Abuthnain	Audit and Compliance Committee	- Member of Audit and Compliance Committee – Al Rajhi Bank - Board Member – Astra Industrial Group - Board Member of Petrochem - Member of Audit Committee – Almarai Company	- Director of Loan Department – Industrial Development Fund - Member of the Project Loan Committee – Industrial Development Fund - Member of the Industrial Projects Performance Audit Committee – Industrial Development Fund - Senior Vice President of Finance and Investment – National Industrialisation Company (Tasnee)	Bachelor of Industrial Management – University of Wisconsin – Milwaukee	Held many leading positions in the Saudi Industrial Development Fund
3.	Walid bin Abdullah Tamairak	Audit and Compliance Committee	- Member of Audit and Compliance Committee – Al Rajhi Bank - Member of Audit Committee – Real Estate Development Fund - Tamairak is a Chartered Accountant	- Arthur Andersen & Co - Ernst & Young - Member of Advisory Committee of College of Management and Economics – King Abdulaziz University	- Bachelor of Accounting – King Abdulaziz University - Fellowship of the Saudi Organization for Certified Public Accountants (SOCPA)	Has more than 25 years of experience in accounting, auditing and economics

Board Risk Management Committee

The primary purpose of the Board Risk Management Committee is to advise the Board of Directors regarding risk tolerance and risk strategy, and to oversee the Management's implementation of this strategy. This includes the management of capital and liquidity strategies, credit, and market risk management, operational risk, compliance risk, reputational risk and any other potential risks that the Bank may face.

The Committee held five meetings during the year 2020, as follows:

Meeting	Date	Member Name		
		Khaled bin Abdulrahman Al Gwaiz Chairman/Member	Alaa bin Shakib Al Jabri Member/Chairman	Hamza bin Othman Khushaim Member
1.	16 February 2020	✓	✓	✓
2.	26 April 2020	✓	✓	✓
3.	21 June 2020	✓	✓	✓
4.	15 September 2020	✓	✓	✓
5.	17 December 2020	✓	✓	✓

Procedures of the Board of Directors to inform its members of shareholders’ suggestions and comments on the Bank and its performance

The Bank registers shareholders’ suggestions provided through the General Assembly and notifies the Chairman of the Board of any other suggestions related to the Bank to be presented at the next Board meeting. There is also an e-mail address dedicated to the comments and suggestions of the shareholders, which is published on the official website of the Bank and on the Tadawul website. The email is directly linked to the Board Secretariat so that the Board can review the suggestions and comments of the shareholders.

The methods adopted by the Board of Directors in evaluating its performance and that of its committees and members

The Bank's Governance Committee evaluates the performance of the Board, its Committees and members through specific surveys at three levels. Evaluation is based on the Board of Directors terms of reference specified in the Bank's Governance Manual, while evaluation of Board's Committees and the Audit and Compliance Committee is based on their approved work regulations, and the self-evaluation of a member of the board of directors. The Governance Committee then prepares the annual evaluation report and submits it to the Board of Directors for approval. Then, the Nomination and Remuneration Committee is provided with a copy of the final report.

Remuneration of board members and Executive Management

(A) Summary of the most important provisions of the remuneration policy for members of the Board, its Committees and the Executive Management:

1 – Board of Directors remuneration and compensations:

- The members of the Bank's Board of Directors shall receive a fixed annual remuneration amounting to SAR 400,000 on an annual basis for their membership on the Bank's Board of Directors and their participation in its business.
- A member of the Board of Directors receives SAR 5,000 for attending each of the Board's sessions, whether the attendance is directly or through any of the remote communication features.
- The Bank pays all actual expenses incurred by a member of the Board for attending the Board meetings, including travel, accommodation and accommodation expenses.

2 – Remuneration and compensations for the Board members for their membership in Board Committees:

- The Bank's Board members do not receive additional remuneration for their membership on the Board or in Board sub-committees as the annual remuneration includes additional bonuses in the event that the member participates in any Board Committees.
- A Board member receives an attendance fee of SAR 5,000 for attending each Committee meeting, whether the attendance is directly or through any of the remote communication features.
- The Bank pays all actual expenses incurred by a Board member for attending Committee meetings, including travel, accommodation and accommodation expenses.

3 – Remuneration and compensation for Audit and Compliance Committee members:

- Each member of the Audit and Compliance Committee receives, either from within or outside the Board, a fixed annual remuneration for his or her participation in the Committee's work, estimated at SAR 150,000 annually, provided that annual remuneration for Audit and Compliance Committee member from inside the Board shall not exceed the annual limits of annual remunerations and compensations granted to the Board member.
- A member of the Audit and Compliance Committee receives SAR 5,000 for attending each of the meetings, whether he or she attends physically or through remote electronic channels.
- The Bank pays all actual expenses incurred by the committee member in order to attend the committee's meetings, including travel and accommodation expenses.

4 – Granting shares:

- The Bank does not grant shares as remuneration to any Board member, Committee member or Audit and Compliance Committee member.

5 – Allocation and payment mechanisms for remuneration and compensation:

- Compensation and remuneration due to Board members and Non-Board members are calculated on an annual basis, with the recommendation of the Nominations and Remuneration Committee and approval of the Board of Directors. Amounts are then presented to the General Assembly for approval when it next meets.
- Remuneration can vary to reflect the Director's experience, independence and number of attended meetings among other criteria.
- Attendance fees are paid annually to Directors based on their attendance sheets for Board, Board Committees, and Audit and Compliance Committee meetings.

- Payments are done through bank transfers, cheques, or any other methods, and Directors are informed of details through relevant departments.
- Remuneration and compensations paid to directors should not exceed SAR 500,000 annually, payment of any additional due amounts will be stopped. Total amounts paid to Directors should not exceed 5% of total net profits.

6 – Remuneration and compensation of senior executives:

The role of the Board of Directors includes, but is not limited to the following:

- The Board of Directors is responsible for approving the overall design and oversight of all aspects of the remuneration system and shall not delegate this responsibility to management.
- Although there is a Board Nomination and Remuneration Committee, the Board of Directors has ultimate responsibility for promoting effective governance and sound remuneration practices.
- The Board of Directors shall review and, if satisfied, approve the Remuneration Policy and any of its subsequent revision/ updates, on the recommendation of the Nomination and Compensation Committee, taking into account, inter-alia, the Rules on Compensation Practices of May 2010 and any future updates or revisions issued by the Central Bank of Saudi Arabia.
- The Board of Directors shall review and, if satisfied, approve the recommendations of the Nomination and Compensation Committee regarding the level of remuneration of the senior executives. The senior executives for this purpose will include senior managers and all those executives whose appointments are subject to no objection by the Saudi Central Bank or other regulators.
- The Board of Directors shall ensure that the Management has put in place elaborate systems and procedures and an effective oversight mechanism to ensure compliance of the Saudi Central Bank Rules on Compensation Practices and the Financial Stability Board Principles and Standards.

7 – Structure of remuneration and compensation granted to senior executives:

- Remuneration structures are designed for the various levels of employees in a manner that enhances the effectiveness of risk management and achieves remuneration and compensation objectives in accordance with the highest standards.
- Forms of remuneration vary according to the position and role of the employee and may include cash payments, shares and other forms of rewards and compensation.
- The proportion of fixed and variable remuneration components for different business lines is determined based on the nature and level of the employee's responsibilities, the field of business in which he works and their level and the general philosophy of the remuneration policy of the Bank. The Bank ensures that the total variable remuneration does not limit its ability to strengthen the capital base.
- The remuneration structure for employees working in control functions such as risk management, compliance, internal control, etc., are designed with the aim of ensuring the objectivity and independence of these functions. In this regard, performance management and the determination of rewards and compensation for these employees are not assigned to any person who works or has any relationship with the business sector that these employees monitor or supervise.
- When determining bonus allocations, the overall performance of the Bank is taken into consideration, while its distribution to employees is based on the performance of the employees in addition to the performance of the business unit or department in which it operates. There is no guaranteed minimum bonus or similar payment, other than an employee salary, that is not based on performance.
- As part of the remuneration policy, the Bank may postpone a reasonable percentage of the performance bonus for a period of no less than three (3) years. The deferred bonus percentage and the maturity period are determined based on the nature of the business, its risks and the activities carried out by the employee.

- Where the remuneration policy provides for the payment of part of the remuneration and compensation in the form of shares, criteria must be established that will be used to determine the value of the share allocation. Moreover, the allocation of shares should be subject to an appropriate stock retention policy.
 - Joining bonuses are not permitted, unless clearly aligned with long-term value creation and prudent risk taking. Any such payments should be related to performance achieved over time and designed in a way that does not reward failure. Joining bonuses should be at least linked to successful completion of probation period and where possible,
- deferring the joining bonuses, on terms similar to the deferred bonuses foregone from the previous company.

 - The Bank should demand from their employees that they commit themselves not to use personal hedging strategies or remunerations and liability-related insurance to undermine the risk alignment effects embedded in their remuneration and compensation arrangements.

The Bank confirms that there are no major deviations between granted remunerations and applicable remunerations policy.

(C) Remunerations and compensations paid to five senior executives who received the highest remuneration from the Bank, including the CEO and CFO, in 2020

Description	Five Senior Executives (CEO and CFO included)
Salaries and compensations	9,060,000
Allowances	4,835,984
Periodic and annual rewards	11,600,815
Incentives schemes	–
Any other in-kind compensations or benefits paid annually or monthly	–
Total	25,469,799

(B) Remunerations and compensations paid to Board members, Board committees, and the Audit and Compliance Committee in 2020

No.	Name	Board meetings		BACC meetings		ExCom meetings		NCC meetings		Governance Committee meetings		BRMC		Annual Bonus (SAR)	Remunerations for technical, managerial and consultative work	Total (SAR)	Total paid to the member as per the Policy (SAR)
		No.	Amount	No.	Amount	No.	Amount	No.	Amount	No.	Amount	No.	Amount				
1.	Abdullah bin Sulaiman Al Rajhi	6	30,000	–	–	7	35,000	–	–	–	–	–	–	400,000	–	465,000	465,000
2.	Saleh bin Ali Abdullah Aba Alkhail (Representation in the Board ended)	2	10,000	–	–	3	15,000	–	–	1	5,000	–	–	347,541	–	377,541	377,541
3.	Abdulaziz bin Khaled Al Ghufaily	6	30,000	–	–	7	35,000	4	20,000	–	–	–	–	400,000	–	485,000	485,000
4.	Khalid bin Abdulrahman Al Gwaiz	6	30,000	–	–	–	–	4	20,000	–	–	5	25,000	400,000	–	475,000	475,000
5.	Bader bin Mohammed Al Rajhi	6	30,000	–	–	–	–	–	–	–	–	–	–	400,000	–	430,000	430,000
6.	Alaa bin Shakib Al Jabri	6	30,000	–	–	5	25,000	3	15,000	–	–	5	25,000	400,000	–	495,000	495,000
7.	Ibrahim bin Fahad Al Ghofaily	6	30,000	–	–	–	–	–	–	1	5,000	–	–	400,000	–	435,000	435,000
8.	Raid bin Abdullah Al Tamimi	6	30,000	–	–	–	–	4	20,000	1	5,000	–	–	400,000	–	455,000	455,000
9.	Hamza bin Othman Khushaim	6	30,000	–	–	7	35,000	–	–	–	–	5	25,000	400,000	–	490,000	490,000
10.	Ameen bin Fahad Al Sheddi (Representation in the Board ended)	3	15,000	6	30,000	–	–	–	–	–	–	–	–	477,869	–	522,869	522,869
11.	Abdullatif bin Ali Al Saif	6	30,000	6	30,000	2	10,000	–	–	–	–	–	–	530,328	–	600,328	600,328
12.	Abdullah bin Ali bin Ali Al Manif	–	–	6	30,000	–	–	–	–	–	–	–	–	150,000	–	180,000	180,000
13.	Waleed bin Abdullah Tamairak	–	–	6	30,000	–	–	–	–	–	–	–	–	150,000	–	180,000	180,000
14.	Faraj bin Mansour Abu Thnain	–	–	6	30,000	–	–	–	–	–	–	–	–	150,000	–	180,000	180,000
15.	Ibrahim M. Al Romaih (A new member)	3	15,000	–	–	2	10,000	1	5,000	–	–	–	–	52,459	–	82,459	82,459
16.	Stefano Paolo Bertamini (A new member)	3	15,000	–	–	–	–	–	–	–	–	–	–	52,459	88,125	155,584	155,584
Total		65	325,000	30	150,000	33	165,000	16	80,000	3	15,000	15	75,000	5,110,656	88,125	6,008,781	6,008,781

Employee benefits and plans

The Bank offers its employees a number of benefits and bonuses during or at the end of the service period, according to the Saudi Labor Law and Bank Policies. The provision for employees' end of service benefits is calculated using the entitlement assessment form in accordance with the Saudi Labor Law and local regulatory requirements. The provision for the end-of-service benefits amounted to SAR 1,176 Mn.

The Bank also grants free shares to its senior employees and those of its subsidiary companies who are seen as valuable human assets that need to be retained, which helps ensure the long-term relationship with those employees. Granting of shares is subject to the approval of the Board of Directors upon the recommendation of the Nomination and Remuneration Committee.

Any penalty, sanction, precautionary measure, or precautionary restriction imposed on the Bank by the Authority or any supervisory, regulatory or judicial authority

There are no fines assigned by the Capital Market Authority.

Fines imposed by Saudi Central Bank:

Violation of:	Fiscal year 2020		Fiscal year 2019	
	Number of resolutions	Total amount of fines in Saudi Riyal	Number of resolutions	Total amount of fines in Saudi Riyal
Violating the supervisory instructions of Saudi Central Bank	36	5,819,000	41	30,403,500
Violating the instructions of Saudi Central Bank related to customer protection	8	7,171,110	14	170,000
Violating the instructions of Saudi Central Bank related to due diligence	4	273,000	3	262,500
Violating the instructions of Saudi Central Bank related to the level of performance of ATMs and POS machines	0	0		
Violating the instructions of Saudi Central Bank related to due diligence in combating money laundering and terrorist financing	1	250,000		

Fines signed by the Ministry of Municipal and Rural Affairs:

Violation of:	Fiscal year 2020 Total amount of fines in Saudi Riyal	Fiscal year 2019 Total amount of fines in Saudi Riyal
Increase of building area percentage for ATMs, lack of setbacks, visible advertising posters on branches facades and ATMs, and non-existence of licenses for some bank's locations	2,156,600	1,717,000

Outcomes of the annual review of internal control procedures at the Bank, in addition to the Audit and Compliance Committee’s opinion on the adequacy of the Bank’s internal control system

The Bank’s Executive Management is responsible for designing an appropriate internal control system with the Board of directors’ direct supervision. The system has been designed to directly mitigate risks that could impair the realisation of the Bank’s strategic and operational objectives.

The Bank’s Executive Management has adopted a comprehensive internal control system aligned with SAMA’s regulatory requirements.

The following are some of the key components of the Bank’s internal control system:

- The Bank has completed and approved the continuous development of the governance framework through which appropriate control tools are prepared and updated at the Bank level and the roles and responsibilities of the various levels are clarified, including the Board of Directors, the Board committees and other administrative committees.

- The Bank has set policies and procedures that govern its business activities which are subject to a periodic review to ensure that the bank’s business is running properly in order to protect the quality of the bank’s assets.
- The audit department monitors the adequacy of the Bank’s supervisory procedures and adheres to them, and prepares a presentation clarifying the focus and development aspects.
- An internal committee specialised in internal control work (ICC) was formed in the Bank during the year 2020 for the purpose of following up on the observations and operations of control departments such as internal auditing, compliance, risks, account differences and other departments.
- The Bank has a set of policies and procedures that govern its various activities. The Bank also reviews these policies and procedures periodically to verify their adequacy, efficiency and suitability for the Bank’s activities.
- Most of the operations of the Bank are executed through automated systems, which help in reducing manual errors and reducing the chances of fraud.
- The Bank has specialised departments for evaluating and monitoring internal control systems, including internal audit, compliance management, fraud control and various risk departments.
- Existence of an effective Audit and Compliance Committee supervising internal and external Auditors activities in order to support and promote their independence. This Committee receives regular and periodic reports on audits carried out on different functions within the Bank.
- The comments and reports of the Sharia group are conveyed to the audit committee to enhance the compliance.
- Regular reviews on the efficiency and adequacy of the internal control system is carried out by Internal Audit based on an annual plan approved by the Audit and Compliance Committee, in addition to reviews of the effectiveness of internal control by the external Auditors and supervisory reviews conducted by the Saudi Central Bank.

Annual review of internal control procedures

During the year under review, Al Rajhi Bank made every effort to ensure the adequacy and effectiveness of the internal control system, in line with the requirements issued by the Central Bank of Saudi Arabia. In addition, the activities implemented during the year 2020, which included a review of the efficiency of the internal control system, contributed to providing reasonable assurances of the adequacy of the applied internal controls, in addition to confirming the existence of the systems. The Bank has in place procedures necessary to identify and evaluate the high risks that the Bank may face, the method of dealing with them, as well as the safety of their application, and this did not uncover any fundamental weaknesses affecting the adequacy of the internal control system. Accordingly, and based on the results of the internal control system evaluation work, Al Rajhi Bank has an adequate internal control system that works appropriately and is monitored and strengthened on an ongoing basis, bearing in mind that any internal control system, regardless of the level of its design and effectiveness, cannot provide absolute assurances.

General Assembly

The Bank always adheres to the concerned Government regulations in all matters relating to Ordinary and Extraordinary General Assemblies. All regulatory provisions are accompanied by sufficient information to enable shareholders to make their decisions.

Historical information of General Assembly meetings during the fiscal year:

No.	Name	Attendance record	
		The 30th Ordinary AGM	The 31st Ordinary AGM
1.	Abdullah bin Sulaiman Al Rajhi	✓	✓
2.	Salah bin Ali Aba Alkhail	✓	✗
3.	Alaa bin Shakib Al Jabri	✓	✓
4.	Khaled bin Abdulrahman Al Gwaiz	✓	✓
5.	Ameen bin Fahad Al Sheddi	✓	✓
6.	Bader bin Mohammed Al Rajhi (Representative of Mohammed Abdulaziz Al Rajhi & Sons Investment Co.)	✓	✓
7.	Abdulatif bin Ali Al Seif (Representative of Public Pension Agency)	✓	✓
8.	Hamza bin Othman Khushaim (Representative of General Organisation for Social Insurance)	✓	✓
9.	Abdulaziz bin Khaled Al Ghufaily	✓	✓
10.	Raid bin Abdullah Al Tamimi	✓	✓
11.	Ibrahim bin Fahad Al Ghofaily	✗	✓

Bank’s significant plans, decisions and future expectations

Al Rajhi Bank continued its leadership in the Retail Banking market, and the Bank intends to enhance its leadership in this sector by increasing the financing portfolio in general and real estate financing in particular. The Bank also intends to invest in the latest technologies to ensure the provision of the best banking services and products to customers, in addition to expanding the customer base

A description of the Bank's dividend policy

The net annual profits of the Bank that are determined after deducting all public expenditures and other costs and creating the necessary reserves to face doubtful debts, investment losses and emergency obligations that the Board of Directors deems necessary in accordance with the provisions of the Banking Control Law and the directives of the Central Bank of Saudi Arabia shall be distributed as follows:

A. The sums required to pay the Zakat prescribed for the shareholders are calculated and the Bank pays these amounts to the competent authorities.

- B. At least 25% of the remainder of the net profits after deducting Zakat shall be carried over to the statutory reserve until the aforementioned reserve becomes at least equal to the paid-up capital.
- C. An amount not less than 5% of the paid-up capital, after deducting the statutory reserve and Zakat, is allocated from the remainder of the profits for distribution to the shareholders in accordance with what is proposed by the Board of Directors and decided by the General Assembly, and if the remaining percentage of the profits owed to the shareholders is not sufficient to pay this percentage, then Shareholders may not claim to pay it in the following year or years, and the general assembly may not decide to distribute a percentage of the profits in excess of what was proposed by the Board of Directors.
- D. The balance shall be used after allocating the sums mentioned in paragraphs (a), (b) and (c) above, as proposed by the Board of Directors and decided by the general assembly.

A description of any interest of the Bank’s board members, senior executives and their spouses and minor children in the Bank’s securities or any of its subsidiary companies.

A–Major shareholders:

No.	Holder of interest, contractual papers and subscription rights	Number of shares at the beginning of year 2020	Number of shares at the end of year 2020	Net change	Change %	Ownership %
1.	General Organization for Social Insurance	146,623,115	146,623,115	–	–	5.86

B–Members of the Board of Directors:

No.	Holder of interest, contractual papers and subscription rights	Number of shares at beginning of year 2020	Number of shares at end of year 2020	Net change	Change %
1.	Abdullah bin Sulaiman Al Rajhi	54,186,896	54,186,896	–	–
2.	Salah bin Ali bin Abdullah Abal Khail	2,300,000	Representation in the Board ended on 13 November 2020	–	–
3.	Abdulaziz bin Khaled Al Ghufaily	34,460	32,307	(2,153)	-6.25
4.	Bader bin Mohammed Al Rajhi	175,233	265,004	89,771	51.23
5.	Khaled bin Abdulrahman Al Gwaiz	14,615	–	(14,615)	-100.00
6.	Alaa bin Shakib Al Jabri	3,846	4,000	154	4.00
7.	Ibrahim bin Fahad Al Ghofaily	725,842	742,742	16,900	2.33
8.	Raid bin Abdullah Al Tamimi	1,538	1,538	–	–
9.	Abdul Latif bin Ali Al-Saif	61,538	1,000	(60,538)	-98.37
10.	Hamza bin Othman Khushaim	–	–	–	–
11.	Ameen bin Fahad Al Sheddi	–	Representation in the Board ended on 13 November 2020	–	–
12.	Stefano Paolo Bertamini	Representation in the Board began on 14 November 2020	–	–	–
13.	Ibrahim bin Mohammed Al Romaih	Representation in the Board began on 14 November 2020	20,924	–	–

Senior executives:

No.	Holder of interest, contractual papers and subscription rights	Number of shares at the beginning of year 2020	Number of shares at the end of year 2020	Net change	Change %
1.	Saleh Abdullah Al Lheidan	25,000	40,004	15,004	60.02
2.	Abdulahman Abdullah Al Fadda	3,000	30,352	27,352	911.73
3.	Abdulaziz Saad Resais	10,000	20,000	10,000	100.00
4.	Abdullah Suleiman Al Nami	100,000	–	(100,000)	-100.00
5.	Meshaal Mustafa Al-Fadl	Appointed on 1 December 2020	2,870	–	–
6.	Majed Saleh Al Rajhi	Appointed on 1 December 2020	76,025	–	–

Board meetings

No.	Member name	Number of meetings: six (6)					
		First meeting 17 February 2020	Second meeting 22 June 2020	Third meeting 14 September 2020	Fourth meeting 15 November 2020	Fifth meeting 15 December 2020	Sixth meeting 16 December 2020
1.	Abdullah bin Sulaiman Al Rajhi	✓	✓	✓	✓	✓	✓
2.	Alaa bin Shakib Al Jabri	✓	✓	✓	✓	✓	✓
3.	Abdulaziz bin Khalid Al Ghufaily	✓	✓	✓	✓	✓	✓
4.	Badr bin Mohammed Al Rajhi	✓	✓	✓	✓	✓	✓
5.	Khalid bin Abdulrahman Al Gwaiz	✓	✓	✓	✓	✓	✓
6.	Ibrahim bin Fahad Al Ghofaily	✓	✓	✓	✓	✓	✓
7.	Hamza bin Othman Khushaim	✓	✓	✓	✓	✓	✓
8.	Raeed bin Abdullah Al Tamimi	✓	✓	✓	✓	✓	✓
9.	Abdulatif bin Ali Al Seif	✓	✓	✓	✓	✓	✓
10.	Salah bin Ali Abdullah Aba Alkhail	✓	✓	✓	Their membership ended at the end of the tenth tenor on 13 November 2020		
11.	Ameen bin Fahad Al Sheddi	✓	✓	✓			
12.	Ibrahim M. Al Romaih	Their membership began with the eleventh tenor on 14 November 2020			✓	✓	✓
13.	Stefano Paolo Bertamini				✓	✓	✓

Bank requests for shareholder register

No.	Request date	Request reasons
1.	5 January 2020	Company actions
2.	30 January 2020	Company actions
3.	27 February 2020	Company actions
4.	28 March 2020	General assembly
5.	25 March 2020	Profits file
6.	29 April 2020	Company actions
7.	31 May 2020	Company actions
8.	1 July 2020	Company actions
9.	8 September 2020	Company actions
10.	1 September 2020	Company actions
11.	29 September 2020	Company actions
12.	1 November 2020	Company actions
13.	2 December 2020	Company actions

Related party transactions

During its normal business cycle, the Bank deals with related parties, and those transactions with related parties are subject to the controls stipulated by the Kingdom's legislative bodies, and the Bank has disclosed these transactions in Note 30 of its final financial statements for the year 2020. The following is a summary of the nature and balances of those transactions for the year ending on 31 December 2020 (all amounts are in thousands of Saudi riyals):

Type of transaction	Balances resulting from the transaction
Loans and advance payments	10,282,195
Potential obligations	3,664,052
Current accounts	242,323
Contributions receivable	321,512
Debtors against liabilities	169,437
Bank's balances	188,276
Income from finance and other income	32,141
Speculation (Mudaraba) fees	72,689
Employees' salaries and benefits (air tickets)	795
Building rentals and expenses	6,826
Contributions – policies written	721,077
Incurred and reported claims during the year	440,395
Paid claims	465,270
Board members remunerations	6,009
Short-term benefits	107,097
End of service provision	10,687

The following is the information related to the business and contracts in which the Bank was a party and in which there was an interest for a member of the Board of Directors, a senior executive, or any person related to any of their professions that took place during the year 2020:

1 Commercial contracts and service contracts (Figures are in Saudi Riyal)

No.	Related party	Party with direct indirect interest	Position in ARB	Type of relation with related party	Relation type	Period	Conditions	Transactions/ Contracts amount for 2020 SAR
1.	Fursan Travel & Tourism Co.	Abdullah bin Sulaiman Al Rajhi	Board member	Owned by Board member	Travel tickets for employees contract	Pricing contract and annually renewable	Standard conditions without preferences	978,821
2.	Berain Company	Badr bin Mohammed Al Rajhi	Board member	Board member in the Company	Mineral water supply services	For a period of one year, it is renewed automatically for a similar period	Standard conditions without preferences	356,850

2 Rental contracts (Figures are in Saudi Riyal)

No.	Related party	Party with direct indirect interest	Position in ARB	Type of relation with related party	Relation type	Period	Conditions	Transactions/ Contracts amount for 2020 SAR
1.	Mohammed Abdulaziz Al Rajhi & Sons Investment Co.	Badr bin Mohammed Al Rajhi	Board member	Board member in the company	Lease contract for the Southern Regional Administration building	Seven years – automatically renewable for similar period	Standard conditions without preferences	282,373
2.	Mohammed Abdulaziz Al Rajhi & Sons Investment Co.	Badr bin Mohammed Al Rajhi	Board member	Board member in the company	Lease contract for direct sales office in Abha	Seven years – automatically renewable for similar period	Standard conditions without preferences	46,000
3.	Mohammed Abdulaziz Al Rajhi & Sons Investment Co.	Badr bin Mohammed Al Rajhi	Board member	Board member in the company	Lease contract for ATM location	Five years – automatically renewable for similar period	Standard conditions without preferences	40,250
4.	Abdullah bin Sulaiman Al Rajhi	–	Board member	Board member in the company	Lease contract for Al-Batha Exchange and Transfer Center	One year – automatically renewable for similar period	Standard conditions without preferences	632,500
5.	National Gas and Manufacturing Company	Raeed bin Abdullah Al Tamimi	Board member	Board member in the company	Lease contract for ATM location	One year – automatically renewable for similar period	Standard conditions without preferences	126,500

3 Insurance contracts

No.	Related party	Party with direct indirect interest	Position in ARB	Type of relation with related party	Relation type	Period	Conditions	Transactions/ Contracts amount for 2020 SAR
1.	Al Rajhi Co. for Cooperative Insurance	Abdullah Bin Sulaiman Al Rajhi Board member	Board member	The member holds the position of a member of its Board of Directors	Comprehensive insurance policies for banks, property, business interruption, and coverage for directors and executives	Annual contracts	Standard conditions without preferences	99,466,000
		Saleh Abdullah Al Zumaie	Senior executive	The Senior executive is a member of the Board of Directors				
		Saleh bin Abdullah Al Lheidan	Senior executive	The Senior executive is a member of the Sharia Board				
2.	Al Rajhi Co. for Cooperative Insurance	Abdullah bin Sulaiman Al Rajhi	Board member	The member holds the position of a member of its Board of Directors	Comprehensive car insurance policies	Annual contracts	Standard conditions without preferences	621,144,000
		Saleh Abdullah Al Zumaie	Senior executive	The Senior executive is a member of the Board of Directors				
		Saleh bin Abdullah Al Lheidan	Senior executive	The Senior executive is a member of the Sharia Board				

Statutory payments

Regular payments due by the Bank during the year consist of Zakat owed by shareholders, taxes, sums paid to the General Organisation for Social Insurance, costs of issuing visas, passports, etc.

The following table shows details of the statutory payments made during the year:

Description	2020		Brief description reasons	Reasons
	Paid	Payable until the end of the financial period (not paid)		
Zakat	2,032,674,042	–	Paid	–
Tax	52,089,182.65	–	Paid	–
VAT	134,017,182.59	–	Paid	–
GOSI	270,871,737	–	Paid	–
Visa and passports costs	270,950	–	Paid	–
Ministry of labour fees	2,323,743	–	Paid	–

Account books

The Bank prepares the consolidated financial statements in accordance with the accounting standards for financial institutions issued by the Central Bank of Saudi Arabia and the international standards for financial reporting. The Bank also prepares its consolidated financial statements to comply with the requirements of the Banking Control Law, the Companies Law in the Kingdom of Saudi Arabia, and the Bank's Articles of Association.

Basel 3

The Bank publishes its quantitative and qualitative disclosure data on an annual basis. These disclosures are available in the Annual Basel Report and are available on the Bank's website (www.alrajhibank.com.sa).

Auditors

During the Ordinary General Assembly of the shareholders, Messrs. Ernst & Young and KPMG Al Fozan & Partners were appointed as auditors for the Bank's accounts for the fiscal year 2020. The next General Assembly, God willing, will appoint external auditors for the fiscal year 2021, based on the recommendation of the Audit and Compliance Committee in this regard.

The Board did not recommend replacing the external auditors before the end of the contract period.

Board of Directors' Acknowledgments

According to the available information, Auditor's report, and current market data, the Board of Directors acknowledge the following:

- Accounting records have been prepared properly.
- The Internal control system has been based on proper fundamentals and executed effectively.
- There is no doubt about the Bank's ability to continue its business.

The conclusion

The Board of Directors expresses its pleasure and pride in the positive results achieved by the Bank during the year 2020. On this occasion, the Board would like to convey its appreciation to the Custodian of the Two Holy Mosques, Crown Prince, and our wise Government.

The Bank also extends its sincere thanks to the Ministry of Finance, the Ministry of Commerce, the Central Bank of Saudi Arabia and the Financial Market Authority for their consistent cooperation and continuous support in developing the financial sector, which had a great impact and role in supporting the growth of the national economy.

The Board also seizes this opportunity to express its thanks and appreciation to the shareholders, the Bank's valued customers and its correspondents for their support, confidence and cooperation, which has had a positive impact in furthering progress and prosperity for the Bank. It also conveys its sincere thanks and appreciation to all employees of the Bank for their sincere efforts and dedication. In addition, the Bank extends its appreciation to Sharia Board members for their loyal efforts and effective contributions to the Bank's business.

The Bank continuously evaluates its risk management framework for appropriateness and relevance in the wake of increasing intensity of regulatory supervision and various emerging developments.

Approach to risk management

With substantially lower return on assets (ROA) due to the nature of the business of financial intermediation and maturity transformation, banks operate at higher levels of gearing to be able to generate acceptable level of returns to investors that are attractive in terms of return on equity (ROE). This process does, however, expose banks to a multitude of industry specific risks to a greater degree than those faced by other organisations. To mitigate such risks and to optimise the trade-off between risk and return it is imperative for banks to have an effective and integrated enterprise risk management infrastructure in place.

Apart from the risks that are inherent in financial intermediation and maturity transformation, emerging global developments are now threatening to disrupt the conventional business models of banks. While the COVID-19 pandemic brought about its own share of risks to the banking and financial services sector, there is a range of other risks involved. These include digitalisation; disruptive competition from fintechs; demographic changes; increased regulation specifically around anti-money laundering, consumer protection and privacy laws; cybersecurity threats and increasing concerns on sustainability (refer Operating Context on page 27 and Materiality of page 37).

Remaining in compliance with the regulations of the Saudi Central Bank (SAMA) is a key priority for the Bank. SAMA is recognised for its strong and sound implementation of prudential regulation and standards in promoting a world-class risk management environment within Saudi Arabia, having recently been recognised as the best risk manager at the level of central banks worldwide by the Central Banking Awards Committee. As a full member of the Financial Action Task Force (FATF), the global money laundering and terrorist financing watchdog, SAMA is focused on strengthening standards and improving monitoring and oversight at individual banking institution level. SAMA has also introduced regulatory reforms that address the fast-paced changes in business models resulting from technological advancements in the banking sector.

In line with SAMA regulations and guided by a suite of Board approved risk management policies, Al Rajhi Bank has a sound risk management framework (RMF) with necessary oversight of the Board of Directors, for identifying, assessing, measuring, mitigating, monitoring, and reporting risks, enabling such risks to be prudently managed.

Objectives of risk management

The primary objectives of the risk management function of the Bank are to:

- Operationalise the Bank's risk management policies by establishing the required systems, processes, and procedures
- Assist in decisions relating to accepting, transferring, mitigating and minimising risks and recommending ways of doing so
- Evaluate the risk profile against the approved risk appetite on an ongoing basis
- Estimate potential losses that could arise from risk exposures assumed
- Periodically conduct stress testing in accordance with regulatory requirements
- Ensure that the Bank holds sufficient buffers of capital and liquidity to meet unexpected losses and honour contractual obligations
- Integrate the Bank's risk management practice with strategy development and execution
- Institutionalise a strong risk culture within the Bank including conduct risk enforcement

Types of risk

Conventionally the Bank is exposed to a number of risks, which it manages through its robust risk management framework. While various external and internal factors affect the Bank's risk profile on an ongoing basis it has identified certain potentially disruptive emerging risks and uncertainties. These risks increase the unpredictability of the operating environment for financial services institutions and result in making some of the long-standing norms about markets, competition, and even business fundamentals less valid today. As a result, there is strong impetus for the Bank to better understand our customers with the adoption

of a customer centric approach and deliver on their expectations. By acting on such an impetus, the Bank is able to better differentiate its value proposition for future growth, while dealing with these developments through the appropriate strategic responses.

Credit risk

Financial loss due to a counterparty failing to meet the terms of an obligation to a transaction remains the largest and most common risk for the Bank and the Group. Some of the key sources of credit risk are credit facilities provided to customers, cash and deposits held with other banks, and some off-balance sheet financial instruments such as guarantees relating to purchase and sale of foreign currencies or letters of credit. The Bank systematically evaluates its customers' creditworthiness using quantitative and qualitative criteria, in ensuring that it maintains a robust loan and investment portfolio. By conducting periodic loan reviews that are geared to detect any weaknesses in the quality of the portfolio, the Bank is also able to take appropriate remedial measures.

Liquidity risk

Liquidity risk is defined as the Bank's inability to meet its financial liabilities when they fall due or replace withdrawn funds without incurring unacceptable losses. This type of risk would invariably or potentially have a major impact on the Bank's reputation and its ability to do business going forward. The Bank's ability to accurately forecast cash flows and cash equivalents is crucial to its ability to manage liquidity risk. For this reason, their implementation is based on practice and limits set by the Group and historical deposit movement.

As market disruptions and rating downgrades may negatively impact its liquidity, the Bank managed its assets judiciously. Besides faithfully maintaining comfortably above the regulator specified levels of liquidity at all times in terms of liquidity coverage and net stable funding, the Group is guided in its liquidity management efforts by behavioural analysis of historical

movements in funding sources. Maturity mismatches in assets and liabilities are being monitored on an ongoing basis. The Bank is also constantly focussing on diversifying its sources of funding to further mitigate this risk. To address any future liquidity risk that may arise, the Bank proactively conducts its Internal Liquidity Adequacy Assessment Plan (ILAAP) exercise to estimate the available funding under stress situation and on forecasted basis.

Market risk

Risks related to profit rate, exchange rate, equity prices, and commodity prices are classed as market risk. They occur when the fair value or present value of future cash flows of a financial instrument fluctuate due to changes in market prices. With profit rate products, foreign currency, and mutual fund products, all exposed to general and specific market movements, changes in the level of volatility of market rates or prices can impact the performance of the Bank.

For a Sharia-compliant Bank such as Al Rajhi Bank, risks resulting from speculative operations such as hedging, options, forward contracts, and derivatives are mitigated. The Group is not immune to market risks.

Operational Risk

Generally attributed to inadequate or failed internal systems and processes, human actions and/or external events.

The Bank's operational risk is effectively overseen through an enterprise operational risk policy encompassing the implementation of operational risk tools designed to reduce or mitigate the failure of people, process and system level failures and associated operational incidents and losses.

The aggregated results of such stresses indicated manageable levels of risk, during the year under review, demonstrating the Bank's overall resilience and the success of its integrated approach to the identification, measurement, and monitoring of operational risk.

Concentration risk

As the Bank's area of business is not limited to one location or its customers to a single type, its diversity in these areas provides a buffer against a number of shocks to its operating environment. As a result, the Bank's geographical diversity and the loyal patronage of its varied customer base – which spans industries, countries, and wallet-size – mitigates concentration risk by providing greater stability in the face of external impacts.

Risk management practices

The Board Risk Management Committee (BRMC) supports the Board of Directors in their role of overseeing the Bank's performance in line with its risk appetite. The Bank's risk management function operates within the regulatory framework set out by the Saudi Central Bank (SAMA).

The Bank's risk management framework is covered by the Bank's Internal Capital Adequacy Assessment Process (ICAAP) and details the Bank's risk appetite, risk management approach, and primary risk controls. The ICAAP is submitted to SAMA on an annual basis following its review by the BRMC and approval by the Board. The BRMC then reviews and provides recommendations to the Board on the Internal Liquidity Adequacy Assessment Plan (ILAAP), which is also submitted to SAMA on an annual basis.

To remain profitable, the Bank must manage risks with prudence and pragmatism by accurately identifying potential risks and the impact of such risks on the Bank's value creation process. Such a process involves establishing risk thresholds, which are derived from the Bank's risk appetite. The Bank has set up policies and procedures that help it to identify and analyse relevant risks, manage its capital effectively, and provide shareholders with sustainable returns.

The role of the Credit and Risk Group headed by the Chief Risk Officer is crucial to the Bank's management of risk across its operations. This team works within the risk frameworks and policies approved by the Board of Directors and its remit encompasses credit risk management,

operational risk management and enterprise risk management. The Group's reports to the Board of Directors and related committees span credit risks and portfolio asset quality, operational risks, liquidity risks, market risks, reputational risks, and technology and cybersecurity risks among others.

The Credit and Provisioning Policy, Operational Risk Policies, Risk Appetite Statements, Market and Liquidity Risk Policies and Information Security Policy of the Bank are reviewed by the BRMC, whose recommendations are submitted for the Board's approval.

The Asset and Liability Committee (ALCO) monitors the Bank's liquidity risk. Their remit includes day-to-day management of funds to ensure that funds are available when necessary to meet commitments, monitoring liquidity ratios against benchmarks, and managing the concentration and profile of debt maturities.

The Credit and Risk Group regularly monitors market risks, submitting monthly reports to ALCO for assessment. ALCO ensures that risks taken are appropriate but initiates mitigating action if they are not within the Bank's risk appetite.

The Bank's diverse customer base fortifies the Bank against a number of risks. With its keen understanding of different customer requirements, the Bank segments this stakeholder group into three primary divisions:

- Retail Banking
- Micro, Small and Medium Enterprises (MSME)
- Corporate Banking

By grouping customers in this way, the Bank is able to align its value proposition in terms of products, services, and delivery channels to better cater to their needs. The Bank's retail customer-oriented business model provides a diverse risk profile that is supplemented by its robust corporate banking customer base. The extensive branch network endears the Bank to its loyal customer base, generating a high level of stable sticky demand deposits, which in turn have a positive impact on the Bank's liquidity.

The Bank's risk management practices support its long-term value creation plans by regulating the entire customer journey from onboarding to issuing finances and providing reliable and relevant products and services.

Credit rating

Rating agency	Long-term	Short-term
S&P	BBB+	A-2
Fitch	A-	F1
Moody's	A1	P-1
Capital Intelligence	A+	A1

Receiving positive credit ratings from international rating agencies over consecutive years has been favourable for the Bank's reputation. The year under review presents no change in the ratings despite the challenging economic and geopolitical environment.

Future outlook



The unprecedented operating environment brought about by the COVID-19 pandemic and the impact of the accompanying socio-economic challenges to the banking sector is likely to continue well into 2021 and beyond. Besides these macroeconomic shocks, banks will experience widening and deepening banking regulations and pervasive technological advances. The Bank is cognisant of the added importance of the risk management function and possible need to recalibrate its underlying policies, frameworks and tools in its efforts to manage shareholder expectations and customer experience. In the circumstances, the Bank will continue to fine-tune its risk strategies to maintain a strong capital base, sound funding and liquidity position and further enhancing the cyber resilience and controls.

In line with the BOTF strategy, the Bank will strengthen the risk management framework further through the necessary changes to the mandate, structure, resourcing, competencies, technologies, MIS, and data analytics etc., further aligning business strategies with sound risk management practices and making the risk management function more forward looking and proactive. Expanding its core customer segments of retail, corporate, and SME in line with world-class risk management practices, regulatory standards, and international best practices too will continue to be a core focus for the Bank.

Financial Statements

Independent Auditors' Report	140
Consolidated Statement of Financial Position	142
Consolidated Statement of Income	143
Consolidated Statement of Comprehensive Income	144
Consolidated Statement of Changes in Shareholders' Equity	145
Consolidated Statement of Cash Flows	146
Notes to the Consolidated Financial Statements	147



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Independent Auditors’ Report on the Audit of the Consolidated Financial Statements to the Shareholders of Al Rajhi Banking and Investment Corporation (A Saudi Joint Stock Company)

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Al Rajhi Banking and Investment Corporation (the “Bank”) and its subsidiaries (collectively referred to as the “Group”), which comprise the consolidated statement of financial position as at 31 December 2020, and the consolidated statement of income, consolidated statement of comprehensive income, consolidated statement of changes in shareholders’ equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2020, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards (“IFRS”) as endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the Saudi Organization for Certified Public Accountants (“SOCPA”) (collectively referred to as “IFRS as endorsed in KSA”).

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia. Our responsibilities under those standards are further described in the *Auditors’ Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the professional code of conduct and ethics, as endorsed in the Kingdom of Saudi Arabia, that are relevant to our audit of the consolidated financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements for the current year. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each key audit matter below, a description of how our audit addressed the matter is provided in that context:



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Key audit matter

How our audit addressed the key audit matter

Expected credit loss allowance against financing

As at 31 December 2020, the Group’s gross financing amounted to SAR 323,183.5 million (2019: SAR 256,702.4 million), against which an expected credit loss (“ECL”) allowance of SAR 7,471.3 million (2019: SAR 7,019.6 million) was recorded.

We considered this as a key audit matter, as the determination of ECL involves significant management judgement, and this has a material impact on the consolidated financial statements of the Group. Moreover, the COVID-19 pandemic has resulted in heightened uncertainty regarding the economic outlook in particular, and hence has increased the levels of judgment needed to determine the ECL under the requirements of IFRS 9 – *Financial Instruments* (“IFRS 9”). The key areas of judgment include:

- 1. Categorisation of financing into Stages 1, 2 and 3 based on the identification of:
 - (a) exposures that have a significant increase in credit risk (“SICR”) since their origination; and
 - (b) individually impaired/defaulted exposures.

In accordance with the requirements of IFRS 9, the Group measures ECL based on the credit losses expected to arise over the next twelve months (“12 month ECL”), unless there has been a significant increase in credit risk since origination or default, in which case, the allowance is based on the ECL expected to arise over the life of the financing (“Lifetime ECL”).

The Group has applied judgments to identify and estimate the likelihood of borrowers experiencing SICR, notwithstanding the government support programs that resulted in repayment deferrals to certain segments of counterparties. The repayment deferrals were not deemed to have triggered SICR by themselves in isolation of other factors.

- 2. Assumptions used in the ECL model for determining probability of default (“PD”), loss given default (“LGD”) and exposure at default (“EAD”), including but not limited to assessment of the financial condition of counterparties, expected future cash flows and developing and incorporating forward looking assumptions, macroeconomic factors and the associated scenarios and expected probabilities.

- We obtained and updated our understanding of management’s assessment of the ECL allowance in respect of financing, including the Group’s internal rating model, accounting policy and methodology, as well as any key changes made in light of the COVID-19 pandemic.

- We compared the Group’s accounting policy and methodology for ECL allowance with the requirements of IFRS 9.

- We assessed the design and implementation, and tested the operating effectiveness of the key controls (including relevant IT general and application controls) in relation to:
 - the ECL model (including governance over the model, its validation, approval of key assumptions and post model overlays, if any);
 - the classification of borrowers into various stages and timely identification of SICR, and the determination of default/individually impaired exposures;
 - the IT systems and applications underpinning the ECL model; and
 - the data inputs into the ECL model.

- For a sample of customers, we assessed:
 - the internal ratings determined by management based on the Group’s internal models and considered these assigned ratings in light of external market conditions and available industry information, in particular with reference to the impacts of the COVID-19 pandemic, and also assessed that these were consistent with the ratings used as inputs in the ECL model;
 - the staging as identified by management; and
 - management’s computations for ECL.

- We assessed the appropriateness of the Group’s criteria for the determination of SICR and default and the identification of individually impaired exposures; and their classification into stages. Further, for a sample of exposures, we assessed the appropriateness of the corresponding staging classification, including customers who were eligible for deferral of instalments under government support programs (with specific focus on customers operating in sectors most affected by the COVID-19 pandemic).



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Key audit matter

3. The need to apply post model overlays using expert credit judgment to reflect all relevant risk factors that might not be captured by the ECL model.

The application of these judgments, particularly in light of the global pandemic, have given rise to greater estimation uncertainty around ECL and therefore affected the associated audit risk thereon as at 31 December 2020.

Refer to the summary of significant accounting policy note 3d)5) for the impairment of financial assets; note 2d)i) which contains the disclosure of critical accounting judgements, estimates and assumptions relating to impairment losses on financial assets and the impairment assessment methodology used by the Group; note 7-2 which contains the disclosure of impairment against financing; note 27-1a) for details of credit quality analysis and key assumptions and factors considered in determination of ECL; and note 38 for impact of the COVID-19 pandemic on ECL.

SAMA support program and related government grants

In response to COVID-19 pandemic, the Saudi Central Bank (“SAMA”) launched a number of initiatives, including the liquidity support programme for banks and the Private Sector Financing Support Program (“PSFSP”). The PSFSP was launched in March 2020 to provide the necessary support to the Micro, Small and Medium Enterprises (“MSMEs”). The PSFSP included the deferred payments program, whereby the Bank deferred the instalments payable by MSMEs falling due during the period from 14 March 2020 to 31 March 2021.

In order to compensate the Bank with respect to the losses incurred in connection with the PSFSP and the liquidity support programme, the Bank has received profit free deposits of varying maturities amounting in aggregate to SAR 8.85 billion. The difference between the fair value of such deposits at initial recognition, determined using market rates of deposits of similar value and tenor, and their face value has been considered as a government grant and accounted for in accordance with International Accounting Standard 20: *Government Grants* (“IAS 20”).

How our audit addressed the key audit matter

- We assessed the governance process established by the Group and the qualitative factors considered by the Group when applying any overlays or making any adjustments to the output from the ECL model, due to data or model limitations or otherwise.
- We assessed the reasonableness of the underlying assumptions used by the Group in the ECL model, including forward looking assumptions, keeping in view the uncertainty and volatility in economic scenarios due to the COVID 19 pandemic.
- We tested the completeness and accuracy of data underpinning the ECL calculations as at 31 December 2020.
- Where relevant, we involved our specialists, including IT specialists, to assist us in reviewing ECL model calculations, evaluating inputs and assessing the reasonableness of assumptions used, particularly around macroeconomic variables, macroeconomic scenarios and probability weights.
- We assessed the adequacy of related disclosures in the consolidated financial statements.

- We obtained an understanding of the various programmes and initiatives taken by SAMA during the year ended 31 December 2020 in response to COVID-19, and assessed the objectives of the deposits received by the Group in relation thereto to assess the appropriateness of the application of IAS 20 (and recognition of government grant) by the Group.
- We checked the accuracy of the government grants computation (including discount rates used) and assessed the appropriateness of the timing of recognition of the government grants by the Group.
- We assessed the appropriateness of related disclosures in the consolidated financial statements.

Key audit matter

We considered the accounting for the deposits received under the SAMA support programme as a key audit matter because:

1. these deposits represent significant events and material transactions that occurred during the year, and thereby required significant auditors’ attention; and
2. the recognition and measurement of government grants have involved significant management judgment, including but not limited to:
 - (a) determining the appropriate discount rate to be used; and
 - (b) identifying the objective of each individual deposit to determine the timing of recognition of the associated grant.

Refer to the significant accounting policy note 3a to the consolidated financial statements relating to government grant accounting; and note 38 which contains the disclosure of SAMA support programmes and details of the government grants received over the year from SAMA

Other Information included in the Group’s 2020 Annual Report

Management is responsible for the other information. Other information consists of the information included in the Group’s 2020 annual report, other than the consolidated financial statements and our auditors’ report thereon. The annual report is expected to be made available to us after the date of this auditors’ report.

Our opinion on the consolidated financial statements does not cover the other information, and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the other information, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.



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Responsibilities of the Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS as endorsed in KSA, the applicable requirements of the Regulations for Companies, the Banking Control Law in the Kingdom of Saudi Arabia and the Bank’s By-Laws; and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group’s ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group’s financial reporting process.

Auditors’ Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors’ report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

- As part of an audit in accordance with the International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
 - Obtain an understanding of the internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group’s internal controls.
 - Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
 - Conclude on the appropriateness of the management’s use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group’s ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors’ report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors’ report. However, future events or conditions may cause the Group to cease to continue as a going concern.
 - Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
 - Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the the Group’s audit. We remain jointly responsible for our audit opinion.



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We communicate with those charged with governance regarding, amongst other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate to them all relationships and other matters that may reasonably be thought to bear on our independence and, where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements for the year ended 31 December 2020 and are therefore the key audit matters. We describe these matters in our auditors’ report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

Based on the information that has been made available to us, nothing has come to our attention that causes us to believe that the Group was not in compliance, in all material respects, with the applicable requirements of the Regulations for Companies, the Banking Control Law in the Kingdom of Saudi Arabia and the Bank’s By-Laws, in so far as they affect the preparation and presentation of the consolidated financial statements for the year ended 31 December 2020.

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29 Jumada Thani 1442H
(11 February 2021)

Consolidated Statement of Financial Position

Consolidated Statement of Income

As at 31 December	Notes	2020 (SAR '000)	2019 (SAR '000)
Assets			
Cash and balances with Saudi Arabian Monetary Authority ("SAMA") and other central banks	4	47,362,522	39,294,099
Due from banks and other financial institutions, net	5	28,654,842	32,058,182
Investments, net	6	60,285,272	46,842,630
Financing, net	7	315,712,101	249,682,805
Property and equipment, net	8	10,234,785	10,407,247
Investment properties, net	9	1,541,211	1,383,849
Other assets, net	10	5,033,990	4,417,764
Total assets		468,824,723	384,086,576
Liabilities and Shareholders' Equity			
Liabilities			
Due to banks and other financial institutions	11	10,764,061	2,219,604
Customers' deposits	12	382,631,003	312,405,823
Other liabilities	13	17,311,141	18,269,492
Total liabilities		410,706,205	332,894,919
Shareholders' equity			
Share capital	14	25,000,000	25,000,000
Statutory reserve	15	25,000,000	21,789,632
Other reserves	15	(134,728)	(216,041)
Retained earnings		8,253,246	868,066
Proposed gross dividends	23	–	3,750,000
Total shareholders' equity		58,118,518	51,191,657
Total liabilities and shareholders' equity		468,824,723	384,086,576

The accompanying Notes from 1 to 39 form an integral part of these consolidated financial statements.

Chairman

Chief Executive Officer

Chief Financial Officer

For the years ended 31 December	Notes	2020 (SAR '000)	2019 (SAR '000)
Income			
Gross financing and investment income	17	17,377,963	16,962,583
Return on customers', banks' and financial institutions' time investments	17	(464,946)	(534,860)
Net financing and investment income	17	16,913,017	16,427,723
Expenses			
Fee from banking services, net	18	2,659,680	1,987,367
Exchange income, net		783,894	774,096
Other operating income, net	19	364,669	295,278
Total operating income		20,721,260	19,484,464
Operating expenses before credit impairment charge			
Salaries and employees' related benefits	20	2,977,344	2,794,046
Depreciation and Amortisation	8 & 9	1,118,148	1,059,582
Other general and administrative expenses	21	2,646,409	2,532,213
Operating expenses before credit impairment charge		6,741,901	6,385,841
Impairment charge for financing and other financial assets, net	7	2,165,740	1,772,265
Total operating expenses		8,907,641	8,158,106
Income for the year before Zakat		11,813,619	11,326,358
Zakat for the year	37	(1,218,071)	(1,167,831)
Net income for the year		10,595,548	10,158,527
Basic and diluted earnings per share (in SAR)	22	4.24	4.06

The accompanying Notes from 1 to 39 form an integral part of these consolidated financial statements.

Chairman

Chief Executive Officer

Chief Financial Officer

Consolidated Statement of Comprehensive Income

Consolidated Statement of Changes in Shareholders' Equity

For the years ended 31 December	Notes	2020 (SAR '000)	2019 (SAR '000)
Net income for the year		10,595,548	10,158,527
Other comprehensive income			
Items that cannot be reclassified to consolidated statement of income in subsequent periods			
Net change in fair value of equity investments held at fair value through other comprehensive income ("FVOCI Investments")	15	254,222	178,773
Re-measurement of employees' end of service benefits liabilities ("ESOB")	15 & 25	(179,605)	(51,630)
Items that can be reclassified to consolidated statement of income in subsequent periods			
Exchange difference on translating foreign operations	15	6,696	6,371
Total comprehensive income for the year		10,676,861	10,292,041

The accompanying Notes from 1 to 39 form an integral part of these consolidated financial statements.


Chairman


Chief Executive Officer


Chief Financial Officer

For the years ended 31 December	Notes	Share capital (SAR '000)	Statutory reserve (SAR '000)	Other reserves (SAR '000)	Retained earnings (SAR '000)	Proposed gross dividends (SAR '000)	Total (SAR '000)
2020							
Balance at 31 December 2019		25,000,000	21,789,632	(216,041)	868,066	3,750,000	51,191,657
Net income for the year		-	-	-	10,595,548	-	10,595,548
Net change in fair value of FVOCI investments	15	-	-	254,222	-	-	254,222
Exchange difference on translation foreign operations	15	-	-	6,696	-	-	6,696
Re-measurement of employee ESOB liabilities	15 & 25	-	-	(179,605)	-	-	(179,605)
Net other comprehensive income recognised directly in shareholders' equity		-	-	81,313	-	-	81,313
Total comprehensive income for the year		-	-	81,313	10,595,548	-	10,676,861
Transfer to statutory reserve	23	-	3,210,368	-	(3,210,368)	-	-
Dividend for the second half 2019		-	-	-	-	(3,750,000)	(3,750,000)
Balance at 31 December 2020		25,000,000	25,000,000	(134,728)	8,253,246	-	58,118,518
2019							
Restated balance at 31 December 2018		16,250,000	16,250,000	(349,555)	12,499,171	3,656,250	48,305,866
Net income for the year		-	-	-	10,158,527	-	10,158,527
Net change in fair value of FVOCI investments	15	-	-	178,773	-	-	178,773
Exchange difference on translation foreign operations	15	-	-	6,371	-	-	6,371
Re-measurement of employee ESOB liabilities	15 & 25	-	-	(51,630)	-	-	(51,630)
Net other comprehensive income recognised directly in shareholders' equity		-	-	133,514	-	-	133,514
Total comprehensive income for the year		-	-	133,514	10,158,527	-	10,292,041
Transfer to statutory reserve		-	5,539,632	-	(5,539,632)	-	-
Bonus shares issued	14	8,750,000	-	-	(8,750,000)	-	-
Dividend for the second half 2018		-	-	-	-	(3,656,250)	(3,656,250)
Interim dividends for the first half of 2019	23	-	-	-	(3,750,000)	-	(3,750,000)
Proposed final dividends for 2019	23	-	-	-	(3,750,000)	3,750,000	-
Balance at 31 December 2019		25,000,000	21,789,632	(216,041)	868,066	3,750,000	51,191,657

The accompanying Notes from 1 to 39 form an integral part of these consolidated financial statements.


Chairman


Chief Executive Officer


Chief Financial Officer

Consolidated Statement of Cash Flows

Notes to the Consolidated Financial Statements

For the years ended 31 December	Notes	2020 (SAR '000)	2019 (SAR '000)
Cash flows from operating activities			
Income before Zakat		11,813,619	11,326,358
Adjustments to reconcile net income to net cash from/(used in) operating activities:			
Gain on investments held at fair value through statement of income (FVSI)	19	(33,441)	(21,617)
Depreciation and Amortisation	8	1,080,171	1,059,582
Depreciation on investment properties	9	37,977	17,221
(Gain) on sale of property and equipment, net	19	(10,256)	(568)
Impairment charge for financing and other financial assets, net	7	2,165,740	1,772,265
Share in profit of an associate	19	(42,944)	(23,481)
(Increase)/decrease in operating assets			
Statutory deposit with SAMA and other central banks		(2,796,037)	(1,219,309)
Due from banks and other financial institutions		9,846,917	(3,174,273)
Financing		(68,195,037)	(19,696,863)
FVSI investments		(4,615,776)	25,685
Other assets, net		(609,530)	(804,605)
Increase/(decrease) in operating liabilities			
Due to banks and other financial institutions		8,544,457	(5,070,020)
Customers' deposits		70,225,180	18,496,698
Other liabilities		(958,351)	4,388,757
Zakat paid		(2,032,674)	(2,889,286)
Net cash generated from operating activities		24,420,015	4,186,544
Cash flows from investing activities			
Purchase of property and equipment	8	(945,686)	(1,527,133)
Purchase of investment property		-	(103,480)
Purchase of FVOCI investments		(2,528,010)	(1,638,587)
Proceeds from disposal of FVOCI investments		163,231	1,148,963
Proceeds from maturities of investments held at amortized cost		23,898,760	91,458,865
Purchase of investments held at amortized cost		(29,500,087)	(94,524,237)
Net cash used in investing activities		(8,911,792)	(5,185,609)
Cash flows from financing activities			
Dividends paid	23	(3,750,000)	(7,406,250)
Payment against lease obligation		(42,261)	(269,789)
Net cash used in financing activities		(3,792,261)	(7,676,039)
Net increase (decrease) in cash and cash equivalents		11,715,962	(8,675,104)
Cash and cash equivalents at the beginning of the year		21,111,399	29,786,503
Cash and cash equivalents at the end of the year	24	32,827,361	21,111,399
Gross financing and investment income received during the year		17,579,469	16,693,465
Return on customers', banks' and financial institutions' time investments paid during the year		(147,912)	(282,046)
		17,431,557	16,411,419
Non-cash transactions:			
Net change in fair value of FVOCI equity investments		254,222	178,773

The accompanying Notes from 1 to 39 form an integral part of these consolidated financial statements.



Chairman



Chief Executive Officer



Chief Financial Officer

1 – General

(a) Incorporation and operation

Al Rajhi Banking and Investment Corporation, a Saudi Joint Stock Company, (the "Bank"), was formed and licensed pursuant to Royal Decree No. M/59 dated 3 Dhul Qadah 1407H (corresponding to 29 June 1987) and in accordance with Article 6 of the Council of Ministers' Resolution No. 245, dated 26 Shawal 1407H (corresponding to 23 June 1987).

The Bank operates under Commercial Registration No. 1010000096 and its Head Office is located at the following address:

Al Rajhi Bank
8467 King Fahd Road - Al Muruj Dist.
Unit No 1
Riyadh 12263 - 2743
Kingdom of Saudi Arabia

The objectives of the Bank are to carry out banking and investment activities in accordance with its Articles of Association and By-Laws, the Banking Control Law and the Council of Ministers' Resolution referred to above. The Bank is engaged in banking and investment activities inside and outside the Kingdom of Saudi Arabia through 591 branches (2019: 572) including the branches outside the Kingdom and 13,716 employees (2019: 13,439 employees). The Bank has established certain subsidiary companies (together with the Bank hereinafter referred to as "the Group") in which it owns all or majority of their shares as set out below (Also see note 3(b)):

Name of subsidiaries	Shareholding percentage		
	2020 %	2019 %	
Al Rajhi Development Company – KSA	100	100	A limited liability company registered in the Kingdom of Saudi Arabia to support the mortgage programs of the Bank through transferring and holding the title deeds of real estate properties under its name on behalf of the Bank, collection of revenue of certain properties sold by the Bank, provide real estate and engineering consulting services, provide documentation service to register the real estate properties and overseeing the evaluation of real estate properties.
Al Rajhi Corporation Limited – Malaysia	100	100	A licensed Islamic Bank under the Islamic Financial Services Act 2013, incorporated and domiciled in Malaysia.
Al Rajhi Capital Company – KSA	100	100	A Saudi Closed Joint Stock Company authorised by the Capital Market Authority to carry on securities business in the activities of Dealing/brokerage, Managing assets, advising, Arranging, and Custody.
Al Rajhi Bank – Kuwait	100	100	A foreign branch registered with the Central Bank of Kuwait.
Al Rajhi Bank – Jordan	100	100	A foreign branch operating in Hashemite Kingdom of Jordan, providing all financial, banking, and investments services and importing and trading in precious metals and stones in accordance with Islamic Sharia'a rules and under the applicable banking law.
Al Rajhi Takaful Agency Company – KSA	99	99	A limited liability company registered in the Kingdom of Saudi Arabia to act as an agent for insurance brokerage activities per the agency agreement with Al Rajhi Cooperative Insurance Company.
Al Rajhi Company for Management Services – KSA	100	100	A limited liability company registered in the Kingdom of Saudi Arabia to provide recruitment services.
Emkan Finance Company – KSA	100	100	A closed joint stock company registered in the Kingdom of Saudi Arabia providing micro consumer financing, finance lease and small and medium business financing.
Tawtheeq Company – KSA	100	100	A closed joint stock company registered in Kingdom of Saudi Arabia providing financial leasing contracts registration to organise contracts data and streamline litigation processes.
Al Rajhi Financial Markets Ltd.	100	100	A Limited Liability Company registered in the Cayman Islands with the objective of managing certain treasury related transaction on be half of the Bank.

Since the subsidiaries are wholly or substantially owned by the Bank, the non-controlling interest is insignificant and therefore not disclosed. All of the above-mentioned subsidiaries have been consolidated.

(b) Shari’a Authority

As a commitment from the Bank for its activities to be in compliance with Islamic Shari’a legislations, since its inception, the Bank has established a Shari’a Authority to ascertain that the Bank’s activities are subject to its approval and control. The Shari’a Authority had reviewed several of the Bank’s activities and issued the required decisions thereon.

2 – Basis of Preparation

(a) Statement of compliance

The consolidated financial statements of the Group have been prepared

- in accordance with ‘International Financial Reporting Standards (“IFRS”) as endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the Saudi Organization for Certified Public Accountants (“SOCPA”) and
- in compliance with the provisions of Banking Control Law, the Regulations for Companies in the Kingdom of Saudi Arabia and by-laws of the Bank

(b) Basis of measurement and preparation

The consolidated financial statements are prepared under the historical cost convention except for the measurement at fair value of derivatives, investments held as fair value through income statement (“FVSI”) and investments held at fair value through other comprehensive income (“FVOCI”).

The Group presents its consolidated statement of financial position in order of liquidity. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in Note 27.2.

(c) Functional and presentation currency

The consolidated financial statements are presented in Saudi Arabian Riyals (“SAR”), which is the Bank’s functional currency, and are rounded off to the nearest thousand except where otherwise indicated.

(d) Critical accounting judgments, estimates and assumptions

The preparation of the consolidated financial statements in conformity with IFRS as endorsed in KSA and other standards and pronouncements issued by SOCPA, requires the use of certain critical accounting estimates and assumptions that affect the reported amounts of assets and liabilities. It also requires management to exercise its judgments in the process of applying the Group’s accounting policies. Such estimates, assumptions and judgments are continually evaluated and are

based on historical experience and other factors, including obtaining professional advice and expectations of future events that are believed to be reasonable under the circumstances. Revisions to accounting estimates are recognised in the period in which the estimate is revised, if the revision affects only that period, or in the period of revision and in future periods if the revision affects both current and future periods.

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances beyond the control of the Group. Such changes are reflected in the assumptions when they occur. Significant areas where management has used estimates, assumptions or exercised judgments is as follows:

(i) Impairment losses on financial assets

The measurement of impairment losses under IFRS 9 across all categories of financial assets requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes in which can result in different levels of allowances. The Group’s ECL calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL models that are considered accounting judgements and estimates include:

- The Group’s internal credit grading model, which assigns PDs to the individual grades
- The Group’s criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a Lifetime ECL basis and the qualitative assessment
- The segmentation of financial assets when their ECL is assessed on a collective basis
- Development of ECL models, including the various formulas and the choice of inputs
- Determination of associations between macroeconomic scenarios and, economic inputs and collateral values, and the effect on PDs, EADs and LGDs
- Selection of forward-looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models

(ii) Fair value of financial instruments

The Group measures certain financial instruments at fair value at each consolidated balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant’s ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- **Level 1** – Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- **Level 2** – Inputs other than quoted prices included within Level 1 that are observable either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques in which all significant inputs are directly or indirectly observable from market data.
- **Level 3** – Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

(iii) Determination of control over investees

The control indicators are subject to management’s judgments, and can have a significant effect in the case of the Bank’s interests in investments funds.

Investment funds

The Group acts as Fund Manager to a number of investment funds. Determining whether the Group controls such an investment fund usually focuses on the assessment of the aggregate economic interests of the Group in the Fund (comprising any carried profits and expected management fees) and the investor’s rights to remove the Fund Manager the Group has concluded that it acts as an agent for the investors in all cases, and therefore has not consolidated these funds.

(iv) Provisions for liabilities and charges

The Group receives legal claims against it in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claims is uncertain, as is the amounts of possible outflow of economic benefits. Timing and cost ultimately depends on the due process being followed as per the Law.

(v) Going concern

The consolidated financial statements have been prepared on a going concern basis. The Group’s management has made an assessment of the Group’s ability to continue as a going concern and is satisfied that the Group has the resources to continue in business for the foreseeable future. Furthermore, the management is not aware of any material uncertainties that may cast significant doubt upon the Group’s ability to continue as a going concern.

3 – Summary of Significant Accounting Policies

The significant accounting policies adopted in the preparation of these consolidated financial statements are set out below.

(a) Change in accounting policies

The accounting policies used in the preparation of these consolidated financial statements are consistent with those used in the preparation of the annual consolidated financial statements for the year ended 31 December 2019 except for the effect of government grant and derivatives financial instruments accounting policies mentioned below.

Government grants

The Bank recognises a government grant related to income, if there is a reasonable assurance that it will be received, and the Bank will comply with the conditions associated with the grant. The benefit of a government deposit at a below-market rate of profit is treated as a government grant related to income. The below-market rate deposit is recognised and measured in accordance with IFRS 9 Financial Instruments. The benefit of the below-market rate of profit is measured as the difference between the initial fair value of the deposit determined in accordance with IFRS 9 and the proceeds received. The benefit is accounted for in accordance with IAS 20. The government grant is recognised in the statement of income on a systematic basis over the period in which the Bank recognises as expenses the related costs for which the grant is intended to compensate. The grant income is only recognised when the ultimate beneficiary is the Bank. Where the customer is the ultimate beneficiary, the Bank only records the respective receivable and payable amounts.

Derivative financial instruments

Derivative financial instruments include foreign exchange forward contracts and profit rate swaps. These derivatives financial instruments are initially recognised at fair value on the date on which the derivative contract is entered into. These instruments are carried at their fair value as assets where the fair value is positive and as liabilities where the fair value is negative. Fair values are obtained by reference to quoted market prices, discounted cash flow models and pricing models as appropriate.

In the ordinary course of business, the Bank utilises the following derivative financial instruments for trading purposes:

(a) Profit rate swaps

Swaps are commitments to exchange one set of cash flows for another. For profit rate swaps, counterparties exchange fixed and floating profit rate payments in a single currency without exchanging principal.

(b) Foreign exchange forwards

Forwards are contractual agreements to either buy or sell a specified currency at a specified price and date in the future. Forwards are customised contracts transacted in the over-the-counter markets. Foreign currencies are transacted in standardised amounts on regulated exchanges and changes in futures contract values are settled daily.

Held for trading purposes

Most of the Bank’s derivative trading activities relate to sales and positioning. Sales activities involve offering products to customers and banks in order, inter alia, to enable them to

transfer, modify or reduce current and future risks. Positioning involves managing market risk positions with the expectation of profiting from favourable movements in prices, rates or indices.

Any changes in the fair value of derivatives that are held for trading purposes are taken directly to the interim condensed consolidated statement of income and disclosed in foreign exchange income for foreign exchange forward contracts and in other income for profit rate swap contracts.

IBOR Transition (Profit Rate Benchmark Reforms):

A fundamental review and reform of major profit rate benchmarks is being undertaken globally. The International Accounting Standards Board (“IASB”) is engaged in a two-phase process of amending its guidance to assist in a smoother transition away from IBOR.

Phase (1) – The first phase of amendments to IFRS 9 Financial Instruments, IAS 39 Financial Instruments: Recognition and Measurement and IFRS 7 Financial Instruments: Disclosures focused on hedge accounting issues. The final amendments, issued in September 2019, amended specific hedge accounting requirements to provide relief from the potential effects of the uncertainty caused by IBOR reform. The amendments are effective from 1 January 2020 and are mandatory for all hedge relationships directly affected by IBOR reform. The Bank has adopted these amendments along with the hedging relief for pre-replacement hedges.

Phase (2) – The second phase relates to the replacement of benchmark rates (IBOR) with alternative risk-free rates (RFR). The Phase 2 amendments are effective for annual periods beginning on or after 1 January 2021 and early application is permitted. Now that the Phase 2 Amendments have been finalised, the Bank will complete its assessment of the accounting implications of the scenarios it expects to encounter as the transition from IBORs to RFRs in order to accelerate its programmes to implement the new requirements. The Phase 2 Amendments introduce new areas of judgment, the Bank needs to ensure it has appropriate accounting policies and governance in place. For the additional disclosures, the Bank will have to assess and implement required updates in the financial reporting systems and processes to gather and present the information required.

Management is running a project on the Bank’s overall transition activities and continues to engage with various stakeholders to support an orderly transition. The project is significant in terms of scale and complexity and will impact products, internal systems and processes.

The table below shows the Bank’s exposure at the year-end to significant IBORs subject to reform that have yet to transition to RFRs. The table excludes exposures to IBOR that will expire before transition is required.

In SAR '000 31 December 2020	Non- derivative financial assets – carrying value	Non-derivative financial liabilities carrying value	Derivatives Nominal amount ¹
SAIBOR SAR (1 month)	47,000	–	11,009
SAIBOR SAR (3 months)	25,025,000	–	76,131
SAIBOR SAR (6 months)	25,610,000	–	1,528,100
SAIBOR SAR (12 months)	500,000	–	–
LIBOR USD (1 months)	24,000	–	23,019
LIBOR USD (3 months)	3,246,250	–	563,250
LIBOR USD (6 months)	7,160,000	–	6,926,443
LIBOR USD (12 months)	–	–	–
Total	61,612,250	–	9,127,752

(b) Basis of consolidation

These consolidated financial statements comprise the financial statements of the Group. The financial statements of subsidiaries are prepared for the same reporting year as that of the Bank, using consistent accounting policies.

Subsidiaries are investees controlled by the Group. The Group controls an investee if it is exposed to, or has rights to, variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The financial statements of subsidiaries are included in the consolidated financial statements from the date on which control commences until the date when control ceases.

The consolidated financial statements have been prepared using uniform accounting policies and valuation methods for like transactions and other events in similar circumstances. Specifically, the Group controls an investee if and only if the Group has:

- Power over the investee (i.e. existing rights that give it the current ability to direct the relevant activities of the investee);
- Exposure, or rights, to variable returns from its involvement with the investee; and
- The ability to use its power over the investee to affect amount of its returns.

When the Group has less than majority of the voting or similar rights of an investee entity, the Bank considers all relevant facts and circumstances in assessing whether it has power over the entity, including:

- The contractual arrangement with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Bank’s voting rights and potential voting rights granted by equity instruments such as shares

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the statement of comprehensive income from the date the Group gains control until the date the Group ceases to control the subsidiary. A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Bank loses control over a subsidiary, it:

- Derecognises the assets and liabilities of the subsidiary
- Derecognises the cumulative translation differences recorded in shareholder’s equity
- Recognises the fair value of the consideration received
- Recognises the fair value of any investment retained
- Recognises any surplus or deficit in profit or loss
- Reclassifies the parent’s share of components previously recognised in OCI to profit or loss or retained earnings, as appropriate as would be required if the Bank had directly disposed of the related assets or liabilities.

Intra group balances and any income and expenses arising from intra-group transactions, are eliminated in preparing these consolidated financial statements.

(c) Investment in an associate

An associate is an entity over which the Group exercises significant influence (but not control), over financial and operating policies and which is neither a subsidiary nor a joint arrangement.

Investments in associates are carried in the consolidated statement of financial position at cost, plus post-acquisition changes in the Group's share of net assets of the associate, less any impairment in the value of individual investments. The Group's share of its associates' post-acquisition profits or losses are recognised in the consolidated statement of income, and its share of post-acquisition movements in other comprehensive income is recognised in reserves. The cumulative post-acquisition movements are adjusted against the carrying amount of the investment.

The previously recognised impairment loss in respect of investment in associate can be reversed through the consolidated statement of income, such that the carrying amount of the investment in the consolidated statement of financial position remains at the lower of the equity-accounted (before provision for impairment) or the recoverable amount. On derecognition the difference between the carrying amount of investment in the associate and the fair value of the consideration received is recognised in the consolidated statement of income.

Unrealised gains on transactions are eliminated to the extent of the Group's interest in the investee. Unrealised losses are also eliminated unless the transaction provides evidence of impairment in the asset transferred. The financial statements of the associate are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

(d) Financial instruments

1. Classification of financial assets

On initial recognition, a financial asset is classified and measured at: amortised cost, FVOCI or FVSI. This classification is generally based on the business model in which a financial asset is managed and its contractual cash flows.

Financial assets at amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVSI:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial Asset at FVOCI

A debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVSI:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Equity Instruments: On initial recognition, for an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an instrument-by-instrument (i.e. share-by-share) basis.

Financial Asset at FVSI

All other financial assets are classified as measured at FVSI.

In addition, on initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVSI if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Bank changes its business model for managing financial assets.

Business model assessment

The Group makes an assessment of the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual profit revenue, maintaining a particular profit rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets;

- how the performance of the portfolio is evaluated and reported to the Bank's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Bank's stated objective for managing the financial assets is achieved and how cash flows are realised.

The business model assessment is based on reasonably expected scenarios without taking "worst case" or "stress case" scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Group's original expectations, the Group does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

Financial assets that are held for trading and whose performance is evaluated on a fair value basis are measured at FVSI because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Assessments whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, "principal" is the fair value of the financial asset on initial recognition. "Interest" is the consideration for the time value of money, the credit and other basic lending risk associated with the principal amount outstanding during a particular period and other basic lending costs (e.g. liquidity risk and administrative costs), along with profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Group considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;

- prepayment and extension terms;
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse asset arrangements); and
- features that modify consideration of the time value of money- e.g. periodical reset of interest rates.

Reclassification

The Group reclassifies the financial assets between FVSI, FVOCI and amortised cost if and only if under rare circumstances and if its business model objective for its financial assets changes so its previous business model assessment would no longer apply.

The Group offers profit based products including Mutajara, instalment sales, Murabaha and Istisnaa to its customers in compliance with Shari'a rules.

The Group classifies its Principal financing and Investment as follows:

Financing: These financings represent loans granted to customers. These financings mainly constitute four broad categories i.e. Mutajara, Installment sales, Murabaha and credit cards. The Group classifies these financings at amortised cost.

Due from banks and other financial institutions: These consists of placements with Financial Institutions (FIs). The Bank classifies these balances due from banks and other financial institutions at amortised cost as they are held to collect contractual cash flows and pass SPPI criterion.

Investments (Murabaha with SAMA): These investments consists of placements with the Saudi Central Bank (SAMA). The Bank classifies these investments at amortised cost as they are held to collect contractual cash flows and pass SPPI criterion.

Investments (Sukuk): These investments consists of Investment in various Sukuk. The Group classifies these investments at amortised cost except for those Sukuk which fails SPPI criterion, which are classified at FVSI.

Equity Investments: These are the strategic equity investments which the Bank does not expect to sell, for which Group has made an irrevocable election on the date of initial recognition to present the fair value changes in other comprehensive income.

Investments (Mutual Funds): The investments consist of Investments in various Mutual Funds. The Group classifies these investment at FVSI as these investments fail SPPI criterion.

2. Classification of financial liabilities

The Group classifies its financial liabilities, other than financial guarantees and loan commitments, as measured at amortised cost.

All amounts due to banks and other financial institutions and customer deposits are initially recognised at fair value less transaction costs.

Subsequently, financial liabilities are measured at amortised cost, unless they are required to be measured at fair value through profit or loss.

3. Derecognition

Financial assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

On derecognition of a financial asset (debt instrument), the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognised in OCI is recognised in profit or loss.

In transactions in which the Group neither retains nor transfers substantially all of the risks and rewards of ownership of a financial asset and it retains control over the asset, the Group continues to recognise the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

Any cumulative gain/loss recognised in OCI in respect of equity investment securities designated as at FVOCI is not recognised in profit or loss on derecognition of such securities. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Bank is recognised as a separate asset or liability.

Financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expired.

4. Modifications of financial assets and financial liabilities

Financial assets

If the terms of a financial asset are modified, the Group evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value.

If the cash flows of the modified asset carried at amortised cost are not substantially different, then the modification does not result in derecognition of the financial asset. In this case, the Group recalculates the gross carrying amount of the financial asset and recognises the amount arising from adjusting the gross carrying amount as a modification gain or loss in the consolidated statement of income. If such a modification is carried out because of financial difficulties of the borrower, then the gain or loss is presented together with impairment losses. In other cases, it is presented as financing income.

Financial liabilities

The Group derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in consolidated statement of income.

5. Impairment

Impairment of financial assets

The loss allowance is based on the ECLs associated with the probability of default in the next twelve months unless there has been a significant increase in credit risk since origination. If the financial asset meets the definition of purchased or originated credit impaired (POCI), the allowance is based on the change in the ECLs over the life of the asset. POCI assets are financial assets that are credit impaired on initial recognition. POCI assets are recorded at fair value at original recognition and financing income is subsequently recognised based on a credit-adjusted EIR. ECLs are only recognised or released to the extent that there is a subsequent change in the expected credit losses.

The Group recognises loss allowances for ECL on the following financial instruments that are not measured at FVSI:

- financial assets that are debt instruments;
- lease receivables;
- financial guarantee contracts issued; and
- loan commitments issued.

No impairment loss is recognised on equity investments.

The Group measures loss allowances at an amount equal to lifetime ECL, except for the following, for which they are measured as 12-month ECL:

- debt investment securities that are determined to have low credit risk at the reporting date; and
- other financial instruments on which credit risk has not increased significantly since their initial recognition

The Group considers a debt security to have low credit risk when their credit risk rating is equivalent to the globally understood definition of “investment grade”.

12-month ECL are the portion of ECL that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Measurement of ECL

ECL are a probability-weighted estimate of credit losses. It is measured as follows:

- financial assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive);
- financial assets that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- undrawn loan commitments: as the present value of the difference between the contractual cash flows that are due to the Group if the commitment is drawn down and the cash flows that the Group expects to receive; and
- financial guarantee contracts: the expected payments to reimburse the holder less any amounts that the Group expects to recover.

Restructured financial assets

If the terms of a financial asset are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the borrower, then an assessment is made of whether the financial asset should be derecognised and ECL are measured as follows:

- If the expected restructuring will not result in derecognition of the existing asset, then the expected cash flows arising from the modified financial asset are included in calculating the cash shortfalls from the existing asset.
- If the expected restructuring will result in derecognition of the existing asset, then the expected fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of its derecognition. This amount is included in calculating the cash shortfalls from the existing financial asset that are discounted from the expected date of derecognition to the reporting date using the original effective profit rate of the existing financial asset.

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost are credit-impaired. A financial asset is “credit-impaired” when one or more events that have detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past due event;
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Financing that has been renegotiated due to deterioration in the borrower’s condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment. In addition, a retail financing that is overdue for 90 days or more is considered impaired.

- In making an assessment of whether an investment in sovereign debt is credit-impaired, the Group considers the following factors.
- The market’s assessment of creditworthiness as reflected in the yields.
 - The rating agencies’ assessments of creditworthiness.
 - The country’s ability to access the capital markets for new debt issuance.
 - The probability of debt being restructured, resulting in holders suffering losses through voluntary or mandatory debt forgiveness.
 - The international support mechanisms in place to provide the necessary support as “lender of last resort” to that country, as well as the intention, reflected in public statements, of governments and agencies to use those mechanisms. This includes an assessment of the depth of thoes mechanisms and, irrespective of the political intents, whether there is the capacity to fulfil the required criteria.

Presentation of allowance for ECL in the consolidated statement of financial position

Loss allowances for ECL are presented in the consolidated statement of financial position as follows:

- financial assets measured at amortised cost: as a deduction from the gross carrying amount of the assets;
- where a financial instrument includes both a drawn and an undrawn component, and the Group cannot identify the ECL on the financing commitment component separately from those on the drawn component: the Group presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision.
- financing commitments and financial guarantee contracts: generally, as a provision;

Write-off

Financing are written off (either partially or in full) when there is no realistic prospect of recovery. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Bank’s procedures for recovery of amounts due. If the amount to be written off is greater than the accumulated loss allowance, the difference is first treated as an addition to the allowance that is then applied against the gross carrying amount. Any subsequent recoveries are credited to credit loss expense.

Collateral valuation

To mitigate its credit risks on financial assets, the Group seeks to use collateral, where possible. The collateral comes in various forms, such as cash, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting agreements. Collateral, unless repossessed, is not recorded on the Group’s statement of financial position. However, the fair value of collateral affects the calculation of ECL. It is generally assessed, at a minimum, at inception and re-assessed on a periodic basis. However, some collateral, for example, cash or market securities relating to margining requirements, is valued daily.

To the extent possible, the Group uses active market data for valuing financial assets held as collateral. Non-financial collateral, such as real estate, is valued based on data provided by third parties such as mortgage brokers, or based on housing price indices.

Collateral repossessed

The Group’s policy is to determine whether a repossessed asset can be best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset. Assets for which selling is determined to be a better option are transferred to assets held for sale at their fair value (if financial assets) and fair value less cost to sell for non-financial assets at the repossession date in, line with the Group’s policy.

6. Financial guarantees and financing commitments

“Financial guarantees” are contracts that require the Group to make specified payments to reimburse the holder for a loss that it incurs because a specified debtor fails to make payment when it is due in accordance with the terms of a debt instrument. “financing commitments” are firm commitments to provide credit under pre-specified terms and conditions.

Financial guarantees issued or commitments to provide a financing at a below-market profit rate are initially measured at fair value and the initial fair value is amortised over the life of the guarantee or the commitment. Subsequently, they are measured at the higher of this amortised amount and the amount of loss allowance; and

The Group has issued no financing commitments that are measured at FVSI. For other loan commitments the Group recognises loss allowance;

7. Foreign Currencies

The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the year adjusted for the effective profits rate and payments during the year and the amortised cost in foreign currency translated at the exchange rate at the end of the year.

Realised and unrealised gains or losses on exchange are credited or charged to the consolidated statement of comprehensive income.

Foreign currency differences arising on translation are generally recognised in profit or loss. However, foreign currency differences arising from the translation of equity investments in respect of which an election has been made to present subsequent changes in fair value in OCI are recognised in OCI.

The monetary assets and liabilities of foreign subsidiaries are translated into SAR at rates of exchange prevailing at the date of the consolidated statement of financial position. The statements of income of foreign subsidiaries are translated at the weighted average exchange rates for the year.

(e) Trade date

All regular way purchases and sales of financial assets are recognised and derecognised on the trade date (i.e. the date on which the Group commits to purchase or sell the assets). Regular way purchases or sales of financial assets require delivery of those assets within the time frame generally established by regulation or convention in the market place. All other financial assets and financial liabilities (including assets and liabilities designated at fair value through statement of income) are initially recognised on the trade date at which the Group becomes a party to the contractual provisions of the instrument.

(f) Offsetting financial instruments

Financial assets and financial liabilities are offset and are reported net in the consolidated statement of financial position when there is a legally enforceable right to set off the recognised amounts, and when the Group intends to settle on a net basis, or to realise the asset and settle the liability simultaneously. Income and expenses are not offset in the consolidated statement of income unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies of the Group.

(g) Revenue recognition

The following specific recognition criteria must be met before revenue is recognised.

Income from Mutajara, Murabaha, investments held at amortised cost, instalment sale, Istisna’a financing and credit cards services is recognised based on the effective yield basis on the outstanding balances. The effective yield is the rate that exactly discounts the estimated future cash receipts through the expected life of the financial asset (or, where appropriate, a shorter period) to the carrying amount of the financial asset . When calculating the effective yield, the Group estimates future cash flows considering all contractual terms of the financial instrument but excluding future credit losses. Fees and commissions are recognised when the service has been provided.

Financing commitment fees that are likely to be drawn down and other credit related fees are deferred (above certain threshold) and, together with the related direct cost, are recognised as an adjustment to the effective yield on the financing. When a financing commitment is not expected to result in the draw-down of a financing, financing commitment fees are recognised on a straight-line basis over the commitment period.

Fee and commission income that are integral to the effective rate on a financial asset or financial liability are included in the effective.

Portfolio and other management advisory and service fees are recognised based on the applicable service contracts, over the period when the service is being provided i.e. related performance obligation is satisfied.

Fees received for asset management, wealth Management, financial planning, custody services and other similar services that are provided over an extended period of time, are recognised over the period when the service is being provided i.e. related performance obligation is satisfied . Asset management fees related to investment funds are recognised over the period the service is being provided. The same principle applies to Wealth management and Custody Services that are continuously recognized over a period of time.

Dividend income is recognised when the right to receive income is established which is generally when the shareholders approve the dividend. Dividends are reflected as a component of net trading income, net income from FVSI financial instruments or other operating income based on the underlying classification of the equity instrument.

Foreign currency exchange income/loss is recognized when earned/incurred.

Net trading income results from trading activities and include all realised and unrealised gains and losses from changes in fair value and related gross investment income or expense, dividends for financial assets and financial liabilities held for trading and foreign exchange differences.

Net income from FVSI financial instruments relates to financial assets and liabilities designated as FVSI and includes all realised and unrealised fair value changes, investment income, dividends and foreign exchange differences.

Rendering of services

The Group provides various services to its customer. These services are either rendered separately or bundled together with rendering of other services.

The Group has concluded that revenue from rendering of various services related to payment service system, share trading services, remittance business, SADAD and Mudaraba (i.e. subscription, management and performance fees), should be recognised at the point when services are rendered i.e. when performance obligation is satisfied.

(h) Other real estate

The Group, in the ordinary course of business, acquires certain real estate against settlement of due financing. Such real estate are considered as assets held for sale and are initially stated at the lower of net realisable value of due financing and the current fair value of the related properties, less any costs to sell (if material). Rental income from other real estate is recognised in the consolidated statement of income.

(i) Investment properties

Investment properties are held for long-term rental yield and are not occupied by the Group. They are carried at cost, and depreciation is charged to the consolidated statement of income.

The cost of investment properties is depreciated using the straight-line method over the estimated useful life of the assets.

(j) Property and equipment

Property and equipment is stated at cost less accumulated depreciation and accumulated impairment loss. Land is not depreciated. The cost of other property and equipment is depreciated using the straight-line method over the estimated useful life of the assets, as follows:

Leasehold land improvements over the lesser of the period of the lease or the useful life.

Buildings – 33 years

Leasehold building improvements – over the lease period or 3 years, whichever is shorter

Equipment and furniture – 3 to 10 years

Right of use assets – over the lease period

The assets’ residual values and useful lives are reviewed, and adjusted if appropriate, at the date of each statement of financial position.

Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in consolidated statement of income.

All assets are reviewed for impairment at each reporting date and whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. Any carrying amount is written down immediately to its recoverable amount if the asset’s carrying amount is greater than its estimated recoverable amount.

(k) Customers’ deposits

Customer deposits are financial liabilities that are initially recognised at fair value less transaction cost, being the fair value of the consideration received, and are subsequently measured at amortised cost.

(l) Provisions

Provisions are recognised when the Group has present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made.

(m) Cash and cash equivalents

For the purposes of the consolidated statement of cash flows, “cash and cash equivalents” include notes and coins on hand, balances with SAMA (excluding statutory deposits) and due from banks and other financial institutions with original maturity of 90 days or less from the date of acquisition which are subject to insignificant risk of changes in their fair value.

(n) Short-term employee benefits

Short-term employee benefits are measured on an undiscounted basis and are expensed as the related service is provided.

(o) Special commission excluded from the consolidated statement of income

In accordance with the Shari’a Authority’s resolutions, special commission income (non-Shari’a compliant income) received by the Bank is excluded from the determination of financing and investment income of the Bank, and is transferred to other liabilities in the consolidated statement of financial position and is subsequently paid-off to charity institutions.

(p) Provisions for employees’ end of service benefits

The provision for employees’ end of service benefits is accrued using actuarial valuation according to the regulations of Saudi labor law and local regulatory requirements.

(q) Share-based payments

The Bank’s founders had established a share-based compensation plan under which the entity receives services from the eligible employees as consideration for equity instruments of the Bank which are granted to the employees.

(r) Mudaraba funds

The Group carries out Mudaraba transactions on behalf of its customers, and are treated by the Group as being restricted investments. These are included as off balance sheet items. The Group’s share of profits from managing such funds is included in the Group’s consolidated statement of income.

(s) Investment management services

The Bank provides investment management services to its customers, through its subsidiary which include management of certain mutual funds. Assets held in trust or in a fiduciary capacity are not treated as assets of the Group and, accordingly, are not included in the Group’s consolidated financial statements. The Group’s share of these funds is included under FVSI investments. Fees earned are disclosed in the consolidated statement of income.

(t) Bank’s products definition

The Bank provides its customers with banking products based on interest avoidance concept and in accordance with Shari’a regulations. The following is a description of some of the financing products:

Mutajara financing:

It is a financing agreement whereby the Bank purchases a commodity or an asset and sells it to the client based on a purchase promise from the client with a deferred price higher than the cash price, accordingly the client becomes debtor to the Bank with the sale amount and for the period agreed in the contract.

Instalment sales financing:

It is a financing agreement whereby the Bank purchases a commodity or an asset and sells it to the client based on a purchase promise from the client with a deferred price higher than the cash price.

Accordingly the client becomes a debtor to the Bank with the sale amount to be paid through instalments as agreed in the contract.

Istisnaa financing:

It is a financing agreement whereby the Bank contracts to manufacture a commodity with certain known and accurate specifications according to the client’s request. The client becomes a debtor to the Bank for the manufacturing price, which includes cost plus profit.

Murabaha financing:

It is a financing agreement whereby the Bank purchases a commodity or asset and sells it to the client with a price representing the purchase price plus a profit known and agreed by the client which means that the client is aware of the cost and profit separately.

4 – Cash and Balances with SAMA and Other Central Banks

Cash and balances with SAMA and central banks as of 31 December comprise the following:

	2020 (SAR '000)	2019 (SAR '000)
Cash in hand	7,355,940	7,404,276
Statutory deposits	23,459,540	20,663,503
Current account with SAMA	311,493	371,320
Mutajara with SAMA	16,235,549	10,855,000
Total	47,362,522	39,294,099

In accordance with the Banking Control Law and regulations issued by SAMA, the Bank is required to maintain a statutory deposit with SAMA and other central banks at stipulated percentages of its customers' demand deposits, customers' time investment and other customers' accounts calculated at the end of each Gregorian month.

The above statutory deposits are not available to finance the Bank's day-to-day operations and therefore are not considered as part of cash and cash equivalents (Note 24), when preparing the consolidated statement of cash flows.

5 – Due from Banks and Other Financial Institutions

Due from banks and other financial institutions as of 31 December comprise the following:

	2020 (SAR '000)	2019 (SAR '000)
Current accounts	1,259,634	798,168
Mutajara	27,395,208	31,260,014
Total	28,654,842	32,058,182

The table below depicts the quality of due from banks and other financial institutions as at 31 December:

	2020 (SAR '000)	2019 (SAR '000)
Investment grade [credit rating (AAA to BBB)]	28,013,793	31,601,630
Non-investment grade [credit rating (BB+ to B-)]	492,593	241,353
Unrated	148,456	215,199
Total	28,654,842	32,058,182

The credit quality of due from banks and other financial institutions is managed using external credit rating agencies. The above due from banks and other financial institution balances are neither past due nor impaired classified in stage 1.

6 – Investments, Net

(a) Investments comprise the following as of 31 December:

	2020 (SAR '000)	2019 (SAR '000)
Investment in an associate	239,179	196,235
Investments held at amortised cost		
Murabaha with Saudi Government and SAMA	22,904,021	24,991,978
Sukuk	25,240,452	17,973,379
Structured products	1,000,000	–
Less: Impairment (Stage 1)	(26,962)	(22,270)
Total investments held at amortised cost	49,117,511	42,943,087
Investments held as FVSI		
Mutual funds	2,545,864	1,230,711
Structured products	1,502,525	–
Sukuk	2,588,595	800,000
Total investments held as FVSI	6,636,984	2,030,711
FVOCI investments		
Equity investments	3,687,266	1,672,597
Sukuk	604,332	–
Total FVOCI investments	4,291,598	1,672,597
Investments	60,285,272	46,842,630

The designated FVSI investments included above are designated upon initial recognition as FVSI and are in accordance with the documented risk management strategy of the Bank.

All investments held at amortised costs are neither past due nor impaired as of 31 December 2020 & 2019.

Equity investment securities designated as at FVOCI

The Bank has designated investment in equity securities designated at FVOCI. The FVOCI designation was made because the investments are expected to be held for the long-term for strategic purposes.

None of the strategic investments were disposed of during 2020, and there were no transfers of any cumulative gain or loss within equity relating to these investments.

Investment in an associate

The Bank owns 22.5% (31 December 2019: 22.5%) shares of Al Rajhi Company for Cooperative Insurance, a Saudi Joint Stock Company.

(b) The analysis of the composition of investments as of 31 December is as follows:

	2020		
	Quoted (SAR '000)	Unquoted (SAR '000)	Total (SAR '000)
Murabaha with Saudi Government and SAMA	–	22,904,021	22,904,021
Structured products	–	2,502,525	2,502,525
Sukuk	24,143,625	4,262,792	28,406,417
Equities	3,902,056	24,389	3,926,445
Mutual funds	2,291,749	254,115	2,545,864
Total	30,337,430	29,947,842	60,285,272

	2019		
	Quoted (SAR '000)	Unquoted (SAR '000)	Total (SAR '000)
Murabaha with Saudi Government and SAMA	–	24,991,978	24,991,978
Sukuk	13,248,750	5,502,359	18,751,109
Equities	1,844,477	24,355	1,868,832
Mutual funds	1,230,711	–	1,230,711
Total	16,323,938	30,518,692	46,842,630

(c) The analysis of unrecognised gains and losses and fair values of investments as of 31 December are as follows:

	2020			Fair value (SAR '000)
	Gross carrying value (SAR '000)	Gross unrecognised gains (SAR '000)	Gross unrecognised losses (SAR '000)	
Murabaha with Saudi Government and SAMA	22,904,021	322,861	–	23,226,882
Sukuk	28,406,417	915,263	–	29,321,680
Structured products	2,502,525	48,310	–	2,550,835
Equities	3,926,445	–	–	3,926,445
Mutual funds	2,545,864	–	–	2,545,864
Total	60,285,272	1,286,434	–	61,571,706

	2019			Fair value (SAR '000)
	Gross carrying value (SAR '000)	Gross unrecognised gains (SAR '000)	Gross unrecognised losses (SAR '000)	
Murabaha with Saudi Government and SAMA	24,991,978	276,199	–	25,268,177
Sukuk	18,773,379	384,209	–	19,157,588
Equities	1,868,832	–	–	1,868,832
Mutual funds	1,230,711	–	–	1,230,711
Total	46,864,900	660,408	–	47,525,308

(d) Credit quality of investments

	2020 (SAR '000)	2019 (SAR '000)
Murabaha with Saudi Government and SAMA	22,904,021	24,991,978
Sukuk – Investment grade	26,404,319	18,565,484
Structured products – Investment grade	2,502,525	–
Sukuk – BB+ (Fitch)	597,098	185,625
Sukuk unrated	1,405,000	–
Total	53,812,963	43,743,087

Investment grade includes those investments having credit exposure equivalent to Standard and Poor's rating of AAA to BBB. The unrated category only comprise unquoted sukuku. Fitch has assigned A rating to the KSA as a country, as at 31 December 2020 (31 December 2019: A).

(e) The following is an analysis of foreign investments according to investment categories as at 31 December:

	2020 (SAR '000)	2019 (SAR '000)
Investments held at amortised cost		
Sukuk	3,766,053	1,128,857
FVOCI investments		
Sukuk	604,332	–
Equity investments	21,309	21,274
Investments held as FVSI		
Mutual funds	190,843	13,409
Total	4,582,537	1,163,540

(f) The following is an analysis of investments according to counterparties as at 31 December:

	2020 (SAR '000)	2019 (SAR '000)
Government and quasi government	45,718,805	41,780,947
Banks and other financial institutions	5,091,120	800,000
Companies	6,956,445	3,053,242
Mutual funds	2,545,864	1,230,711
Less: Impairment (Stage 1)	(26,962)	(22,270)
Net investments	60,285,272	46,842,630

7 – Financing, Net

7.1 Financing

(a) Net financing as of 31 December comprises the following:

	2020			
	Performing	Non-performing	Allowance for impairment	Net financing
	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)
Mutajara	38,536,363	1,690,865	(2,995,894)	37,231,334
Instalment sale	259,150,038	728,401	(4,398,923)	255,479,516
Murabaha	19,725,827	–	(55,734)	19,670,093
Credit cards	3,326,115	25,848	(20,805)	3,331,158
Total	320,738,343	2,445,114	(7,471,356)	315,712,101

	2019			
	Performing	Non-performing	Allowance for impairment	Net financing
	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)
Mutajara	42,932,499	1,687,074	(3,042,329)	41,577,244
Instalment sale	190,952,220	581,977	(3,810,196)	187,724,001
Murabaha	17,372,860	–	(144,794)	17,228,066
Credit cards	3,128,029	47,742	(22,277)	3,153,494
Total	254,385,608	2,316,793	(7,019,596)	249,682,805

(b) The net financing by location, inside and outside the Kingdom of Saudi Arabia, as of 31 December is as follows:

	2020				
	Mutajara (SAR '000)	Instalment sale (SAR '000)	Murabaha (SAR '000)	Credit cards (SAR '000)	Total (SAR '000)
Description					
Inside the Kingdom of Saudi Arabia	40,227,228	255,124,933	14,595,825	3,345,758	313,293,744
Outside the Kingdom of Saudi Arabia	–	4,753,506	5,130,002	6,205	9,889,713
Gross financing	40,227,228	259,878,439	19,725,827	3,351,963	323,183,457
Allowance for impairment	(2,995,894)	(4,398,923)	(55,734)	(20,805)	(7,471,356)
Net financing	37,231,334	255,479,516	19,670,093	3,331,158	315,712,101

	2019				
	Mutajara (SAR '000)	Instalment sale (SAR '000)	Murabaha (SAR '000)	Credit cards (SAR '000)	Total (SAR '000)
Description					
Inside the Kingdom of Saudi Arabia	44,619,573	187,029,236	11,580,210	3,168,653	246,397,672
Outside the Kingdom of Saudi Arabia	–	4,504,961	5,792,650	7,118	10,304,729
Gross financing	44,619,573	191,534,197	17,372,860	3,175,771	256,702,401
Allowance for impairment	(3,042,329)	(3,810,196)	(144,794)	(22,277)	(7,019,596)
Net financing	41,577,244	187,724,001	17,228,066	3,153,494	249,682,805

The table below depicts the categories of financing as per main business segments at 31 December:

	2020		
	Retail (SAR '000)	Corporate (SAR '000)	Total (SAR '000)
Mutajara	1,202,886	39,024,342	40,227,228
Instalment sale	250,470,267	9,408,172	259,878,439
Murabaha	–	19,725,827	19,725,827
Credit cards	3,351,963	–	3,351,963
Financing, gross	255,025,116	68,158,341	323,183,457
Less: Allowance for impairment	(4,365,761)	(3,105,595)	(7,471,356)
Financing, net	250,659,355	65,052,746	315,712,101

	2019		
	Retail (SAR '000)	Corporate (SAR '000)	Total (SAR '000)
Mutajara	811,429	43,808,144	44,619,573
Instalment sale	185,766,580	5,767,617	191,534,197
Murabaha	801,720	16,571,140	17,372,860
Credit cards	3,175,771	–	3,175,771
Financing, gross	190,555,500	66,146,901	256,702,401
Less: Allowance for impairment	(3,832,473)	(3,187,123)	(7,019,596)
Financing, net	186,723,027	62,959,778	249,682,805

(c) The table below summarises financing balances at 31 December that are neither past due nor impaired, past due but not impaired and impaired, as per the main business segments of the Group:

	2020					
	Neither past due nor impaired (SAR '000)	Past due but not impaired (SAR '000)	Impaired (SAR '000)	Total (SAR '000)	Allowance for impairment (SAR '000)	Net financing (SAR '000)
Retail	250,651,757	3,619,110	754,249	255,025,116	(4,365,761)	250,659,355
Corporate	60,624,852	5,842,624	1,690,865	68,158,341	(3,105,595)	65,052,746
Total	311,276,609	9,461,734	2,445,114	323,183,457	(7,471,356)	315,712,101

	2019					
	Neither past due nor impaired (SAR '000)	Past due but not impaired (SAR '000)	Impaired (SAR '000)	Total (SAR '000)	Allowance for impairment (SAR '000)	Net financing (SAR '000)
Retail	187,434,532	2,491,249	629,719	190,555,500	(3,832,473)	186,723,027
Corporate	58,325,789	6,134,038	1,687,074	66,146,901	(3,187,123)	62,959,778
Total	245,760,321	8,625,287	2,316,793	256,702,401	(7,019,596)	249,682,805

Financing past due for less than 90 days is not treated as impaired, unless other available information proves otherwise. “Neither past due nor impaired” and “past due but not impaired” comprise total performing financing.

7.2 Allowance for impairment of financing

(a) The movement in the allowance for impairment of financing for the years ended 31 December is as follows (included in the write-off on amount of SAR 260 Mn. which was written off against other financial assets):

	2020		
	Retail (SAR '000)	Corporate (SAR '000)	Total (SAR '000)
Balance at beginning of the year	3,832,473	3,187,123	7,019,596
Gross charge for the year	2,209,585	1,008,710	3,218,295
Bad debts written off against provision	(1,676,297)	(1,090,238)	(2,766,535)
Balance at the end of the year	4,365,761	3,105,595	7,471,356

	2019		
	Retail (SAR '000)	Corporate (SAR '000)	Total (SAR '000)
Balance at beginning of the year	4,050,565	3,781,906	7,832,471
Gross charge for the year	1,828,948	1,011,379	2,840,327
Bad debts written off against provision	(2,047,040)	(1,606,162)	(3,653,202)
Balance at the end of the year	3,832,473	3,187,123	7,019,596

(b) The following table shows reconciliations from the opening to the closing balance of the impairment allowance for financings to customers at amortised cost.

	2020			
	12 month ECL (SAR '000)	Lifetime ECL not credit impaired (SAR '000)	Lifetime ECL credit impaired (SAR '000)	Total (SAR '000)
Financings to customers at amortised cost				
Balance at 1 January 2020	2,224,089	3,090,301	2,333,575	7,647,965
Transfer to 12 month ECL	256,884	(256,884)	–	–
Transfer to Lifetime ECL not credit impaired	(65,311)	118,509	(53,198)	–
Transfer to Lifetime ECL credit impaired	(15,473)	(247,993)	263,466	–
Charge for the year	349,924	415,810	2,652,691	3,418,425
Write-offs	(345,799)	(309,824)	(2,371,249)	(3,026,872)
Balance as at 31 December 2020	2,404,314	2,809,919	2,825,285	8,039,518

	2019			
	12 month ECL (SAR '000)	Lifetime ECL not credit impaired (SAR '000)	Lifetime ECL credit impaired (SAR '000)	Total (SAR '000)
Financings to customers at amortised cost				
Balance at 1 January 2019	2,630,470	3,570,795	1,842,389	8,043,653
Transfer to 12 month ECL	713,995	(713,995)	–	–
Transfer to Lifetime ECL not credit impaired	(38,929)	71,051	(32,122)	–
Transfer to Lifetime ECL credit impaired	(9,902)	(252,175)	262,077	–
Charge for the year	(602,243)	768,639	2,831,119	2,997,515
Write-offs	(469,302)	(354,013)	(2,569,887)	(3,393,203)
Balance as at 31 December 2019	2,224,089	3,090,301	2,333,575	7,647,965

Closing balance as at 31 December 2020 includes impairment allowance related to off balance sheet items amounting to SAR 568 Mn. (2019: SAR 368 Mn.) which is accounted for in other liabilities. Closing balance of Lifetime ECL credit impaired differs from total reported Non-Performing Loans (NPL) due to IFRS 9 implementation.

Retail	2020			
	12 month ECL (SAR '000)	Lifetime ECL not credit impaired (SAR '000)	Lifetime ECL credit impaired (SAR '000)	Total (SAR '000)
Financings to customers at amortised cost				
Balance at 1 January 2020	1,656,406	1,662,188	773,878	4,092,472
Transfer to 12 month ECL	206,493	(206,493)	–	–
Transfer to Lifetime ECL not credit impaired	(53,588)	106,625	(53,037)	–
Transfer to Lifetime ECL credit impaired	(10,890)	(60,716)	71,606	–
Charge for the year	400,113	371,282	1,438,190	2,209,585
Write-offs	(345,799)	(309,824)	(1,280,673)	(1,936,296)
Balance as at 31 December 2020	1,852,735	1,563,062	949,964	4,365,761

Retail	2019			
	12 month ECL (SAR '000)	Lifetime ECL not credit impaired (SAR '000)	Lifetime ECL credit impaired (SAR '000)	Total (SAR '000)
Financings to customers at amortised cost				
Balance at 1 January 2019	2,242,794	1,115,136	692,635	4,050,565
Transfer to 12 month ECL	236,154	(236,154)	–	–
Transfer to Lifetime ECL not credit impaired	(32,913)	65,035	(32,122)	–
Transfer to Lifetime ECL credit impaired	(6,986)	(71,995)	78,981	–
Charge for the year	(313,340)	1,144,178	998,110	1,828,948
Write-offs	(469,302)	(354,013)	(963,726)	(1,787,041)
Balance as at 31 December 2019	1,656,407	1,662,187	773,878	4,092,472

Corporate	2020			
	12 month ECL (SAR '000)	Lifetime ECL not credit impaired (SAR '000)	Lifetime ECL credit impaired (SAR '000)	Total (SAR '000)
Financings to customers at amortised cost				
Balance at 1 January 2020	567,683	1,428,113	1,559,697	3,555,493
Transfer to 12 month ECL	50,391	(50,391)	–	–
Transfer to Lifetime ECL not credit impaired	(11,723)	11,884	(161)	–
Transfer to Lifetime ECL credit impaired	(4,582)	(187,278)	191,860	–
Charge for the year	(50,190)	44,529	1,214,502	1,208,841
Write-offs	–	–	(1,090,577)	(1,090,577)
Balance as at 31 December 2020	551,579	1,246,857	1,875,321	3,673,757

Corporate	2019			
	12 month ECL (SAR '000)	Lifetime ECL not credit impaired (SAR '000)	Lifetime ECL credit impaired (SAR '000)	Total (SAR '000)
Financings to customers at amortised cost				
Balance at 1 January 2019	387,676	2,455,658	1,149,754	3,993,088
Transfer to 12 month ECL	477,841	(477,841)	–	–
Transfer to Lifetime ECL not credit impaired	(6,016)	6,016	–	–
Transfer to Lifetime ECL credit impaired	(2,916)	(180,181)	183,096	–
Charge for the year	(288,903)	(375,539)	1,833,009	1,168,567
Write-offs	–	–	(1,606,162)	(1,606,162)
Balance as at 31 December 2019	567,683	1,428,113	1,559,697	3,555,493

For Corporate opening balance will be higher by SAR 211 Mn. for off balance provision and the closing will be higher by SAR 368 Mn. for off balance provision in 2019. For 2020 the total includes off balance sheet provision of SAR 568 Mn.

	2020			
	12 month ECL (SAR '000)	Lifetime ECL not credit impaired (SAR '000)	Lifetime ECL credit impaired (SAR '000)	Total (SAR '000)
Financings to customers at amortised cost				
Balance at 1 January 2020	244,233,853	9,730,883	2,737,665	256,702,401
Transfer to 12 month ECL	1,449,420	(1,449,420)	–	–
Transfer to Lifetime ECL not credit impaired	(3,152,175)	3,257,063	(104,888)	–
Transfer to Lifetime ECL credit impaired	(612,722)	(743,352)	1,356,074	–
Write-offs	(345,799)	(309,824)	(2,371,249)	(3,026,872)
New Business/Movement	65,885,808	1,787,599	1,834,522	69,507,929
Balance as at 31 December 2020	307,458,385	12,272,949	3,452,124	323,183,458

	2019			
	12 month ECL (SAR '000)	Lifetime ECL not credit impaired (SAR '000)	Lifetime ECL credit impaired (SAR '000)	Total (SAR '000)
Financings to customers at amortised cost				
Balance at 1 January 2019	230,756,736	6,543,629	2,290,312	239,590,677
Transfer to 12 month ECL	3,473,536	(3,473,536)	–	–
Transfer to Lifetime ECL not credit impaired	(1,427,741)	1,480,118	(52,377)	–
Transfer to Lifetime ECL credit impaired	(175,895)	(679,980)	855,875	–
Write-offs	(469,302)	(354,013)	(2,569,887)	(3,393,202)
New Business/Movement	12,076,518	6,214,665	2,213,743	20,504,926
Balance as at 31 December 2019	244,233,852	9,730,883	2,737,666	256,702,401

Retail	2020			
	12 month ECL (SAR '000)	Lifetime ECL not credit impaired (SAR '000)	Lifetime ECL credit impaired (SAR '000)	Total (SAR '000)
Financings to customers at amortised cost				
Balance at 1 January 2020	186,184,436	3,320,473	1,050,591	190,555,500
Transfer to 12 month ECL	820,807	(820,807)	–	–
Transfer to Lifetime ECL not credit impaired	(2,018,928)	2,123,816	(104,888)	–
Transfer to Lifetime ECL credit impaired	(422,408)	(144,054)	566,462	–
Write-offs	(345,799)	(309,824)	(1,280,672)	(1,936,295)
New Business/Movement	63,138,025	1,738,121	1,529,766	66,405,912
Balance as at 31 December 2020	247,356,133	5,907,725	1,761,259	255,025,117

Retail	2019			
	12 month ECL (SAR '000)	Lifetime ECL not credit impaired (SAR '000)	Lifetime ECL credit impaired (SAR '000)	Total (SAR '000)
Financings to customers at amortised cost				
Balance at 1 January 2019	169,473,152	276,300	603,457	170,352,909
Transfer to 12 month ECL	700,777	(700,777)	–	–
Transfer to Lifetime ECL not credit impaired	(956,070)	1,008,447	(52,377)	–
Transfer to Lifetime ECL credit impaired	(69,959)	(74,226)	144,185	–
Write-offs	(469,302)	(354,013)	(963,725)	(1,787,040)
New Business/Movement	17,505,838	3,164,741	1,319,052	21,989,631
Balance as at 31 December 2019	186,184,436	3,320,472	1,050,592	190,555,500

Corporate	2020			
	12 month ECL (SAR '000)	Lifetime ECL not credit impaired (SAR '000)	Lifetime ECL credit impaired (SAR '000)	Total (SAR '000)
Financings to customers at amortised cost				
Balance at 1 January 2020	58,049,416	6,410,411	1,687,074	66,146,901
Transfer to 12 month ECL	628,613	(628,613)	–	–
Transfer to Lifetime ECL not credit impaired	(1,133,246)	1,133,246	–	–
Transfer to Lifetime ECL credit impaired	(190,313)	(599,299)	789,612	–
Write-offs	–	–	(1,090,577)	(1,090,577)
New Business/Movement	2,747,782	49,479	304,756	3,102,017
Balance as at 31 December 2020	60,102,252	6,365,224	1,690,865	68,158,341

Corporate	2019			
	12 month ECL (SAR '000)	Lifetime ECL not credit impaired (SAR '000)	Lifetime ECL credit impaired (SAR '000)	Total (SAR '000)
Financings to customers at amortised cost				
Balance at 1 January 2019	61,283,584	6,267,329	1,686,855	69,237,768
Transfer to 12 month ECL	2,772,759	(2,772,759)	–	–
Transfer to Lifetime ECL not credit impaired	(471,671)	471,671	–	–
Transfer to Lifetime ECL credit impaired	(105,935)	(605,754)	711,689	–
Write-offs	–	–	(1,606,162)	(1,606,162)
New Business/Movement	(5,429,321)	3,049,924	894,692	(1,484,705)
Balance as at 31 December 2019	58,049,416	6,410,411	1,687,074	66,146,901

7.3 Impairment charge movement

The details of the impairment charge on financing for the year recorded in the consolidated statement of income is as follows:

	2020 (SAR '000)	2019 (SAR '000)
Provided for the year for on balance sheet	3,218,295	2,840,327
Provided for the year for off balance sheet	200,130	157,187
Recovery of written off financing, net	(1,252,685)	(1,225,249)
Allowance for impairment, net	2,165,740	1,772,265

7.4 Financing include finance lease receivables, which are as follows:

	2020 (SAR '000)	2019 (SAR '000)
Gross receivables from finance lease	24,042,741	25,261,591
Less than 1 year	1,313,474	367,707
1 to 5 years	15,397,354	17,072,183
Over 5 years	7,331,913	7,821,701
	24,042,741	25,261,591
Unearned future finance income on finance lease	(3,226,606)	(3,690,399)
Net receivables from finance lease	20,816,135	21,571,192

8 – Property and Equipment, Net

Property and equipment, net comprises the following as of 31 December:

	Land	Buildings	Leasehold land and buildings improvements	Equipment and furniture	Right-of-Use assets	Total
	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)
Cost						
At 1 January 2019	2,343,825	4,329,484	949,754	4,951,701	1,352,361	13,927,125
Additions	156	1,884,315	383,707	384,430	177,738	2,830,346
Disposals	(6,096)	–	–	(32,190)	–	(38,286)
At 31 December 2019	2,337,885	6,213,799	1,333,461	5,303,941	1,530,099	16,719,185
Additions	27,675	6,964	259,571	630,849	20,627	945,686
Disposals	(14,588)	(38,884)	–	(45,287)	–	(98,759)
At 31 December 2020	2,350,972	6,181,879	1,593,032	5,889,503	1,550,726	17,566,113
Accumulated depreciation						
At 1 January 2019	–	484,241	919,222	3,874,227	–	5,277,690
Charge for the year	–	373,782	77,624	368,339	239,837	1,059,582
Disposals	–	–	–	(25,334)	–	(25,334)
At 31 December 2019	–	858,023	996,846	4,217,232	239,837	6,311,938
Charge for the year	–	137,154	102,203	628,072	212,742	1,080,171
Disposals	–	(31,984)	–	(28,797)	–	(60,781)
At 31 December 2020	–	963,193	1,099,049	4,816,507	452,579	7,331,328
Net book value						
At 31 December 2020	2,350,972	5,218,686	493,983	1,072,996	1,098,147	10,234,785
At 31 December 2019	2,337,885	5,355,776	336,615	1,086,709	1,290,262	10,407,247

Buildings include work-in-progress amounting to SAR 225 Mn. as at 31 December 2020 (2019: SAR 159 Mn.), and technology-related assets include work-in-progress amounting to SAR 595 Mn. as of December 2020 (2019: SAR 608 Mn.).

Equipment and furniture includes information technology-related assets as follows:

	Tangible (SAR '000)	Intangible (SAR '000)	Total (SAR '000)
Cost			
At 31 December 2019	1,546,127	–	1,546,127
Additions	264,598	102,614	367,212
Disposals	–	–	–
At 31 December 2020	1,810,725	102,614	1,913,339
Accumulated depreciation			
At 31 December 2019	899,976	–	899,976
Charge for the year	257,388	14,687	272,075
Disposals	–	–	–
At 31 December 2020	1,157,364	14,687	1,172,051
Net book value			
At 31 December 2020	653,361	87,927	741,288
At 31 December 2019	646,150	–	646,150

9 – Investment Properties, Net

The net book value of the investment properties approximates the fair value.

Investment properties, net comprises the following as of 31 December:

	Land (SAR '000)	Buildings (SAR '000)	Total (SAR '000)
Cost			
Balance at 1 January 2019	811,670	538,776	1,350,446
Additions	82,753	20,727	103,480
At 31 December 2019	894,423	559,503	1,453,926
Additions	–	195,339	195,339
At 31 December 2020	894,423	754,842	1,649,265
Accumulated depreciation			
Balance at 1 January 2019	–	(52,856)	(52,856)
Charge for the year	–	(17,221)	(17,221)
At 31 December 2019	–	(70,077)	(70,077)
Charge for the year	–	(37,977)	(37,977)
At 31 December 2020	–	(108,054)	(108,054)
Net book value			
At 31 December 2020	894,423	646,788	1,541,211
At 31 December 2019	894,423	489,426	1,383,849

10– Other Assets, Net

Other assets, net comprise the following as of 31 December:

	2020 (SAR '000)	2019 (SAR '000)
Receivables, net	1,613,343	1,125,228
Prepaid expenses	218,304	498,690
Assets in transit subject to financing	1,332,565	1,289,212
Accrued income	276,169	294,421
Cheques under collection	413,397	392,958
Advance payments	262,475	386,032
Other real estate	73,411	60,420
Others, net	844,326	370,803
Total	5,033,990	4,417,764

11– Due to Banks and Other Financial Institutions

Due to banks and other financial institutions comprise the following as of 31 December:

	2020 (SAR '000)	2019 (SAR '000)
Current accounts	448,288	545,572
Banks’ time investments	10,315,773	1,674,032
Total	10,764,061	2,219,604

In order to offset the modification losses that the Bank is expected to incur in deferring the payments as disclosed in Note 38, the Bank has received profit free deposits from SAMA of (SAR 2.97 Bn. for 3 years, SAR 674 Mn. for 1.5 years and SAR 5.2 Bn. for 1 year). Some of these deposits tenures have been extended by SAMA during Q4 2020. Please refer to Note 38.

12– Customers’ Deposits

Customers’ deposits by type comprise the following as of 31 December:

	2020 (SAR '000)	2019 (SAR '000)
Demand deposits	327,572,511	284,299,851
Customers’ time investments	43,017,282	22,126,226
Other customer accounts	12,041,210	5,979,746
Total	382,631,003	312,405,823

The balance of the other customers’ accounts includes margins on letters of credit and guarantees, cheques under clearance and transfers.

Customers’ deposits by currency comprise the following as of 31 December:

	2020 (SAR '000)	2019 (SAR '000)
Saudi Arabian Riyals	365,253,514	298,569,853
Foreign currencies	17,377,489	13,835,970
Total	382,631,003	312,405,823

13– Other Liabilities

Other liabilities comprise the following as of 31 December:

	2018 (SAR '000)	2017 (SAR '000)
Accounts payable	4,317,852	4,225,376
Employees’ end of service benefits liabilities (see Note 25)	1,176,075	980,304
Accrued expenses	1,554,957	1,243,720
Charities (see Note 32)	8,885	10,994
Zakat payable	3,812,601	4,627,204
Lease liability	1,128,141	1,294,689
Other	5,312,630	5,887,205
Total	17,311,141	18,269,492

14– Share Capital

The authorised, issued and fully paid share capital of the Bank consists of 2,500 million shares of SAR 10 each (2019: 2,500 million shares of SAR 10 each).

On the 4 April 2019, the Bank’s extraordinary general assembly approved to increase the share capital from SAR 16,250 Mn. to SAR 25,000 Mn. through issuance of stock dividends (7 shares for every 13 shares held). The amount of the capital increase was transferred from retained earnings.

15 Statutory and Other Reserves

The Banking Control Law in Saudi Arabia and the By-Laws of the Bank require a transfer to statutory reserve at a minimum of 25% of the annual net income for the year. Such transfers continue until the reserve equals the paid up share capital. This reserve is presently not available for distribution.

Other reserves includes FVOCI investments reserve, foreign currency translation reserve and employee share plan reserve.

The movements in FVOCI investments, foreign currency reserves, and employee share plan reserve are summarised as follows:

	2020				
	FVOCI investments	Foreign currency translation	Employee share plan reserve	Re-measurement of employees' end of service benefits	Total
	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)
Balance at beginning of the year	(80,944)	(120,577)	37,110	(51,630)	(216,041)
Net change in fair value	254,222	–	–	–	254,222
Exchange difference on translation of foreign operations	–	6,696	–	–	6,696
Re-measurement of employees' end of service benefits (Note 25)	–	–	–	(179,605)	(179,605)
Balance at the end of the year	173,278	(113,881)	37,110	(231,235)	(134,728)

	2019				
	FVOCI investments	Foreign currency translation	Employee share plan reserve	Re-measurement of employees' end of service benefits	Total
	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)
Balance at beginning of the year	(259,717)	(126,948)	37,110	–	(349,555)
Net change in fair value	178,773	–	–	–	178,773
Exchange difference on translation of foreign operations	–	6,371	–	–	6,371
Re-measurement of employees' end of service benefits (Note 25)	–	–	–	(51,630)	(51,630)
Balance at the end of the year	(80,944)	(120,577)	37,110	(51,630)	(216,041)

16 Commitments and Contingencies

(a) Legal proceedings

As at 31 December 2020, there were certain legal proceedings outstanding against the Group in the normal course of business including those relating to the extension of credit facilities. Such proceedings are being reviewed by the concerned parties.

Provisions have been made for some of these legal cases based on the assessment of the Bank's legal advisors.

(b) Capital commitments

As at 31 December 2020, the Group had capital commitments of SAR 540 Mn. (2017: SAR 629 Mn.) relating to contracts for computer software update and development, and SAR 65 Mn. (2017: SAR 410 Mn.) relating to building new workstation, and development and improvement of new and existing branches.

(c) Credit related commitments and contingencies

The primary purpose of these instruments is to ensure that funds are available to customers as required. Credit related commitments and contingencies mainly comprise letters of guarantee, standby letters of credit, acceptances and unused commitments to extend credit. Guarantees and standby letters of credit, which represent irrevocable assurances that the Bank will make payments in the event that a customer cannot meet his obligations to third parties, carry the same credit risk as financing.

Letters of credit, which are written undertakings by the Bank on behalf of a customer authorising a third party to draw drafts on the Bank up to a stipulated amount under specific terms and conditions, are collateralised by the underlying shipments of goods to which they relate, and therefore, carry less risk. Acceptances comprise undertakings by the Bank to pay bills of exchange drawn on customers. The Bank expects most acceptances to be presented before being reimbursed by the customers.

Cash requirements under guarantees and letters of credit are considerably less than the amount of the commitment because the Bank does not expect the third party to necessarily draw funds under the agreement.

Commitments to extend credit represent unused portions of authorisation to extended credit, principally in the form of financing, guarantees and letters of credit. With respect to credit risk relating to commitments to extend unused credit, the Bank is potentially exposed to a loss in an amount which is equal to the total unused commitments. The likely amount of loss, which cannot be reasonably estimated, is expected to be considerably less than the total unused commitments, since most commitments to extend credit are contingent upon customers maintaining specific credit standards.

The total outstanding commitments to extend credit do not necessarily represent future cash requirements, as many of these commitments could expire without being funded.

1. The contractual maturities of the Bank's commitments and contingent liabilities are as follows at 31 December:

	2020				
	Less than 3 months (SAR '000)	From 3 to 12 months (SAR '000)	From 1 to 5 years (SAR '000)	Over 5 years (SAR '000)	Total (SAR '000)
Letters of credit	1,729,492	545,033	104,908	–	2,379,433
Acceptances	305,577	365,191	–	–	670,768
Letters of guarantee	760,935	3,310,309	1,171,463	200,481	5,443,188
Irrevocable commitments to extend credit	3,880,062	6,265,899	516,740	–	10,662,701
Total	6,676,066	10,486,432	1,793,111	200,481	19,156,090

	2019				Total (SAR '000)
	Less than 3 months (SAR '000)	From 3 to 12 months (SAR '000)	From 1 to 5 years (SAR '000)	Over 5 years (SAR '000)	
Letters of credit	474,436	327,843	88,663	–	890,942
Acceptances	219,370	105,592	–	–	324,962
Letters of guarantee	1,178,236	2,985,474	765,867	43,623	4,973,200
Irrevocable commitments to extend credit	4,148,570	7,339,501	103,595	44,428	11,636,094
Total	6,020,612	10,758,410	958,125	88,051	17,825,198

2. The analysis of commitments and contingencies by counterparty is as follows:

	2020 (SAR '000)	2019 (SAR '000)
Corporates	18,318,019	16,322,590
Banks and other financial institutions	838,071	1,502,608
Total	19,156,090	17,825,198

17- Net Financing and Investment Income

Net financing and investment income for the years ended 31 December comprises the following:

	2020 (SAR '000)	2019 (SAR '000)
Financing		
Corporate Mutajara	1,629,182	2,531,823
Instalment sale	12,819,648	11,154,919
Murabaha	802,882	859,641
Investments and other		
Murabaha with SAMA	970,595	1,210,789
Mutajara with banks	980,343	1,007,516
Income from sukuk	175,313	197,895
Gross financing and investment income	17,377,963	16,962,583
Return on customers' time investments	(354,193)	(418,891)
Return on due to banks and financial institutions' time investments	(110,753)	(115,969)
Return on customers', banks' and financial institutions' time investments	(464,946)	(534,860)
Net financing and investment income	16,913,017	16,427,723

18- Fee From Banking Services, Net

Fee from banking services, net for the years ended 31 December comprise the following:

	2020 (SAR '000)	2019 (SAR '000)
Fee income:		
Drafts and remittances	270,434	354,981
Credit cards	416,816	441,705
Other electronic channel related	1,218,272	1,068,318
Brokerage and Asset Management, net	672,193	281,151
Other	702,423	711,525
Total fee income	3,280,138	2,857,680
Fee expenses:		
ATM Interchange related	(620,458)	(870,313)
Fee from banking services, net	2,659,680	1,987,367

19- Other Operating Income, Net

Other operating income for the years ended 31 December comprises the following:

	2020 (SAR '000)	2019 (SAR '000)
Dividend income	94,445	58,625
Gain/(loss) on sale of property and equipment, net	10,256	568
Rental income from investment properties	96,134	117,718
Share in profit of an associate	42,944	23,481
Gain on investments held as FVSI	33,441	21,617
Loss on sale of other real estate	(2,251)	(2,490)
Other income, net	89,700	75,759
Total	364,669	295,278

20–Salaries and Employees’ Related Benefits

The following tables provide an analysis of the salaries and employees’ related benefits for the years ended 31 December:

	2020			
	Number of employees	Fixed compensation (SAR '000)	Variable compensations paid	
			Cash (SAR '000)	Shares
Executives	22	40,552	20,591	45,954
Employees engaged in risk-taking activities	1,684	509,487	131,639	20,312
Employees engaged in control functions	412	155,859	25,969	21,608
Other employees	11,598	1,826,261	274,757	28,022
Total	13,716	2,532,159	452,956	115,896
Accrued fixed compensations in 2020	–	188,652	–	–
Other employees’ costs	–	256,533	–	–
Gross total	13,716	2,977,344	452,956	115,896

Salaries and employees’ related benefits include end of services, General Organisation for Social Insurance, business trips, training and other benefits.

As the Kingdom of Saudi Arabia is part of the G-20, instructions were given to all financial institutions in the Kingdom to comply with the standards and principles of Basel II and the Financial Stability Board.

SAMA, as the regulator for financial institutions in Saudi Arabia, issued regulations on compensations and bonus in accordance with the standards and principles of Basel II and the Financial Stability Board.

In light of the above SAMA’s regulations, the Bank issued compensation and bonuses policy which was implemented after the Board of Directors approval.

The scope of this policy is extended to include the Bank and its subsidiary companies (local and international) that are operating in the financial services sector. Accordingly, it includes all official employees, permanent and temporary contracted employees and service providers (contribution in risk position if SAMA allows the use of external resources).

For consistency with other banking institutions in the Kingdom of Saudi Arabia, the Bank has used a combination of fixed and variable compensation to attract and maintain talent. The fixed compensation is assessed on a yearly basis by comparing it to other local banks in the Kingdom of Saudi Arabia including the basic salaries, allowances and benefits which is related to the employees’ ranks. The variable compensation is related to the employees performance and their compatibility to achieve the agreed on objectives. It includes incentives, performance bonus and other benefits. Incentives are mainly paid to branches’ employees whereby the performance bonuses are paid to head office employees and others who do not qualify for incentives.

These bonuses and compensation are approved by the Board of Directors as a percentage of the Bank’s net income.

21–Other General and Administrative Expenses

Other general and administrative expenses for the years ended 31 December comprises the following:

	2020 (SAR '000)	2019 (SAR '000)
Communications and Utilities Expenses	628,591	481,424
Maintenance and Security Expenses	547,520	460,550
Cash Feeding and Transfer Expenses	338,404	355,245
Software and IT Support Expenses	351,348	277,520
Other Operational Expenses	780,546	957,474
Total	2,646,409	2,532,213

22–Earnings Per Share

Earnings per share for the years ended 31 December 2020 and 2019 have been calculated by dividing the net income for the period by 2,500 million shares. The diluted earnings per share is the same as the basic earnings per share.

23–Paid Dividends

On 6 April 2020, the bank has paid final dividends for the year 2019 amounting to SAR 3,750 Mn. (i.e. SAR 1.5 per share).

24– Cash and Cash Equivalents

Cash and cash equivalents included in the consolidated statement of cash flows comprise the following:

	2020 (SAR '000)	2019 (SAR '000)
Cash in hand	7,355,940	7,404,276
Due from banks and other financial institutions maturing within 90 days from the date of purchased	8,924,379	2,480,803
Balances with SAMA and other central banks (current accounts)	311,493	371,320
Mutajara with SAMA	16,235,549	10,855,000
Total	32,827,361	21,111,399

25– Employees’ end of Service Benefits Liabilities

25.1 General description

The Bank operates an end of service benefit plan for its employees based on the prevailing Saudi Labour Laws. Accruals are made in accordance with the actuarial valuation under the projected unit credit method, while the benefit payments liabilities are discharged as and when they fall due.

25.2 The amounts recognised in the consolidated statement of financial position and movement in the liabilities during the year based on its present value are as follows:

	2020 (SAR '000)	2019 (SAR '000)
Employees’ end of service benefits liabilities at the beginning of the year	980,304	901,970
Current service cost	86,355	98,541
Financing cost	38,041	39,845
Benefits paid	(108,230)	(111,682)
Remeasurement loss	179,605	51,630
Employees’ end of service benefits liabilities at the end of the year	1,176,075	980,304

25.3 Charge for the year

	2020 (SAR '000)	2019 (SAR '000)
Current service cost	86,355	98,541
Past service cost	–	–
	86,355	98,541

25.4 Remeasurement recognised in other comprehensive income

	2020 (SAR '000)	2019 (SAR '000)
Gain from change in experience assumptions	(10,911)	(5,940)
Loss from change in demographic assumptions	532	–
Loss from change in financial assumptions	189,984	57,570
	179,605	51,630

25.5 Principal actuarial assumptions (in respect of the employee benefit scheme)

	2020	2019
Discount rate	2.75%	4.20%
Expected rate of salary increase	2.6% for FY 2021 and 2022 and 3% thereafter	3.00%
Normal retirement age	60 years for male employees and 55 for female employees	60 years for male employees and 55 for female employees

Assumptions regarding future mortality are set based on actuarial advice in accordance with the published statistics and experience in the region.

25.6 Sensitivity of actuarial assumptions

The table below illustrates the sensitivity of the employees’ end of service benefits liabilities valuation as at 31 December 2020 to the discount rate 2.75% (31 December 2019: 4.20%), salary increase rate 2.6% (31 December 2019: 3.00%), withdrawal assumptions and mortality rates.

2020	Impact on defined benefit obligation – Increase/(Decrease)		
	Change in assumption	Increase in assumption (SAR '000)	Decrease in assumption (SAR '000)
Base Scenario			
Discount rate	+/- 100 basis points	(64,586)	213,380
Expected rate of salary increase	+/- 100 basis points	224,989	(76,315)
Normal retirement age	Increase or decrease by 20%	28,398	(98,239)

2019 Base Scenario	Impact on defined benefit obligation – Increase/(Decrease)		
	Change in assumption	Increase in assumption (SAR '000)	Decrease in assumption (SAR '000)
Discount rate	+/- 100 basis points	(109,828)	131,671
Expected rate of salary increase	+/- 100 basis points	131,949	(111,989)
Normal retirement age	Increase or decrease by 20%	3,204	(4,098)

The above sensitivity analyses are based on a change in an assumption holding all other assumptions constant.

25.7 Expected maturity

Expected maturity analysis of undiscounted employees’ end of service benefits liabilities is as follows:

As at 31 December	Discounted liability	Less than a year	1-2 years	2-5 years	Over 5 years	Total
2020	1,176,075	82,333	91,365	307,844	2,894,768	3,376,310
2019	980,304	66,110	72,742	256,803	3,638,241	4,033,896

The weighted average duration of the employees’ end of service benefits liabilities is 13 years (2019: 14.4 years).

26 Operating Segments

The Bank identifies operating segments on the basis of internal reports about the activities of the Bank that are regularly reviewed by the chief operating decision-maker, principally the Chief Executive Officer, in order to allocate resources to the segments and to assess its performance.

For management purposes, the Bank is organised into the following four main businesses segments:

Retail segment:	Includes individual customer deposits, credit facilities, customer debit current accounts (overdrafts) and fees from banking services.
Corporate segment:	Incorporates deposits of corporate customers, credit facilities, and debit current accounts (overdrafts).
Treasury segment:	Includes treasury services, Murabaha with SAMA and international Mutajara portfolio and remittance business.
Investment services and brokerage segments:	Includes investments of individuals and corporates in mutual funds, local and international share trading services and investment portfolios.

Transactions between the above segments are on normal commercial terms and conditions. Assets and liabilities for the segments comprise operating assets and liabilities, which represents the majority of the Bank's assets and liabilities.

(a) The Bank's total assets and liabilities, together with its total operating income and expenses, and net income, as of and for the years ended 31 December for each segment are as follows:

	2020				
	Retail segment	Corporate segment	Treasury segment	Investment services and brokerage segment	Total
	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)
Total assets	268,108,817	66,837,087	129,950,664	3,928,155	468,824,723
Total liabilities	289,583,836	108,514,833	12,442,931	164,605	410,706,205
Gross financing and investments income from external customers	12,663,068	2,605,515	2,061,630	47,750	17,377,963
Inter-segment operating income/(expense)	(1,151,245)	(123,039)	1,274,284	–	–
Gross financing and investment income	11,511,823	2,482,476	3,335,914	47,750	17,377,963
Return on customers’, banks’ and financial institutions’ time investments	(224,644)	(103,026)	(137,276)	–	(464,946)
Net financing and investment income	11,287,179	2,379,450	3,198,638	47,750	16,913,017
Fees from banking services, net	1,815,919	124,181	47,388	672,192	2,659,680
Exchange income, net	158,864	111,056	513,975	–	783,895
Other operating income, net	99,407	4	179,831	85,426	364,668
Total operating income	13,361,369	2,614,691	3,939,832	805,368	20,721,260
Depreciation and amortisation	(1,046,484)	(41,570)	(22,801)	(7,293)	(1,118,148)
Impairment charge for financing and other financial assets, net	(1,164,985)	(1,000,755)	–	–	(2,165,740)
Other operating expenses	(5,006,796)	(284,449)	(181,975)	(150,533)	(5,623,753)
Total operating expenses	(7,218,265)	(1,326,774)	(204,776)	(157,826)	(8,907,641)
Income before Zakat	6,143,104	1,287,917	3,735,056	647,542	11,813,619

	2019				
	Retail segment	Corporate segment	Treasury segment	Investment services and brokerage segment	Total
	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)
Total assets	208,945,668	59,406,741	112,968,906	2,765,261	384,086,576
Total liabilities	289,628,309	34,753,212	8,376,081	137,317	332,894,919
Gross financing and investments income from external customers	11,115,534	3,329,362	2,493,337	24,350	16,962,583
Inter-segment operating income/(expense)	1,432,229	(1,117,680)	(314,549)	–	–
Gross financing and investment income	12,547,763	2,211,682	2,178,788	24,350	16,962,583
Return on customers’ banks’ and financial institutions’ time investments	(221,657)	(127,114)	(186,089)	–	(534,860)
Net financing and investment income	12,326,106	2,084,568	1,992,699	24,350	16,427,723
Fees from banking services, net	971,089	366,932	252,103	397,243	1,987,367
Exchange income, net	159,805	67,405	546,886	–	774,096
Other operating income, net	133,815	13,017	106,661	41,785	295,278
Total operating income	13,590,815	2,531,922	2,898,349	463,378	19,484,464
Depreciation and amortisation	(983,974)	(14,234)	(54,958)	(6,416)	(1,059,582)
Impairment charge for financing and other financial assets, net	(1,713,370)	(61,373)	2,478	–	(1,772,265)
Other operating expenses	(4,467,064)	(305,892)	(407,238)	(146,065)	(5,326,259)
Total operating expenses	(7,164,408)	(381,499)	(459,718)	(152,481)	(8,158,106)
Income before Zakat	6,426,407	2,150,423	2,438,631	310,897	11,326,358

(b) The Group’s credit exposure by business segments as of 31 December is as follows:

	2020				
	Retail segment	Corporate segment	Treasury segment	Investment services and brokerage segment	Total
	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)
Consolidated balance sheet assets	250,659,355	65,052,746	79,241,453	3,337,170	398,290,724
Commitments and contingencies excluding irrevocable commitments to extend credit	–	8,493,389	–	–	8,493,389

	2019				
	Retail segment	Corporate segment	Treasury segment	Investment services and brokerage segment	Total
	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)
Consolidated balance sheet assets	186,723,027	62,959,778	73,070,757	2,730,512	325,484,074
Commitments and contingencies excluding irrevocable commitments to extend credit	–	6,189,104	–	–	6,189,104

27– Financial Risk Management

The Bank’s activities expose it to a variety of financial risks and those activities involve the analysis, evaluation, acceptance and management of some degree of risk or combination of risks. Taking risk is core to the banking business, and these risks are an inevitable consequence of participating in financial markets. The Bank’s aim is therefore to achieve an appropriate balance between risk and return and minimise potential adverse effects on the Bank’s financial performance.

The Bank’s risk management policies, procedures and systems are designed to identify and analyse these risks and to set appropriate risk mitigants and controls. The Bank reviews its risk management policies and systems on an ongoing basis to reflect changes in markets, products and emerging best practices.

Risk management is performed by the Credit and Risk Management Group (“CRMG”) under policies approved by the Board of Directors. The CRMG identifies and evaluates financial risks in close co-operation with the Bank’s operating units. The most important types of risks identified by the Bank are credit risk, liquidity risk and market risk. Market risk includes currency risk, profit rate risk, operational risk and price risk.

27.1 Credit risk

Credit risk is considered to be the most significant and pervasive risk for the Bank. The Bank takes on exposure to credit risk, which is the risk that the counter-party to a financial transaction will fail to discharge an obligation causing the Bank to incur a financial loss. Credit risk arises principally from financing (credit facilities provided to customers) and from cash and deposits held with other banks. Further, there is credit risk in certain off-balance sheet financial instruments, including guarantees relating to purchase and sale of foreign currencies, letters of credit, acceptances and commitments to extend credit. Credit risk monitoring and control is performed by the CRMG which sets parameters and thresholds for the Bank’s financing activities.

(a) Credit risk measurement

(i) Financing

The Bank has structured a number of financial products which are in accordance with Sharia law in order to meet the customers demand. These products are all classified as financing assets in the Bank’s consolidated statement of financial position. In measuring credit risk of financing at a counterparty level, the Bank considers the overall credit worthiness of the customer based on a proprietary risk methodology. This risk rating methodology utilises a 10 point scale based on quantitative and qualitative factors with seven performing categories (rated 1 to 7) and three non-performing categories (rated 8-10). The risk rating process is intended to advise the various independent approval authorities of the inherent risks associated with the counterparty and assist in determining suitable pricing commensurate with the associated risk.

(ii) Credit risk grades

For corporate exposures, the Bank allocates each exposure to a credit risk grade based on a variety of data that is determined to be predictive of the risk of default and applying experienced credit judgment. Credit risk grades are defined using qualitative and quantitative factors that are indicative of risk of default. These factors vary depending on the nature of the exposure and the type of borrower.

Credit risk grades are defined and calibrated such that the risk of default occurring increases exponentially as the credit risk deteriorates so, for example, the difference in risk of default between credit risk grades 1 and 2 is smaller than the difference between credit risk grades 2 and 3.

Each corporate exposure is allocated to a credit risk grade at initial recognition based on available information about the borrower. Exposures are subject to ongoing monitoring, which may result in an exposure being moved to a different credit risk grade. The monitoring of corporate exposure involves use of the following data.

- Information obtained during periodic review of customer files – e.g. audited financial statements, management accounts, budgets and projections.
- Data from credit reference agencies, press articles, changes in external credit ratings.
- Actual and expected significant changes in the political, regulatory and technological environment of the borrower or in its business activities.

Credit risk grades are a primary input into the determination of the term structure of PD for exposures. The Bank collects performance and default information about its customers analysed by segment as well as by credit risk grading.

(iii) Generating the term structure of PD

The Bank employs analytical techniques incorporating internal default estimates backed by transition matrices published by external agencies to construct PD term structures that can be applied to each exposure based on the its remaining lifetime. These PD tern structures are then adjusted to incorporate the impact of macroeconomic outlook to arrive at a forward looking estimate of PD across the lifetime.

For retail exposure, borrower and loan specific information collected at the time of application, repayment behaviour etc. are used to construct risk based segmentation using Chi-square Automatic Interaction Detection (CHAID) (or Decision Tree) technique. Risk segments are constructed to identify and aggregate customer with similar risk characteristics. For each risk segment thus formed, PD term structures are constructed using historical data that can be applied to each exposure based on its remaining lifetime.

Based on consideration of a variety of external actual and forecast information from published sources, the Bank formulates a forward looking adjustment to PD term structures to arrive at forward looking PD estimates across the lifetime using macro economic models.

Risk rating 1

Exceptional – Obligors of unquestioned credit standing at the pinnacle of credit quality.

Risk rating 2

Excellent – Obligors of the highest quality, presently and prospectively. Virtually no risk in lending to this class, Cash flows reflect exceptionally large and stable margins of protection. Projected cash flows including anticipated credit extensions indicate strong liquidity levels and debt service coverage. Balance Sheet parameters are strong, with excellent asset quality in terms of value and liquidity.

Risk rating 3

Superior – Typically obligors at the lower end of the high quality range with excellent prospects. Very good asset quality and liquidity. Consistently strong debt capacity and coverage. There could however be some elements, which with a low likelihood might impair performance in the future.

Risk rating 4

Good – Typically obligors in the high end of the medium range who are definitely sound with minor risk characteristics. Elements of strength are present in such areas as liquidity, stability of margins, cash flows, diversity of assets, and lack of dependence on one type of business.

Risk rating 5

Satisfactory – These are obligors with smaller margins of debt service coverage and with some elements of reduced strength. Satisfactory asset quality, liquidity, and good debt capacity and coverage. A loss year or declining earnings trend may occur, but the borrowers have sufficient strength and financial flexibility to offset these issues.

Risk rating 6

Adequate – Obligors with declining earnings, strained cash flow, increasing leverage and/or weakening market fundamentals that indicate above average risk, such borrowers have limited additional debt capacity, modest coverage, average or below average asset quality and market share. Present borrower performance is satisfactory, but could be adversely affected by developing collateral quality/adequacy etc.

Risk rating 7

Very high risk – Generally undesirable business constituting an undue and unwarranted credit risk but not to the point of justifying a substandard classification. No loss of principal or profit has taken place. Potential weakness might include a weakening financial condition, an unrealistic repayment program, inadequate sources of funds, or a lack of adequate collateral, credit information or documentation. The entity is undistinguished and mediocre. No new or incremental credits will generally be considered for this category.

Risk rating 8

Substandard – Obligors in default and 90 Days Past Due on repayment of their obligations. Unacceptable business credit. Normal repayment is in jeopardy, and there exists well defined weakness in support of the same. The asset is inadequately protected by the current net worth and paying capacity of the obligor or pledged collateral. Specific provision raised as an estimate of potential loss.

Risk rating 9

Doubtful – Obligors in default and 180 Days Past Due (DPD) on their contracted obligations, however in the opinion of the management recovery/salvage value against corporate and real estate obligors is a possibility, and hence write-off should be deferred. Full repayment questionable. Serious problems exist to the point where a partial loss of principle is likely. Weaknesses are so pronounced that on the basis of current information, conditions and values, collection in full is highly improbable. Specific provision raised as an estimate of potential loss. However, for retail obligors (except real estate) and credit cards, total loss is expected. A 100% Specific Provisioning must be triggered followed by the write-off process should be effected as per Al Rajhi Bank write-off policy.

Risk rating 10

Loss – Obligors in default and 360 Days Past Due (DPD) on their obligations. Total loss is expected. An uncollectible assets which does not warrant classification as an active asset. A 100% Specific Provisioning must be triggered followed by the write-off process should be effected as per Al Rajhi Bank write-off policy.

(iv) ECL – Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Bank considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Bank's historical experience and expert credit assessment and including forward-looking information.

For Corporate portfolio, the Bank's assessment of significant increase in credit risk is based on facility level except for watch-list accounts, whereby the Bank's assessment is based on counterparty. Significant increase in credit risk assessment for retail loans is carried out at customer level within same product family. All the exposures which are considered to have significantly increased in credit risk are subject to lifetime ECL.

The Bank considers all investment grade debt securities issued by sovereigns including Gulf Corporation Council (GCC) countries to have low credit risk.

(v) Determining whether credit risk has increased significantly

In determining whether credit risk has increased significantly since initial recognition, the Bank uses its internal credit risk grading system, external risk ratings, quantitative changes in PDs, delinquency status of accounts, expert credit judgement and, where possible, relevant historical experience.

The credit risk of a particular exposure is deemed to have increased significantly since initial recognition base on quantitative assessment and/or using its expert credit judgment and, where possible, relevant historical experience, the Bank may determine that an exposure has undergone a significant increase in credit risk based on particular qualitative indicators that it considers are indicative of such and whose effect may not otherwise be fully reflected in its quantitative analysis on a timely basis.

As a backstop, the Bank considers that a significant increase in credit risk occurs no later than when an asset is more than 30 days past due. Days past due are determined by counting the number of days since the earliest elapsed due date in respect of which full payment has not been received. Due dates are determined without considering any grace period that might be available to the borrower.

The Bank monitors the effectiveness of the criteria used to identify significant increases in credit risk by regular reviews to confirm that:

- The criteria are capable of identifying significant increases in credit risk before an exposure is in default;
- The criteria do not align with the point in time when an asset becomes 30 days past due; and
- There is no unwarranted volatility in loss allowance from transfers between 12-month PD (stage 1) and lifetime PD (stage 2).

The Bank classifies its financial instruments into stage 1, stage 2 and stage 3, based on the applied impairment methodology, as described below:

- Stage 1

for financial instruments where there has not been a significant increase in credit risk since initial recognition and that are not credit-impaired on origination, the Bank recognises an allowance based on the 12-month ECL. All accounts at origination would be classified as Stage 1.
- Stage 2

for financial instruments where there has been a significant increase in credit risk since initial recognition but they are not credit-impaired, the Bank recognises an allowance for the lifetime ECL for all financings categorised in this stage based on the actual/expected behavioural maturity profile including restructuring or rescheduling of facilities.
- Stage 3

for credit-impaired financial instruments, the Bank recognises the lifetime ECL. Default identification process i.e. DPD of 90 or more is assumed to be stage 3.

(vi) Modified financial assets

The contractual terms of a loan may be modified for a number of reasons, including changing market conditions, customer retention and other factors not related to a current or potential credit deterioration of the customer. An existing loan whose terms have been modified may be derecognised and the renegotiated loan recognised as a new loan at fair value in accordance with the accounting policy.

The Bank renegotiates loans to customers in financial difficulties (referred to as ‘forbearance activities’ to maximise collection opportunities and minimise the risk of default. Under the Bank’s forbearance policy, loan forbearance is granted on a selective basis if the debtor is currently in default on its debt or if there is a high risk of default, there is evidence that the debtor made all reasonable efforts to pay under the original contractual terms and the debtor is expected to be able to meet the revised terms.

The revised terms usually include extending the maturity, changing the timing of profit payments and amending the terms of loan covenants. Both retail and corporate loans are subject to the forbearance policy.

Forbearance is a qualitative indicator of a significant increase in credit risk and an expectation of forbearance may constitute evidence that an exposure is credit-impaired/in default. A customer needs to demonstrate consistently good payment behaviour over a period of 12 months before the exposure is no longer considered to be credit-impaired/in default.

(vii) Definition of “Default”

The Bank considers a financial asset to be in default when:

- The borrower is unlikely to pay its credit obligations to the Bank in full, without recourse by the Bank to actions such as realising security (if any is held); or
- The borrower is past due more than 90 days on any material credit obligation to the Bank.

Overdrafts are considered as being past due once the customer has breached an advised limit or been advised of a limit smaller than the current amount outstanding.

In assessing whether a borrower is in default, the Bank considers indicators that are:

- Qualitative – e.g. breaches of covenant;
- Quantitative – e.g. overdue status and non-payment on another obligation of the same issuer to the Bank; and
- Based on data developed internally and obtained from external sources.

Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances.

The definition of default largely aligns with that applied for the bank for regulatory purposes.

(viii) Incorporation of forward looking information

The Bank incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. Based on consideration of a variety of external actual and forecast information from published sources, the Bank formulates a forward looking adjustment to PD term structures to arrive at forward looking PD estimates across the lifetime using macroeconomic models.

The Bank considers scenarios in range of 3-5 years horizon (consistent with forecast available from public sources) beyond which long term average macroeconomic conditions prevail. Externally available macroeconomic forecast from International Monetary Fund (IMF) and Saudi Arabian Monetary Authority (SAMA) are used for making base case forecast. For other scenarios, adjustment are made to base case forecast based on expert judgement.

The base case represents a most-likely outcome as published by external sources. The other scenarios represent more optimistic and more pessimistic outcomes.

Economic Indicators	Weightage 2020 (%)
National Savings as Pct of GDP	55.44
Government expenditure to GDP	44.56

Economic Indicators	Weightage 2019 (%)
National Savings as Pct of GDP	55.44
Government expenditure to GDP	44.56

The Bank has identified and documented key drivers of credit risk and credit losses for each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses. The economic scenarios used as at 31 December included the following ranges of key indicators.

Economic Indicators	Scenarios	2020 (%)	2019 (%)
Gross National Savings Pct of GDP	Upside	25.06	30.67
	Base (Most Likely)	17.57	24.07
	Downside	13.54	17.46
Government Expenditure to GDP	Upside	38.92	39.19
	Base (Most Likely)	35.76	37.19
	Downside	34.06	35.19

To account for the impact of COVID-19, the Bank has used below base case near term forecast in its ECL model, which is based on updated information available as at the reporting date:

Economic Indicators	Forecast calendar years used in 2020 ECL model			Forecast calendar years used in 2019 ECL model		
	2021 (%)	2022 (%)	2023 (%)	2019 (%)	2020 (%)	2021 (%)
Gross National Savings Pct of GDP	16.65	16.97	17.12	23.71	22.65	21.82
Government Expenditure to GDP	33.87	31.86	31.09	36.14	35.83	34.87

The table below shows the sensitivity of change in economic indicators to the ECL computed under three different scenarios used by Bank:

31 December 2020	Due from Bank and other financial institutions (SAR '000)	Investment (SAR '000)	Financing (SAR '000)	Letters of guarantee (SAR '000)	Letters of credit (SAR '000)	Irrevocable commitments to extend credit (SAR '000)	Total (SAR '000)
Most likely (Base case)	73,144	26,962	7,398,212	340,617	191,253	9,330	8,039,518
More optimistic (Upside)	56,419	20,715	6,497,871	334,362	187,367	5,709	7,102,443
More pessimistic (Downside)	93,093	33,266	8,043,601	348,052	195,038	12,782	8,725,832

Predicted relationships between the key indicators and default and loss rates on various portfolios of financial assets have been developed based on analysing historical data.

These parameters are generally derived from internally developed statistical models and other historical data. They are adjusted to reflect forward-looking information as described above.

The table below illustrates the sensitivity of ECL to key factors used in determining it as at the year end:

	ECL Impact (2020) Increase/(Decrease)
Assumptions sensitised	
Macro-economic factors:	
National Savings as Pct of GDP increase by 10%	(207,622,144)
National Savings as Pct of GDP decrease by 10%	151,999,029
Government expenditure to GDP increase by 10%	(497,277,032)
Government expenditure to GDP decrease by 10%	364,053,780

(ix) Measurement of ECL

The Bank measures an ECL at an individual instrument level taking into account the projected cash flows, PD, LGD, CCF and discount rate.

The key inputs into the measurement of ECL are the term structure of the following variables:

- i. Probability of Default (PD);
- ii. Loss Given Default (LGD);
- iii. Exposure At Default (EAD).

EAD represents the expected exposure in the event of a default. The Bank derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract including amortisation. The EAD of a financial asset is its gross carrying amount. For lending commitments and financial guarantees, the EAD includes the amount drawn, as well as potential future amounts that may be drawn under the contract, which are estimated based on historical observations and forward-looking forecasts. The period of exposure limits the period over which possible defaults are considered and thus affects the determination of PDs and measurement of ECLs (especially for Stage 2 accounts with lifetime ECL).

(x) Credit quality analysis

(a) The following table sets out information about the credit quality of Financings measured at amortised cost as at 31 December.

	2020			
	12 month ECL (SAR '000)	Life time ECL not credit impaired (SAR '000)	Lifetime ECL credit impaired (SAR '000)	Total (SAR '000)
Carrying amount distribution by Grades				
Grade 1-3/(Aaa – A3)	10,218,303	–	–	10,218,303
Grade (4-6)/(Baa1 – B3)	49,883,949	3,698,775	–	53,582,724
Grade 7-Watch list/(Caa1 – C)	–	2,666,449	–	2,666,449
Non-performing	–	–	1,690,865	1,690,865
Total Corporate performing and non-performing	60,102,252	6,365,224	1,690,865	68,158,341
Total Retail (un-rated)	247,356,133	5,907,725	1,761,259	255,025,117
Total Carrying amount	307,458,385	12,272,949	3,452,124	323,183,458

	2019			
	12 month ECL (SAR '000)	Life time ECL not credit impaired (SAR '000)	Lifetime ECL credit impaired (SAR '000)	Total (SAR '000)
Carrying amount distribution by Grades				
Grade 1-3/(Aaa – A3)	13,547,133	–	–	13,547,133
Grade (4-6)/(Baa1 – B3)	44,502,283	3,306,212	–	47,808,495
Grade 7-Watch list/(Caa1 – C)	–	3,104,199	–	3,104,199
Non-performing	–	–	1,687,074	1,687,074
Total Corporate performing and non-performing	58,049,416	6,410,411	1,687,074	66,146,901
Total Retail (un-rated)	186,184,436	3,320,472	1,050,591	190,555,499
Total Carrying amount	244,233,852	9,730,883	2,737,665	256,702,400

(xi) Financings

(a) The net financing concentration risks and the related provision, by major economic sectors at 31 December are as follows:

Description	2020			Net financing (SAR '000)
	Performing	Non-Performing	Allowance for impairment	
	(SAR '000)	(SAR '000)	(SAR '000)	
Commercial	20,831,819	654,288	(527,116)	20,958,991
Industrial	27,896,009	229,237	(138,592)	27,986,654
Building and construction	1,396,185	636,587	(604,646)	1,428,126
Consumer	254,270,868	754,249	(642,253)	254,382,864
Services	13,936,713	170,055	(105,083)	14,001,685
Agriculture and fishing	539,561	–	–	539,561
Others	1,867,188	698	(7,122)	1,860,764
Total	320,738,343	2,445,114	(2,024,812)	321,158,645
12 month and life time ECL not credit impaired	–	–	(5,446,544)	(5,446,544)
Balance	320,738,343	2,445,114	(7,471,356)	315,712,101

Description	2019			Net financing (SAR '000)
	Performing	Non-Performing	Allowance for impairment	
	(SAR '000)	(SAR '000)	(SAR '000)	
Commercial	19,661,771	590,056	(424,883)	19,826,944
Industrial	26,775,778	375,395	(283,941)	26,867,232
Building and construction	2,031,147	573,757	(401,434)	2,203,470
Consumer	192,926,177	674,114	(532,585)	193,067,706
Services	12,336,880	103,471	(70,882)	12,369,469
Agriculture and fishing	340,974	–	–	340,974
Others	312,881	–	–	312,881
Total	254,385,608	2,316,793	(1,713,725)	254,988,676
12 month and life time ECL not credit impaired	–	–	(5,305,871)	(5,305,871)
Balance	254,385,608	2,316,793	(7,019,596)	249,682,805

(b) The tables below set out the aging of financing past due but not impaired as of 31 December:

Age	2020			
	Mutajara	Instalment sale	Credit cards	Total
	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)
up to 30 days	5,515,679	2,333,363	108,052	7,957,094
31-60 days	162,091	715,777	18,448	896,316
61-90 days	164,854	431,730	11,740	608,324
Total	5,842,624	3,480,870	138,240	9,461,734
Fair value of collateral	1,847,413	2,261,408	–	4,108,821

Age	2019			
	Mutajara	Instalment sale	Credit cards	Total
	(SAR '000)	(SAR '000)	(SAR '000)	(SAR '000)
up to 30 days	5,567,429	1,436,316	91,568	7,095,313
31-60 days	243,767	612,747	16,978	873,492
61-90 days	322,842	323,959	9,681	656,482
Total	6,134,038	2,373,022	118,227	8,625,287
Fair value of collateral	2,737,767	114,208	–	2,851,975

The Group in the ordinary course of lending activities hold collaterals as security to mitigate credit risk in financings. These collaterals mostly include time, demand, and other cash deposits, financial guarantees, local and international equities, real estate and other fixed assets. Real estate collaterals against financing are considered as held for sale and included in other assets.

The collaterals are held mainly against commercial and consumer loans and are managed against relevant exposures at their net realisable values. For financial assets that are credit impaired at the reporting period, quantitative information about the collateral held as security is needed to the extent that such collateral mitigates credit risk.

(c) The table below sets out gross balances of individually impaired financing, together with the fair value of related collateral held by the Group as at 31 December:

	2020		
	Retail	Corporate	Total
	(SAR '000)	(SAR '000)	(SAR '000)
Individually impaired financing	754,249	1,690,865	2,445,114
Fair value of collateral	573,602	453,208	1,026,810

	2019		
	Retail (SAR '000)	Corporate (SAR '000)	Total (SAR '000)
Individually impaired financing	629,719	1,687,074	2,316,793
Fair value of collateral	214,921	522,084	737,005

(d) The table below stratifies credit exposures from corporate and retail financing by ranges of loan-to-value (LTV) ratio. LTV is calculated as the ratio of the gross amount of the financing or the amount committed for loan commitments to the value of the collateral. The gross amounts exclude any impairment allowance.

	2020 (SAR '000)	2019 (SAR '000)
Less than 50%	61,641,163	57,225,432
51-70%	9,753,323	9,015,785
71-90%	60,253,907	30,830,167
91-100%	47,993,706	29,548,809
More than 100%	3,955,723	4,070,138
Total exposure	183,597,822	130,690,331

(b) Settlement risk

The Bank is also exposed to settlement risk in its dealings with other financial institutions. This risk arises when the Bank pays its side of the transaction to the other bank or counterparty before receiving payment from the third party. The risk is that the third party may not pay its obligation. While these exposures are short in duration, they can be significant. The risk is mitigated by dealing with highly rated counterparties, holding collateral and limiting the size of the exposures according to the risk rating of the counterparty.

(c) Risk limit control and mitigation policies

The responsibility for credit risk management is enterprise-wide in scope. Strong risk management is integrated into daily processes, decision making and strategy setting, thereby making the understanding and management of credit risk the responsibility of every business segment.

The following business units within the Bank assist in the credit control process:

- Corporate Credit Unit
- Credit Administration, Monitoring and Control Unit
- Remedial Unit
- Credit Policy Unit
- Retail Credit Unit

The monitoring and management of credit risk associated with these financing are made by setting approved credit limits. The Bank manages limits and controls concentrations of credit risk wherever they are identified – in particular, to individual customers and groups, and to industries and countries.

Concentrations of credit risks arise when a number of customers are engaged in similar business activities, activities in the same geographic region, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations of credit risks indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry or geographical location. The Bank seeks to manage its credit risk exposure through diversification of its financing to ensure there is no undue concentration of risks with to individuals or groups of customers in specific geographical locations or economic sectors.

The Bank manages credit risk by placing limits on the amount of risk accepted in relation to individual customers and groups, and to geographic and economic segments. Such risks are monitored on a regular basis and are subject to an annual or more frequent review, when considered necessary. Limits on the level of credit risk by product, economic sector and by country are reviewed at least annually by the executive committee.

Exposure to credit risk is also managed through regular analysis on the ability of customers and potential customers to meet financial and contractual repayment obligations and by revising credit limits where appropriate.

Some other specific control and mitigation measures are outlined below:

c.1 Collateral

The Bank implements guidelines on the level and quality of specific classes of collateral, The principal collateral types are:

- Mortgages over residential and commercial properties.
- Cash, shares, and general assets for customer.
- Shares for Murabaha (collateralised share trading) transactions.

The primary purpose of these instruments is to ensure that funds are available to a customer as required. Guarantees and standby letters of credit carry the same credit risk as traditional banking products of the Bank.

Documentary and commercial letters of credit – which are written undertakings by the Bank on behalf of a customer authorising a third party to draw drafts on the Bank up to a stipulated amount under specific terms and conditions, are collateralised by the underlying goods to which they relate, and therefore, risk is partially mitigated.

Commitments to extend credit represent unused portions of authorisations to extend credit in the form of further financing products, guarantees or letters of credit. With respect to credit risk on commitments to extend credit, the Bank is potentially exposed to loss in an amount equal to the total unused commitments. However, the likely amount of loss is less than the total unused commitments, as most commitments to extend credit are contingent upon customers maintaining specific credit standards.

(d) Impairment and provisioning policies

The table below sets out the maximum exposure to credit risk at the reporting date without considering collateral or other credit enhancements and includes the off-balance sheet financial instruments involving credit risks as at 31 December:

	2020 (SAR '000)	2019 (SAR '000)
On-balance sheet items Investments:		
Murabaha with Saudi Government and SAMA	22,904,021	24,991,978
Sukuk	28,406,417	18,751,109
Structured Products	1,000,000	–
Due from banks and other financial institutions	28,654,842	32,058,182
Financing, net		
Corporate	65,052,746	62,959,778
Retail	250,659,355	186,723,027
Other financial assets		
Receivables, net	1,613,343	–
Total on-balance sheet items	398,290,724	325,484,074
Off-balance sheet items:		
Letters of credit and acceptances	3,050,200	1,215,904
Letters of guarantee	5,443,189	4,973,200
Irrevocable commitments to extend credit	10,662,701	11,636,094
Total off-balance sheet items	19,156,090	17,825,198
Maximum exposure to credit risk	417,446,814	343,309,272

The exposures set out above are based on net carrying amounts as reported in the consolidated statement of financial position.

27.2 Liquidity risk

Liquidity risk is the risk that the Bank will be unable to meet its payment obligations associated with its financial liabilities when they fall due and to replace funds when they are withdrawn. The consequence may be the failure to meet obligations to repay deposits and financing parties and fulfil financing commitments. Liquidity risk can be caused by market disruptions or by credit downgrades, which may cause certain sources of funding to become unavailable immediately. Diverse funding sources available to the Bank help mitigate this risk. Assets are managed with liquidity in mind, maintaining a conservative balance of cash and cash equivalents.

Liquidity risk management process

The Bank's liquidity management process is as monitored by the Bank's Asset and Liabilities Committee (ALCO), and includes:

- Day-to-day funding, managed by Treasury to ensure that requirements can be met, and this includes replenishment of funds as they mature or are invested;
- Monitoring balance sheet liquidity ratios against internal and regulatory requirements;
- Managing the concentration and profile of debt maturities;
- Maintaining diversified funding sources; and
- Liquidity management and asset and liability mismatching.

Monitoring and reporting take the form of analysing cash flows of items with both contractual and non-contractual maturities. The net cash flows are measured to ensured that they are within acceptable ranges. The Treasury/ALCO also monitors, the level and type of undrawn lending commitments, usage of overdraft facilities and the potential impact of contingent liabilities such as standby letters of credit and guarantees may have on the Bank's liquidity position.

The tables below summarise the maturity profile of the Bank's assets and liabilities, on the basis of the remaining maturity as of the consolidated statement of financial position date to the contractual maturity date.

Management monitors the maturity profile to ensure that adequate liquidity is maintained, Assets available to meet liabilities and to cover outstanding financing commitments include cash, balances with SAMA and due from banks. Further, in accordance with the Banking Control Law and Regulations issued by SAMA, the Bank maintains a statutory deposit equal to a sum not less than 7% of total customers' deposits, and 4% of total other customers' accounts. In addition to the statutory deposit, the Bank maintains a liquid reserve of not less than 20% of the deposit liabilities, in the form of cash, gold or assets which can be converted into cash within a period not exceeding 30 days. Also, the Bank has the ability to raise additional funds through special financing arrangements with SAMA including deferred sales transactions.

The contractual maturities of financial assets and liabilities as of 31 December based on discounted cash flows are as follows. The table below reflects the expected cash flows indicated by the deposit retention history of the Group. Management monitors a rolling forecast of the Group's liquidity position and cash and cash equivalents on the basis of expected cash flows. This is carried out in accordance with practice and limits set by the Group and based on the pattern of historical deposit movements. In addition, the Group's liquidity management policy involves projecting cash flows in major currencies and considering the level of liquid assets necessary to meet these, monitoring balance sheet liquidity ratios against internal and external regulatory requirements and maintaining debt financing plans.

	2020					
	Less than 3 months (SAR '000)	3 to 12 months (SAR '000)	1 to 5 years (SAR '000)	Over 5 years (SAR '000)	No Fixed Maturity (SAR '000)	Total (SAR '000)
Assets						
Cash and balance with SAMA and other central banks	16,235,549	–	–	–	31,126,973	47,362,522
Due from banks and other financial institutions	8,924,380	6,519,752	11,951,076	–	1,259,634	28,654,842
Financing, net						
Mutajara	14,385,991	9,205,279	11,161,268	2,478,796	–	37,231,334
Instalment sale	14,550,254	31,842,841	115,670,114	93,416,307	–	255,479,516
Murabaha	1,233,638	2,760,214	4,281,018	11,395,223	–	19,670,093
Credit cards	1,409,529	823,202	1,096,299	2,128	–	3,331,158
Investments, net						
Investment in an associate	–	–	–	–	239,179	239,179
Investments held at amortised cost	488,781	–	18,408,177	30,220,553	–	49,117,511
FVSI Investments	–	–	1,502,525	2,588,595	2,545,864	6,636,984
FVOCI investments	–	–	–	–	4,291,598	4,291,598
Other assets, net	–	–	–	–	16,809,986	16,809,986
Total	57,228,122	51,151,288	164,070,477	140,101,602	56,273,234	468,824,723
Liabilities						
Due to banks and other financial institutions	1,208,109	5,459,613	3,648,051	–	448,288	10,764,061
Demand deposits	–	–	–	–	327,572,511	327,572,511
Customers' time investments	29,729,360	13,278,009	9,913	–	–	43,017,282
Other customer accounts	1,611,253	2,135,266	2,398,659	–	5,896,032	12,041,210
Other liabilities	–	–	–	–	17,311,141	17,311,141
Total Liabilities	32,548,722	20,872,888	6,056,623	–	351,227,972	410,706,205
Gap	24,679,400	30,278,400	158,013,854	140,101,602	(294,954,738)	58,118,518

	2019					
	Less than 3 months (SAR '000)	3 to 12 months (SAR '000)	1 to 5 years (SAR '000)	Over 5 years (SAR '000)	No Fixed Maturity (SAR '000)	Total (SAR '000)
Assets						
Cash and balance with SAMA and other central banks	10,855,000	–	–	–	28,439,099	39,294,099
Due from banks and other financial institutions	11,494,160	6,575,839	13,988,183	–	–	32,058,182
Financing, net						
Mutajara	13,875,181	11,750,437	12,908,065	3,043,561	–	41,577,244
Instalment sale	12,151,486	29,194,865	97,755,730	48,621,920	–	187,724,001
Murabaha	3,771,541	4,221,613	3,878,893	5,356,019	–	17,228,066
Credit cards	1,447,050	731,273	975,171	–	–	3,153,494
Investments, net						
Investment in an associate	–	–	–	–	196,235	196,235
Investments held at amortised cost	2,566,987	–	16,089,945	24,286,155	–	42,943,087
FVSI Investments	–	–	800,000	–	1,230,711	2,030,711
FVOCI investments	–	–	–	–	1,672,597	1,672,597
Other assets, net	–	–	–	–	16,208,860	16,208,860
Total	56,161,405	52,474,027	146,395,987	81,307,655	47,747,502	384,086,576
Liabilities						
Due to banks and other financial institutions	1,885,035	–	–	–	334,569	2,219,604
Demand deposits	–	–	–	–	284,299,851	284,299,851
Customers' time investments	17,095,711	4,578,411	450,331	1,773	–	22,126,226
Other customer accounts	1,569,561	2,072,232	2,337,953	–	–	5,979,746
Other liabilities	–	–	–	–	18,269,492	18,269,492
Total Liabilities	20,550,307	6,650,643	2,788,284	1,773	302,903,912	332,894,919
Gap	35,611,098	45,823,384	143,607,703	81,305,882	(255,156,410)	51,191,657

The following tables disclose the maturity of contractual financial liabilities on undiscounted cash flows as at 31 December:

	2020					
	Less than 3 months (SAR '000)	3 to 12 months (SAR '000)	1 to 5 years (SAR '000)	Over 5 years (SAR '000)	No fixed maturity (SAR '000)	Total (SAR '000)
Due to banks and other financial institutions	1,224,402	5,533,239	3,697,247	–	454,333	10,909,221
Customer deposits	31,347,940	15,416,547	2,408,574	–	333,468,543	382,641,604
Other liabilities	–	–	–	–	17,311,141	17,311,141
Total	32,572,342	20,949,786	6,105,821	–	351,234,017	410,861,966

The cumulative maturities of commitments and contingencies are given in note 16 (c) 1 of the consolidated financial statements.

	2019					
	Less than 3 months (SAR '000)	3 to 12 months (SAR '000)	1 to 5 years (SAR '000)	Over 5 years (SAR '000)	No fixed maturity (SAR '000)	Total (SAR '000)
Due to banks and other financial institutions	2,342,000	–	–	–	334,569	2,676,569
Customer deposits	19,293,271	6,891,825	2,821,521	1,773	284,299,851	313,308,241
Other liabilities	–	–	–	–	18,269,492	18,269,492
Total	21,635,271	6,891,825	2,821,521	1,773	302,903,912	334,254,302

The cumulative maturities of commitments and contingencies are given in Note 16 (c) 1 of the consolidated financial statements.

27.3 Market risks

The Bank is exposed to market risks, which is the risk that the fair value or future cash flows of a financial instrument will fluctuate due to changes in market prices. Market risks arise on profit rate products, foreign currency and mutual fund products, all of which are exposed to general and specific market movements and changes in the level of volatility of market rates or prices such as profit rates, foreign exchange rates and quoted market prices.

Market risk exposures are monitored by Treasury/Credit and Risk department and reported to ALCO on a monthly basis. ALCO deliberates on the risks taken and ensure that they are appropriate.

(a) Market risks – Speculative operations

The Bank is not exposed to market risks from speculative operations. The Bank is committed to Sharia guidelines which does not permit it to enter into contracts or speculative instruments such as hedging, options, forward contracts and derivatives.

(b) Market risks – Banking operations

Profit rate risk

Cash flow profit rate risk is the risk that the future cash flows of a financial instrument will fluctuate due to changes in market profit rates. The Bank does not have any significant exposure

to the effects of fluctuations in prevailing level of market profit rates on its future cash flows as a significant portion of profit earning financial assets and profit bearing liabilities are at fixed rates and are carried in the financial statements at amortised cost. In addition to this, a substantial portion of the Bank’s financial liabilities are non-profit bearing.

Commission rate risk arises from the possibility that the changes in profit rates will affect either the fair values or the future cash flows of the financial instruments. The Board has established commission rate gap limits for stipulated periods. The Bank monitors positions daily and uses gap management strategies to ensure maintenance of positions within the established gap limits.

The following table depicts the sensitivity to a reasonable possible change in profit rates, with other variables held constant, on the Bank’s consolidated statement of income or shareholders’ equity. The sensitivity of the income is the effect of the assumed changes in profit rates on the net income for one year, based on the floating rate non-trading financial assets and financial liabilities held as at 31 December 2020 and 2019. The sensitivity of consolidated shareholders’ equity is the same as sensitivity of consolidated income since the Bank does not have fixed rate FVOCI financial assets as at 31 December 2020 and 2019. All the banking book exposures are monitored and analysed in currency concentrations, and relevant sensitivities are disclosed in SAR Mn.

Currency	Increase in basis points	2020			
		Sensitivity of gross financing and investment income			
		As at 31 December (SAR Mn.)	Average (SAR Mn.)	Maximum for (SAR Mn.)	Minimum (SAR Mn.)
SAR	+25	255	244	255	229

Currency	Decrease in basis points	Sensitivity of gross financing and investment income			
		As at 31 December (SAR Mn.)	Average (SAR Mn.)	Maximum for (SAR Mn.)	Minimum (SAR Mn.)
SAR	-25	(255)	(244)	(255)	(229)

Currency	Increase in basis points	2019			
		Sensitivity of gross financing and investment income			
		As at 31 December (SAR Mn.)	Average (SAR Mn.)	Maximum for (SAR Mn.)	Minimum (SAR Mn.)
SAR	+25	241	235	244	227

Currency	Decrease in basis points	Sensitivity of gross financing and investment income			
		As at 31 December (SAR Mn.)	Average (SAR Mn.)	Maximum for (SAR Mn.)	Minimum (SAR Mn.)
SAR	-25	(241)	(235)	(244)	(227)

Profit rate movements affect reported consolidated shareholders’ equity through retained earnings, i.e. increases or decreases in financing and investment income.

Commission sensitivity of assets, liabilities and off balance sheet items

The Bank manages exposure to the effects of various risks associated with fluctuations in the prevailing levels of market profit rates on its financial position and cash flows.

The Board sets limits on the level of mismatch of commission rate repricing that may be undertaken, which is monitored daily by Bank Treasury.

The table below summarises the Bank’s exposure to profit rate risks. Included in the table are the Bank’s financial instruments at carrying amounts, categorised by the earlier of contractual re-pricing or maturity dates.

The Bank is exposed to profit rate risk as a result of mismatches or gaps in the amounts of assets and liabilities and off balance sheet instruments that mature or re-price in a given period. The Bank manages this risk by matching the re-pricing of assets and liabilities through risk management strategies.

	2020						
	Less than 3 months (SAR '000)	3 to 6 months (SAR '000)	6 to 12 months (SAR '000)	1 to 5 years (SAR '000)	Over 5 years (SAR '000)	Non-Commission Sensitive	Total (SAR '000)
Assets							
Cash and balance with SAMA and other central banks	16,235,549	–	–	–	–	31,126,973	47,362,522
Due from banks and other financial institutions	10,131,068	2,902,451	2,410,613	11,951,076	–	1,259,634	28,654,842
Investments, net							
Investment in an associate	–	–	–	–	–	239,179	239,179
Investments held at amortised cost	22,355,265	2,005,632	–	15,545,908	9,210,706	–	49,117,511
FVSI investments	–	2,588,595	–	1,502,525	–	2,545,864	6,636,984
FVOCI investments	–	604,332	–	–	–	3,687,266	4,291,598
Financing, net							
Mutajara	16,174,148	11,265,923	3,283,366	5,343,271	1,164,626	–	37,231,334
Instalment sale	21,730,136	13,139,501	22,689,661	117,297,161	80,623,057	–	255,479,516
Murabaha	10,302,648	8,213,185	35,286	282,279	836,695	–	19,670,093
Credit cards	1,409,504	274,410	548,817	1,096,299	2,128	–	3,331,158
Other assets	–	–	–	–	–	16,809,986	16,809,986
Total assets	98,338,318	40,994,029	28,967,743	153,018,519	91,837,212	55,668,902	468,824,723
Liabilities							
Due to banks and other financial institutions	2,027,236	4,891,925	649,025	2,747,587	–	448,288	10,764,061
Customer deposits	–	–	–	–	–	327,572,511	327,572,511
Customers' time investments	29,729,361	9,015,881	4,262,127	9,913	–	–	43,017,282
Other customer accounts	5,896,032	–	–	–	–	6,145,178	12,041,210
Other liabilities	–	–	–	–	–	17,311,141	17,311,141
Total liabilities	37,652,629	13,907,806	4,911,152	2,757,500	–	351,477,118	410,706,205
Gap	60,685,690	27,086,223	24,056,591	150,261,019	91,837,211	(295,808,216)	58,118,518
Profit rate sensitivity – On statement of financial position	60,685,690	27,086,223	24,056,591	150,261,019	91,837,211	(295,808,216)	58,118,518
Profit rate sensitivity – Off statement of financial position	86,891	136,217	134,359	33,212	934	–	391,613
Total profit rate sensitivity gap	60,598,799	26,950,006	23,922,231	150,227,807	91,836,278	(295,808,216)	57,726,905
Cumulative profit rate sensitivity gap	60,598,799	87,548,805	111,471,036	261,698,844	353,535,121	57,726,905	57,726,905

	2019						
	Less than 3 months (SAR '000)	3 to 6 months (SAR '000)	6 to 12 months (SAR '000)	1 to 5 years (SAR '000)	Over 5 years (SAR '000)	Non-Commission Sensitive	Total (SAR '000)
Assets							
Cash and balance with SAMA and other central banks	10,854,472	–	–	–	–	28,439,627	39,294,099
Due from banks and other financial institutions	10,479,978	357,348	6,543,435	14,677,421	–	–	32,058,182
Investments, net							
Investment in an associate	–	–	–	–	–	196,235	196,235
Investments held at amortised cost	26,001,235	1,252,000	–	–	13,956,318	1,733,534	42,943,087
FVSI investments	–	800,000	–	–	–	1,230,711	2,030,711
FVOCI investments	–	–	–	–	–	1,672,597	1,672,597
Financing, net							
Mutajara	16,244,991	14,699,701	4,218,431	4,609,125	1,804,996	–	41,577,244
Instalment sale	18,271,988	16,132,170	20,059,435	93,604,177	39,656,231	–	187,724,001
Murabaha	7,598,931	5,290,277	23,372	3,217,328	1,098,158	–	17,228,066
Credit cards	1,447,050	243,758	487,515	975,171	–	–	3,153,494
Other assets	–	–	–	–	–	16,208,860	16,208,860
Total assets	90,898,645	38,775,254	31,332,188	117,083,222	56,515,703	49,481,564	384,086,576
Liabilities							
Due to banks and other financial institutions	1,677,579	–	–	–	–	542,025	2,219,604
Customer deposits	–	–	–	–	–	284,299,851	284,299,851
Customers' time investments	17,102,278	3,001,418	1,577,663	444,867	–	–	22,126,226
Other customer accounts	–	–	–	–	–	5,979,746	5,979,746
Other liabilities	–	–	–	–	–	18,269,492	18,269,492
Total liabilities	18,779,857	3,001,418	1,577,663	444,867	–	309,091,114	332,894,919
Gap	72,118,788	35,773,836	29,754,525	116,638,355	56,515,703	(259,609,550)	51,191,657
Profit rate sensitivity – On statement of financial positions	72,118,788	35,773,836	29,754,525	116,638,355	56,515,703	(259,609,550)	51,191,657
Profit rate sensitivity – Off statement of financial positions	167,512	24,528	70,934	66,574	5,697	–	335,245
Total profit rate sensitivity gap	71,951,276	35,749,308	29,683,591	116,571,781	56,510,006	(259,609,550)	50,856,412
Cumulative profit rate sensitivity gap	71,951,276	107,700,584	137,384,175	253,955,956	310,465,962	50,856,412	50,856,412

Foreign currency risks

The tables below summarise the Bank’s exposure to foreign currency exchange rate risk at 31 December 2020 and 2019 and the concentration of currency risks. Included in the table are the Bank’s financial instruments at carrying amounts, categorised by currency:

	2020							
	UAE Dirham (SAR '000)	Japanese Yen (SAR '000)	Euro (SAR '000)	Malaysian Ringgit (SAR '000)	US Dollar (SAR '000)	Pound Sterling (SAR '000)	Other (SAR '000)	Total (SAR '000)
Assets								
Cash and cash equivalents	44,180	–	29,595	38,086	350,388	23,183	486,520	971,952
Due from banks and other financial institutions	55,513	5,940	183,332	399,012	3,524,878	27,772	468,221	4,664,668
Financing, net	–	–	–	4,751,305	7,567,866	–	4,962,823	17,281,994
Investments, net	–	–	402	1,311,663	5,886,959	–	258,697	7,457,721
Fixed assets	2,421	–	10,392	53,882	473,445	3,282	45,887	589,309
Other assets, net	2	–	2,218	52,053	349,542	991	24,635	429,441
Total assets	102,116	5,940	225,939	6,606,001	18,153,078	55,228	6,246,783	31,395,085
Liabilities								
Due to banks and other financial institutions	71	–	17,852	298,106	1,473,317	190	(77,328)	1,712,208
Customer deposits	16,993	5,203	117,125	5,246,529	6,595,424	50,363	5,345,852	17,377,489
Other liabilities	5,026	745	130,684	93,769	847,993	7,082	231,059	1,316,358
Total liabilities	22,090	5,948	265,661	5,638,404	8,916,734	57,635	5,499,583	20,406,055
Net	80,026	(8)	(39,722)	967,597	9,236,344	(2,407)	747,200	10,989,030

	2019							
	UAE Dirham (SAR '000)	Japanese Yen (SAR '000)	Euro (SAR '000)	Malaysian Ringgit (SAR '000)	US Dollar (SAR '000)	Pound Sterling (SAR '000)	Other (SAR '000)	Total (SAR '000)
Assets								
Cash and cash equivalents	34,104	–	31,868	153,650	335,903	21,963	608,879	1,186,367
Due from banks and other financial institutions	63,357	7,508	197,512	518,468	3,120,698	24,183	102,570	4,034,296
Financing, net	–	–	–	4,846,668	5,531,037	–	4,504,063	14,881,768
Investments, net	–	–	367	894,904	2,007,106	–	255,369	3,157,746
Fixed assets	2,229	–	9,528	65,199	392,337	1,024	54,232	524,549
Other assets, net	–	–	1,889	171,338	74,963	831	21,534	270,555
Total assets	99,690	7,508	241,164	6,650,227	11,462,044	48,001	5,546,647	24,055,281
Liabilities								
Due to banks and other financial institutions	193	–	61,892	129,399	375,153	17	(622,790)	(56,136)
Customer deposits	8,861	5,013	114,609	5,429,591	3,153,602	40,639	5,083,655	13,835,970
Other liabilities	4,369	707	110,713	103,126	740,687	9,023	237,542	1,206,167
Total liabilities	13,423	5,720	287,214	5,662,116	4,269,442	49,679	4,698,407	14,986,001
Net	86,267	1,788	(46,050)	988,111	7,192,602	(1,678)	848,240	9,069,280

Currency risk represents the risk of change in the value of financial instruments due to changes in foreign exchange rates. The Bank management has set limits on positions by currencies, which are regularly monitored to ensure that positions are maintained within the limits.

The table below shows the currencies to which the Bank has a significant exposure as at 31 December 2020 and 2019, on its non-trading monetary assets and liabilities and forecasted cash flows. The analysis calculates the effect of reasonable possible movements of the currency rate against SAR, with all other variables held constant, on the consolidated statement of income (due to the fair value of the currency sensitive non-trading monetary assets and liabilities) and equity. A positive effect shows a potential increase in the consolidated statement of income or consolidated shareholders’ equity, whereas a negative effect shows a potential net reduction in the consolidated statement of income or consolidated statement of changes in shareholders’ equity.

Currency exposures as at 31 December 2020	Change in currency rate in %	Effect on net income (SAR '000)	Effect on equity (SAR '000)
AED	+/-2	1,601	1,601
USD	+/-2	184,727	184,727
EUR	+/-5	(1,986)	(1,986)
INR	+/-5	4,567	4,567
PKR	+/-5	3,518	3,518

Currency exposures as at 31 December 2019	Change in currency rate in %	Effect on net income (SAR '000)	Effect on equity (SAR '000)
AED	+/-2	1,725	1,725
USD	+/-2	143,852	143,852
EUR	+/-5	(2,303)	(2,303)
INR	+/-5	(227)	(227)
PKR	+/-5	249	249

Currency position

The Bank manages exposure to the effects of fluctuations in prevailing foreign currency exchange rates on its financial position and cash flows. The Board of Directors sets limits on the level of exposure by currency and in total for both overnight and intraday positions, which are monitored daily. At the end of the year, the Bank had the following significant net exposures denominated in foreign currencies:

	2020 (SAR '000) (Long/(short))	2019 (SAR '000) (Long/(short))
US Dollar	9,236,344	7,192,602
Japanese Yen	(8)	1,788
Euro	(39,722)	(46,050)
Pound Sterling	(2,407)	(1,678)
UAE Dirham	80,026	86,267
Malaysian Ringgit	967,597	988,111
Others	747,200	848,240
Total	10,989,030	9,069,280

(c) Price risk

The Bank has certain investments which are carried at fair value through the income statement (FVSI) and fair value through other comprehensive income (FVOCI). Price risk arises due to changes in these investments.

As these investments are in a limited number of funds and are not significant to the total investment portfolio, the Bank monitors them periodically and determines the risk of holding them based on changes in market prices.

Other investments have little or no risks as these are bought for immediate sales. Investments are made only with a confirmed sale order and therefore involve minimal risk.

• Equity price risk

Equity risk refers to the risk of decrease in fair values of equities in the Bank's non-trading investment portfolio as a result of reasonable possible changes in levels of equity indices and the value of individual stocks.

The effect on the Bank's equity investments held as FVOCI due to reasonable possible changes in equity indices, with all other variables held constant, as at 31 December is as follows:

Local Market indices	31 December 2020		31 December 2019	
	Change in equity price %	Effect in SAR million	Change in equity price %	Effect in SAR million
Local Share Equity	+ /- 10	+/-341,957	+ /- 10	+/- 164,824

(d) Operational risk

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people, systems, and external events.

Operational risk is inherent in most of the Bank's activities. This necessitates an integrated approach to the identification, measurement and monitoring of operational risk.

An Operational Risk Management Unit (ORMU) has been established within the Credit and Risk Management Group which facilitates the management of Operational Risk within the Bank. ORMU facilitates the management of Operational Risk by setting policies, developing systems, tools and methodologies, overseeing their implementation and use within the business units and providing ongoing monitoring and guidance across the Bank.

The three primary operational risk management processes in the Bank are Risk Control Self Assessment, Operational Loss Database and eventual implementation of Key Risk Indicators which are designed to function in a mutually reinforcing manner.

28-Geographical Concentration

(a) The distribution by the geographical region of the major categories of assets, liabilities, commitments, contingencies and credit exposure accounts as of 31 December is as follows:

	2020						
	Kingdom of Saudi Arabia (SAR '000)	Other GCC and Middle East (SAR '000)	Europe (SAR '000)	North America (SAR '000)	South East Asia (SAR '000)	Other Countries (SAR '000)	Total (SAR '000)
Assets							
Cash and balances with SAMA and other central banks	47,297,397	48,505	–	–	16,620	–	47,362,522
Due from banks and other financial institutions	10,606,664	16,518,568	63,202	157,458	997,102	311,848	28,654,842
Financing, net							
Mutajara	37,230,349	592	393	–	–	–	37,231,334
Instalment sale	251,269,430	2,947,323	–	–	1,262,763	–	255,479,516
Murabaha	14,173,176	2,381,816	–	–	3,115,101	–	19,670,093
Credit cards	3,324,868	6,143	–	–	147	–	3,331,158
Investments, net							
Investment in an associate	239,179	–	–	–	–	–	239,179
Investments held at amortised cost	44,933,282	1,808,802	1,280,580	–	676,671	–	48,699,335
FVSI Investments	6,949,685	190,843	–	–	–	–	7,140,528
FVOCI investments	3,580,589	21,309	–	–	604,332	–	4,206,230
Total assets	419,604,619	23,923,901	1,344,175	157,458	6,672,736	311,848	452,014,737
Liabilities							
Due to banks and other financial institutions	10,049,256	20,448	–	435,859	258,498	–	10,764,061
Customer deposits	365,253,514	8,578,469	22,799	452	8,769,155	6,615	382,631,004
Total liabilities	375,302,770	8,598,917	22,799	436,311	9,027,653	6,615	393,395,065
Commitments and contingencies	13,585,335	1,161,669	272,045	16,508	3,773,101	347,432	19,156,090
Credit exposure (stated at credit equivalent value)	8,336,590	–	–	–	2,326,111	–	10,662,701

	2019						
	Kingdom of Saudi Arabia (SAR '000)	Other GCC and Middle East (SAR '000)	Europe (SAR '000)	North America (SAR '000)	South East Asia (SAR '000)	Other Countries (SAR '000)	Total (SAR '000)
Assets							
Cash and balances with SAMA and other central banks	39,206,336	69,209	–	–	18,554	–	39,294,099
Due from banks and other financial institutions	8,801,478	19,134,342	2,358,919	151,310	845,040	767,093	32,058,182
Financing, net							
Mutajara	39,958,043	1,098,898	520,303	–	–	–	41,577,244
Instalment sale	184,182,295	2,300,310	–	–	1,241,396	–	187,724,001
Murabaha	12,244,295	2,131,177	–	–	2,852,594	–	17,228,066
Credit cards	3,146,501	6,993	–	–	–	–	3,153,494
Investments, net							
Investment in an associate	196,235	–	–	–	–	–	196,235
Investments held at amortised cost	41,814,230	592,232	–	–	536,625	–	42,943,087
FVSI Investments	2,017,302	13,042	367	–	–	–	2,030,711
FVOCI investments	1,651,323	21,274	–	–	–	–	1,672,597
Total assets	331,620,850	26,465,805	2,879,589	151,310	5,993,069	767,093	367,877,716
Liabilities							
Due to banks and other financial institutions	1,338,054	470,707	–	384,922	25,921	–	2,219,604
Customer deposits	298,569,853	6,865,823	17,726	4,544	6,929,758	18,120	312,405,824
Total liabilities	299,907,907	7,336,530	17,726	389,466	6,955,679	18,120	314,625,428
Commitments and contingencies	16,455,181	633,737	99,182	94,220	421,820	121,058	17,825,198
Credit exposure (stated at credit equivalent value)	9,727,912	–	–	–	1,908,182	–	11,636,094

(b) The distributions by geographical concentration of non-performing financing and allowance for impairment of financing are as follows:

	2020			
	Kingdom of Saudi Arabia (SAR '000)	GCC and Middle East (SAR '000)	South East of Asia (SAR '000)	Total (SAR '000)
Non-performing				
Mutajara	1,647,511	5,423	37,929	1,690,865
Instalment sale	690,942	25,559	11,900	728,401
Murabaha	–	–	–	–
Credit cards	25,848	–	–	25,848
Allowance for impairment of financing				
Mutajara	(2,929,580)	(12,570)	(53,744)	(2,995,894)
Instalment sale	(4,289,808)	(62,293)	(46,822)	(4,398,923)
Murabaha	(55,734)	–	–	(55,734)
Credit cards	(20,805)	–	–	(20,805)

	2019			
	Kingdom of Saudi Arabia (SAR '000)	GCC and Middle East (SAR '000)	South East of Asia (SAR '000)	Total (SAR '000)
Non-performing				
Mutajara	1,642,684	5,420	38,970	1,687,074
Instalment sale	538,829	24,736	18,412	581,977
Murabaha	–	–	–	–
Credit cards	47,742	–	–	47,742
Allowance for impairment of financing				
Mutajara	(1,285,340)	(1,088)	(19,427)	(1,305,855)
Instalment sale	(522,160)	(7,734)	(497)	(530,391)
Murabaha	(144,794)	–	(10,751)	(155,545)
Credit cards	(9,083)	–	(287)	(9,370)

Refer to Note 7.1 (a) for performing financing.

29 – Fair Value of Financial Assets and Liabilities

Determination of fair value and fair value hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments:

- Level 1: Quoted prices in active markets for the same instrument (i.e. without modification or additions).
- Level 2: Quoted prices in active markets for similar assets and liabilities or other valuation techniques for which all significant inputs are based on observable market data.
- Level 3: Valuation techniques for which any significant input is not based on observable market data.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction takes place either:

- In the accessible principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous accessible market for the asset or liability.

Carrying amounts and fair value:

The following table shows the carrying amounts and fair values of financial assets and financial liabilities as at 31 December, including their levels in the fair value hierarchy [refer Note 2 (d) (ii)]. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

	2020				
	Carrying value (SAR '000)	Level 1 (SAR '000)	Level 2 (SAR '000)	Level 3 (SAR '000)	Total (SAR '000)
Financial assets					
Financial assets measured at fair value					
FVSI Investments – Mutual funds	2,545,864	–	2,291,749	254,115	2,545,864
FVOCI equity investments	3,687,266	3,662,877	–	24,389	3,687,266
FVSI Sukuk	2,588,595	–	2,588,595	–	2,588,595
FVOCI Sukuk	604,332	–	604,332	–	604,332
Structure Products	1,502,525	–	–	1,502,525	1,502,525
Financial assets not measured at fair value					
Due from banks and other financial institutions	28,654,842	–	–	29,128,159	29,128,159
Investments held at amortised cost					
– Murabaha with Saudi Government and SAMA	22,904,021	–	–	23,226,882	23,226,882
– Sukuk	25,240,452		24,143,625	2,012,090	26,155,715
– Structured Products	1,000,000	–	–	1,048,310	1,048,310
Gross financing	323,183,457	–	–	331,028,641	331,028,641
Total	411,911,354	3,662,877	29,628,301	388,225,111	421,516,289
Financial liabilities					
Financial liabilities not measured at fair value					
Due to banks and other financial institutions	10,764,061	–	–	10,909,221	10,909,221
Customers' deposits	382,631,003	–	–	382,641,604	382,641,604
Total	393,395,064	–	–	393,550,825	393,550,825

	31 December 2019				
	Carrying value (SAR '000)	Level 1 (SAR '000)	Level 2 (SAR '000)	Level 3 (SAR '000)	Total (SAR '000)
Financial assets					
Financial assets measured at fair value					
FVSI Investments – Mutual funds	1,230,711	–	1,230,711	–	1,230,711
FVOCI equity investments	1,672,597	1,648,243	–	24,355	1,672,598
FVSI Sukuk	800,000	–	–	800,000	800,000
Financial assets not measured at fair value					
Due from banks and other financial institutions	32,058,182	–	–	32,300,842	32,300,842
Investments held at amortised cost					
– Murabaha with Saudi Government and SAMA	24,991,978	–	–	25,268,177	25,268,177
– Sukuk	17,973,379	–	185,625	18,171,963	18,357,588
Gross financing	256,702,401	–	–	275,942,492	275,942,492
Total	335,429,248	1,648,243	1,416,336	352,507,829	355,572,408
Financial liabilities					
Financial liabilities not measured at fair value					
Due to banks and other financial institutions	2,219,604	–	–	2,219,642	2,219,642
Customers' deposits	312,405,823	–	–	312,405,823	312,405,823
Total	314,625,427	–	–	314,625,465	314,625,465

FVSI investments classified as Level 2 include mutual funds, the fair value of which is determined based on the latest reported net assets value (NAV) as at the date of statement of consolidated financial position.

The Level 3 financial assets measured at fair value represent investments recorded at cost. The carrying value of these investments approximate fair value.

Gross financing classified as Level 3 has been valued using expected cash flows discounted at relevant current effective profit rate. Investments held at amortised cost, due to/from banks and other financial institutions have been valued using the actual cash flows discounted at relevant SIBOR/SAMA Murabaha rates.

The value obtained from the relevant valuation model may differ from the transaction price of a financial instrument. The difference between the transaction price and the model value commonly referred to as “day one profit and loss” is either amortised over the life of the transaction, deferred until the instrument’s fair value can be determined using market observable data, or realised through disposal. Subsequent changes in fair value are recognised immediately in the consolidated statement of income without reversal of deferred day one profits and losses.

During the current year, no financial assets/liabilities have been transferred between Level 1 and/or Level 2 of the fair value hierarchy.

30-Related Party Transactions

In the ordinary course of business, the Bank transacts business with related parties. The related party transactions are governed by limits set by the Banking Control Law and the regulations issued by SAMA. The nature and balances resulting from such transactions as at and for the year ended 31 December are as follows:

	2020 (SAR '000)	2019 (SAR '000)
Related parties		
Members of the Board of Directors		
Mutajara	59,321	67,680
Contingent liabilities*	–	20
Current accounts	242,323	320,085
Companies and establishments guaranteed by members of the Board of Directors		
Mutajara	10,222,874	7,244,210
Contingent liabilities*	3,664,052	877,158
Associate		
Contributions receivable	321,512	142,152
Payable against claims	169,437	194,312
Bank balances	188,276	332,713

*off balance sheet items.

Income and expenses pertaining to transactions with related parties included in the consolidated financial statements for the years ended 31 December are as follows:

	2020 (SAR '000)	2019 (SAR '000)
Income from financing and other financial assets	32,141	135,422
Mudaraba fees	72,689	79,316
Employees' salaries and benefits (air tickets)	795	4,297
Rent and premises related expenses	6,826	5,521
Contribution – Policies written	721,077	861,880
Claims incurred and notified during the period	440,395	662,212
Claims paid	465,270	615,901
Board of Directors' remunerations	6,009	6,140

The amounts of compensations recorded in favour of or paid to the Board of Directors and the Executive Management Personnel during the years ended 31 December are as follows:

	2020 (SAR '000)	2019 (SAR '000)
Short-term benefits	107,097	99,533
Provision for employees' end of service benefits	10,687	10,669

The executive management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Banks directly or indirectly.

31 – Mudaraba Funds

Mudaraba funds as of 31 December comprise the following:

	2020 (SAR '000)	2019 (SAR '000)
Customers' Mudaraba and investments	29,216,806	23,255,708
Total	29,216,806	23,255,708

Mudaraba and investments represents customer's investment portfolio managed by Al Rajhi Capital Company and are considered as off balance sheet. consistent with the accounting policies of the Group, such balances are not included in the consolidated financial statements as these are held by the Group in a fiduciary capacity.

32 – Special Commissions Excluded from the Consolidated Statement of Income

The following represents the movements in charities account, which is included in other liabilities (see Note 13) for the year ended 31 December:

	2020 (SAR '000)	2019 (SAR '000)
Balance at beginning of the year	10,994	56,350
Additions during the year	11,745	52,691
Payments made during the year	(13,854)	(98,047)
Balance at end of the year	8,885	10,994

33 – Investment Management Services

The Group offers investment services to its customers. The Group has established a number of Mudaraba funds in different investment aspects. These funds are managed by the Group's Investment Department, and a portion of the funds is also invested in participation with the Group. The Group also offers investment management services to its customers through its subsidiary, which include management of funds with total assets under management of SAR 50,220 Mn. (2019: SAR 42,084 Mn.). The mutual funds are not controlled by the Group and neither are under significant influence to be considered as associates/subsidiaries. financial statements are not included in the consolidated statement of financial statements of the Group. The Group's share of investments in these funds is included under investments, and is disclosed under related party transactions. Funds invested by the Group in those investment funds amounted to SAR 1,166 Mn. at 31 December 2018 (2019: SAR 981 Mn.).

34 – Capital Adequacy

The Bank's objectives when managing capital are, to comply with the capital requirements set by SAMA to safeguard the Bank's ability to continue as a going concern; and to maintain a strong capital base.

Capital adequacy and the use of regulatory capital are monitored daily by the Bank's Management, SAMA requires the banks to hold the minimum level of the regulatory capital and also to maintain a ratio of total regulatory capital to the risk-weighted assets at or above 8%.

The Bank monitors the adequacy of its capital using ratios established by SAMA. These ratios measure capital adequacy by comparing the Bank's eligible capital with its consolidated statement of financial position, commitments and contingencies, to reflect their relative risk as of 31 December.

	2020 (SAR '000)	2019 (SAR '000)
Credit risk weighted assets	280,373,990	234,299,968
Operational risk weighted assets	33,318,660	30,784,119
Market risk weighted assets	9,316,353	7,236,637
Total Pillar I – risk weighted assets	323,009,003	272,320,724
Tier I – capital	58,118,518	51,191,657
Tier II – capital	3,504,675	2,928,750
Total Tier I and II capital	61,623,193	54,120,407
Capital Adequacy Ratio		
Tier I ratio (%)	17.99	18.80
Tier I and II ratio (%)	19.08	19.87

35 – Derivative financial instruments

The table below summarises the positive and negative fair values of derivative financial instruments, together with the notional amounts. The notional amounts, which provide an indication of the volumes of the transactions outstanding at the period-end, do not necessarily reflect the amounts of future cash flows involved. These notional amounts, therefore, are neither indicative of the Bank's exposure to credit risk, which is generally limited to the positive fair value of the derivatives, nor market risk.

31 December 2020	Notional amounts by term to maturity						
	Positive fair value (SAR '000)	Negative fair value (SAR '000)	Notional amount Total (SAR '000)	Within 3 months (SAR '000)	3-12 months (SAR '000)	1-5 years (SAR '000)	Over 5 years (SAR '000)
Derivative financial instruments							
Held for trading:							
Profit rate swaps	30,460	(22,157)	9,127,752	–	–	5,438,733	3,689,019
Foreign exchange forward contracts	2,151	(1,889)	1,353,546	786,539	567,006	–	–

36 – Standards Issued but not yet Effective

The new and amended standards and interpretations that are issued as listed below, but not yet effective, up to the date of issuance of the Group’s consolidated financial statements are disclosed below. The Group is currently assessing the impact of these standards on the future financial statements and intends to adopt these new and amended standards, if applicable, when they become effective.

- IFRS 17 Insurance Contracts
- Reference to the Conceptual Framework – Amendments to IFRS 3
- Property, Plant and Equipment: Proceeds before Intended Use – Amendments to IAS 16

IFRS 17 Insurance Contracts

In May 2017, the IASB issued IFRS 17 Insurance Contracts (IFRS 17), a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, IFRS 17 will replace IFRS 4 Insurance Contracts (IFRS 4) that was issued in 2005. IFRS 17 applies to all types of insurance contracts (i.e. life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features.

A few scope exceptions will apply. The overall objective of IFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in IFRS 4, which are largely based on grandfathering previous local accounting policies, IFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of IFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

IFRS 17 is effective for reporting periods beginning on or after 1 January 2022, with comparative figures required. Early application is permitted, provided the entity also applies IFRS 9 and IFRS 15 on or before the date it first applies IFRS 17. This standard is not expected to have a significant impact on the Group’s consolidated financial statements.

Reference to the Conceptual Framework – Amendments to IFRS 3

In May 2020, the IASB issued Amendments to IFRS 3 Business Combinations - Reference to the Conceptual Framework. The amendments are intended to replace a reference to the Framework for the Preparation and Presentation of Financial Statements, issued in 1989, with a reference to the Conceptual Framework for Financial Reporting issued in March 2018 without significantly changing its requirements.

The Board also added an exception to the recognition principle of IFRS 3 to avoid the issue of potential ‘day 2’ gains or losses arising for liabilities and contingent liabilities that would be within the scope of IAS 37 or IFRIC 21 Levies, if incurred separately.

At the same time, the Board decided to clarify existing guidance in IFRS 3 for contingent assets that would not be affected by replacing the reference to the Framework for the Preparation and Presentation of Financial Statements.

The amendments are effective for annual reporting periods beginning on or after 1 January 2022 and apply prospectively.

Property, Plant and Equipment: Proceeds before Intended Use – Amendments to IAS 16

In May 2020, the IASB issued Property, Plant and Equipment – Proceeds before Intended Use, which prohibits entities deducting from the cost of an item of property, plant and equipment, any proceeds from selling items produced while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Instead, an entity recognises the proceeds from selling such items, and the costs of producing those items, in profit or loss.

The amendment is effective for annual reporting periods beginning on or after 1 January 2022 and must be applied retrospectively to items of property, plant and equipment made available for use on or after the beginning of the earliest period presented when the entity first applies the amendment. The amendments are not expected to have a material impact on the Group.

37 – ZAKAT

The Group is subject to Zakat in accordance with the regulations of the General Authority of Zakat and Income Tax (“GAZT”). Zakat expense is charged to the consolidated statement of income. Zakat is not accounted for as income tax, and as such no deferred tax is calculated relating to zakat.

38 – Impact of COVID-19 and SAMA programs

The COVID-19 pandemic continues to disrupt global markets as many geographies are experiencing a “second wave” of infections despite having previously controlled the outbreak through aggressive precautionary measures such as imposing restrictions on travel, lockdowns and strict social distancing rules. The Government of Kingdom of Saudi Arabia (“the Government”) however has managed to successfully control the outbreak to date, owing primarily to the unprecedented yet effective measures taken by the Government, following which the Government has ended the lockdowns and has taken phased measures towards normalisation.

Recently, number of COVID-19 vaccines have been developed and approved for mass distribution by various governments around the world. The Government has also approved a vaccine which is currently available for healthcare workers and certain other categories of people and it will be available to the masses in general during 2021. Despite the fact that there are some uncertainties around the COVID-19 vaccine such as how long the immunity lasts, whether vaccine will prevent transmission or not etc.; however, the testing results showed exceptionally high success rates. Hence, the Group continues to be cognisant of both the micro and macroeconomic challenges that COVID-19 has posed, the teething effects of which may be felt for some time, and is closely monitoring its exposures at a granular level. The Group has made various accounting estimates in these financial statements based on forecasts of economic conditions which reflect expectations and assumptions as at 31 December 2020 about future events that the Group believe are reasonable in the circumstances. There is a considerable degree of judgement involved in preparing these estimates. The underlying assumptions are also subject to uncertainties which are often outside the control of the Group. Accordingly, actual economic conditions are likely to be different from those forecast since anticipated events frequently do not occur as expected, and the effect of those differences may significantly impact accounting estimates included in these financial statements.

In response to the impacts of COVID-19, various support programs have been offered to the customers either voluntarily by the Bank or on account of SAMA initiatives, such as customers eligible under Deferred Payments Program. The exercise of the deferment option by a customer, in its own, is not considered by the Bank as triggering SICR and as a consequence the impact on ECL for those customers were determined based on their existing staging. However, as part of the Bank’s credit evaluation process, especially given the current economic situation due to after effects of

lock down, the Bank obtained further information from the customers to understand their financial position and ability to repay the amount and in case where indicators of significant deterioration were noted, the customers’ credit ratings and accordingly exposure staging were adjusted, where applicable.

Private Sector Financing Support Program (“PSFSP”)

In response to COVID-19, SAMA launched the Private Sector Financing Support Program (“PSFSP”) in March 2020 to provide the necessary support to the Micro Small and Medium Enterprises (“MSME”) as per the definition issued by SAMA via Circular No. 381000064902 dated 16 Jumada II 1438H. The PSFSP mainly encompasses the following programs:

- Deferred payments program;
- Funding for lending program;
- Facility guarantee program; and
- Point of sale (“POS”) and e-commerce service fee support program.

As part of the deferred payments program launched by SAMA, the Bank was required to defer payments for a total of nine months (original deferment for six months was followed on by a further extension of three months) on lending facilities to eligible MSMEs. The payment reliefs were considered as short-term liquidity support to address the borrower’s potential cash flow issues. The Bank effected the payment reliefs by deferring the instalments falling due within the period from 14 March 2020 to 14 September for a period of six months and then further deferring the installments falling due within the period from 15 September 2020 to 14 December 2020 for a period of three months without increasing the facility tenure.

The accounting impact of these changes in terms of the credit facilities has been assessed and were treated as per the requirements of IFRS 9 as modification in terms of arrangement. This resulted in modification losses which have been presented as part of net financing income.

Further to the above, SAMA on 8 December 2020 extended the deferred payment program until 31 March 2021. The Bank has effected the payment reliefs by deferring the instalments falling due within the period from 15 December 2020 to 31 March 2021 without increasing the facility tenure. The accounting impact of these changes in terms of the credit facilities has been assessed and are treated as per the requirements of IFRS 9 as modification in terms of arrangement. This resulted in the Bank recognising an additional modification loss of SAR 49.6 Mn.

As a result of the above program and related extensions, the Bank has deferred the payments SAR 3.34 Bn. on MSMEs portfolio and accordingly, has recognized total modification losses of SAR 165.5 Mn. during the year. The total exposures against these customers amounted to SAR 5.45 Bn. as at the year end.

The Bank generally considered the deferral of payments in hardship arrangements as an indication of a SICR but the deferral of payments under the current COVID-19 support packages have not, in isolation, been treated as an indication of SICR.

The Bank continues to monitor the lending portfolios closely and reassess the provisioning levels as the situation around COVID-19 evolves; however, management has taken SAR 608 Mn. of overlays to reflect potential further credit deterioration.

The Bank has booked SAR 437.5 Mn. incremental total ECL for the MSME portfolio having total exposure of SAR 3.96 Bn.

If the balance of COVID-19 support packages in stage 1 move to stage 2, an additional ECL provisions would be provided during 2021 based on the credit facility – level assessment and the ability to repay amounts due after the deferral period ends.

In order to compensate the related cost that the Bank is expected to incur under the SAMA and other public authorities program, the Bank has received in aggregate SAR 3.65 Bn. of profit free deposits in a number of tranches from SAMA during the year ended 31 December 2020, with varying maturities. Management had determined based on the communication from SAMA, that the profit free deposits primarily relates to compensation for the modification loss incurred on the deferral of payments. The benefit of the subsidized funding rate has been accounted for on a systematic basis, in accordance with government grant accounting requirements. On 30 December 2020, SAMA has extended SAR 3.32 Bn. of the above-mentioned deposits for an additional 21 months from original maturities. This resulted in a total income of SAR 350.5 Mn., of which SAR 165.5 Mn. has been recognized in the statement of income and SAR 185 Mn. has been deferred. The management has exercised certain judgements in the recognition and measurement of this grant income. During the year ended 31 December 2020, SAR 22.9 Mn. has been charged to the statement of income relating to unwinding of the day 1 income.

As at 31 December 2020, the Bank is yet to participate in SAMA's funding for lending or facility guarantee programs.

Furthermore, during the year ended 31 December 2020, the Bank has recognised reimbursement from SAMA for the forgone POS and e-commerce service fees amounting to SAR 89 Mn.

SAMA liquidity support for the Saudi banking sector amounting to SAR 50 Bn.

In line with its monetary and financial stability mandate, SAMA injected an amount of fifty billion riyals in order to:

- enhance the liquidity in the banking sector and enable it to continue its role in providing credit facilities to private sector companies;
- restructure current credit facilities without any additional fees;
- support plans to maintain employment levels in the private sector; and
- provide relief for a number of banking fees that have been waived for customers.

In this regard, during the year ended 31 December 2020, the Bank received SAR 5.2 Bn. profit free deposit with one-year maturity. Management has determined based on the communication received from SAMA, that this government grant primarily relates to liquidity support. The benefit of the subsidised funding rate has been accounted for on a systematic basis, in accordance with government grant accounting requirements. This resulted in a total deferred income of SAR 56.9 Mn.

Bank's initiative – Health care sector support

In recognition of the significant efforts that our healthcare workers are putting in to safeguard the health of our citizens and residents in response to the COVID-19 outbreak, the Bank has decided to voluntarily postpone payments for all public and private health care workers who have credit facilities with the Bank for three months. This resulted in the Bank recognizing a day 1 modification loss of SAR 243.7 Mn. during the year ended 31 December 2020, which was presented as part of net financing income. SAR 58.5 Mn. has been recognized in the statement of income on unwinding of this modification loss during the year ended 31 December 2020.

39 – Approval of the board of directors

The consolidated financial statements were approved by the Board of Directors on 26 Jumada Al Thani 1442H (corresponding to 8 February 2021).

Supplementary Information

GRI Content Index	228
Glossary of Key Islamic Finance Terms	231
Corporate Information	233

GRI 102-55



For the GRI Content Index Service, GRI Services reviewed that the GRI content index is clearly presented and the references for all disclosures included align with the appropriate sections in the body of the report.

GRI Standard	Disclosure	Page number(s) and/or direct answers
GRI 101: Foundation 2016 GRI 102: General Disclosures 2016		
	Organizational profile	
	102-1 Name of the organization	233
	102-2 Activities, brands, products, and services	10, 11, 84
	102-3 Location of headquarters	233
	102-4 Location of operations	233
	102-5 Ownership and legal form	233
	102-6 Markets served	11
	102-7 Scale of the organization	12
	102-8 Information on employees and other workers	69
	102-9 Supply chain	81, 102
	102-10 Significant changes to the organization and its supply chain	8
	102-11 Precautionary Principle or approach	8
	102-12 External initiatives	None
	102-13 Membership of associations	None
	Strategy	
	102-14 Statement from senior decision-maker	16
	Ethics and integrity	
	102-16 Values, principles, standards, and norms of behavior	9
	Governance	
	102-18 Governance structure	113
	102-22 Composition of the highest governance body and its committees	117
	102-23 Chair of the highest governance body	106
	102-25 Conflicts of interest	119
	102-35 Remuneration policies	122-123
	102-36 Process for determining remuneration	121
	Stakeholder engagement	
	102-40 List of stakeholder groups	32
	102-41 Collective bargaining agreements	None
	102-42 Identifying and selecting stakeholders	32
	102-43 Approach to stakeholder engagement	33
	102-44 Key topics and concerns raised	34-36

GRI Standard	Disclosure	Page number(s) and/or direct answers
	Reporting practice	
	102-45 Entities included in the consolidated financial statements	151
	102-46 Defining report content and topic boundaries	8
	102-47 List of material topics	37-39
	102-48 Restatements of information	8
	102-49 Changes in reporting	8
	102-50 Reporting period	8
	102-51 Date of most recent report	8
	102-52 Reporting cycle	8
	102-53 Contact point for questions regarding the report	8
	102-54 Claims of reporting in accordance with the GRI Standards	8
	102-55 GRI content index	228-230
	102-56 External assurance	None
Specific Disclosures		
GRI 200: Economic		
GRI 103: Management approach 2016	103-1 Explanation of the material topic and its Boundary	37
	103-2 The management approach and its components	39
	103-3 Evaluation of the management approach	39
GRI 201: Economic performance 2016	201-4 Financial assistance received from government	28
GRI 203: Indirect Economic Impacts 2016	203-1 Infrastructure investments and services supported	93
GRI 204: Procurement practices 2016	204-1 Proportion of spending on local suppliers	98
GRI 207: Tax 2019	207-1 Approach to tax	133
	207-2 Tax governance, control, and risk management	–
	207-3 Stakeholder engagement and management of concerns related to tax	–
	207-4 Country-by-country reporting	–
GRI 300: Environmental		
GRI 103: Management approach 2016	103-1 Explanation of the material topic and its Boundary	37
	103-2 The management approach and its components	39
	103-3 Evaluation of the management approach	39
GRI 302: Energy 2016	302-4 Reduction of energy consumption	90 and 93
GRI 303: Water and Effluents 2018	303-3 Water withdrawal	93
GRI 305: Emissions 2016	305-5 Reduction of GHG emissions	93

GRI Standard	Disclosure	Page number(s) and/or direct answers
GRI 400: Social GRI 103: Management approach 2016	103-1 Explanation of the material topic and its Boundary	37
	103-2 The management approach and its components	39
	103-3 Evaluation of the management approach	39
GRI 401: Employment 2016	401-1 New employee hires and employee turnover	69 and 73
	401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees	72, 125
	401-3 Parental leave	70
GRI 404: Training and Education 2016	404-1 Average hours of training per year per employee	76
	404-2 Programs for upgrading employee skills and transition assistance programs	75 and 76
GRI 405: Diversity and Equal Opportunity 2016	405-1 Diversity of governance bodies and employees	90
GRI 406: Non-discrimination 2016	406-1 Incidents of discrimination and corrective actions taken	No incidents
GRI 416: Customer Health and Safety 2016	416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	No incidents
GRI 417: Marketing and Labeling 2016	417-3 Incidents of non-compliance concerning marketing communications	No incidents
GRI 418: Customer Privacy 2016	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	No complaints
GRI 419: Socioeconomic Compliance 2016	419-1 Non-compliance with laws and regulations in the social and economic area	No incidents

Ajr

commission or fee charged for services

Akar

instalment sale to invest in property

Financing to give customers an opportunity to invest in property with repayment to the Bank in the form of instalments over a period of time.

Bai al Arboon

down payment sale

A sale agreement

In which a down payment is provided in advance as part payment towards the price of the commodity for reserving the commodity. The down payment is forfeited if the buyer does not return to take the commodity and the seller is entitled to sell the commodity.

Bai Al Ajel

deferred payment sale

A sale on a deferred payment basis. Equipment or goods are sold by the Bank to the client for an agreed lump sum price which includes the profit required by the Bank without disclosing the cost. The client may pay by instalments within a pre-agreed period, or in a lump sum.

Bai Inah

sale and buy-back

The sale and buy-back of an asset for a higher price than that for which the seller originally sold it. The seller immediately buys back the asset just sold on a deferred payment basis at a price higher than the original price. This can be seen as a loan in the form of a sale.

Eirad

credit facilities granted against assignment of an income stream for a specific period.

Fiqh

Islamic jurisprudence

Gharar

uncertainty

One of three fundamental prohibitions in Islamic finance (the other two being Riba and Maysir). Gharar is a concept that covers certain types of haram uncertainty whereby one or more parties stand to be deceived through ignorance of an essential element in the contract. Gambling is a form of Gharar because the gambler is ignorant of the result of the gamble. The prohibition on Gharar is often used as the grounds for criticism of conventional financial practices such as short selling, speculation and derivatives.

Halal

lawful, permissible

Haram

unlawful, forbidden

Activities, professions, contracts and transactions that are explicitly prohibited by the Quran or the Sunnah.

Hawala

bill of exchange, remittance

A contract which allows a debtor to transfer his debt obligation to a third party who owes the former a debt. The mechanism of Hawala is used for settling international accounts by book transfers, thus obviating the need for a physical transfer of cash.

Ijara

leasing

A lease agreement whereby a bank or financier buys an item for a customer and then leases it to him over a specific period, thus earning profits for the Bank by charging rental. The duration of the lease and the fee are set in advance. During the period of the lease, the asset remains in the ownership of the lessor (the Bank), but the lessee has the right to use it. After the expiry of the lease agreement, this right reverts to the lessor.

Ijara Thumma Bai
leasing to purchase

The same principle governing an Ijara contract, but at the end of the lease period the lessee buys the asset for an agreed price through a purchase contract.

Ijarah wa Iqtina

buy-back leasing

Istisnaa

advance purchase of goods or buildings

A contract of acquisition of goods by specification or order, where the price is paid in advance, or progressively in accordance with the progress of a job. For example, to purchase a yet to be constructed house, payments would be made to the builder according to the stage of work completed. This type of financing, along with Salam, is used as a purchasing mechanism, and Murabaha and Bai Al Ajel are for financing sales.

Kafalah

guarantee

Sharia principle governing guarantees. It applies to a debt transaction in the event of a debtor failing to pay.

Maysir

gambling

One of three fundamental prohibitions in Islamic finance (the other two being Riba and Gharar). The prohibition on Maysir is often used as grounds for criticism of conventional financial practices such as speculation, conventional insurance and derivatives.

Mudaraba

trust financing, profit sharing

An investment partnership, whereby the investor (the Rab al mal) provides capital to the entrepreneur (the mudarib) in order to undertake a business or investment activity. While profits are shared on a pre-agreed ratio, losses are born by the investor alone. The mudarib loses only his share of the expected income.

The investor has no right to interfere in the management of the business, but he can specify conditions that would ensure better management of his money. In this way Mudaraba is sometimes referred to as a sleeping partnership.

A joint Mudaraba can exist between investors and a bank on a continuing basis. The investors keep their funds in a special fund and share the profits before the liquidation of those financing operations that have not yet reached the stage of final settlement. Many Islamic investment funds operate on the basis of joint Mudaraba.

Mudarib

entrepreneur in a Mudaraba contract

The entrepreneur or investment manager in a Mudaraba who puts the investor's funds in a project or portfolio in exchange for a share of the profits. A Mudaraba is similar to a diversified pool of assets held in a discretionary asset management portfolio.

Murabaha cost-plus financing

A form of credit in which the Bank buys an item and sells it to the customer on a deferred basis. The price includes a profit margin agreed by both parties. Repayment, usually in instalments, is specified in the contract.

The legality of this financing technique has been questioned because of its similarity to Riba. However, the modern Murabaha has become a popular financing technique among Islamic banks, used widely for consumer finance, real estate and the purchase of machinery and for financing short-term trade.

Musharaka joint venture, profit and loss sharing

An investment partnership in which all partners are entitled to a share in the profits of a project in a mutually agreed ratio. Losses are shared in proportion to the amount invested. All partners to a Musharaka contribute funds and have the right to exercise executive powers in that project, similar to a conventional partnership structure and the holding of voting shares in a limited company.

This equity financing arrangement is widely regarded as the purest form of Islamic financing. The two main forms of Musharaka are –

- Permanent Musharaka: an Islamic bank participates in the equity of a project and receives a share of the profit on a *pro rata* basis. The length of contract is unspecified, making it suitable for financing projects where funds are committed over a long period.

- Diminishing Musharaka: this allows equity participation and sharing of profits on a *pro rata* basis, and provides a method through which the Bank keeps on reducing its equity in the project, ultimately transferring ownership of the asset to the participants. The contract provides for payment over and above the Bank’s share in the profit for the equity held by the Bank. Simultaneously the entrepreneur purchases some of the Bank’s equity, progressively reducing it until the Bank has no equity and thus ceases to be a partner.

Mutajar an asset financing mechanism with deferred payment

A financing agreement whereby the bank purchases a commodity or an asset and sells it to the client based on a purchase promise from the client with a deferred price higher than the cash price, thus making the client a debtor to the Bank for the sale amount and for the period agreed in the contract.

Qard Hasan benevolent loan

A loan contract between two parties for social welfare or for short-term bridging finance. Repayment is for the same amount as the amount borrowed. The borrower can pay more than the amount borrowed so long as it is not stated by contract.

Riba interest

An increase, addition, unjust return, or advantage obtained by the lender as a condition of a loan. Any risk-free or “guaranteed” rate of return on a loan or investment is Riba. Riba in all its forms is prohibited in Islam.

In conventional terms, Riba and “interest” are used interchangeably, although the legal notion extends beyond mere interest.

Sharia Islamic jurisprudence

Sukuk Islamic bond

An asset-backed bond which is structured in accordance with Sharia and may be traded in the market. A Sukuk represents proportionate beneficial ownership in the underlying asset, which will be leased to the client to yield the return on the Sukuk.

Takaful Islamic insurance

Based on the principle of mutual assistance, Takaful provides mutual protection of assets and property and offers joint risk-sharing in the event of a loss by one of the participants. Takaful is similar to mutual insurance in that members are the insurers as well as the insured. Conventional insurance is prohibited in Islam because its dealings contain several haram elements, such as Gharar and Riba.

Tawarruq reverse Murabaha

In personal financing, a client with a genuine need buys an item on credit from the Bank on a deferred payment basis and then immediately resells it for cash to a third party. In this way, the client can obtain cash without taking out an interest-based loan.

Ujrah fee

The financial charge for using services, or Manfaat (wages, allowance, commission, etc.).

Waqf charitable trust

Zakat religious tax

An obligatory contribution which every wealthy Muslim is required to pay to the Islamic state, or to distribute amongst the poor. According to Islam, Zakat – the third pillar of Islam – purifies wealth and souls. Zakat is levied on cash, cattle, agricultural produce, minerals, capital invested in industry and business.

Name

Al Rajhi Banking and Investment Corporation

Trade Name

Al Rajhi Bank

Commercial Registration No.

1010000096

Registered Logo

مصرف الراجحي

Al Rajhi Bank



Legal Form

A Saudi joint stock company, formed and licensed pursuant to Royal Decree No. M/59 dated 3 Dhul Qadah 1407H (29 June 1987), in accordance with Article 6 of the Council of Ministers Resolution No. 245, dated 26 Shawal 1407H (23 June 1987).

Stock Exchange Listing

The shares of the Bank are listed on the Saudi Stock Exchange (Tadawul).

Stock code: 1120.SE

Subsidiary Companies and Branches

Name of subsidiary	Country of operation	Country of establishment
Al Rajhi Capital Company	Kingdom of Saudi Arabia	Kingdom of Saudi Arabia
Al Rajhi Development Company Limited	Kingdom of Saudi Arabia	Kingdom of Saudi Arabia
Al Rajhi Takaful Agency Company	Kingdom of Saudi Arabia	Kingdom of Saudi Arabia
Al Rajhi Management Services Company	Kingdom of Saudi Arabia	Kingdom of Saudi Arabia
Al Rajhi Corporation Limited	Malaysia	Malaysia
Al Rajhi Bank (Kuwait branch)	Kuwait	Kingdom of Saudi Arabia
Al Rajhi Bank (Jordan branch)	Jordan	Kingdom of Saudi Arabia
Emkan Finance Company	Kingdom of Saudi Arabia	Kingdom of Saudi Arabia
Tawtheeq Company	Kingdom of Saudi Arabia	Kingdom of Saudi Arabia
Al Rajhi Financial Markets Ltd.	Cayman Islands	Cayman Islands

Auditors

Ernst and Young

KPMG Al Fozan & Partners

Head Office/Registered Office

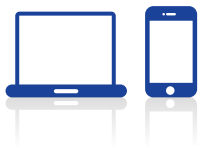
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